11. FINANCIAL INFORMATION

11.1 HISTORICAL FINANCIAL INFORMATION

Our historical financial information throughout the Financial Years Under Review have been extracted from the Accountants' Report as included in Section 12 of this Prospectus. Our historical financial information for the Financial Years Under Review were prepared in accordance with MFRS.

The historical financial information presented below should be read in conjunction with the "Management's Discussion and Analysis of Financial Condition and Results of Operations" as set out in Section 11.2 of this Prospectus, together with the Accountants' Report with its related notes as included in Section 12 of this Prospectus.

11.1.1 Consolidated statements of profit or loss and other comprehensive income

The table below sets out the audited consolidated statements of profit or loss and other comprehensive income of our Group for the Financial Years Under Review:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Revenue	67,416	165,866	357,755	361,405
Cost of sales	(50,138)	(98,346)	(254,283)	(233,218)
GP	**17,278**	**67,520**	**103,472**	**128,187**
Other income	358	1,756	1,296	930
Selling and marketing expenses	(521)	(663)	(2,306)	(3,838)
Administrative expenses	(4,842)	(9,418)	(17,595)	(26,202)
Other expenses	(1,207)	(1,839)	(3,427)	(3,353)
Finance costs	(201)	(277)	(1,102)	(2,335)
(Loss allowance)/reversal of loss allowance on financial assets and contract assets	-	(2,013)	(4,605)	4,362
Share of loss of equity accounted associate	-	-	(9)	(8)
PBT	**10,865**	**55,066**	**75,724**	**97,743**
Income tax expense	(2,935)	(13,254)	(16,841)	(23,460)
PAT/Total comprehensive income	**7,930**	**41,812**	**58,883**	**74,283**
PAT/(Loss after tax)/Total comprehensive income/(expenses) attributable to:				
- Owners of our Company	7,930	41,812	58,888	74,331
- Non-controlling interests	-	-	(5)	(48)
	7,930	**41,812**	**58,883**	**74,283**

11. FINANCIAL INFORMATION *(Cont'd)*

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
EBIT[(1)]	10,901	55,092	76,373	99,898
EBITDA[(1)]	12,525	57,916	82,064	106,039
GP margin (%)[(2)]	25.63	40.71	28.92	35.47
PBT margin (%)[(3)]	16.12	33.20	21.17	27.05
PAT margin (%)[(4)]	11.76	25.21	16.46	20.55
Effective tax rate (%)[(5)]	27.01	24.07	22.24	24.00
Basic and diluted EPS (sen)[(6)]	2.38	11.77	11.45	10.52

Notes:

(1) EBIT and EBITDA are computed as follows:

		Audited			
		FYE 2021	***FYE 2022***	***FYE 2023***	***FYE 2024***
		(RM'000)	***(RM'000)***	***(RM'000)***	***(RM'000)***
PAT		*7,930*	*41,812*	*58,883*	*74,283*
Less:	*Interest income*	*(165)*	*(266)*	*(459)*	*(276)*
Add:	*Finance costs[(a)]*	*201*	*292*	*1,108*	*2,431*
Add:	*Income tax expenses*	*2,935*	*13,254*	*16,841*	*23,460*
EBIT		***10,901***	***55,092***	***76,373***	***99,898***
Add:	*Depreciation and amortisation*	*1,624*	*2,824*	*5,691*	*6,141*
EBITDA		***12,525***	***57,916***	***82,064***	***106,039***

(a) Including finance costs recognised in cost of sales as follows:

	Audited			
	FYE 2021	***FYE 2022***	***FYE 2023***	***FYE 2024***
	(RM'000)	***(RM'000)***	***(RM'000)***	***(RM'000)***
Finance costs recognised in cost of sales	*-*	*15*	*6*	*96*

(2) GP margin is computed based on GP over revenue of our Group.

(3) PBT margin is computed based on PBT over revenue of our Group.

(4) PAT margin is computed based on PAT over revenue of our Group.

(5) Effective tax rate is computed based on tax expenses divided by PBT of our Group.

11. FINANCIAL INFORMATION *(Cont'd)*

(6) Basic and diluted EPS is computed based on PAT attributable to owners of our Company for the Financial Years Under Review over weighted average number of Shares in issue during the respective Financial Years Under Review, details of which are as follows:

	Audited			
	FYE 2021	***FYE 2022***	***FYE 2023***	***FYE 2024***
PAT/Total comprehensive income attributable to owners of our Company (RM'000)	*7,930*	*41,812*	*58,888*	*74,331*
Weighted average number of Shares in issue ('000)	*333,726*	*355,393*	*514,407*	*706,360*
Basic and diluted EPS (sen)	*2.38*	*11.77*	*11.45*	*10.52*

There are no potential dilutive securities in issue during the Financial Years Under Review.

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11.1.2 Consolidated statements of financial position

The table below sets out the audited consolidated statements of financial position of our Group as at 30 September 2021, 30 September 2022, 30 September 2023 and 30 September 2024:

	Audited			
	As at 30 September			
	2021	2022	2023	2024
	(RM'000)	(RM'000)	(RM'000)	(RM'000)
Assets				
Non-current assets				
Investment in an associate	-	-	1,382	1,274
Property, plant and equipment	6,881	13,956	29,996	31,590
Investment properties	-	-	3,692	3,671
Right-of-use assets	3,274	3,249	3,664	1,936
Intangible assets	-	758	454	303
Deferred tax assets	-	265	1,924	2,172
Goodwill[(1)]	-	-	148,967	148,967
	10,155	18,228	190,079	189,913
Current assets				
Project-in-progress	-	16	-	-
Inventories	9,849	12,221	167,577	171,734
Trade receivables	29,257	66,534	115,022	99,181
Other receivables, deposits and prepayments	913	4,399	18,037	8,467
Contract assets	222	8,638	69,411	123,849
Current tax assets	329	470	851	-
Fixed deposits with licensed banks	4,609	16,167	14,823	8,595
Cash and bank balances	10,766	28,049	13,874	40,143
	55,945	136,494	399,595	451,969
Total assets	**66,100**	**154,722**	**589,674**	**641,882**

11. FINANCIAL INFORMATION *(Cont'd)*

	Audited			
	As at 30 September			
	2021	**2022**	**2023**	**2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Equity and liabilities				
Equity				
Share capital	36,580	37,000	334,768	334,768
Merger deficit	(29,619)	(29,619)	(29,619)	(29,619)
Retained profits	36,390	72,120	115,679	170,160
Equity attributable to owners of our Company	43,351	79,501	420,828	475,309
Non-controlling interests	-	-	55	9
Total equity	**43,351**	**79,501**	**420,883**	**475,318**
Liabilities				
Non-current liabilities				
Term loans	422	354	7,380	8,729
Lease liabilities	2,471	2,433	2,124	433
Hire purchase payables	358	524	519	1,185
Deferred tax liabilities	479	1,123	1,733	1,908
	3,730	4,434	11,756	12,255
Current liabilities				
Trade payables	7,393	20,402	84,690	64,157
Other payables and accruals	1,460	23,115	38,520	16,767
Contract liabilities	15	16,949	22,133	33,504
Term loans	66	68	1,984	17,469
Lease liabilities	868	1,224	2,037	1,789
Hire purchase payables	350	609	928	504
Bankers' acceptances	8,457	2,224	3,230	12,098
Current tax liabilities	410	6,196	3,513	8,021
	19,019	70,787	157,035	154,309
Total liabilities	**22,749**	**75,221**	**168,791**	**166,564**
Total equity and liabilities	**66,100**	**154,722**	**589,674**	**641,882**

Note:

(1) The goodwill arose from the difference between the purchase consideration paid by our Company for the acquisition of ASSB and the fair values of the net identifiable assets of ASSB.

11. FINANCIAL INFORMATION

11.1.3 Consolidated statements of cash flows

The table below sets out the audited consolidated statements of cash flows of our Group for the Financial Years Under Review:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Cash flows (for)/from operating activities				
PBT	10,865	55,066	75,724	97,743
Adjustments for:				
Amortisation of intangible assets	-	-	303	152
Depreciation:				
- property, plant and equipment	785	1,671	3,584	4,263
- investment properties	-	-	9	21
- right-of-use assets	839	1,153	1,795	1,705
Inventories written down	146	81	406	1
Interest expense	201	292	1,108	2,431
Loss allowance:				
- trade receivables	-	2,013	2,878	354
- other receivables	-	-	-	678
- contract assets	-	-	1,727	411
Property, plant and equipment written off	-	56	1	*
Reversal of loss allowance:				
- trade receivables	-	-	-	(5,214)
- contract assets	-	-	-	(590)
Bargain purchase gain on acquisition of a subsidiary	-	(1,019)	-	-
Gain on disposal of property, plant and equipment	(1)	(11)	(94)	(38)
Gain on reassessment of lease liabilities	(12)	(69)	(1)	(24)
Interest income	(165)	(266)	(459)	(276)
Reversal of inventories previously written down	(275)	(68)	(81)	(57)
Share of net loss of equity accounted associates	-	-	-	8
Operating profit before working capital changes	12,383	58,899	86,900	101,568

11. FINANCIAL INFORMATION *(Cont'd)*

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
(Increase)/Decrease in project-in-progress	-	(16)	16	-
Decrease/(Increase) in inventories	656	(2,386)	(3,211)	(4,100)
(Increase)/Decrease in trade and other receivables	(15,365)	(6,326)	(53,562)	29,594
Increase in contract assets	(216)	(8,415)	(13,384)	(54,260)
(Decrease)/Increase in trade and other payables	(4,476)	17,743	36,686	(42,286)
Increase in contract liabilities	16	81	4,212	11,370
Cash (for)/from operations	(7,002)	59,580	57,657	41,886
Interest paid	(6)	(8)	(231)	(545)
Income tax paid	(3,158)	(7,269)	(19,072)	(18,184)
Income tax refunded	-	7	-	11
Net cash (for)/from operating activities	**(10,166)**	**52,310**	**38,354**	**23,168**
Cash flows for investing activities				
Dividend received	-	-	-	100
Interest income received	165	266	459	276
Proceeds from disposal of property, plant and equipment	14	104	222	39
Purchase of property, plant and equipment	(3,570)	(6,832)	(11,445)	(4,540)
Acquisition of subsidiaries, net cash	-	(3,486)	(8,682)	*
Withdrawal of fixed deposit	82	-	-	-
(Addition)/Withdrawal of fixed deposit with tenure more than three (3) months	-	(2,000)	2,000	-
Net cash for investing activities	**(3,309)**	**(11,948)**	**(17,446)**	**(4,125)**

11. FINANCIAL INFORMATION *(Cont'd)*

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Cash flows from/(for) financing activities				
Dividends paid	-	(6,082)	(15,328)	(19,849)
Interest paid	(195)	(284)	(877)	(1,579)
Drawdown of bankers' acceptances	8,457	5,944	3,230	30,371
Drawdown of term loans	500	-	10,166	49,768
Proceeds from issuance of shares	4,662	420	-	-
Repayment of bankers' acceptances	-	(12,176)	(2,224)	(21,550)
Repayment of lease liabilities	(879)	(741)	(1,541)	(1,894)
Repayment of term loans	(12)	(66)	(26,495)	(33,192)
Repayment of hire purchase obligations	(179)	(536)	(1,358)	(1,077)
(Increase)/Decrease in pledged fixed deposits with licensed banks	-	(7,638)	4,149	(347)
Net cash from/(for) financing activities	**12,354**	**(21,159)**	**(30,278)**	**651**
Net (decrease)/increase in cash and cash equivalents	**(1,121)**	**19,203**	**(9,370)**	**19,694**
Cash and cash equivalents at beginning of the financial year	**11,887**	**10,766**	**29,969**	**20,599**
Cash and cash equivalents at end of the financial year	**10,766**	**29,969**	**20,599**	**40,293**
Cash and cash equivalents at end of the financial year comprise:				
Fixed deposits with licensed banks	4,609	16,167	14,823	8,595
Cash and bank balances	10,766	28,049	13,874	40,143
	15,375	44,216	28,697	48,738
Less: Fixed deposits pledged to licensed banks	(4,609)	(12,247)	(8,098)	(8,445)
Less: Fixed deposits with tenure more than three (3) months	-	(2,000)	-	-
	10,766	**29,969**	**20,599**	**40,293**

Note:

* *Less than RM500.*

11.2 MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following management's discussion and analysis relates to the historical financial information of our Group for the FYEs 2021, 2022, 2023 and 2024 and should be read with the Accountants' Report included in Section 12 of this Prospectus.

11.2.1 Overview of our operations

Our Group was principally involved in the provision of construction products and its related services (i.e. lighting and related M&E products and services, hardware products and tools, as well as rental of construction machinery and equipment) during the FYE 2021. We subsequently expanded our business during the FYE 2022 following the completion of the acquisition of 100% equity interest in LSHBB in October 2021, which resulted in the diversification of our Group's then business to include construction and construction-related services and solutions. We further diversified our Group's principal activities to include property development activities during the FYE 2023 following the completion of the acquisitions of 100% equity interest in ASSB and LSH Ventures in April 2023.

(i) Principal activities

We are a full-fledged construction company with capabilities to engage in a broad range of construction and engineering works, provide construction-related services and solutions, as well as supply construction products that are complementary to our construction and engineering works as well as the needs of the wider construction industry.

The business activities we undertake under our **construction segment** can be broadly categorised into three (3) sub-segments:

(a) Construction and engineering works

Our Group has the capability to perform and/or supervise subcontractors to perform a wide range of construction and engineering works across all phases of a construction project, including:

- site preparation, earthworks and slope stabilisation;
- substructure construction works;
- superstructure construction works;
- architectural-related works;
- finishing works;
- utility works; and
- landscaping works.

As a main contractor for our construction projects, we are responsible for project planning which encompasses aspects relating to project scheduling and timeline, costing and procurement. We are also responsible for procuring all required resources for the project, including procurement of materials, rental of machinery and equipment, sourcing for labour as well as appointment of subcontractors. In addition, we also act as a project manager responsible for the overall management of the construction project throughout the contract period beginning with project planning until the completion and handover of the project and throughout the DLP. This involves liaising with all relevant project stakeholders, including authorities, consultants, subcontractors and suppliers, as well as reporting to project owners.

The types of construction projects that our Group undertakes can be broadly categorised as follows:

- **building construction works** which includes various types of buildings, including residential such as landed and high-rise residential buildings, as well as non-residential such as industrial and commercial buildings; and

- **Infrastructure construction and engineering works**.

(b) Construction-related services and solutions

Our Group also offers construction-related services and solutions to our clients through our BEST Collaboration Framework, i.e. a framework that was developed in-house to facilitate the collaboration between our Group and our clients (such as land owners, property developers or contractors) to achieve the shared objective of value-enhancement for construction and property development projects undertaken by our clients by leveraging on our Group's extensive experience and expertise in the industry. The value-engineering services and solutions which we offer to our clients under our BEST Collaboration Framework include construction design, construction methodology advisory, value-engineering consultation and other services.

For the avoidance of doubt, our construction contracts may be secured from our clients either with or without the value-engineering services and solutions provided under our BEST Collaboration Framework. For construction contracts carried out under our BEST Collaboration Framework, our clients are given the flexibility to select the relevant value-engineering services and solutions which are typically rendered to them during the initial planning stage in order for them to enjoy and maximise the benefit from such value-engineering, which they can then select to include as part of the overall construction contract awarded to us.

In return for providing these value-engineering services and solutions, our Group will be entitled to fees which are negotiated based on a portion of the value of our client's construction or property development projects on a case-to-case basis.

(c) Construction products

Our Group also supplies a wide range of construction products that are complementary to our construction and engineering works as well as the needs of the wider construction industry. Our business activities relating to the supply of construction products can be broadly classified under four (4) main categories as follows:

(aa) distribution of building materials;
(bb) wholesale and retail of lighting and related M&E products;
(cc) wholesale and retail of hardware products and tools; and
(dd) rental of construction machinery and equipment.

In addition to our primary focus as a construction company, we are also involved in **property development** activities which allows our Group to leverage on our strengths and prowess in the construction segment, whilst providing an additional revenue stream for our Group through the sales of property units under our own property development projects.

As at LPD, our Group has two (2) ongoing property development projects as follows:

(a) **LSH Segar Project** – a leasehold residential property development project located at Cheras, Kuala Lumpur comprising 435 condominium units and 440 '*Residensi Wilayah*' affordable housing units as well as 1,670 carpark lots. The construction of LSH Segar Project commenced in October 2021 and the project was launched in February 2022. The said project is expected to be completed by the third quarter of 2026; and

(b) **Lake Side Homes Project** – a leasehold residential property development project located at Sungai Besi, Kuala Lumpur comprising 1,183 condominium units, 593 '*Residensi Wilayah*' affordable housing units and 593 PPAM affordable housing units, as well as 3,809 carpark lots.

For information, we have commenced preliminary construction works for this project in March 2024. However, the said project was put on hold following the receipt of an interim stay order in April 2024 and was resumed in August 2024 after the said order was uplifted, details of which are set out in Section 13.6 of this Prospectus. The said project is expected to be launched in the second half of 2025 and the construction of the Lake Side Homes Project is estimated to be completed by the fourth quarter of 2029.

Our Group operates entirely in Malaysia where we carry out construction and engineering works, construction-related services and solutions as well as supply of building materials for construction projects located in various states in Malaysia. Our Group also engages in the wholesale and retail of lighting and related M&E products as well as hardware products and tools through 12 physical retail stores located across the Klang Valley region, online e-commerce platforms such as Lazada and Shopee, as well as our own online stores. Apart from our wholesale and retail operations, our Group also provides rental services for machinery and equipment for construction projects based in Malaysia. In addition, the property development projects that our Group is involved in are all located in the Klang Valley region.

Please refer to Section 6.2 of this Prospectus for further information on our Group's principal activities.

(ii) Recent developments

Save as disclosed below, there were no other significant developments within our Group since 30 September 2024, being the end of our most recent audited financial year, up to LPD:

(a) developments of the material litigation as disclosed in Section 13.6 of this Prospectus; and

(b) payment of an interim single-tier dividend of 1.94 sen per Share amounting to approximately RM13.70 million in respect of the FYE 2024 that was paid on 13 December 2024.

(iii) Exceptional and extraordinary items and audit qualifications

There were no exceptional or extraordinary items during the Financial Years Under Review. In addition, our audited financial statements for the Financial Years Under Review were not subject to any audit qualifications.

11. FINANCIAL INFORMATION *(Cont'd)*

(iv) Significant factors affecting our business

Our financial condition and results of operations are subject to, among others, the following key factors:

(a) Our ability to secure new projects to replenish our orderbook

Our revenue for the FYEs 2022, 2023 and 2024 was mainly contributed by our construction and engineering works as well as construction-related services and solutions sub-segments, which collectively contributed approximately 65.82%, 75.02% and 58.44% of our total revenue, respectively.

Hence, our financial performance depends on our ability to secure new projects to sustain our orderbook. If we are unable to secure new projects on a continuous basis or there is a significant decline in our contract value due to variations in the scope of works which may occur during the construction period or if the new projects that we secured are not commercially favourable to us, our business growth and financial performance will be adversely affected.

(b) Exposure to credit and liquidity risks as a result of delays in collection, non-recoverability and/or settlement of trade receivables and/or retention sums through contra payment via payment-in-kind

We are exposed to the risk of delays in collection and/or non-recoverability of our trade receivables and/or retention sums. We may also face circumstances where our clients are unable to settle amounts owing to us in cash, and instead request for such amounts to be settled through contra payment via payment-in-kind. In such circumstances, this may have a material and adverse effect on our cash flow.

Although our cash flow or liquidity positions have not been materially affected by the delays in collection and/or non-recoverability of trade receivables and/or retention sums and/or contra payment via payment-in-kind in the past, there is no assurance that we will not face potential cash flow and working capital constraints should there be any delay and/or non-collection of any trade receivables and/or retention sums and/or contra payment via payment-in-kind in the future. Should this occur, this may result in a material adverse impact on our financial condition, our ability to pay our subcontractors and/or suppliers, and/or affect the progress and completion of our projects.

(c) Unexpected delay in the completion of our projects

We may be subject to external factors that are beyond our control and which may affect the timely completion of our projects. These include, among others, timely receipt of regulatory approvals and permits required to carry out the projects, satisfactory performance of subcontractors appointed, continuous supply of construction materials, equipment or labour, adverse weather conditions, economic downturn, changes in government policies as well as legal proceedings affecting our property development projects.

Any delays in completing a project may affect our revenue recognition and billings, which, in turn, may adversely affect our financial performance. Project delays could also lead to cost overruns and/or LAD claims or penalties being imposed on us by our customers, which will further affect our financial performance. Our reputation and future business opportunities may also be detrimentally affected by project delays caused by us.

During the Financial Years Under Review and up to LPD, we have not experienced any delay in project completion. Notwithstanding this, there is no assurance that we will not experience any delay in our ongoing and future construction, engineering works or property development projects resulting in LAD claims and/or penalties in the future, which may materially and adversely impact our business and financial performance.

We are also subject to unexpected project cancellations or postponement of the project, which may occur from time to time. Any such cancellations or postponements would adversely affect our prospects and financial performance.

(d) Fluctuations in the prices of construction materials

Our building material costs, such as steel and concrete materials are subjected to price fluctuations. As such, any fluctuation in the prices of building materials, which are beyond our control, could result in increased costs and may adversely impact our financial performance.

Any unfavourable fluctuations in prices of construction materials, subcontractor costs and/or labour costs during the period of our construction and engineering work projects may result in cost overruns which may adversely affect our construction and engineering work projects' profitability and financial performance if we are unable to pass any of these cost increases to our clients.

Although our Group experienced price fluctuations in construction materials during the Financial Years Under Review, such price fluctuations have not adversely affected our financial performance as we have anticipated these price fluctuations and priced in the risk when tendering for construction and engineering work projects. Nevertheless, there is no assurance that we will not face any unanticipated cost increases beyond our prediction or control in the future, which may adversely affect our profitability and financial performance.

(e) Our actual sales value may be lower than the estimated GDVs of our property development projects

The GDVs of our Group's ongoing property development projects are estimated based on our market study including the average selling price of similar properties in the surrounding areas and other assumptions which may ultimately prove to be inaccurate. The actual sales value may be different due to changes over time which are subjected to, among others, factors affecting the demand and supply for such properties, ease of obtaining financing, economic growth rate of the country and interest rates.

As such, there is no assurance that the estimated GDVs will reflect the actual sales value achieved by our property development projects as the estimated GDVs are subject to the various assumptions as mentioned above as well as the timing of the launch of our property development projects. Any unfavourable change in prevailing conditions of the property market as well as market sentiment may result in our Group's property development projects achieving lower than anticipated selling prices and/or take-up rates, which will result in our Group not being able to realise our projected GDVs. This, in turn, may adversely affect our Group's business and financial performance.

(f) Concentration risks

Some of our major customers had contributed substantially to our Group's revenue during the Financial Years Under Review, the details of our major customers of which are set out in Sections 6.18 and 8.1.9 of this Prospectus. Moving forward, some of these major customers are expected to collectively contribute approximately 33.27% of our total outstanding orderbook as at LPD, further details of which are set out in Section 8.1.9 of this Prospectus.

While we are not materially dependent on any of these customers, our Group is exposed to customer concentration risk from time to time depending on the quantum of the projects secured and the tenure of contracts.

As such, our financial performance may be materially and adversely affected if we were to lose one (1) or more of our major customers (including any substantial reduction in the amount of products supplied and services provided to them) and/or are unable to replace them with new customers in a timely manner, encounter difficulty in collecting payments from these major customers, or if there is any substantial delay or termination of the projects undertaken with these major customers.

Although we have not encountered difficulty in securing new customers, there is no assurance that we are able to continue to secure contracts with new customers with equivalent or higher value to replace existing contracts that have been completed, deferred or terminated.

(g) Outbreaks of diseases in Malaysia

Our business is also susceptible to the risks of any outbreak of diseases that could result in localised or global epidemics or pandemics causing interruptions in our and our customers' business operations while adversely affecting our financial performance. For example, during the outbreak of the COVID-19 pandemic which caused widespread negative effects nationwide, our Group experienced slower payments from customers in the FYE 2021 due to cashflow constraints experienced during the movement control order (MCO) period implemented by the Malaysian Government, thereby affecting their timeliness of payments to our Group and as a result, increased our Group's trade receivables. Although the effects of the COVID-19 pandemic did not materially affect our Group, there can be no assurance that any other outbreak of diseases in the future which are beyond our control will not materially affect our business and financial performance.

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11.2.2 Review of our results of operations

(i) Revenue

Our revenue is generated from the provision of construction and engineering works, provision of construction-related services and solutions, supply of construction products as well as property development. All of our revenue is derived from Malaysia.

For construction and engineering works, our Group recognises revenue over time in the period in which the services are rendered using the input method i.e. determined based on the proportion of construction costs incurred for work performed to date over the total estimated construction costs. The total estimated costs are based on approved budgets, which require assessment and judgement to be made on changes in, for example, work scope, changes in costs and costs to completion. Billings to customers are based on agreed milestones under the agreement/contract, certified by architects.

For the provision of construction-related services and solutions under our BEST Collaboration Framework, our Group will be entitled to fees which are negotiated based on a portion of the value of our client's construction or property development projects on a case-to-case basis. The total fees payable under the said agreements are billed in parts on a quarterly basis commencing from the first quarter when the project owners recognise progress billings for the projects, until full completion of the overall works for the said projects.

Revenue from the sale of our construction products (i.e. building materials, lighting and related M&E products as well as hardware products and tools) are recognised at the point in time when our Group has transferred control of these goods to the customers, being when the goods have been delivered to the customers and upon their acceptance.

As for the revenue from the rental of construction machinery and equipment, it is accounted for on a straight-line method over the lease term.

Our Group also recognises revenue from the sale of property units under the property development segment. Our Group recognises property development revenue as and when the control of the asset is transferred to the end purchasers, and it is probable that our Group will collect the consideration to which we are entitled. Our Group recognises property development revenue and costs by reference to the progress towards complete satisfaction of the performance obligation at the end of the reporting period. This is determined by reference to the property development costs incurred up to the end of the reporting period as a percentage of total estimated costs for the complete satisfaction of the SPA. Billings to end purchasers are based on agreed milestones under the SPAs, certified by architects.

11. FINANCIAL INFORMATION *(Cont'd)*

Analysis of revenue by business segments

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	(RM'000)	%	(RM'000)	%	(RM'000)	%	(RM'000)	%
Construction	**67,416**	**100.00**	**165,866**	**100.00**	**343,824**	**96.10**	**288,194**	**79.74**
Construction and engineering works	547	0.81	98,982	59.68	258,485	72.25	204,354	56.54
Construction-related services and solutions	-	-	10,165	6.14	9,921	2.77	6,866	1.90
Construction products	66,869	99.19	56,719	34.18	75,418	21.08	76,974	21.30
- *Building materials*	*37,514*	*55.65*	*28,270*	*17.04*	*42,611*	*11.91*	*37,788*	*10.45*
- *Lighting products*	*5,476*	*8.12*	*6,227*	*3.75*	*5,331*	*1.49*	*5,259*	*1.46*
- *Hardware products and tools*	*12,755*	*18.92*	*13,061*	*7.87*	*12,655*	*3.54*	*15,743*	*4.36*
- *Rental of construction machinery and equipment*	*11,124*	*16.50*	*9,161*	*5.52*	*14,821*	*4.14*	*18,184*	*5.03*
Property development	**-**	**-**	**-**	**-**	**13,931**	**3.90**	**72,354**	**20.02**
Other[(1)]	**-**	**-**	**-**	**-**	**-**	**-**	**857**	**0.24**
Total	**67,416**	**100.00**	**165,866**	**100.00**	**357,755**	**100.00**	**361,405**	**100.00**

Note:

(1) This represents revenue generated from the management of the 'Blue Pool' facility at the convergence of the Gombak River and Klang River under the 'River of Life' transformation project at Kuala Lumpur.

For the FYE 2021, our Group derived all of our revenue from M&E works carried out by LSH Lighting and from our construction products sub-segment (i.e. from LSH Lighting and Knight Auto).

However, following our Group's diversification into construction and construction-related services and solutions after the acquisition of LSHBB in October 2021, our Group's revenue for the FYEs 2022 and 2023 were largely contributed by our construction and engineering works sub-segment, making up approximately 59.68% and 72.25% of our total revenue for the respective FYEs. This was followed by our construction products sub-segment contributing approximately 34.18% and 21.08%, and our construction-related services and solutions sub-segment contributing approximately 6.14% and 2.77% of our total revenue for the FYEs 2022 and 2023, respectively.

Our Group has also diversified our business activities to include property development following the acquisitions of ASSB and LSH Ventures in April 2023, which contributed approximately 3.90% of our total revenue for the FYE 2023.

11. FINANCIAL INFORMATION *(Cont'd)*

For the FYE 2024, our Group's revenue was also largely derived from our construction and engineering works sub-segment, making up approximately 56.54% of our total revenue for this financial year. This was followed by our construction products sub-segment, our property development segment and our construction-related services and solutions sub-segment, which contributed approximately 21.30%, 20.02% and 1.90% of our total revenue for the FYE 2024, respectively.

For the FYEs 2022, 2023 and 2024, our Group's revenue derived from the construction and engineering works, construction-related services and solutions and property development projects are as follows:

	Audited					
	FYE 2022		FYE 2023		FYE 2024	
	(RM'000)	(1)%	(RM'000)	(1)%	(RM'000)	(1)%
Construction and engineering works	**98,982**	**59.68**	**258,485**	**72.25**	**204,354**	**56.54**
Building construction projects						
- LSH 33 Project	48,169	29.04	112,533	31.45	54,835	15.17
- LSH Segar Project(2)	10,024	6.04	34,161	9.55	-	-
- Sentul Ria Project	-	-	213	0.06	6,258	1.73
- Wisma LSH Extension Project	-	-	-	-	551	0.15
Infrastructure construction and engineering work projects						
- Construction of bridge works at Nibong Tebal, Penang	15,507	9.35	39,625	11.08	36,677	10.15
- Upgrading of road works at Kota Belud, Sabah	138	0.08	18,772	5.25	16,048	4.44
- Upgrading of flood retention and structural works at Pendang, Kedah	5,742	3.46	14,240	3.98	18,423	5.10
- Construction of army family homes at Gemas, Negeri Sembilan						
a. supply of materials, labour, equipment and tools for construction and completion of reinforced concrete works	-	-	14,465	4.04	17,778	4.92
b. supply, delivery, installation, testing and commissioning of cold water and sanitary plumbing services	-	-	3,991	1.11	2,954	0.82
c. supply, delivery, installation, testing and commissioning of electrical and extra low voltage box	-	-	1,197	0.33	3,892	1.08
d. supply of materials, labour, equipment and tools for construction and completion of architectural works	-	-	-	-	4,488	1.24
- Construction of road works at Sembrong, Johor	3,409	2.06	7,223	2.02	3,992	1.10
- Construction of road works at Jerantut, Pahang	3,324	2.00	6,652	1.86	10,610	2.94
- Subcontract work for direct access from DUKE to Taman Bamboo, Kuala Lumpur	8,136	4.91	3,327	0.93	140	0.04
- Mainline and other associated works for Sungai Besi-Ulu Kelang Elevated Expressway (SUKE)(3)	-	-	1,342	0.38	15	*
- Construction and completion of bridge structure for direct access to SPE through Jalan Kerinchi Kiri at Kampung Kerinchi, Kuala Lumpur	4,533	2.74	219	0.06	1,342	0.37
- Upgrading of road works at Tangkak, Johor	-	-	202	0.06	24,770	6.85
- Others	-	-	323	0.09	1,581	0.44

11. FINANCIAL INFORMATION *(Cont'd)*

	Audited					
	FYE 2022		**FYE 2023**		**FYE 2024**	
	(RM'000)	**(1)%**	**(RM'000)**	**(1)%**	**(RM'000)**	**(1)%**
Construction-related services and solutions	**10,165**	6.14	**9,921**	**2.77**	**6,866**	**1.90**
- LSH 33 Project	4,927	2.97	5,902	1.65	1,722	0.48
- LSH Segar Project(2)	3,204	1.94	22	0.01	-	-
- Construction of army family homes at Gemas, Negeri Sembilan	1,193	0.72	2,046	0.57	2,230	0.62
- Construction of bridge works at Nibong Tebal, Penang	779	0.47	1,840	0.51	1,748	0.48
- Upgrading of road works at Tangkak, Johor	62	0.04	111	0.03	1,166	0.32
Property development	**-**	-	**13,931**	**3.90**	**72,354**	**20.02**
- LSH Segar Project(2)	-	-	13,931	3.90	72,354	20.02

Notes:

* *Less than 0.01%.*

(1) Represent the percentage to our Group's total revenue for the respective Financial Years Under Review.

(2) Prior to the acquisition of ASSB in April 2023, our Group undertook the construction activities for the LSH Segar Project via LSHBB as awarded by ASSB (i.e. the project owner). As such, upon completion of the acquisition of ASSB in April 2023, LSH Segar Project became the property development project of our Group.

(3) Our involvement in the project is on request basis.

Comparison between FYE 2021 and FYE 2022

Our revenue for the FYEs 2021 and 2022 was derived solely from our construction segment.

For the FYE 2021, our Group derived all of our revenue from M&E works carried out by LSH Lighting and from our construction products sub-segment (i.e. from LSH Lighting and Knight Auto). Revenue generated from the supply of construction products is the main revenue contributor for the FYE 2021, contributing approximately RM66.87 million or 99.19% of our total revenue for the said FYE.

For the FYE 2022, our Group recorded revenue of approximately RM165.87 million, representing an increase of approximately RM98.45 million or 146.02% from the preceding financial year's revenue of approximately RM67.42 million. The significant improvement in revenue was mainly attributable to our newly acquired subsidiary, namely LSHBB, which is principally involved in construction and construction-related services and solutions.

Following our Group's diversification into construction and construction-related services and solutions via the acquisition of LSHBB in October 2021, our Group's revenue for the FYE 2022 was largely generated from the provision of construction and engineering works as well as the supply of construction materials, which contributed approximately RM98.98 million or 59.68% and RM56.72 million or 34.18% of our total revenue for the FYE 2022 respectively.

Construction segment

Construction and engineering works

Revenue from our construction and engineering works sub-segment increased by approximately RM98.43 million or 17,896.36% to approximately RM98.98 million for the FYE 2022 (FYE 2021: RM0.55 million). This was attributable to the increased revenue from construction and engineering works following the completion of the acquisition of LSHBB in October 2021. Such revenue was primarily contributed by our building construction projects, namely LSH 33 Project and LSH Segar Project, and our infrastructure construction and engineering work projects which include, among others, the construction of bridge works at Nibong Tebal, Penang, subcontract work for the direct access from DUKE to Taman Bamboo, Kuala Lumpur and upgrading of flood retention and structural works at Pendang, Kedah, which collectively contributed approximately RM87.58 million or 88.48% of our total revenue generated from construction and engineering works sub-segment for the FYE 2022 (approximately 52.80% of our Group's total revenue).

Construction-related services and solutions

Following the acquisition of LSHBB, our Group, through LSHBB, also provides construction-related services and solutions to our clients through our BEST Collaboration Framework. In return, our Group will be entitled to fees negotiated based on a portion of the value of our client's construction or property development projects on a case-to-case basis. In the FYE 2022, our Group recorded revenue of approximately RM10.17 million from the provision of construction-related services and solutions, mainly from the LSH 33 Project and LSH Segar Project, which collectively contributed approximately RM8.13 million or 79.94% of our total revenue generated from our construction-related services and solutions sub-segment for the FYE 2022 (approximately 4.90% of our Group's total revenue).

Construction products

Our Group recorded lower revenue from the construction products sub-segment by approximately RM10.15 million or 15.18% to approximately RM56.72 million for the FYE 2022 as compared to the previous financial year of approximately RM66.87 million. The decrease was mainly attributable to lower orders of building materials from one of our major customers, namely SLP Construction Sdn Bhd, which recorded lower sale of approximately RM9.81 million or 78.73% to approximately RM2.65 million for the FYE 2022 (FYE 2021: RM12.46 million) as the structural works for its construction project was near to completion.

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Comparison between FYE 2022 and FYE 2023

Our Group recorded an increase in revenue of approximately RM191.89 million or 115.69% to approximately RM357.76 million for the FYE 2023 (FYE 2022: RM165.87 million). This was mainly due to higher revenue recorded from the provision of construction and engineering works and the supply of construction products, which collectively making up approximately RM333.90 million or 93.33% of our total revenue for the FYE 2023 as compared to approximately RM155.70 million or 93.87% of our total revenue for the FYE 2022.

During the FYE 2023, we acquired two (2) new subsidiaries, namely ASSB and LSH Ventures (which collectively own 93.75% equity interest in ASES) in April 2023. These acquisitions have also contributed to the increase in our revenue generated from construction works as well as diversified our Group's business into property development activities. Accordingly, our Group recorded total revenue of approximately RM13.93 million from the property development segment (FYE 2022: Nil).

Construction segment

Construction and engineering works

Revenue from our construction and engineering works sub-segment increased by approximately RM159.51 million or 161.15% to approximately RM258.49 million for the FYE 2023 (FYE 2022: RM98.98 million). This was primarily contributed by the following building and infrastructure construction and engineering work projects:

(a) LSH 33 Project recorded an increase in revenue of approximately RM64.36 million or 133.61% to approximately RM112.53 million in the FYE 2023 (FYE 2022: RM48.17 million) due to this project achieving a higher percentage of completion, with a further completion stage of approximately 42.69% during the FYE 2023 (FYE 2022: 18.94%), contributed mainly from the building and structural works, M&E works and architectural works;

(b) LSH Segar Project recorded an increase in revenue of approximately RM24.14 million or 240.92% to approximately RM34.16 million in the FYE 2023 (FYE 2022: RM10.02 million) due to this project achieving a further completion stage of approximately 13.21% during the FYE 2023 (FYE 2022: 3.85%), contributed mainly from the architectural works and earthworks;

(c) the construction of bridge works at Nibong Tebal, Penang, for which we recorded an increase in revenue of approximately RM24.12 million or 155.51% to approximately RM39.63 million in the FYE 2023 (FYE 2022: RM15.51 million). This was mainly due to this project achieving a higher percentage of completion, with a further completion stage of approximately 41.43% during the FYE 2023 (FYE 2022: 16.21%), contributed primarily from the structural works and drainage works;

(d) the upgrading of road works at Kota Belud, Sabah, for which we recorded an increase in revenue of approximately RM18.63 million or 13,307.14% to approximately RM18.77 million in the FYE 2023 (FYE 2022: RM0.14 million). This was mainly due to this project achieving a higher percentage of completion, with a further completion stage of approximately 42.24% during the FYE 2023 (FYE 2022: 0.31%), contributed primarily from the earthworks, geotechnical works and drainage works; and

(e) three (3) subcontracted works (including the reinforced concrete works awarded to ASSB) for the construction of army family homes at Gemas, Negeri Sembilan which contributed revenue of approximately RM19.65 million to our Group in the FYE 2023 (FYE 2022: Nil).

Construction-related services and solutions

During the FYE 2023, our Group recorded marginal decrease in revenue of approximately RM0.25 million or 2.46% to approximately RM9.92 million for the FYE 2023 from the provision of construction-related services and solutions as compared to approximately RM10.17 million for the FYE 2022. The decrease was contributed by the lower revenue recorded for the LSH Segar Project, which decreased by approximately RM3.18 million or 99.38% for the FYE 2023 as a result of intercompany elimination of such revenue recognised by LSHBB for the provision of construction-related services and solutions to ASSB for the LSH Segar Project with the costs incurred by ASSB following the acquisition of ASSB in April 2023.

The above decrease was narrowed by the increased revenue generated from the provision of construction-related services and solutions for the LSH 33 Project, the construction of army family homes at Gemas, Negeri Sembilan project and the construction of bridge works at Nibong, Tebal, Penang project, which collectively contributed to the increased revenue of approximately RM2.89 million or 41.88% to approximately RM9.79 million for the FYE 2023 (FYE 2022: RM6.90 million).

Construction products

Our revenue from the supply of construction products increased by approximately RM18.70 million or 32.97% to approximately RM75.42 million for the FYE 2023 (FYE 2022: RM56.72 million), predominantly due to the higher revenue from the sale of building materials by approximately RM14.34 million or 50.73% to approximately RM42.61 million in the FYE 2023 (FYE 2022: RM28.27 million). This was mainly contributed by higher revenue from the sale of ready-mixed concrete, steel wire meshes and piles products to meet one of our major customers' ongoing projects, namely Besteel Engtech Sdn Bhd who contributed to an increase of approximately RM13.52 million in revenue for the sale of such building materials.

In addition, the increase in revenue was also attributed to the increase in rental revenue of our construction machinery and equipment, which increased by approximately RM5.66 million or 61.79% to approximately RM14.82 million for the FYE 2023 (FYE 2022: RM9.16 million). During the FYE 2023, we have experienced higher demand for the rental of our construction machinery and equipment from two (2) of our customers, one of whom is our major customer, namely Besteel Engtech Sdn Bhd, which collectively contributed to the increased revenue of approximately RM5.38 million in the FYE 2023.

Property development segment

Following the acquisition of ASSB in April 2023, our Group recorded our first revenue from the property development activities of approximately RM13.93 million (FYE 2022: Nil), making up approximately 3.90% of our total revenue for the FYE 2023.

11. FINANCIAL INFORMATION *(Cont'd)*

Comparison between FYE 2023 and FYE 2024

Our Group recorded an increase in revenue of approximately RM3.65 million or 1.02% to approximately RM361.41 million for the FYE 2024 (FYE 2023: RM357.76 million). This was mainly due to higher revenue recorded from our property development segment by approximately RM58.42 million or 419.38%, which was derived solely from ASSB's LSH Segar Project, due to the reasons as explained below.

The above increase in revenue was narrowed by lower revenue generated from the provision of construction and engineering works of approximately RM54.14 million or 20.94% during the FYE 2024. The said decrease was mainly due to the absence of revenue generated from the construction works carried out by LSHBB for ASSB's LSH Segar Project under the construction and engineering works sub-segment for the FYE 2024 (FYE 2023: RM34.16 million) following the acquisition of ASSB in April 2023. Notwithstanding this, our Group recognised revenue from the sale of property units derived from ASSB's LSH Segar Project under the property development segment. In addition, the lower revenue generated from the provision of construction and engineering works was also contributed by lower revenue recorded for the LSH 33 Project due to the reasons as explained below.

For the FYE 2024, our construction products sub-segment and our construction-related services and solutions sub-segment contributed to our Group's remaining revenue of approximately 21.30% and 1.90% of our total revenue, respectively.

Construction segment

Construction and engineering works

Revenue from our construction and engineering works sub-segment decreased by approximately RM54.14 million or 20.94% to approximately RM204.35 million for the FYE 2024 (FYE 2023: RM258.49 million). This was mainly contributed by the following building and infrastructure construction and engineering work projects:

(a) LSH 33 Project recorded lower revenue of approximately RM57.69 million or 51.27% to approximately RM54.84 million in the FYE 2024 (FYE 2023: RM112.53 million) as the construction work approached completion and was completed in June 2024. Hence, our Group recognised revenue for its remaining completion stage of approximately 19.22% during the FYE 2024 (FYE 2023: 42.69%), contributed mainly from the project's building and structural works as well as M&E works;

(b) the absence of revenue from the construction works carried out by LSHBB for ASSB's LSH Segar Project under the construction and engineering works sub-segment for the FYE 2024 (FYE 2023: RM34.16 million) as explained above;

(c) the construction of road works at Sembrong, Johor, for which we recorded a decrease in revenue of approximately RM3.23 million or 44.74% to approximately RM3.99 million for the FYE 2024 (FYE 2023: RM7.22 million) due to this project achieving a lower percentage of completion, with a further completion stage of approximately 17.28% in the FYE 2024 (FYE 2023: 31.27%); and

(d) the subcontract work for the direct access from DUKE to Taman Bamboo, Kuala Lumpur, for which we have recorded a decrease in revenue of approximately RM3.19 million to approximately RM0.14 million for the FYE 2024 (FYE 2023: RM3.33 million). This was due to the completion of the project in FYE 2023 and the additional revenue recorded for the FYE 2024 was a result of the finalisation of the project's contract value during the current financial year.

However, the above decreases were offset by the increase in revenue attributable mainly from the following building and infrastructure construction and engineering work projects:

(a) the construction of road works at Jerantut, Pahang, for which we recorded an increase in revenue of approximately RM3.96 million or 59.55% to approximately RM10.61 million for the FYE 2024 (FYE 2023: RM6.65 million) as this project achieved a higher percentage of completion, with a further completion stage of approximately 6.77% during the FYE 2024 (FYE 2023: 3.31%), contributed primarily from structural works and earthworks;

(b) the upgrading of flood retention and structural works at Pendang, Kedah, for which we recorded an increase in revenue of approximately RM4.18 million or 29.35% to approximately RM18.42 million for the FYE 2024 (FYE 2023: RM14.24 million) as this project achieved a higher percentage of completion, with a further completion stage of approximately 23.48% during the FYE 2024 (FYE 2023: 18.15%), contributed mainly from the infrastructure works; and

(c) the acquisition of ASSB in April 2023 has also further contributed to the increase in our Group's revenue for the FYE 2024, primarily from the following projects:

(aa) the upgrading of road works at Tangkak, Johor for which we recorded higher revenue for the FYE 2024, which increased by approximately RM24.57 million or 12,285.00% to approximately RM24.77 million in the FYE 2024 (FYE 2023: RM0.20 million). This was also mainly due to this project achieving a higher percentage of completion, with a further completion stage of approximately 20.50% during the FYE 2024 (FYE 2023: 0.15%), contributed primarily from earthworks;

(bb) the two (2) subcontracted works for the construction of army family homes at Gemas, Negeri Sembilan (i.e. reinforced concrete works and architectural works), for which we collectively recorded an increase in revenue of approximately RM7.80 million or 53.90% to approximately RM22.27 million in the FYE 2024 (FYE 2023: RM14.47 million). This was mainly due to the additional architectural subcontract works awarded to ASSB during the FYE 2024, which contributed approximately RM4.49 million to our revenue for the FYE 2024. In addition, we also recorded higher revenue from the reinforced concrete works of approximately RM3.31 million due to a variation order received for additional works carried out; and

(cc) the construction works for the Sentul Ria Project, for which we recorded an increase in revenue of approximately RM6.05 million or 2,880.95% to approximately RM6.26 million in the FYE 2024 (FYE 2023: RM0.21 million). This was also mainly due to the achievement of a higher percentage of completion, with an additional completion stage of approximately 6.03% during the FYE 2024 (FYE 2023: 0.20%), contributed mainly from piling works and earthworks.

Construction-related services and solutions

For the FYE 2024, our Group recorded a decrease in revenue of approximately RM3.05 million or 30.75% to approximately RM6.87 million from the provision of construction-related services and solutions as compared to approximately RM9.92 million for the FYE 2023. The decrease was mainly contributed by the lower revenue recorded for the LSH 33 Project, which decreased by approximately RM4.18 million or 70.85% for the FYE 2024 as the said project was nearing completion and completed during the FYE 2024 as mentioned earlier.

The above decrease was mainly narrowed by the increased revenue arising from the provision of construction-related services and solutions for the upgrading of road works at Tangkak, Johor of approximately RM1.06 million or 963.64% to approximately RM1.17 million for the FYE 2024 (FYE 2023: RM0.11 million).

Construction products

Our revenue from the supply of construction products increased by approximately RM1.55 million or 2.06% to approximately RM76.97 million for the FYE 2024 (FYE 2023: RM75.42 million), predominantly due to the following:

(a) increase in rental revenue for our construction machinery and equipment by approximately RM3.36 million or 22.67% to approximately RM18.18 million for the FYE 2024 (FYE 2023: RM14.82 million), mainly due to higher demand for the rental of our construction machinery and equipment from one of our major customers, namely Besteel Engtech Sdn Bhd which contributed approximately RM7.22 million to the increase in revenue of this sub-segment.

    Such increase was partially offset by the decrease in rental revenue for our construction machinery and equipment generated from ASSB after our Group acquired ASSB as our subsidiary in April 2023 (i.e. intercompany elimination); and

(b) increase in revenue from the wholesale and retail of hardware products and tools by approximately RM3.08 million or 24.33% to approximately RM15.74 million for the FYE 2024 (FYE 2023: RM12.66 million). This was mainly attributable to higher demand from our retail customers and the full 12-month operational results of our new retail store at Wisma Knight Auto which commenced its business operation in August 2023.

However, the above increases were mainly offset by the decrease in revenue from the sale of building materials of approximately RM4.82 million or 11.31% to approximately RM37.79 million for the FYE 2024 (FYE 2023: RM42.61 million) as our Group experienced lower sales of steel bars and steel wire meshes products from our customers during the said financial year.

Property development segment

During the FYE 2024, our revenue from the property development segment increased by approximately RM58.42 million or 419.38% to approximately RM72.35 million (FYE 2023: RM13.93 million). Such an increase was mainly attributable to a full 12-month property development revenue recognised during the FYE 2024 as compared to the 6-month property development revenue recognised from the LSH Segar Project during the FYE 2023 following the completion of the acquisition of ASSB in April 2023. In addition, the increase was also attributable to further progress in the development activities achieved for this project during the FYE 2024.

11. FINANCIAL INFORMATION *(Cont'd)*

(ii) Cost of sales, GP and GP margin

Analysis of cost of sales by cost component

	Audited							
	FYE 2021		**FYE 2022**		**FYE 2023**		**FYE 2024**	
	(RM'000)	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**
Subcontractor costs	465	0.93	31,002	31.53	129,404	50.89	70,260	30.13
- *Building and structural works*	*-*	*-*	*17,544*	*17.84*	*50,573*	*19.89*	*14,930*	*6.40*
- *Infrastructure works*	*-*	*-*	*7,727*	*7.86*	*35,556*	*13.98*	*25,515*	*10.94*
- *M&E works*	*465*	*0.93*	*1,081*	*1.10*	*19,307*	*7.59*	*14,809*	*6.35*
- *Architectural works*	*-*	*-*	*797*	*0.81*	*16,791*	*6.60*	*2,882*	*1.24*
- *Other subcontracted services*	*-*	*-*	*3,853*	*3.92*	*7,177*	*2.83*	*12,124*	*5.20*
Construction material costs	-	-	10,092	10.26	40,289	15.84	35,225	15.10
Costs of construction products	47,638	95.02	40,466	41.15	43,806	17.23	50,026	21.45
- *Building materials*	*34,213*	*68.24*	*25,140*	*25.56*	*30,326*	*11.93*	*31,996*	*13.72*
- *Lighting products*	*3,313*	*6.61*	*4,145*	*4.22*	*3,492*	*1.37*	*3,273*	*1.40*
- *Hardware products and tools*	*9,111*	*18.17*	*9,722*	*9.89*	*9,006*	*3.54*	*11,840*	*5.08*
- *Rental of construction machinery and equipment*	*1,001*	*2.00*	*1,459*	*1.48*	*982*	*0.39*	*2,917*	*1.25*
Direct labour costs	1,612	3.21	5,701	5.79	8,425	3.31	11,083	4.75
Overhead and other related costs	423	0.84	11,085	11.27	21,596	8.49	32,862	14.09
Property development costs	-	-	-	-	10,763	4.24	33,762	14.48
	50,138	**100.00**	**98,346**	**100.00**	**254,283**	**100.00**	**233,218**	**100.00**

(a) Subcontractor costs

Since our Group's diversification into construction business in October 2021, subcontractor costs have become a significant cost component of our Group's cost of sales, which accounted for approximately 31.53%, 50.89% and 30.13% of our total cost of sales in the FYEs 2022, 2023 and 2024, respectively.

For our construction projects, we engage various subcontractors mainly for the following:

- building and structural works which include reinforced concrete works, flooring, roofing, glazing and finishing works;

- infrastructure works which include earthworks for infrastructure construction and engineering work projects, drainage works and bridge works;

- M&E works which include supply and installation of M&E systems such as lifts, fire protection system, air conditioning system, as well as water supply and plumbing systems; and

- architectural works which include installation of windows, glass panels, doors as well as painting and interior finishes.

We also engage subcontractors for earthworks for building construction projects, site preparation, piling works, landscaping works, installation of amenities and facilities, as well as labour supply to carry out on-site construction works.

For the Financial Years Under Review, subcontractor costs accounted for approximately RM0.47 million, RM31.00 million, RM129.40 million and RM70.26 million for the past four (4) FYEs 2021, 2022, 2023 and 2024, respectively.

The significant increase in subcontractor costs since the FYE 2022 was mainly attributed to the ongoing building construction projects and infrastructure construction and engineering work projects of our newly acquired subsidiary, LSHBB, which we acquired in October 2021. LSHBB is principally involved in construction and construction-related services and solutions. Additionally, the acquisition of ASSB in April 2023 has further contributed to the increased subcontractor costs in the FYE 2023. However, in the FYE 2024, the subcontractor costs decreased in tandem with the decrease in revenue generated from our construction and engineering works as explained in item (i) above.

(b) Construction material costs

Construction material costs refer to costs of materials used for our construction and engineering work projects that are not purchased from or for sale by our construction products sub-segment. The major construction materials used for our construction and engineering projects are, among others, plywood, pile, pipe, steel bar, timber, cement, column mould, cement board, bricks, bolts and nuts. Such construction materials are mainly sourced from local suppliers, which are selected based on their pricing, availability and lead time for delivery. Whilst we have maintained long-term business relationships with our approved list of suppliers, we also source construction materials from new suppliers if the need arises. Prices of some of these materials, particularly steel and concrete materials, are subject to fluctuations based on supply and demand conditions and economic conditions.

For the Financial Years Under Review, construction material costs accounted for approximately RM Nil, RM10.09 million, RM40.29 million and RM35.23 million for the past four (4) FYEs 2021, 2022, 2023 and 2024, respectively.

The significant increase in construction material costs since the FYE 2022 was mainly attributed to the ongoing building construction projects and infrastructure construction and engineering work projects of our newly acquired subsidiary, LSHBB, which we acquired in October 2021. LSHBB is principally involved in construction and construction-related services and solutions. Additionally, the acquisition of ASSB in April 2023 has further contributed to the increased construction material costs in the FYE 2023. However, in the FYE 2024, the construction material costs decreased in tandem with the decrease in revenue generated from our construction and engineering works as explained in item (i) above.

(c) Costs of construction products

We purchase and supply a wide range of building materials to meet the needs of the wider construction industry, wholesale and retail of lighting and related M&E products to contractors, property developers and retail customers, wholesale and retail of hardware products and tools to contractors and retail customers as well as rent construction machinery and equipment (including sub-rent of construction machinery and equipment which we do not own) to contractors. Such construction products costs consist of the following:

(aa) purchase of building materials such as ready-mixed concrete, steel bar, steel wire mesh and reinforcing fabric of steel;

(bb) purchase of lighting products which can be broadly categorised as indoor lighting products, outdoor lighting products and decorative lighting products;

(cc) purchase of hardware products and tools such as concrete mixers, generator sets, air compressors, agricultural tools and equipment, garage tools and equipment and other hardware products; and

(dd) expenses incurred for renting of construction machinery and equipment such as repair costs, maintenance costs and parts replacement costs for such machinery and equipment as well as expenses incurred for sub-rent of construction machinery and equipment which we do not own (including rental expenses).

Save for two (2) suppliers from China who supply some of our Group's hardware and tools, our construction products are mainly sourced from local suppliers who are selected based on their pricing, availability and lead time for delivery. Whilst we have maintained long-term business relationships with our approved list of suppliers, we also source construction products from new suppliers if the need arises.

For the Financial Years Under Review, the costs of construction products accounted for approximately RM47.64 million, RM40.47 million, RM43.81 million and RM50.03 million for the past four (4) FYEs 2021, 2022, 2023 and 2024, respectively. During the Financial Years Under Review, the costs of construction products fluctuated in tandem with the revenue generated from the supply of construction products.

(d) Direct labour costs

Our direct labour costs comprise salaries, wages, bonuses and other staff-related costs of the workers who are directly involved in our construction and engineering works and rental of construction machinery activities. For our construction and engineering work projects, the workers are either directly employed by us or outsourced from general worker service providers.

During the Financial Years Under Review, the direct labour costs accounted for approximately RM1.61 million, RM5.70 million, RM8.43 million and RM11.08 million for the past four (4) FYEs 2021, 2022, 2023 and 2024, respectively.

The significant increase in direct labour costs since the FYE 2022 was mainly attributed to the ongoing building construction projects and infrastructure construction and engineering work projects of our newly acquired subsidiary, LSHBB, which we acquired in October 2021. LSHBB is principally involved in construction and construction-related services and solutions. Additionally, the acquisition of ASSB in April 2023 has further contributed to the increased direct labour costs in the FYEs 2023 and 2024.

(e) Overhead and other related costs

Overhead and other related costs include general preliminary and related expenses for construction projects as well as other related costs for our construction products sub-segment, which are miscellaneous in nature. Such overhead and related costs include, among others, hiring of machinery from third parties for our own construction and engineering work projects, professional fees paid to building construction professionals, indirect labour costs, upkeep expenses, fuel and diesel, insurance, depreciation for plant and machinery, site expenses, levy charges, utilities, freight and customs duties.

For the Financial Years Under Review, the overhead and other related costs accounted for approximately RM0.42 million, RM11.09 million, RM21.60 million and RM32.86 million for the past four (4) FYEs 2021, 2022, 2023 and 2024, respectively.

The significant increase in overhead and other related costs since the FYE 2022 was mainly attributed to the ongoing building construction projects and infrastructure construction and engineering work projects of our newly acquired subsidiary, LSHBB, which we acquired in October 2021. LSHBB is principally involved in construction and construction-related services and solutions. Additionally, the acquisition of ASSB in April 2023 has further contributed to the increased overhead and other related costs in the FYEs 2023 and 2024.

(f) Property development costs

Property development costs refer to land and development costs related to our property development projects. The development costs comprise mainly building construction costs, foundation construction costs and infrastructure costs such as road construction.

Our Group acquired ASSB in April 2023, which ASSB is the project developer for the LSH Segar Project. As such, we only recorded property development costs in the FYE 2023 onwards, which accounted for approximately RM10.76 million and RM33.76 million for the FYEs 2023 and 2024, respectively.

11. FINANCIAL INFORMATION *(Cont'd)*

Analysis of cost of sales by business segments

	Audited							
	FYE 2021		**FYE 2022**		**FYE 2023**		**FYE 2024**	
	(RM'000)	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**
Construction	**50,138**	**100.00**	**98,346**	**100.00**	**243,520**	**95.77**	**198,898**	**85.28**
Construction and engineering works and construction-related services and solutions[(1)]	465	0.93	54,948	55.87	195,657	76.95	143,968	61.73
Construction products	49,673	99.07	43,398	44.13	47,863	18.82	54,930	23.55
- *Building materials*	*34,213*	*68.24*	*25,140*	*25.56*	*30,326*	*11.93*	*31,996*	*13.72*
- *Lighting products*	*3,313*	*6.61*	*4,145*	*4.22*	*3,492*	*1.37*	*3,273*	*1.40*
- *Hardware products and tools*	*9,111*	*18.17*	*9,722*	*9.89*	*9,006*	*3.54*	*11,840*	*5.08*
- *Rental of construction machinery and equipment*	*3,036*	*6.05*	*4,391*	*4.46*	*5,039*	*1.98*	*7,821*	*3.35*
Property development	**-**	**-**	**-**	**-**	**10,763**	**4.23**	**33,762**	**14.48**
Other[(2)]	**-**	**-**	**-**	**-**	**-**	**-**	**558**	**0.24**
	50,138	**100.00**	**98,346**	**100.00**	**254,283**	**100.00**	**233,218**	**100.00**

Notes:

(1) The construction-related services and solutions provided by our Group under our BEST Collaboration Framework principally involve value-engineering for construction and property development projects undertaken by our clients. As such services and solutions are provided alongside with the construction works carried out by the same project team and personnel for the construction and property development projects, and there are no other costs incurred to render such services and solutions, the costs of sales for construction and engineering works and construction-related services and solutions are combined and shown together.

(2) Comprised mainly insurance and sub-contractor costs in relation to the management of the 'Blue Pool' facility at the convergence of the Gombak River and Klang River under the 'River of Life' transformation project at Kuala Lumpur.

11. FINANCIAL INFORMATION *(Cont'd)*

Analysis of GP and GP margin by business segments

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	GP	GP margin	GP	GP margin	GP	GP margin	GP	GP margin
	(RM'000)	%	(RM'000)	%	(RM'000)	%	(RM'000)	%
Construction	**17,278**	**25.63**	**67,520**	**40.71**	**100,304**	**29.17**	**89,296**	**30.98**
Construction and engineering works and construction-related services and solutions[(1)]	82	14.99	54,199	49.66	72,749	27.10	67,252	31.84
Construction products	17,196	25.72	13,321	23.49	27,555	36.54	22,044	28.64
- *Building materials*	*3,301*	*8.80*	*3,130*	*11.08*	*12,285*	*28.83*	*5,792*	*15.33*
- *Lighting products*	*2,163*	*39.50*	*2,082*	*33.44*	*1,839*	*34.50*	*1,986*	*37.76*
- *Hardware products and tools*	*3,644*	*28.57*	*3,339*	*25.56*	*3,649*	*28.83*	*3,903*	*24.79*
- *Rental of construction machinery and equipment*	*8,088*	*72.71*	*4,770*	*52.06*	*9,782*	*66.00*	*10,363*	*56.99*
Property development	**-**	**-**	**-**	**-**	**3,168**	**22.74**	**38,592**	**53.34**
Other[(2)]	**-**	**-**	**-**	**-**	**-**	**-**	**299**	**34.89**
	17,278	**25.63**	**67,520**	**40.71**	**103,472**	**28.92**	**128,187**	**35.47**

Notes:

(1) The construction-related services and solutions provided by our Group under our BEST Collaboration Framework principally involve value-engineering for construction and property development projects undertaken by our clients. As such services and solutions are provided alongside with the construction works carried out by the same project team and personnel for the construction and property development projects, and there are no other costs incurred to render such services and solutions, the costs of sales for construction and engineering works and construction-related services and solutions are combined and shown together. As such, the GP and GP margin for these two (2) sub-segments are also presented in a single category.

(2) This represents GP and GP margin generated from the management of the 'Blue Pool' facility at the convergence of the Gombak River and Klang River under the 'River of Life' transformation project at Kuala Lumpur.

Comparison between FYE 2021 and FYE 2022

Our cost of sales for the FYEs 2021 and 2022 was derived solely from our construction segment.

For the FYE 2021, our cost of sales was incurred for the M&E works carried out by LSH Lighting and the supply of construction products (i.e. from LSH Lighting and Knight Auto). The costs of construction products made up most of our Group's cost of sales for the FYE 2021, contributing approximately RM49.67 million or 99.07% of our total cost of sales for the FYE 2021.

Our cost of sales increased by approximately RM48.21 million or 96.15% to approximately RM98.35 million for the FYE 2022 (FYE 2021: RM50.14 million). The significant increase in cost of sales for the FYE 2022 was mainly attributable to the construction projects carried out by our newly acquired subsidiary, LSHBB, which is principally involved in construction and construction-related services and solutions.

In tandem with the increase in revenue, our Group recorded higher GP of approximately RM67.52 million for the FYE 2022 as compared to GP of approximately RM17.28 million for the preceding financial year, representing an increase in our GP of approximately RM50.24 million or 290.74%. However, as our GP for the FYE 2022 increased at a rate higher than our revenue growth rate of 146.02%, our Group recorded higher GP margin of approximately 40.71% for the FYE 2022 as compared to 25.63% for the preceding financial year.

Construction segment

Construction and engineering works and construction-related services and solutions

In tandem with the increase in revenue, the cost of sales for our construction and engineering works and construction-related services and solutions sub-segments increased by approximately RM54.48 million or 11,591.49% to approximately RM54.95 million for the FYE 2022 (FYE 2021: RM0.47 million). This was mainly contributed by the cost of sales from the construction projects carried out by LSHBB, which was largely derived from the LSH 33 Project, the LSH Segar Project, the construction of bridge works at Nibong Tebal, Penang and the upgrading of flood retention and structural works at Pendang, Kedah, which collectively contributed to the increased cost of sales of approximately RM45.24 million for the FYE 2022.

Correspondingly, our GP for our construction and engineering works construction-related services and solutions sub-segments increased by approximately RM54.12 million or 67,650.00% to approximately RM54.20 million for the FYE 2022 (FYE 2021: RM0.08 million).

Nevertheless, our Group recorded higher GP margin for our construction and engineering works and construction-related services and solutions sub-segments of approximately 49.66% for the FYE 2022 as compared to approximately 14.99% for the FYE 2021. This was mainly attributable to higher contract revenue and fees being recognised by LSHBB under the BEST Collaboration Framework as compared to the cost of sales recognised during the same financial year as a result of a one-off value enhancement exercise carried out by LSHBB for the LSH 33 Project during the said financial year. In addition, the higher GP margin for the FYE 2022 was also contributed by the higher GP margins recorded for the LSH Segar Project, the construction of bridge works at Nibong Tebal, Penang and the construction of army family homes at Gemas, Negeri Sembilan, as well as the fees recognised under the BEST Collaboration Framework for these projects.

11. FINANCIAL INFORMATION *(Cont'd)*

Construction products

In tandem with the decrease in revenue for construction products, the cost of sales for the supply of construction products sub-segment also decreased by approximately RM6.27 million or 12.62% to approximately RM43.40 million for the FYE 2022 (FYE 2021: RM49.67 million).

The GP for the supply of construction products sub-segment also decreased by approximately RM3.88 million or 22.56% to approximately RM13.32 million for the FYE 2022 (FYE 2021: RM17.20 million). However, our Group recorded a lower GP margin for the supply of construction products of approximately 23.49% in the FYE 2022 as compared to approximately 25.72% in the FYE 2021. This was primarily attributable to the following:

(a) GP margin for the rental of construction machinery and equipment decreased from approximately 72.71% for the FYE 2021 to approximately 52.06% for the FYE 2022 as a result of the lower rental revenue recorded for the FYE 2022 while majority of the operating costs for this sub-segment such as depreciation and direct labour costs which are relatively fixed in nature, remained unchanged;

(b) GP margin for the wholesale and retail of lighting products decreased from approximately 39.50% for the FYE 2021 to approximately 33.44% for the FYE 2022, mainly attributable to discounts given for walk-in purchases of chandeliers to drive sales during the post-pandemic recovery phase, as well as higher sales of fan products that yielded lower GP margins; and

(c) GP margin for the wholesale and retail of hardware products and tools decreased from approximately 28.57% for the FYE 2021 to approximately 25.56% for the FYE 2022, mainly attributable to higher sales of certain equipment and tools that yielded lower GP margins.

The above decreases in the GP margin were narrowed by the increase in our GP margin for the supply of building materials, which improved from approximately 8.80% for the FYE 2021 to approximately 11.08% for the FYE 2022, mainly due to higher sales of I-beams, pre-stressed concrete steel strand, bored piles and spun piles that yielded higher GP margins.

Comparison between FYE 2022 and FYE 2023

Our cost of sales further increased by approximately RM155.93 million or 158.55% to approximately RM254.28 million in the FYE 2023 (FYE 2022: RM98.35 million). This was mainly due to the increased cost of sales from our construction and engineering works and construction-related services and solutions sub-segments, which increased by approximately RM140.71 million or 256.07% to approximately RM195.66 million for the FYE 2023 (FYE 2022: RM54.95 million).

However, despite our Group recorded higher GP of approximately RM103.47 million during the FYE 2023 (FYE 2022: RM67.52 million), our GP margin declined from approximately 40.71% for the preceding financial year to approximately 28.92% for the FYE 2023.

11. FINANCIAL INFORMATION *(Cont'd)*

Construction segment

Construction and engineering works and construction-related services and solutions

In tandem with the increase in revenue generated from our construction and engineering works, the cost of sales for our construction and engineering works and construction-related services and solutions sub-segments increased by approximately RM140.71 million or 256.07% to approximately RM195.66 million for the FYE 2023 (FYE 2022: RM54.95 million). Correspondingly, we recorded higher GP from our construction and engineering works and construction-related services and solutions sub-segments of approximately RM18.55 million or 34.23% to approximately RM72.75 million for the FYE 2023 as compared to approximately RM54.20 million for the FYE 2022.

Despite the increase in our GP, our Group recorded lower GP margin from our construction and engineering works and construction-related services and solutions sub-segments from approximately 49.66% in the FYE 2022 to approximately 27.10% in the FYE 2023. This was mainly resulted from the following:

(a) decrease in GP margin for the LSH 33 Project from approximately 48.32% for the FYE 2022 to approximately 19.62% for the FYE 2023, primarily resulting from the absence of the higher contract revenue and fees recognised by LSHBB under the BEST Collaboration Framework as a result of a one-off value enhancement exercise carried out by LSHBB for the LSH 33 Project which our Group enjoyed in the preceding financial year and the ratio of contract revenue and fees to cost of sales recognised by LSHBB thereto has since normalised during the FYE 2023. The decrease in GP margin for the LSH 33 Project was also due to upward revision in the project costs arising from the enhancement of architectural and furnishing works carried out for the LSH 33 Project;

(b) decrease in GP margin for the LSH Segar Project from approximately 47.63% for the FYE 2022 to approximately 24.63% for the FYE 2023, primarily due to the upward revision in the project costs arising from the enhancement of preliminary works as well as additional reinforced concrete works carried out; and

(c) lower GP margin of approximately 23.92% recorded for the three (3) subcontracted works for the construction of army homes at Gemas, Negeri Sembilan for the FYE 2023 as compared to a higher GP margin generated in the FYE 2022 which was derived solely from the fees under the BEST Collaboration Framework that yielded higher margin.

Additionally, the increase in construction material prices also affected the GP margin for all our Group's construction projects albeit at a lower rate.

Construction products

In tandem with the increase in revenue generated from our construction products sub-segment, the cost of sales for the supply of construction products increased by approximately RM4.46 million or 10.28% to approximately RM47.86 million for the FYE 2023 (FYE 2022: RM43.40 million). Correspondingly, our GP increased by approximately RM14.24 million or 106.91% to approximately RM27.56 million for the FYE 2023 (FYE 2022: RM13.32 million).

As the cost of sales for the supply of construction products increased at a rate lower than the revenue growth rate of approximately 32.97% for the FYE 2023, our Group recorded higher GP margin of approximately 36.54% for the FYE 2023 (FYE 2022: 23.49%). This was mainly attributable to the following:

(a) increase in our GP margin for the supply of building materials from approximately 11.08% for the FYE 2022 to approximately 28.83% for the FYE 2023, mainly due to higher sales of internal fit-out materials for building construction projects (which the sales include installation of tiling, ceiling, partition and/or furnishing that allowed us to charge at a higher fee); and

(b) higher GP margin for the rental of construction machinery and equipment of approximately 66.00% for the FYE 2023 as compared to approximately 52.06% for the FYE 2022, mainly attributable to higher rental revenue received vis-à-vis the majority of our operating costs for the rental of construction machinery and equipment which comprised primarily depreciation for property, plant and equipment and direct labour costs are relatively fixed in nature.

Property development segment

Following the acquisition of ASSB in April 2023, our Group recorded our first property development costs of approximately RM10.76 million (FYE 2022: Nil), contributing approximately 4.23% of our total cost of sales for the FYE 2023. The property development costs were solely derived from the LSH Segar Project.

For the FYE 2023, our Group recorded GP and GP margin from our property development segment of approximately RM3.17 million and 22.74% respectively.

Comparison between FYE 2023 and FYE 2024

Our cost of sales decreased by approximately RM21.06 million or 8.28% to approximately RM233.22 million in the FYE 2024 (FYE 2023: RM254.28 million). This was mainly due to the lower cost of sales incurred for our construction and engineering works and construction-related services and solutions sub-segments, which decreased by approximately RM51.69 million or 26.42% to approximately RM143.97 million for the FYE 2024 (FYE 2023: RM195.66 million). Such a decrease was partially narrowed by higher property development costs incurred for the FYE 2024, which increased by approximately RM23.00 million or 213.75% to approximately RM33.76 million in the FYE 2024 (FYE 2023: RM10.76 million).

In view of the decrease in our cost of sales alongside a revenue growth of approximately 1.02% during the same financial year, our Group recorded higher GP of approximately RM128.19 million for the FYE 2024 as compared to GP of approximately RM103.47 million for the preceding financial year, representing an increase in our GP of approximately RM24.72 million or 23.89%. This also translates to a higher GP margin of approximately 35.47% for the FYE 2024 as compared to 28.92% for the preceding financial year, mainly due to the reasons as explained below.

Construction segment

Construction and engineering works and construction-related services and solutions

In tandem with the decrease in revenue, the cost of sales for our construction and engineering works and construction-related services and solutions sub-segments decreased by approximately RM51.69 million or 26.42% to approximately RM143.97 million for the FYE 2024 (FYE 2023: RM195.66 million). Correspondingly, our GP for our construction and engineering works and construction-related services and solutions sub-segments decreased by approximately RM5.50 million or 7.56% to approximately RM67.25 million for the FYE 2024 (FYE 2023: RM72.75 million).

However, our Group recorded higher GP margin for these sub-segments of approximately 31.84% for the FYE 2024 as compared to GP margin of approximately 27.10% for the FYE 2023, mainly contributed by the increase in GP margin for the construction of road works at Jerantut, Pahang, which improved from approximately 21.87% for the FYE 2023 to approximately 80.61% for the FYE 2024. This was mainly attributable to the forfeiture of deposits received from our client, netted off the deposits paid to our subcontractors of the same project arising from the delay in construction works by our client.

The above increase in GP margin was partially offset by the decrease in GP margin for the LSH 33 Project from approximately 19.62% for the FYE 2023 to approximately 4.56% for the FYE 2024 primarily due to higher infrastructure costs incurred during FYE 2024 (mainly for sewerage piping and water supply works) as well as lower fees recognised by LSHBB under the BEST Collaboration Framework for LSH 33 Project as compared to the FYE 2023.

Construction products

In tandem with the increase in revenue generated from our construction products sub-segment, the cost of sales for this sub-segment increased by approximately RM7.07 million or 14.77% to approximately RM54.93 million for the FYE 2024 (FYE 2023: RM47.86 million).

However, the above rate of which the cost of sales increased for the FYE 2024 for this sub-segment is comparatively higher than the revenue growth rate of 2.06% for the same financial year. Correspondingly, our GP decreased by approximately RM5.52 million or 20.03% to approximately RM22.04 million for the FYE 2024 (FYE 2023: RM27.56 million), and our GP margin for the FYE 2024 decreased to approximately 28.64% (FYE 2023: 36.54%). This was mainly attributable to the following:

(a) decrease in GP margin for the supply of building materials from approximately 28.83% for the FYE 2023 to approximately 15.33% for the FYE 2024, which was mainly due to the increase in sales of tiles and sand to our sub-contractors during the FYE 2024, which yielded lower GP margins; and

(b) decrease in GP margin for the rental of construction machinery and equipment from approximately 66.00% for the FYE 2023 to approximately 56.99% for the FYE 2024, mainly due to higher upkeep of machinery costs and sub-rental costs incurred during the FYE 2024.

Property development segment

In tandem with the increase in revenue generated from our property development segment, our property development costs increased by approximately RM23.00 million or 213.75% to approximately RM33.76 million in the FYE 2024 (FYE 2023: RM10.76 million). However, our cost of sales for this segment increased at a lower rate than our revenue growth rate of approximately 419.38%, mainly attributable to the downward revision of budgeted costs for the LSH Segar Project during FYE 2024. This was a result of the cost savings from subcontractors, purchase of construction material costs as well as rental of construction machinery and equipment costs. Hence, our Group recorded higher GP of approximately RM38.59 million and higher GP margin for this segment of approximately 53.34% for the FYE 2024 (FYE 2023: RM3.17 million and 22.74%).

11. FINANCIAL INFORMATION *(Cont'd)*

(iii) Other income

	Audited							
	FYE 2021		**FYE 2022**		**FYE 2023**		**FYE 2024**	
	(RM'000)	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**
Interest income	165	46.09	266	15.15	459	35.42	276	29.68
Insurance compensation	-	-	-	-	267	20.60	2	0.21
Rental of machinery and equipment[(1)]	-	-	-	-	173	13.35	288	30.97
Staff secondment income[(2)]	-	-	-	-	143	11.03	143	15.38
Reimbursement income[(3)]	-	-	22	1.25	115	8.87	-	-
Gain on disposal of property, plant and equipment	1	0.28	11	0.63	94	7.25	38	4.08
Gain on reassessment of lease	12	3.35	69	3.93	1	0.08	24	2.58
Downpayments forfeiture[(4)]	41	11.45	197	11.22	-	-	-	-
Wage subsidy	10	2.79	143	8.14	5	0.39	-	-
Bargain purchase gain on acquisition in a subsidiary	-	-	1,019	58.03	-	-	-	-
Human resource development fund (HRDF) claims	-	-	-	-	-	-	11	1.18
Reversal of inventories previously written down	129	36.04	-	-	-	-	56	6.02
Others[(5)]	-	-	29	1.65	39	3.01	92	9.90
	358	**100.00**	**1,756**	**100.00**	**1,296**	**100.00**	**930**	**100.00**

Notes:

(1) This relates to ASSB's income received from the rental of its machinery and equipment as ASSB is principally involved in property development and construction business.

(2) This relates to the back charge of staff costs for our staff secondment to support the operations of our client and related parties upon request. The staff secondment arrangement with related parties has ceased since April 2024.

(3) This relates to the back charge of diesel and materials costs used by our subcontractors at our construction sites.

(4) This relates to the forfeiture of downpayments received from our customers for the purchases of our construction products due to cancellation of orders.

(5) Comprised mainly rental from shoplots, sales incentive from suppliers, credit card rebates and rebates on telecommunication bills.

Comparison between FYE 2021 and FYE 2022

Our other income increased by approximately RM1.40 million or 388.89% to approximately RM1.76 million for the FYE 2022 (FYE 2021: RM0.36 million) mainly due to the following:

(a) recognition of a bargain purchase gain on the acquisition of a subsidiary (namely, LSHBB) by approximately RM1.02 million in the FYE 2022 (FYE 2021: Nil), as the purchase consideration payable by our Company for the acquisition of LSHBB of RM3.50 million was lower than the fair value of the net identifiable assets of LSHBB at the date of acquisition which amounted to approximately RM4.52 million;

(b) an increase in forfeiture of downpayment of approximately RM0.16 million or 400.00% to approximately RM0.20 million for the FYE 2022 (FYE 2021: RM0.04 million) as a result of higher cancellation of orders by our customers;

(c) increase in wage subsidy of approximately RM0.13 million or 1,300% to approximately RM0.14 million for the FYE 2022 (FYE 2021:RM0.01 million) due to higher wage subsidy income received from the Malaysian Government during the FYE 2022 as a result of the increase in our Group's employees' headcount after the consolidation of the headcount of LSHBB upon the completion of the acquisition of LSHBB in October 2021; and

(d) increase in interest income by approximately RM0.10 million or 58.82% to approximately RM0.27 million for the FYE 2022 (FYE 2021: RM0.17 million), mainly due to higher deposits placed with licensed banks.

Comparison between FYE 2022 and FYE 2023

Our other income decreased by approximately RM0.46 million or 26.14% to approximately RM1.30 million for the FYE 2023 (FYE 2022: RM1.76 million) mainly due to the net effects of the following:

(a) the absence of the one-off bargain purchase gain on the acquisition of a subsidiary of approximately RM1.02 million that was recognised in the preceding financial year;

(b) insurance claims of approximately RM0.27 million in the FYE 2023 which relates to the repair costs of a damaged tower crane; and

(c) increase in interest income by approximately RM0.19 million or 70.37% to approximately RM0.46 million in the FYE 2023 (FYE 2022: RM0.27 million), mainly due to higher deposits placed with licensed banks.

Comparison between FYE 2023 and FYE 2024

Our other income decreased by approximately RM0.37 million or 28.46% to approximately RM0.93 million for the FYE 2024 (FYE 2023: RM1.30 million) mainly due to the following:

(a) absence of the insurance claims of approximately RM0.27 million which relates to the repair costs of a damaged tower crane that was recognised in the preceding financial year;

(b) decrease in interest income of approximately RM0.18 million or 39.13% to approximately RM0.28 million for the FYE 2024 (FYE 2023: RM0.46 million), mainly due to lower placement of fixed deposits as some fixed deposits were withdrawn to fund the working capital of our Group; and

(c) absence of the reimbursement income of approximately RM0.12 million which relates to the back charge of diesel and material costs used by our subcontractors at our construction sites that was recognised in the preceding financial year.

The above decreases were partially offset by the increase in rental of machinery and equipment income of approximately RM0.12 million or 70.59% to approximately RM0.29 million for the FYE 2024 (FYE 2023: RM0.17 million), mainly attributable to higher rental income received from the renting of terrain crane by ASSB. For information, ASSB is principally involved in property development and construction business.

(iv) Selling and marketing expenses

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	(RM'000)	%	(RM'000)	%	(RM'000)	%	(RM'000)	%
Sales commissions	278	53.36	340	51.28	1,838	79.70	2,933	76.42
Advertisement and marketing expenses	195	37.43	264	39.82	415	18.00	853	22.23
Credit card charges	48	9.21	59	8.90	53	2.30	52	1.35
	521	**100.00**	**663**	**100.00**	**2,306**	**100.00**	**3,838**	**100.00**

Comparison between FYE 2021 and FYE 2022

Our selling and marketing expenses increased by approximately RM0.14 million or 26.92% to approximately RM0.66 million for the FYE 2022 (FYE 2021: RM0.52 million), mainly attributable to the following:

(a) increase in sales commissions of approximately RM0.06 million or 21.43% to approximately RM0.34 million (FYE 2021: RM0.28 million), mainly due to higher sales commissions paid for higher sale of lighting products during the year; and

(b) increase in advertising and marketing expenses by approximately RM0.06 million or 30.00% to approximately RM0.26 million (FYE 2021: RM0.20 million), which was mainly incurred for newspapers advertisement.

Comparison between FYE 2022 and FYE 2023

Our selling and marketing expenses increased by approximately RM1.65 million or 250.00% to approximately RM2.31 million for the FYE 2023 (FYE 2022: RM0.66 million), mainly attributable to the increase in sales commissions of approximately RM1.50 million arising from the commissions paid for property units sold for the LSH Segar Project following the acquisition of ASSB in April 2023.

Comparison between FYE 2023 and FYE 2024

Our selling and marketing expenses increased by approximately RM1.53 million or 66.23% to approximately RM3.84 million for the FYE 2024 (FYE 2023: RM2.31 million), mainly attributable to the following:

(a) increase in sales commissions of approximately RM1.09 million or 59.24% to approximately RM2.93 million (FYE 2023: RM1.84 million), primarily attributable to the sales commissions paid for higher sales of LSH Segar Project units during the FYE 2024 as compared to the preceding financial year; and

(b) increase in advertisement and marketing expenses by approximately RM0.43 million or 102.38% to approximately RM0.85 million (FYE 2023: RM0.42 million), which was mainly incurred for event and exhibition related expenses to promote the property units of our LSH Segar Project.

(v) Administrative expenses

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	(RM'000)	%	(RM'000)	%	(RM'000)	%	(RM'000)	%
Directors' remuneration	685	14.15	3,420	36.31	6,212	35.30	5,077	19.38
Staff costs and related expenses	2,396	49.48	3,509	37.26	5,994	34.07	12,325	47.04
Donations and gifts	4	0.08	932	9.90	1,490	8.47	1,555	5.93
Professional fees	892	18.42	441	4.68	1,069	6.08	3,524	13.45
Levy application fees[(1)]	-	-	-	-	537	3.05	8	0.03
Utilities	258	5.33	283	3.01	393	2.23	519	1.98
Upkeep expenses	119	2.46	220	2.34	328	1.87	538	2.05
Travelling and accommodation	38	0.79	101	1.07	273	1.55	355	1.35
Penalties[(2)]	36	0.74	-	-	253	1.44	5	0.02
Insurance and road tax	65	1.34	117	1.24	134	0.76	261	1.00
Others[(3)]	349	7.21	395	4.19	912	5.18	2,035	7.77
	4,842	**100.00**	**9,418**	**100.00**	**17,595**	**100.00**	**26,202**	**100.00**

Notes:

(1) This relates to fees incurred for foreign workers' permit application.

(2) Comprised mainly penalties for late payment of tax instalments for the year of assessment 2021 and underestimation of income tax for years of assessment 2020 and 2022.

(3) Comprised mainly printing and stationery costs, office facilities maintenance fees, service tax and charges, quit rents and assessments.

Comparison between FYE 2021 and FYE 2022

Our administrative expenses increased by approximately RM4.58 million or 94.63% to approximately RM9.42 million in the FYE 2022 (FYE 2021: RM4.84 million). The increase in administrative expenses was mainly attributable to the following:

(a) increase in directors' remuneration by approximately RM2.73 million or 395.65% to approximately RM3.42 million in the FYE 2022 (FYE 2021: RM0.69 million), which was mainly attributable to the following:

(aa) inclusion of directors' remuneration from LSHBB after our acquisition of LSHBB in October 2021 as well as salary and bonuses paid to Tan Sri KC Lim as our Non-Independent Non-Executive Chairman for his contribution during our Group's transitionary phase into construction and property development activities, which collectively amounted to approximately RM2.28 million. For information, our Group has, effective from 1 October 2023, ceased paying Tan Sri KC Lim salary and bonuses as our Group has since considered our business plan and strategic roadmap for our construction and property development segments to be firmly established with our management team given that the team has since being able to carry out our Group's construction and property development activities with reduced oversight and supervision by Tan Sri KC Lim;

(bb) higher directors' fees incurred of approximately RM0.30 million as a result of the full financial year's impact for the fees paid to our directors who were appointed in November 2020; and

(cc) increment in directors' salary during the FYE 2022;

(b) increase in staff costs and related expenses by approximately RM1.11 million or 46.25% to approximately RM3.51 million in the FYE 2022 (FYE 2021: RM2.40 million), mainly due to higher employees' headcounts after the acquisition of LSHBB in October 2021; and

(c) increase in donations and gifts by approximately RM0.93 million or 23,200.00% to approximately RM0.93 million in the FYE 2022 (FYE 2021: RM0.004 million), which was mainly due to our contributions to the local communities such as Chong Hwa Independent High School and Wei Zhen Gong Guanyin Temple, as part of our Group's environmental, social and governance ("**ESG**") initiatives.

The abovementioned increases were partially offset by the decrease in professional fees by approximately RM0.45 million or 50.56% to approximately RM0.44 million in the FYE 2022 (FYE 2021: RM0.89 million), mainly due to the absence of listing expenses incurred by our Company in the FYE 2021 in relation to our Company's listing on the LEAP Market which took place on 30 July 2021.

Comparison between FYE 2022 and FYE 2023

Our administrative expenses increased by approximately RM8.18 million or 86.84% to approximately RM17.60 million in the FYE 2023 (FYE 2022: RM9.42 million). The increase in administrative expenses was primarily attributable to the following:

(a) increase in directors' remuneration by approximately RM2.79 million or 81.58% to approximately RM6.21 million in the FYE 2023 (FYE 2022: RM3.42 million), which was mainly attributable to the inclusion of directors' remuneration from ASSB of approximately RM1.99 million after the acquisition of ASSB in April 2023 as well as increment in directors' salary during the year;

(b) increase in staff costs and related expenses by approximately RM2.48 million or 70.66% to approximately RM5.99 million in the FYE 2023 (FYE 2022: RM3.51 million), which was mainly due to the annual salary increments and higher bonuses paid as well as the increase in our employees' headcount after consolidating the headcount of ASSB into our Group upon the acquisition of ASSB in April 2023;

(c) increase in professional fees by approximately RM0.63 million or 143.18% to approximately RM1.07 million in the FYE 2023 (FYE 2022: RM0.44 million), which was mainly due to professional fees incurred for the acquisition exercise carried out on ASSB and LSH Ventures during the FYE 2023;

(d) increase in donations and gifts by approximately RM0.56 million or 60.22% to approximately RM1.49 million in the FYE 2023 (FYE 2022: RM0.93 million), which was mainly due to our contributions to the local communities such as Chong Hwa Independent High School, Federal Territories Religious Council Zakat Collection Centre and Yayasan Gerbang Bandar Tun Razak as part of our Group's ESG initiatives; and

(e) we incurred levy application fees of approximately RM0.54 million for the FYE 2023 to recruit foreign workers for our projects.

Comparison between FYE 2023 and FYE 2024

Our administrative expenses increased by approximately RM8.60 million or 48.86% to approximately RM26.20 million for the FYE 2024 (FYE 2023: RM17.60 million). The increase in administrative expenses was mainly attributable to the following:

(a) increase in staff costs and related expenses of approximately RM6.34 million or 105.84% to approximately RM12.33 million for the FYE 2024 (FYE 2023: RM5.99 million), mainly due to annual salary increments, higher bonus paid during FYE 2024 and the full 12-month staff costs and related expenses incurred by ASSB following our Group's acquisition of ASSB in April 2023; and

(b) increase in professional fees by approximately RM2.45 million or 228.97% to approximately RM3.52 million for the FYE 2024 (FYE 2023: RM1.07 million), mainly due to professional fees incurred for our Transfer of Listing exercise.

The abovementioned increases were partially offset by the decrease in directors' remuneration of approximately RM1.13 million or 18.20% to approximately RM5.08 million for the FYE 2024 (FYE 2023: RM6.21 million), mainly because our Group has, effective from 1 October 2023, ceased paying Tan Sri KC Lim salary and bonuses.

11. FINANCIAL INFORMATION *(Cont'd)*

For information, following the completion of our Company's acquisitions of LSHBB on 15 October 2021 as well as ASSB and LSH Ventures on 17 April 2023 (collectively, the "**Acquisitions**"), Tan Sri KC Lim has played a pivotal role during our Group's transitionary phase into construction and property development activities. Some of Tan Sri KC Lim's notable contributions include providing strategic views, guidance and advice on establishing the business plan and strategic roadmap for our Group's construction and property development segments, lending his years of experience in a range of construction-related industries to our Group's existing management team, as well as his overall leadership presence in ensuring that our Group continues to command the confidence of LSHBB and ASSB's existing clients in completing the existing projects that were inherited following the Acquisitions.

As such, in recognition of the contributions by Tan Sri KC Lim during our Group's transitionary phase into construction and property development activities, in addition to the Director's fees, Tan Sri KC Lim was remunerated by our Group during the FYEs 2022 and 2023. As our Group now considers its business plan and strategic roadmap for its construction and property development segments to be firmly established with our management team now being able to carry out the construction and property development activities with reduced oversight and supervision by Tan Sri KC Lim, our Group has, effective 1 October 2023, ceased paying Tan Sri KC Lim salary and bonuses.

(vi) Other expenses

	Audited							
	FYE 2021		**FYE 2022**		**FYE 2023**		**FYE 2024**	
	(RM'000)	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**
Depreciation of property, plant and equipment	288	23.86	660	35.89	1,079	31.49	1,633	48.70
Depreciation of right-of-use assets	919	76.14	1,109	60.30	1,719	50.16	1,568	46.77
Amortisation of intangible assets	-	-	-	-	303	8.84	152	4.53
Inventories written down	-	-	13	0.71	325	9.48	-	-
Bad debt written off	-	-	1	0.05	-	-	-	-
Property, plant and equipment written off	-	-	56	3.05	1	0.03	-	-
	1,207	**100.00**	**1,839**	**100.00**	**3,427**	**100.00**	**3,353**	**100.00**

Comparison between FYE 2021 and FYE 2022

Our other expenses increased by approximately RM0.63 million or 52.07% to approximately RM1.84 million in the FYE 2022 (FYE 2021: RM1.21 million). The increase in other expenses was primarily attributable to the following:

(a) increase in depreciation of property, plant and equipment by approximately RM0.37 million or 127.59% to approximately RM0.66 million in the FYE 2022 (FYE 2021: RM0.29 million), which was mainly due to additional motor vehicles and plant and machinery purchased during the FYE 2022; and

(b) increase in depreciation of right-of-use assets by approximately RM0.19 million or 20.65% to approximately RM1.11 million in the FYE 2022 (FYE 2021: RM0.92 million), which was mainly due to additional motor vehicles and plant and machinery purchased via hire purchase arrangements during the FYE 2022.

Comparison between FYE 2022 and FYE 2023

Our other expenses increased by approximately RM1.59 million or 86.41% to approximately RM3.43 million in the FYE 2023 (FYE 2022: RM1.84 million). The increase in other expenses was mainly attributable to the following:

(a) increase in depreciation of right-of-use assets by approximately RM0.61 million or 54.95% to approximately RM1.72 million in the FYE 2023 (FYE 2022: RM1.11 million), which was mainly due to the inclusion of right-of-use assets from ASSB post-acquisition of ASSB in April 2023;

(b) increase in depreciation of property, plant and equipment by approximately RM0.42 million or 63.64% to approximately RM1.08 million in the FYE 2023 (FYE 2022: RM0.66 million), which was mainly due to the addition of tools and equipment as well as the inclusion of property, plant and equipment of ASSB and LSH Ventures post-acquisition of these companies in April 2023;

(c) increase in inventories written down by approximately RM0.32 million or 3,200.00% to approximately RM0.33 million in the FYE 2023 (FYE 2022: RM0.01 million), mainly due to higher write-down of slow-moving hardware and tools inventories; and

(d) amortisation of an intangible asset of approximately RM0.30 million (FYE 2022: Nil) which relates to the acquisition of LSHBB in October 2021. For information, upon completion of the acquisition of LSHBB, a purchase price allocation exercise was carried out whereby the purchase price was allocated to the underlying acquired assets and liabilities of LSHBB based on their estimated fair value at the time of acquisition. After taking into consideration, among others, the remaining contract values of LSHBB's ongoing projects in determining the fair value of LSHBB, our Group recognised a fair value surplus on LSHBB and this was recognised as intangible assets and subject to yearly amortisation.

11. FINANCIAL INFORMATION *(Cont'd)*

Comparison between FYE 2023 and FYE 2024

Our other expenses decreased by approximately RM0.08 million or 2.33% to approximately RM3.35 million in the FYE 2024 (FYE 2023: RM3.43 million). The decrease in other expenses was mainly attributable to the net effects of the following:

(a) our Group recorded a net reversal of inventories previously written down of approximately RM0.06 million in the FYE 2024 as opposed to a net inventories written down position of approximately RM0.33 million in the FYE 2023. This was mainly contributed by the clearance sales of our slow-moving hardware and tools inventories during the FYE 2024;

(b) decrease in depreciation of right-of-use assets of approximately RM0.15 million or 8.72% to approximately RM1.57 million in the FYE 2024 (FYE 2023: RM1.72 million), which was mainly due to termination of a tenancy for an office suite in September 2023:

(c) decrease in amortisation of intangible assets of approximately RM0.15 million or 50.00% to approximately RM0.15 million in the FYE 2024 (FYE 2023: RM0.30 million), which was mainly due to the absence of the adjustment for understatement of amortisation of intangible assets that was made in FYE 2023; and

(d) increase in depreciation of property, plant and equipment by approximately RM0.55 million or 50.93% to approximately RM1.63 million in the FYE 2024 (FYE 2023: RM1.08 million), which was mainly due to the addition of tools and equipment as well as plant and machinery during the FYE 2024 primarily for the expansion of our rental of construction machinery and equipment business, as well as the addition of motor vehicles during the FYE 2024 for our business operations.

(vii) Finance costs

	Audited							
	FYE 2021		**FYE 2022**		**FYE 2023**		**FYE 2024**	
	(RM'000)	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**
Bank overdraft interest	5	2.49	8	2.88	180	16.33	416	17.82
Bankers' acceptance interests	100	49.75	58	20.94	75	6.81	594	25.44
Term loan interests	16	7.96	16	5.78	546	49.55	1,140	48.82
Lease liabilities interests	79	39.30	144	51.99	233	21.14	130	5.57
Hire purchase interests	1	0.50	51	18.41	68	6.17	55	2.35
	201	**100.00**	**277**	**100.00**	**1,102**	**100.00**	**2,335**	**100.00**

Comparison between FYE 2021 and FYE 2022

Our finance costs increased by approximately RM0.08 million or 40.00% to approximately RM0.28 million in the FYE 2022 (FYE 2021: RM0.20 million), mainly due to the increase in lease liabilities interests of approximately RM0.06 million or 75.00% to approximately RM0.14 million in the FYE 2022 (FYE 2021: RM0.08 million). Such increase was mainly attributable to the renting of our head office at Wisma Lim Seong Hai.

11. FINANCIAL INFORMATION *(Cont'd)*

Comparison between FYE 2022 and FYE 2023

Our finance costs increased by approximately RM0.82 million or 292.86% to approximately RM1.10 million in the FYE 2023 (FYE 2022: RM0.28 million), mainly due to the inclusion of the finance costs of ASSB and ASES in our Group's results following the completion of the acquisitions of ASSB and LSH Ventures (which collectively own 93.75% equity interest in ASES) in April 2023.

Comparison between FYE 2023 and FYE 2024

Our finance costs increased by approximately RM1.24 million or 112.73% to approximately RM2.34 million in the FYE 2024 (FYE 2023: RM1.10 million), mainly due to the following:

(a) increase in term loan interests of approximately RM0.59 million or 107.27% to approximately RM1.14 million for the FYE 2024 (FYE 2023: RM0.55 million), which was mainly due to the additional drawdown of term loans to finance our Group's working capital, including property development costs for our LSH Segar Project and the development order charges to DBKL for our Lake Side Homes Project; and

(b) increase in bankers' acceptance interests by approximately RM0.51 million or 637.50% to approximately RM0.59 million for the FYE 2024 (FYE 2023: RM0.08 million), which was mainly due to the utilisation of more bankers' acceptance for payments to our suppliers.

(viii) Loss/(reversal of loss) allowance on financial assets and contract assets

	Audited							
	FYE 2021		**FYE 2022**		**FYE 2023**		**FYE 2024**	
	(RM'000)	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**	**(RM'000)**	**%**
Loss allowance on:								
- trade receivables	-	-	2,013	100.00	2,878	62.50	354	(8.12)
- other receivables	-	-	-	-	-	-	677	(15.52)
- contract assets	-	-	-	-	1,727	37.50	411	(9.42)
Reversal of loss allowance on:								
- trade receivables	-	-	-	-	-	-	(5,214)	119.53
- contract assets	-	-	-	-	-	-	(590)	13.53
	-	**-**	**2,013**	**100.00**	**4,605**	**100.00**	**(4,362)**	**100.00**

Comparison between FYE 2021 and FYE 2022

Our Group recorded net loss allowance on financial assets and contract assets of approximately RM2.01 million in the FYE 2022 (FYE 2021: Nil) as there was an increase in credit risk on the outstanding trade receivables as at the end of FYE 2022. This was after taking into consideration the adverse changes in the financial capability of our debtors and the possible default or significant delay in payments by them as at the end of FYE 2022.

Comparison between FYE 2022 and FYE 2023

Our net loss allowance on financial assets and contract assets increased by approximately RM2.60 million or 129.35% to approximately RM4.61 million in the FYE 2023 (FYE 2022: RM2.01 million), mainly attributable to the following:

(a) increase in loss allowance on trade receivables by approximately RM0.87 million or 43.28% to approximately RM2.88 million for the FYE 2023 (FYE 2022: RM2.01 million); and

(b) recognition of loss allowance on contract assets of approximately RM1.73 million for the FYE 2023 (FYE 2022: Nil),

which both were resulting from the higher impairment on debtors who have adverse changes in their financial capability and the possible default or significant delay in payments as at the end of FYE 2023.

Comparison between FYE 2023 and FYE 2024

Our Group recorded a net reversal of loss allowance on financial assets and contract assets of approximately RM4.36 million in the FYE 2024 as opposed to loss allowance on financial assets and contract assets of approximately RM4.61 million in the FYE 2023.

During the FYE 2024, our Group recorded a reversal of credit loss allowance of approximately RM5.80 million due to the recovery of previously impaired trade receivables and contract assets, which resulted from our close credit monitoring process. Furthermore, our Group also recorded a lower impairment loss on trade receivables and contract assets for the current financial year as compared to the previous comparative financial year. This was mainly due to the improvement in risk characteristics of the outstanding trade receivables and contract assets as at the end of FYE 2024.

However, the loss allowance on other receivables of approximately RM0.68 million for the FYE 2024 was contributed by the long overdue LAD receivable from a landowner for late delivery of vacant possession of a freehold residential land in Johor to LSH Ventures.

(ix) Share of loss of equity accounted associate

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Share of loss of equity accounted associate	-	-	9	8

The share of loss of equity accounted associate recorded for the FYEs 2023 and 2024 was solely attributable to the share of losses from an associated company, namely Kran World, which is in the process of winding up.

11. FINANCIAL INFORMATION *(Cont'd)*

(x) PBT, PAT, PBT margin and PAT margin

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
PBT (RM'000)	10,865	55,066	75,724	97,743
PBT margin	16.12%	33.20%	21.17%	27.05%
PAT (RM'000)	7,930	41,812	58,883	74,283
PAT margin	11.76%	25.21%	16.46%	20.55%

Comparison between FYE 2021 and FYE 2022

Our PBT increased by approximately RM44.20 million or 406.62% to approximately RM55.07 million for the FYE 2022 (FYE 2021: RM10.87 million). Our PBT margin also increased from approximately 16.12% for the FYE 2021 to approximately 33.20% for the FYE 2022. The increase in our PBT and PBT margin were mainly attributable to the higher GP, GP margin and other income recorded in the FYE 2022, as explained in items (ii) and (iii) above.

Correspondingly, our Group recorded an increase in PAT of approximately RM33.88 million or 427.24% to approximately RM41.81 million (FYE 2021: RM7.93 million) and our PAT margin also improved from approximately 11.76% for the FYE 2021 to approximately 25.21% for the FYE 2022.

Comparison between FYE 2022 and FYE 2023

Our Group recorded an increase in PBT of approximately RM20.65 million or 37.50% to approximately RM75.72 million for the FYE 2023 (FYE 2022: RM55.07 million), mainly attributable to the improved GP recorded in the FYE 2023. As such, our Group also recorded an increase in PAT of approximately RM17.07 million or 40.83% to approximately RM58.88 million for the FYE 2023 (FYE 2022: RM41.81 million).

Despite the increase in PBT and PAT, our PBT and PAT margins decreased from approximately 33.20% and 25.21% for the FYE 2022 to approximately 21.17% and 16.46% for the FYE 2023, respectively. The lower PBT and PAT margins were mainly attributable to the lower GP margin and lower other income recorded for the FYE 2023 as explained in items (ii) and (iii) above, as well as higher selling and marketing expenses, administrative expenses, other expenses, finance costs, and net loss allowance on financial assets and contract assets for the FYE 2023 as explained in items (iv) to (viii) above, respectively.

Comparison between FYE 2023 and FYE 2024

Our Group recorded an increase in PBT of approximately RM22.02 million or 29.08% to approximately RM97.74 million for the FYE 2024 (FYE 2023: RM75.72 million), mainly attributable to the improved GP recorded in the FYE 2024 as explained in item (ii) above. As such, our Group also recorded an increase in PAT of approximately RM15.40 million or 26.15% to approximately RM74.28 million for the FYE 2024 (FYE 2023: RM58.88 million).

Our Group PBT and PAT margins also improved from approximately 21.17% and 16.46% for the FYE 2023 to approximately 27.05% and 20.55% for the FYE 2024, respectively. The increase in PBT and PAT margins were mainly attributable to the higher GP margin and net reversal of loss allowance on financial assets and contract assets recorded for the FYE 2024 as explained in items (ii) and (viii) above, respectively. Such increase was partially offset by the higher selling and marketing expenses, administrative expenses and finance costs for the FYE 2024 as explained in items (iv), (v) and (vii) above, respectively.

(xi) Tax expenses

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
Tax expenses (RM'000)	2,935	13,254	16,841	23,460
Statutory tax rate	24.00%	24.00%	24.00%	24.00%
Effective tax rate	27.01%	24.07%	22.24%	24.00%

Tax expenses comprise the current financial year's income tax payable, deferred tax and any under or overprovision of tax expenses in the previous financial years. The applicable statutory tax rate for the Financial Years Under Review is 24.00%.

Comparison between FYE 2021 and FYE 2022

Our tax expenses increased by approximately RM10.31 million or 350.68% to approximately RM13.25 million (FYE 2022: RM2.94 million), mainly due to higher PBT recorded for the FYE 2022.

Our effective tax rate for the FYE 2021 of approximately 27.01% was higher than the statutory tax rate of 24.00% mainly due to certain expenses such as penalty payments that was primarily attributable to underestimation of tax for the year of assessment 2020 and professional fees incurred by our Group, were non-deductible for tax purposes.

Our effective tax rate for the FYE 2022 of approximately 24.07% did not significantly deviate from the statutory tax rate of 24.00%.

Comparison between FYE 2022 and FYE 2023

Our tax expenses increased by approximately RM3.59 million or 27.09% to approximately RM16.84 million (FYE 2022: RM13.25 million), mainly due to higher PBT recorded for the FYE 2023.

Our effective tax rate for the FYE 2023 of approximately 22.24% was lower than the statutory tax rate of 24.00% mainly due to the following:

(a) overprovision of deferred tax expenses in prior financial year of approximately RM0.73 million, mainly in relation to impairment on trade receivables; and

(b) utilisation of previously unrecognised deferred tax assets in relation to expenses incurred for the property development activities that were deductible for tax purposes (i.e. sales and marketing expenses, quit rent and assessment) based on the progress of the property development activities of approximately RM0.72 million.

Comparison between FYE 2023 and FYE 2024

Our tax expenses increased by approximately RM6.62 million or 39.31% to approximately RM23.46 million (FYE 2023: RM16.84 million), mainly due to higher PBT recorded for the FYE 2024.

Our effective tax rate for the FYE 2024 of approximately 24.00% did not significantly deviate from the statutory tax rate of 24.00%.

11.2.3 Review of cash flows

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Net cash (for)/from operating activities	(10,166)	52,310	38,354	23,168
Net cash for investing activities	(3,309)	(11,948)	(17,446)	(4,125)
Net cash from/(for) financing activities	12,354	(21,159)	(30,278)	651
Net (decrease)/increase in cash and cash equivalents	(1,121)	19,203	(9,370)	19,694
Cash and cash equivalents at the beginning of the financial year	11,887	10,766	29,969	20,599
Cash and cash equivalents at the end of the financial year	**10,766**	**29,969**	**20,599**	**40,293**
Cash and cash equivalents comprise the following:				
Fixed deposits with licensed banks	4,609	16,167	14,823	8,595
Cash and bank balances	10,766	28,049	13,874	40,143
	15,375	**44,216**	**28,697**	**48,738**
Less: Fixed deposits pledged to licensed banks	(4,609)	(12,247)	(8,098)	(8,445)
Less: Fixed deposits with tenure more than three (3) months	-	(2,000)	-	-
	10,766	**29,969**	**20,599**	**40,293**

There is no legal, financial or economic restriction on our subsidiaries' ability to transfer/receive funds to/from our Company in the form of cash dividends, loans or advances, subject to the availability of distributable reserves, loans or advances in compliance with any applicable financial covenant.

11. FINANCIAL INFORMATION *(Cont'd)*

Net cash (for)/from operating activities

For the FYE 2021, our operating profit before working capital changes was approximately RM12.38 million. However, our Group recorded net cash for operating activities of approximately RM10.17 million after adjusting for the following:

(i) increase in trade and other receivables of approximately RM15.36 million, mainly attributable to the following:

(a) increase in trade receivables of approximately RM14.68 million, primarily due to slower payments from customers due to cashflow constraints experienced during movement control order ("**MCO**") period implemented by the Malaysian Government, thereby affecting their timeliness of payments to our Group. The trade receivables were mainly contributed by amounts receivables from two (2) related companies, namely ASSB (a major customer of our Group) and LSHBB (which both were subsequently acquired by our Company) as well as SLP Construction Sdn Bhd (a major customer of our Group); and

(b) increase in other receivables of approximately RM0.68 million, primarily due to increase in deposits paid for the purchase of aluminum formwork;

(ii) decrease in trade and other payables of approximately RM4.48 million, mainly attributable to the following:

(a) decrease in trade payables of approximately RM3.31 million, primarily due to prompt payments made to suppliers in order to enjoy the early settlement rebates from certain suppliers during the MCO period; and

(b) decrease in other payables of approximately RM1.17 million, primarily due to settlement of accrued contract costs in relation to the M&E works carried out for the EkoCheras mixed development project; and

(iii) income tax paid of approximately RM3.16 million.

For the FYE 2022, our Group generated net cash from operating activities of approximately RM52.31 million. Our operating profit before working capital changes of approximately RM58.90 million was adjusted for the changes in working capital of approximately RM6.59 million arising mainly from the following:

(i) increase in trade and other payables of approximately RM17.74 million, mainly due to the net effects of the following:

(a) increase in other payables by approximately RM19.42 million primarily due to deposits received for three (3) of our infrastructure construction and engineering work projects, namely the construction of road works at Jerantut, Pahang project, the upgrading of flood retention and structural works at Pendang, Kedah project and the construction of road works at Sembrong, Johor project during the FYE 2022; and

(b) decrease in trade payables by approximately RM1.68 million primarily due to prompt payments made to a subcontractor for the LSH 33 Project;

(ii) increase in contract assets of approximately RM8.42 million, primarily due to work performed for the LSH 33 Project by our Group ahead of billing milestones;

11. FINANCIAL INFORMATION *(Cont'd)*

(iii) increase in trade and other receivables of approximately RM6.32 million, which is mainly due to the following:

(a) increase in trade receivables of approximately RM4.45 million, primarily due to higher progress billings towards the end of the FYE 2022; and

(b) increase in other receivables of approximately RM1.87 million, primarily due to higher prepayment of workmanship insurance for our infrastructure construction and engineering work projects;

(iv) increase in inventories of approximately RM2.39 million mainly due to higher purchases of construction products for sale towards the last quarter of FYE 2022; and

(v) net payment of income taxes of approximately RM7.27 million.

For the FYE 2023, our operating profit before working capital changes was approximately RM86.90 million, and our Group generated net cash from operating activities of approximately RM38.35 million after adjusting for the following key items:

(i) increase in trade and other payables of approximately RM36.69 million, which was mainly due to the increase in trade payables of approximately RM34.98 million as a result of higher accrued contract costs;

(ii) increase in contract liabilities of approximately RM4.21 million, as payment was received for the LSH Segar Project and upgrading of flood retention and structure works at Pendang, Kedah before the work was performed;

(iii) increase in trade and other receivables of approximately RM53.56 million, which was mainly due to the following:

(a) increase in trade receivables of approximately RM41.15 million, which was primarily due to higher accrued billings and retention sum receivables from our clients; and

(b) increase in other receivables of approximately RM12.41 million, which was primarily due to deposits paid to subcontractors to secure rental of construction machinery, supply of building materials and labour for the construction of road works at Jerantut, Pahang;

(iv) increase in contract assets of approximately RM13.38 million, being work performed for the LSH 33 Project and construction of bridge works at Nibong Tebal, Penang by our Group ahead of billing milestones;

(v) increase in inventories of approximately RM3.21 million mainly due to the inclusion of property development costs incurred for the LSH Segar Project post-acquisition of ASSB; and

(vi) payment of income taxes of approximately RM19.07 million.

11. FINANCIAL INFORMATION *(Cont'd)*

For the FYE 2024, our operating profit before working capital changes was approximately RM101.57 million, and our Group generated net cash from operating activities of approximately RM23.17 million after adjusting for the following key items:

(i) increase in contract assets of approximately RM54.26 million, mainly resulting from the substantial development costs incurred for the property development project, i.e. LSH Segar Project (as a result of reclassification of the related construction costs incurred by LSHBB from our construction and engineering works sub-segment to property development segment following the acquisition of ASSB in April 2023). For information, the higher contract assets for the LSH Segar Project was due to the said project has yet to reach its next billing milestone as at 30 September 2024 despite costs being incurred for work performed;

(ii) decrease in trade and other payables of approximately RM42.29 million, mainly due to the following;

  (a) decrease in other payables of approximately RM21.75 million, which was mainly due to the forfeiture of deposit received from our client for the construction of road works at Jerantut, Pahang due to the delay of construction works for the said project by our client; and

  (b) decrease in trade payables of approximately RM20.54 million, mainly due to the lower project costs incurred for the LSH 33 Project for the FYE 2024 as the project was completed in June 2024;

(iii) increase in inventories of approximately RM4.10 million, which was mainly due to higher property development costs incurred for the unsold units for LSH Segar Project during the FYE 2024;

(iv) decrease in trade and other receivables of approximately RM29.59 million, mainly due to the following:

  (a) decrease in trade receivables of approximately RM20.70 million, primarily due to lower progress billings receivable and the partial release of the retention sum for the LSH 33 Project following the completion of the said project in June 2024; and

  (b) decrease in other receivables of approximately RM8.89 million, primarily due to the forfeiture of deposits paid to subcontractors to secure rental of construction machinery, supply of building materials and labour for the construction of road works project at Jerantut, Pahang being charged out to profit or loss, as a result of the delay in construction works for this project by our client;

(v) increase in contract liabilities of approximately RM11.37 million, mainly due to the billing milestones achieved ahead of actual work performed for the upgrading of road works at Tangkak, Johor; and

(vi) payment of income taxes of approximately RM18.18 million.

11. FINANCIAL INFORMATION *(Cont'd)*

Net cash for investing activities

For the FYE 2021, our Group recorded net cash for investing activities of approximately RM3.31 million, mainly due to net effects of the following:

(i) cash payments for the purchase of plant and equipment of approximately RM3.57 million which was mainly attributable to the purchase of plant and machinery (comprising various types of machinery such as cranes, excavators, concrete pumps, etc) of approximately RM2.84 million for the expansion of our rental of construction machinery and equipment business, tools and equipment of approximately RM0.40 million, and computer and software of approximately RM0.09 million;

(ii) interest income received of approximately RM0.17 million, mainly derived from fixed deposits; and

(iii) withdrawal of fixed deposits of approximately RM0.08 million.

For the FYE 2022, our Group recorded net cash for investing activities of approximately RM11.95 million, mainly due to the net effects of the following:

(i) cash payments for the purchase of plant and equipment of approximately RM6.83 million, which was primarily attributable to the purchase of tools and equipment as well as plant and machinery of approximately RM3.97 million and RM1.78 million respectively, for the expansion of our rental of construction machinery and equipment business and following the opening of our fourth Knight Auto's retail store at Wisma Lim Seong Hai in September 2021, and motor vehicles of approximately RM0.30 million for our construction business;

(ii) cash consideration of RM3.50 million paid for the acquisition of LSHBB;

(iii) additional placement of fixed deposit with tenure of more than three (3) months of RM2.00 million;

(iv) interest income received of approximately RM0.27 million, mainly derived from fixed deposits; and

(v) proceed from the disposal of tools and equipment of approximately RM0.10 million.

For the FYE 2023, our Group recorded net cash for investing activities of approximately RM17.45 million, mainly due to the net effects of the following:

(i) cash payments for the purchase of plant and equipment of approximately RM11.45 million, which was mainly attributable to the purchase of tools and equipment as well as plant and machinery of approximately RM9.19 million and RM1.18 million respectively, for the expansion of our rental of construction machinery and equipment business and following the opening of our fifth Knight Auto's retail store in Titiwangsa, Kuala Lumpur in August 2023, renovation of approximately RM0.33 million, computer and software of approximately RM0.25 million and motor vehicles of approximately RM0.20 million;

(ii) total net cash outflow position of ASSB and LSH Ventures of approximately RM8.68 million, being the cash and cash equivalents of these newly acquired subsidiaries as at the date of acquisition (i.e. April 2023), which comprised cash and bank balances of approximately RM3.07 million after netting off the bank overdrafts of approximately RM11.75 million;

(iii) withdrawal of fixed deposits with tenure more than three (3) months of RM2.00 million;

(iv) interest income received of approximately RM0.46 million, primarily derived from fixed deposits; and

(v) proceeds from the disposal of plant and equipment of approximately RM0.22 million which comprised primarily plant and machinery as well as tools and equipment.

For the FYE 2024, our Group recorded net cash for investing activities of approximately RM4.13 million, mainly due to the net effects of the following:

(i) cash payments for the purchase of plant and equipment of approximately RM4.54 million, which comprised primarily tools and equipment as well as plant and machinery of approximately RM1.67 million and RM1.44 million respectively, for the expansion of our rental of construction machinery and equipment business, and motor vehicles of approximately RM0.86 million for our business operations;

(ii) interest received of approximately RM0.28 million, primarily derived from fixed deposits; and

(iii) dividend received of approximately RM0.10 million from our associated company, namely Kran World.

Net cash from/(for) financing activities

For the FYE 2021, our Group recorded net cash from financing activities of approximately RM12.35 million, mainly due to the net effects of the following:

(i) drawdown of bankers' acceptances of approximately RM8.46 million to finance the payments to suppliers;

(ii) proceeds raised of approximately RM4.66 million from the issuance of 35,859,575 new Shares in May 2021;

(iii) repayment of lease liabilities of approximately RM0.88 million;

(iv) drawdown of term loan of RM0.50 million for working capital purposes;

(v) interests paid on bankers' acceptance, term loans, lease liabilities and hire purchase liabilities of approximately RM0.20 million; and

(vi) repayment of hire purchase obligations of approximately RM0.18 million and term loans of approximately RM0.01 million.

For the FYE 2022, our Group recorded net cash for financing activities of approximately RM21.16 million, mainly due to net effects of the following:

(i) repayment of bankers' acceptance of approximately RM12.18 million, hire purchase obligations of approximately RM0.54 million and term loans of approximately RM0.06 million;

(ii) additional pledged fixed deposits with licensed banks of approximately RM7.63 million;

(iii) dividends paid to our shareholders of approximately RM6.08 million;

(iv) repayment of lease liabilities of approximately RM0.74 million;

(v) interest paid on bankers' acceptance, term loans, lease liabilities and hire purchase liabilities of approximately RM0.29 million;

(vi) drawdown of bankers' acceptance of approximately RM5.94 million to finance the payments to suppliers; and

11. FINANCIAL INFORMATION *(Cont'd)*

(vii) proceeds raised of RM0.42 million from the issuance of 1,000,000 new Shares in May 2022.

For the FYE 2023, our Group recorded net cash for financing activities of approximately RM30.28 million, mainly due to net effects of the following:

(i) repayment of term loans of approximately RM26.49 million, bankers' acceptance of approximately RM2.22 million and hire purchase obligations of approximately RM1.36 million;

(ii) dividends paid to our shareholders of approximately RM15.33 million;

(iii) repayment of lease liabilities of approximately RM1.54 million;

(iv) interests paid on bankers' acceptance, term loans, lease liabilities and hire purchase liabilities of approximately RM0.88 million;

(v) drawdown of term loans of approximately RM10.16 million to finance the construction costs for the LSH Segar Project;

(vi) withdrawal of pledged fixed deposits with licensed banks of approximately RM4.15 million; and

(vii) drawdown of bankers' acceptances of RM3.23 million to finance the payments to suppliers.

For the FYE 2024, our Group recorded net cash from financing activities of approximately RM0.65 million, mainly due to net effects of the following:

(i) drawdown of term loans of approximately RM49.77 million to finance our Group's working capital, including property development costs for our LSH Segar Project and development order charges to DBKL for our Lake Side Homes Project;

(ii) drawdown of bankers' acceptances of approximately RM30.37 million to finance the payments to our suppliers;

(iii) repayment of bankers' acceptance of approximately RM21.55 million, term loans of approximately RM33.19 million and hire purchase obligations of approximately RM1.08 million;

(iv) dividends paid to our shareholders of approximately RM19.85 million;

(v) repayment of lease liabilities of approximately RM1.89 million;

(vi) interest paid on bank overdraft, bankers' acceptances, term loans, lease liabilities and hire purchase liabilities of approximately RM1.58 million; and

(vii) additional pledged fixed deposits with a licensed bank of approximately RM0.35 million as the sinking fund for a bank guarantee facility.

11.3 LIQUIDITY AND CAPITAL RESOURCES

11.3.1 Working capital

For the Financial Years Under Review, we have financed our operations with cash generated from operations as well as credit extended by our trade creditors, financial institutions and a licensed moneylender. Our credit facilities comprised term loans, bank overdrafts, bankers' acceptance, hire purchases, bank guarantees as well as finance lease liabilities. The principal use of these funds are to finance our working capital requirements, which include, among others, the payment to subcontractors for the works performed, purchases of construction material costs and construction products for sale, payments to our employees, workers and other suppliers, along with the repayment of borrowings.

Our Board is confident that we will have sufficient working capital for at least 12 months from the date of this Prospectus, after taking into consideration the following:

(i) the funding requirements for our committed capital expenditures;

(ii) our cash and cash equivalents (i.e. after setting off bank overdrafts of approximately RM6.40 million) of approximately RM20.44 million as at LPD;

(iii) the expected cash flows to be generated from our operations;

(iv) our total banking facilities as at LPD of approximately RM160.56 million (excluding finance leases), of which approximately RM117.89 million have been utilised as at LPD; and

(v) proceeds to be raised from the Public Offering.

For information, we carefully consider our cash position and ability to obtain further financing before making any significant capital commitments.

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11.3.2 Borrowings

All of our borrowings are secured, interest-bearing and denominated in RM. As at 30 September 2024, our total outstanding borrowings (excluding lease liabilities arising from the right-of-use assets) stood at approximately RM39.99 million, details of which are as follows:

Type of borrowings	Purpose	Security	Tenure of the facility	Effective interest rate	Outstanding as at 30 September 2024
				% per annum	(RM'000)
Interest-bearing short-term borrowings, payable within one (1) year:					
Term loan	For working capital and part-financing of the development costs of LSH Segar Project	(a) Land charge over the plot of residential land on which LSH Segar Project is currently being constructed and developed on ("**LSH Segar Project Land**"); (b) Specific debenture over the LSH Segar Project and/or the LSH Segar Project Land; (c) Corporate guarantee by our Company; and (d) Memorandum of deposit and assignment and charge over the designated accounts.	4 years	7.75	13,815
Term loans	For working capital and payment of development order charges to DBKL for the Lake Side Homes Project	Nil	5 years	1.94 to 5.64	3,654
Bankers' acceptances	For purchases of goods	(a) Third-party charge over two (2) properties owned by LSH Holdings together with the buildings erected on; (b) Corporate guarantees by our Company and LSH Holdings; and (c) Fixed deposit pledged with a licensed bank.	120 to 150 days	3.66 to 5.20	12,098
Hire purchase payables	To finance the purchase of motor vehicles and/or plant and machinery	Over the motor vehicles and/or plant and machinery being financed.	5 years	3.99 to 5.27	504
					30,071

11. FINANCIAL INFORMATION *(Cont'd)*

Type of borrowings	Purpose	Security	Tenure of the facility	Effective interest rate	Outstanding as at 30 September 2024
				% per annum	(RM'000)
Interest bearing long-term borrowings, payable after one (1) year:					
Term loans	For working capital and payment of development order charges to DBKL for the Lake Side Homes Project	Nil	5 years	1.94 to 5.64	8,729
Hire purchase payables	To finance purchase of motor vehicles and/or plant and machinery	Over the motor vehicles and/or plant and machinery of being financed.	5 years	3.99 to 5.27	1,185
					9,914
Total borrowings					**39,985**

Gearing (times)

Before Public Offering and utilisation of proceeds[(1)]	0.09
After Public Offering and utilisation of proceeds[(2)]	0.07

Notes:

*(1) Computed based on our pro forma equity attributable to the owners of our Company of approximately RM461.61 million i.e. after the adjustment for the payment of an interim single-tier dividend of 1.94 sen per Share in respect of the FYE 2024 that was declared on 25 November 2024 and paid on 13 December 2024 ("**Interim Dividend**") but before our Public Offering and utilisation of proceeds.*

(2) Computed based on our pro forma equity attributable to the owners of our Company of approximately RM572.68 million i.e. after the adjustment for the Interim Dividend, our Public Offering and utilisation of proceeds.

11. FINANCIAL INFORMATION *(Cont'd)*

Separately, we have also recognised lease liabilities on the right-of-use assets, which are denominated in RM, as follows:

	Purpose	Tenure	As at 30 September 2024
			(RM'000)
Lease liabilities payable within one (1) year	Rental of retail stores, office and staff accommodation	Initial lease of one (1) to three (3) years with option to renew for another one (1) to three (3) years	1,789
Lease liabilities payable after one (1) year	Rental of retail stores, office and staff accommodation	Initial lease of one (1) to three (3) years with option to renew for another one (1) to three (3) years	433
			2,222

We also rely on bank guarantees for tender bonds and performance bonds. Such bank guarantees are used for all aspects of the project construction contract lifecycle from the start of the tender process to the expiration of our liability towards our clients in accordance with the terms of each contract. The bank guarantees allow us to tender, execute and guarantee our deliverables to our clients. The tenure requirements for the bank guarantees are structured to match the underlying construction contracts with the respective counterparties.

As at 30 September 2024, our total bank guarantees, all of them are secured, interest-bearing and denominated in RM, stood at approximately RM28.17 million, details of which are as follows:

	Purpose	Security	Tenure	Interest rate	As at 30 September 2024
				% per annum	(RM'000)
Bank guarantees	For issuance of performance bonds, tender deposits, advance payment bonds, utility bonds, payment of excise duty/sales tax and security deposits/earnest money for tender	(a) Third-party charge over two (2) properties owned LSH Holdings together with the buildings erected on; and (b) Corporate guarantees by our Company.	Up to 60 months	1.25%	28,170

The liabilities with respect to the bank guarantees will only crystallise and become payable following a call by our clients of the tender bonds or performance bonds in accordance with the terms and conditions of such construction contracts. During the Financial Years Under Review, we did not experience any call of the tender bonds or performance bonds issued to our clients.

As at LPD, we do not have any borrowings which are non-interest bearing and/or in foreign currency.

11.3.3 Material capital commitments

As at LPD, save as disclosed below, we do not have any other material capital commitments:

	(RM'000)
Capital expenditure	
- Contracted but not provided for	1,046
- Approved and contracted for	-
Total	**1,046**

The material capital commitments above are for the purchase of tools and equipment. Such material capital commitments will be funded through our internal funds.

11.3.4 Contingent liabilities

As at LPD, save as disclosed below, there is no other contingent liability incurred or known to be incurred by our Group, which upon becoming enforceable, may have a material impact on the financial position of our Group:

	(RM'000)
Corporate and bank guarantees given to financial institutions for credit facilities granted to third parties for our construction and engineering work projects, such as for performance and payment bonds for the construction contracts secured and tender bids submitted, as well as for the opening of housing development account	31,490

11.3.5 Material litigation or arbitration proceedings

Save as disclosed in Section 13.6 of this Prospectus, we are not engaged in any governmental, legal or arbitration proceedings, including those relating to bankruptcy, receivership or similar proceedings which may have or have had, material or significant effects on our financial position or profitability, in the 12 months immediately preceding the date of this Prospectus.

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11.3.6 Key financial ratios

The key financial ratios of our Group for the Financial Years Under Review are as follows:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
Trade receivables turnover (days)[(1)]	116	89	69	80
Trade payables turnover (days)[(2)]	63	52	70	111
Inventory turnover (days)[(3)]	303	290	346	257
Current ratio (times)[(4)]	2.94	1.93	2.54	2.93
Gearing ratio (times)[(5)]	0.22	0.05	0.03	0.08

Notes:

(1) Trade receivables turnover period is computed based on average trade receivables (net of retention sum) over total revenue and multiplied by 365 days. Average trade receivables is calculated based on the average of closing balance of trade receivables of the financial year with that of the previous financial year.

(2) Trade payables turnover period is computed based on average trade payables (net of retention sum) over total cost of sales (excluding direct labour costs, rental related expenses and overheads and other related costs) and multiplied by 365 days. Average trade payables is calculated based on the average of closing balance of trade payables of the financial year with that of the previous financial year.

(3) Inventory turnover period is computed based on average inventories (excluding property development costs) over total cost of sales for lighting products and hardware products and tools multiplied by 365 days. Average inventories is calculated based on the average of closing balance of inventories of the financial year with that of the previous financial year.

(4) Current ratio is computed based on the current assets over the current liabilities as at the end of the respective financial years.

(5) Gearing ratio is computed based on the total borrowings (excluding lease liabilities for right-of-use assets) over the total equity as at the end of the respective financial years.

11. FINANCIAL INFORMATION *(Cont'd)*

(i) Trade receivables turnover

Our average trade receivables' turnover period (in days) for the Financial Years Under Review is as follows:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Opening trade receivables, net of retention sum	14,414	28,365	52,122	82,886
Closing trade receivables, net of retention sum	28,365	52,122	82,886	74,556
Average trade receivables	21,390	40,244	67,504	78,721
Revenue	67,416	165,866	357,755	361,405
Trade receivables turnover period (days)	**116**	**89**	**69**	**80**

Our trade receivables comprised amounts receivable for the sale of construction products, rental receivables from renting of construction machinery and equipment and progress billing for our construction and property development projects.

The normal credit term granted to our clients generally ranges from 30 to 90 days from the date of our invoice or progress billing depending on the terms of the contract. Due to the nature of the construction industry, in most cases, our clients in the construction and engineering works sub-segment will retain 10% of each progress billing as retention sum, but not more than 5% of the total contract sum awarded, which is set out in the terms of the contract with our clients. Our client will retain the entire retention sum throughout the contract period until the issuance of CCC or CPC (as the case may be), upon which half of the retention sum will be released. The remaining half will be released to us at the end of the contracted DLP and upon the issuance of CMGD, depending on the terms of the contract. As such, in computing the trade receivables turnover period, we have excluded the retention sum from the computation so to present a more realistic measure of the number of days required for the collection of debts that are due.

Our Group established policies on credit control involving comprehensive credit evaluations, setting up appropriate credit limits, ensuring the sales are made to clients with good credit history, and regular review of clients' outstanding balances and payment trends. Our Group also uses ageing analysis to monitor the credit quality of the trade receivables.

As our Group does not hold any collateral, the maximum exposure to credit risk arising from the receivables is represented by the carrying amounts in the statement of financial position.

Our trade receivables turnover period for the Financial Years Under Review ranged from 69 days to 116 days. The trade receivables turnover period for the Financial Years Under Review are within the credit terms granted by us, with the exception for the FYE 2021 as our customers experienced cashflow constraints during the movement control order (MCO) period implemented by the Malaysian Government, and hence resulted in the delay in making payments to our Group.

The ageing analysis of our trade receivables as at 30 September 2024 and the subsequent collections and balance of such trade receivables as at LPD are as follows:

	Trade receivables as at 30 September 2024		**Subsequent collection up to and including LPD**	**Balance trade receivables yet to be collected as at LPD**
	(RM'000)	**%**	**(RM'000)**	**(RM'000)**
Neither past due nor impaired	(1)(2)75,362	75.98	(2)37,508	37,854
Past due but not impaired:				
- less than 30 days	6,011	6.06	5,964	47
- 31 to 60 days	1,565	1.58	1,565	-
- 61 to 90 days	7,128	7.19	6,713	415
- over 90 days	(2)9,115	9.19	(2)9,115	-
	23,819	24.02	23,357	462
	(1)(2)99,181	**100.00**	**60,865**	**38,316**

Notes:

(1) Included the retention sums of approximately RM24.62 million, which are to be settled based on the terms as explained above, and the unbilled receivables of approximately RM8.85 million as at 30 September 2024.

(2) Also included in the trade receivables as at 30 September 2024 are RM5.09 million due to ASSB by its client in relation to progress claims (i.e. approximately RM2.23 million) and retention sums (i.e. approximately RM2.86 million) for two (2) projects which were completed prior to our Company's acquisition of ASSB on 17 April 2023, which are to be settled through contra payment as further detailed in Section 11.8(i) of this Prospectus. As at LPD, such outstanding progress claims and retention sums totaling RM5.09 million are deemed fully settled following the completion of ASSB's acquisition of the Contra Payment Properties (as defined in Section 11.8(i) of this Prospectus).

As at LPD, approximately RM60.87 million or 61.37% of our trade receivables as at 30 September 2024 have been collected. The remaining balances of approximately RM38.32 million have yet to be collected as at LPD, of which approximately RM21.76 million and RM8.85 million are retention sums and unbilled receivables, respectively, and only approximately RM0.46 million have exceeded the credit period granted.

Notwithstanding the above, we are of the view that the remaining outstanding trade receivables are recoverable after taking into consideration these clients' payment history, credentials as well as their established long-term relationships with us.

11. FINANCIAL INFORMATION *(Cont'd)*

For information, notwithstanding the COVID-19 pandemic during the FYE 2021, our clients have generally been paying within the credit period granted. Our Group has not encountered any major disputes with our trade receivables. Our net impairment loss on trade receivables for the Financial Years Under Review are as follows:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Loss/(Reversal of loss) allowance on trade receivables[(1)]	-	2,013	2,878	(4,860)

Note:

(1) Comprised the recognition of loss/(reversal of loss) allowance on trade receivables. In accordance with MFRS 9, an impairment analysis is performed at each reporting date for the expected credit losses on trade receivables with reference to historical credit loss experience on a general basis as well as for individually impaired trade receivables.

(ii) Trade payables turnover

Our average trade payables' turnover period (in days) for the Financial Years Under Review is as follows:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Opening trade payables, net of retention sum	9,761	6,459	16,147	69,024
Closing trade payables, net of retention sum	6,459	16,147	69,024	44,723
Average trade payables	8,110	11,303	42,586	56,874
Cost of sales[(1)]	46,845	80,101	223,280	186,356
Trade payables turnover period (days)	**63**	**52**	**70**	**111**

Note:

(1) This excludes direct labour costs, rental related expenses and overheads and other related costs.

Our trade payables comprised amounts outstanding for trade purchases and subcontractor costs.

11. FINANCIAL INFORMATION *(Cont'd)*

The normal credit period granted to us by our trade creditors ranges from 30 to 90 days from the date of tax invoice. Similar to the trade receivables turnover period, retention sum is excluded in arriving at our trade payables turnover period.

Our trade payables turnover period for the FYEs 2021, 2022 and 2023 were 63 days, 52 days and 70 days, respectively, which are within the credit period granted to us. However, we recorded trade payables turnover period of approximately 111 days for the FYE 2024, which is above the credit period granted to our Group. This was mainly attributable to outstanding balances in relation to the construction of road works at Jerantut, Pahang, the works of which were still pending certification by the consulting architect and engineer before the payment is to be made.

The ageing analysis of our trade payables as at 30 September 2024 and the subsequent payments and balance of such trade payables as at LPD are as follows:

	Trade payables as at 30 September 2024		**Subsequent payment up to and including LPD**	**Balance trade payables yet to be paid as at LPD**
	(RM'000)	**%**	**(RM'000)**	**(RM'000)**
Within credit period	(1)50,808	79.19	24,614	(1)26,194
Exceeding credit period:				
- 1 to 30 days	6,160	9.60	5,935	225
- 31 to 60 days	1,812	2.83	1,602	210
- More than 60 days	5,377	8.38	2,494	2,883
	13,349	20.81	10,031	3,318
	(1)64,157	**100.00**	**34,645**	**(1)29,512**

Note:

(1) Included the retention sums of approximately RM19.44 million, which are to be settled based on the terms of the contract.

As at 30 September 2024, our total trade payables stood at approximately RM64.16 million, of which approximately RM13.35 million or 20.81% of our trade payables exceeded the normal credit period.

As at LPD, we have outstanding trade payables of approximately RM29.51 million, representing approximately 45.99% of our trade payables as at 30 September 2024, of which approximately RM19.44 million are retention sum while approximately RM3.32 million exceeded the credit period. Notwithstanding the portion of trade payables that have exceeded the credit period, there has been no request for repayment from the creditors.

We also have not experienced any disruptions in supplies from our subcontractors and suppliers, nor has material dispute with any of our subcontractors or suppliers nor has any legal action been initiated by them on us during the Financial Years Under Review and the subsequent period up to LPD.

11. FINANCIAL INFORMATION *(Cont'd)*

(iii) Inventory turnover

Our inventories (excluding property development costs) comprised construction products, i.e. lighting products to be sold either through wholesale to contractors and property developers or retail to individual customers as well as hardware products and tools for purchase by contractors and retail customers. Our average inventory turnover period (in days) for the Financial Years Under Review is as follows:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Opening inventories[(1)]	10,376	9,849	12,221	11,478
Closing inventories[(1)]	9,849	12,221	11,478	9,798
Average inventories[(1)]	10,113	11,035	11,850	10,638
Cost of sales[(1)]	12,167	13,867	12,498	15,113
Inventory turnover period (days)	**303**	**290**	**346**	**257**

Note:

(1) Inventories comprised inventories for construction products as mentioned above while cost of sales comprised cost of sales for all lighting products, hardware products and tools.

Our inventories for lighting products and hardware products and tools are measured at the lower of cost and net realisable value. The cost is determined on a first-in, first-out basis and comprised the purchase price and incidental costs incurred in bringing the inventories to their present location and condition, while net realisable value represents the estimated selling price less the estimated costs necessary to make the sale. For information, we do not maintain any building material inventories as all building materials that we offer are transported directly by our suppliers to the construction site according to orders.

Our inventories turnover periods for the Financial Years Under Review were 303 days, 290 days, 346 days and 257 days, respectively. The higher inventory turnover periods for the Financial Years Under Review were mainly due to various types of lighting display at our Group's retail stores as samples to allow our customers to physically browse and visualise our lighting products' size, brilliance and colour, thereby enabling them to assess and decide on the suitability of the lighting products based on their needs.

For information, a substantial portion of our inventories for lighting products are made up of chandeliers and crystal lighting products, including those that are displayed at our lighting retail stores for our customers to physically browse and visualise. As chandeliers and crystal lighting products are typically high-end premium products with unique designs targeted at a niche segment of our customer base, lighting products under this category are generally considered to be slow-moving inventories, thereby contributing to the higher inventory turnover periods for the Financial Years Under Review. Given the ability to command a higher premium pricing for these chandeliers and crystal lighting products as compared to other general lighting products targeted at the broader mass market, we also carry a wide range of such product offerings in our catalogue to meet the different preferences and needs of the customers.

In addition, the increase in our level of inventories before entering into the fourth quarter of each calendar year in anticipation for year-end promotional sales period and increased home improvement activities during the year-end holiday season also coincides with the closing of our financial year, which further gives rise to the higher inventory turnover period.

We review the condition of our inventories at the end of each reporting period by assessing if there is any indication for impairment or adjustments for our inventories, such as, among others:

(a) damage, loss or theft of stocks;

(b) non-saleable inventories; and

(c) slow-moving inventories.

During the Financial Years Under Review, our Group had written down inventories as follows:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Inventories written down[(1)]	146	81	406	1
Reversal of inventories previously written down	(275)	(68)	(81)	(57)

Note:

(1) Damaged, non-saleable and/or slow-moving inventories are written down in accordance with our inventory management policy.

Save as disclosed above, there is no further material inventory written off as at LPD.

(iv) Current ratio

Our current ratio as at the end of each Financial Years Under Review is as follows:

	Audited as at 30 September			
	2021	**2022**	**2023**	**2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Current assets	55,945	136,494	399,595	451,969
Current liabilities	19,019	70,787	157,035	154,309
Net current assets	36,926	65,707	242,560	297,660
Current ratio (times)	**2.94**	**1.93**	**2.54**	**2.93**

Our current ratios ranged from 1.93 times to 2.94 times as at the end of each Financial Years Under Review. This indicates that our Group is capable of meeting our current obligations as our current assets which can be readily converted into cash, together with our cash in bank are sufficient to meet the immediate current liabilities.

11. FINANCIAL INFORMATION *(Cont'd)*

Notwithstanding the increase in our current assets by approximately RM80.54 million or 143.95%, our current liabilities increased by approximately RM51.77 million or 272.19% which is at a rate higher than the increase in our current assets. As such, our current ratio decreased from 2.94 times as at 30 September 2021 to 1.93 times as at 30 September 2022. The decrease in our current ratio was mainly attributable to the net effects of the following:

(a) increase in contract liabilities by approximately RM16.93 million as the billed milestones for some of our construction projects were ahead of the actual construction works performed. This was mainly contributed by the LSH Segar Project, the construction of bridge works at Nibong Tebal, Penang project, the upgrading of flood retention and structural works at Pendang, Kedah project and the construction of road works at Jerantut, Pahang project;

(b) increase in trade payables by approximately RM13.01 million mainly due to the inclusion of LSHBB's trade payables following the completion of its acquisition;

(c) increase in other payables and accruals by approximately RM21.66 million, which was mainly contributed by the deposits received for three (3) infrastructure construction and engineering work projects, namely the construction of road works at Jerantut, Pahang project, the upgrading of flood retention and structural works at Pendang, Kedah project and the construction of road works at Sembrong, Johor project during the FYE 2022;

(d) increase in trade receivables by approximately RM37.27 million, which was mainly due to increased invoices billed to clients, which was in tandem with the higher revenue and billings recorded in the FYE 2022 and the inclusion of LSHBB's trade receivables following the completion of its acquisition;

(e) increase in cash and bank balances by approximately RM17.28 million, which was mainly due to higher internal funds from our business operations in the FYE 2022;

(f) increase in fixed deposits with a licensed bank by approximately RM11.56 million due to higher placements of fixed deposits with licensed banks in the FYE 2022; and

(g) increase in contract assets of approximately RM8.42 million, which was mainly contributed by the LSH 33 Project as its construction works were performed ahead of billing milestones.

Our current ratio increased from 1.93 times as at 30 September 2022 to 2.54 times as at 30 September 2023. The increase in our current ratio was mainly attributable to the increase in our current assets by approximately RM263.11 million or 192.77%, which was mainly resulted from the following:

(a) increase in inventories by approximately RM155.36 million, which primarily arose from the inclusion of the property development costs for ASSB's LSH Segar Project and LSH Ventures' Lake Side Homes Project following the completion of the acquisitions of these subsidiaries in April 2023;

(b) increase in contract assets by approximately RM60.77 million, which was primarily contributed by the construction works performed for the LSH 33 Project and the construction of bridge works at Nibong Tebal, Penang, which were performed ahead of the next billing milestones as well as the inclusion of the contract assets of ASSB following the completion of its acquisition; and

(c) increase in trade receivables by approximately RM48.49 million, which was primarily due to higher accrued billings and retention sum receivables from our project clients.

The increase in our current ratio was partially offset by the increase in our current liabilities by approximately RM86.25 million or 121.84%, which was mainly resulted from the following:

(a) increase in trade payables by approximately RM64.29 million, which was in line with the higher cost of sales incurred to support the increase in construction activities in the FYE 2023 that resulted in higher accrued contract costs as well as the inclusion of ASSB's trade payables following the completion of its acquisition; and

(b) increase in other payables and accruals by approximately RM15.40 million, which was mainly due to the increase in deposits received from our client for the construction of road works at Jerantut, Pahang for us to secure rental of construction machinery, supply of building materials and labour.

Our current ratio improved further from 2.54 times as at 30 September 2023 to 2.93 times as at 30 September 2024. The increase in our current ratio was attributable to the increase in our current assets by approximately RM52.37 million or 13.11%, which was mainly due to the net effects of the following:

(a) increase in contract assets of approximately RM54.44 million, mainly resulting from the substantial development costs incurred for the property development project, i.e. LSH Segar Project (as a result of reclassification of the related construction costs incurred by LSHBB from our construction and engineering works sub-segment to property development segment following the acquisition of ASSB in April 2023). For information, the higher contract assets for the LSH Segar Project was due to the said project has yet to reach its next billing milestone as at 30 September 2024 despite costs being incurred for work performed;

(b) increase in cash and bank balances by approximately RM26.27 million, mainly derived from cash generated from our business operations;

(c) increase in inventories of approximately RM4.15 million, which was mainly due to higher property development costs incurred for the unsold units for LSH Segar Project during the FYE 2024;

(d) decrease in trade and other receivables of approximately RM25.41 million, mainly due to the following:

(aa) decrease in trade receivables of approximately RM15.84 million, primarily due to lower progress billings receivable and the partial release of the retention sum for the LSH 33 Project following the completion of the said project in June 2024; and

(bb) decrease in other receivables of approximately RM9.57 million, primarily due to the forfeiture of deposits paid to subcontractors to secure rental of construction machinery, supply of building materials and labour for the construction of road works project at Jerantut, Pahang being charged out to profit or loss, as a result of the delay in construction works for this project by our client; and

(e) decrease in fixed deposits with licensed banks by approximately RM6.22 million, mainly due to the withdrawal of fixed deposits mainly to fund our Group's working capital.

The increase in our current ratio was also attributable to the decrease in current liabilities of approximately RM2.73 million or 1.74%, which was mainly due to the net effects of the following:

(a) decrease in trade and other payables of approximately RM42.29 million, mainly due to the following;

(i) decrease in other payables and accruals of approximately RM21.75 million, mainly due to the forfeiture of deposit received from our client for the construction of road works at Jerantut, Pahang, due to the delay in construction works for the said project by our client; and

(ii) decrease in trade payables of approximately RM20.54 million, mainly due to the lower project costs incurred for the LSH 33 Project for the FYE 2024 as the project was completed in June 2024;

(b) increase in term loans of approximately RM15.49 million, mainly due to drawdown of term loans to finance our Group's working capital, including property development costs for our LSH Segar Project and development order charges to DBKL for our Lake Side Homes Project;

(c) increase in contract liabilities of approximately RM11.37 million, mainly due to the billing milestones achieved ahead of actual work performed for the upgrading of road works at Tangkak, Johor;

(d) increase in bankers' acceptances of approximately RM8.87 million, mainly for payments to our suppliers; and

(e) increase in current tax liabilities of approximately RM4.51 million, mainly due to a higher PBT recorded for FYE 2024.

11. FINANCIAL INFORMATION *(Cont'd)*

(v) Gearing ratio

Our gearing ratio as at the end of each Financial Years Under Review is as follows:

	Audited as at 30 September			
	2021	**2022**	**2023**	**2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Total borrowings[(1)]	9,653	3,779	14,041	39,985
Total equity	43,351	79,501	420,883	475,318
Gearing ratio (times)	**0.22**	**0.05**	**0.03**	**0.08**

Note:

(1) Excludes lease liabilities for the right-of-use assets.

Our gearing ratio decreased from 0.22 times as at 30 September 2021 to 0.05 times as at 30 September 2022. This was attributable to the following:

(a) decrease in our total borrowings by approximately RM5.87 million or 60.83% to approximately RM3.78 million as at 30 September 2022 (30 September 2021: RM9.65 million), which was primarily due to net repayments of bankers' acceptance of approximately RM6.24 million during the FYE 2022; and

(b) increase in our total equity by approximately RM36.15 million or 83.39% to approximately RM79.50 million as at 30 September 2022 (30 September 2021: RM43.35 million), which was primarily due to PAT of approximately RM41.81 million recorded for the FYE 2022, after netting off the dividends paid to shareholders of approximately RM6.08 million. In addition, the increase in our total equity was also attributable to the proceeds raised of RM0.42 million from the issuance of 1,000,000 new Shares at the issue price of RM0.42 each in May 2022.

Our gearing ratio decreased further from 0.05 times as at 30 September 2022 to 0.03 times as at 30 September 2023. The decrease in our gearing ratio was mainly attributable to the following:

(a) issuance of 211,111,111 new Shares at the fair value of RM0.85 each to satisfy the purchase consideration of ASSB. For information, the share sale agreement for the acquisition of ASSB was signed on 28 March 2022, for the purchase consideration of RM95.00 million to be satisfied by the issuance of 211,111,111 new Shares at the issue price of RM0.45 each. However, as at the completion date i.e. 17 April 2023, the Shares were valued at RM0.85 each;

(b) issuance of 139,203,804 new Shares at the fair value of RM0.85 each to satisfy the purchase consideration of LSH Ventures and the debt settlement between LSH Ventures and its directors. For information, the amended and restated debt settlement and share subscription agreement for the acquisition of LSH Ventures and debt settlement was signed on 20 February 2023, for a total consideration of approximately RM62.64 million to be satisfied by the issuance of 139,203,804 new Shares at the issue price of RM0.45 each. However, as at the completion date i.e. 17 April 2023, the Shares were valued at RM0.85 each; and

(c) PAT of approximately RM58.88 million was recorded for the FYE 2023 after netting off the dividends paid to shareholders of approximately RM15.33 million.

Our gearing ratio increased from 0.03 times as at 30 September 2023 to 0.08 times as at 30 September 2024, mainly attributable to the net effect of the following:

(a) increase in our total borrowings of approximately RM25.95 million or 184.83% to approximately RM39.99 million as at 30 September 2024 (30 September 2023: RM14.04 million), mainly due to the drawdown of term loans and bankers' acceptances which collectively amounted to approximately RM80.14 million to fund our Group's working capital, including property development costs for our LSH Segar Project and development order charges to DBKL for our Lake Side Homes Project as well as payments to our suppliers, after netting off the repayments of term loans and bankers' acceptances of approximately RM54.74 million (in total); and

(b) increase in total equity by approximately RM54.44 million or 12.93% to approximately RM475.32 million as at 30 September 2024 (30 September 2023: RM420.88 million) due to our Group recorded PAT of approximately RM74.28 million for the FYE 2024, after netting off the dividends paid to shareholders of approximately RM19.85 million.

We have not been in default on payments of either interest and/or principal sums in respect of any of our borrowings during the Financial Years Under Review as well as for the period from 1 October 2024 up to LPD. As at LPD, we are also not in breach of any terms and condition or covenant associated with our credit arrangements or bank loans which can materially affect our financial position, results of business operations, or the investment by our shareholders.

We do not encounter seasonality in the trend of our borrowings and there is no restriction on the use of our committed banking facilities, save for the purposes of the borrowings as stipulated in the respective loan documents.

11.4 TYPES OF FINANCIAL INSTRUMENTS USED, TREASURY POLICIES AND OBJECTIVES

As at LPD, save as disclosed in Section 11.3.2 of this Prospectus, we do not have nor utilise any other financial instruments. We finance our operations mainly through cash generated from our operations, credit extended by our trade creditors and external sources of funds from financial institutions and a licensed moneylender, which mainly comprised term loans, bank overdrafts, bankers' acceptance, hire purchases, bank guarantees as well as finance lease liabilities. The principal use of these borrowings are for our Group's working capital, to finance the costs of our property development projects as well as for the purchase of motor vehicles and plant and machinery.

Save for our term loans from a licensed moneylender and hire purchases which carry fixed interest rates, our other borrowings bear variable interest rates based on the bank's base lending rate plus or minus a rate, which varies depending on the different types of bank facilities.

Our main treasury policy is to maintain sufficient working capital to finance our operations, coupled with adequate credit facilities to meet the estimated commitments arising from our operational expenditures and financial liabilities.

We monitor the adequacy of capital on an ongoing basis. Our strategy is to maintain the debt-to-equity ratio at an optimal level based on our business requirements and prevailing economic conditions. It is also the responsibility of our Directors to identify, quantify, monitor and control the key risks (credit, liquidity and interest rate) associated with these activities.

11.5 IMPACT OF GOVERNMENT, ECONOMIC, FISCAL OR MONETARY POLICIES

We are subject to the risks of government, economic, fiscal or monetary policies, where any unfavourable change may materially affect our business operations, financial performance and prospects of the industry in which we operate. Please refer to Section 8.2.3 of this Prospectus for risk relating to government, economic, fiscal or monetary policies which could materially affect our operations.

Notwithstanding the above, save for the policies imposed during the COVID-19 pandemic, our results were not adversely affected by any unfavourable changes relating to government, economic, fiscal or monetary policies during the Financial Years Under Review.

11.6 IMPACT OF INFLATION

We do not believe that inflation has had a material impact on our business, financial condition or results of operations for the Financial Years Under Review. However, inflation may affect our financial performance as it could increase our subcontractor costs, construction material costs, cost of construction products, labour costs, as well as our operating costs and selling and marketing expenses. Any increase in the inflation rate beyond levels experienced in the past may affect our operations and financial performance if we are unable to fully offset such higher costs through increased revenue.

11.7 IMPACT OF FOREIGN EXCHANGE RATES, INTEREST RATES AND/OR COMMODITY PRICES ON OUR OPERATIONS

(i) Impact of foreign exchange rates

All our revenue are denominated in RM whilst our purchases are transacted in RM and RMB as follows:

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	(RM'000)	%	(RM'000)	%	(RM'000)	%	(RM'000)	%
Purchases denominated in:								
- RM	46,623	96.92	89,189	97.24	241,069	98.99	217,385	99.11
- RMB	1,480	3.08	2,527	2.76	2,469	1.01	1,959	0.89
	48,103	**100.00**	**91,716**	**100.00**	**243,538**	**100.00**	**219,344**	**100.00**

We are exposed to transactional currency exposure as approximately 3.08%, 2.76%, 1.01% and 0.89% of our total purchases were denominated in RMB for the FYEs 2021, 2022, 2023 and 2024.

As such, we are exposed to foreign currency risk and any unfavourable foreign currency exchange rate fluctuation (i.e. against RMB) may adversely affect our financial performance and our GP margin.

For the Financial Years Under Review, our gains and losses from foreign exchange fluctuations are as follows:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
Realised loss/(gain) on foreign exchange	8	3	(3)	(3)

As majority of our transactions are transacted in RM, all of our cash and bank balances are maintained in RM. We currently do not have a formal policy with respect to our foreign exchange transactions. Our exposure to foreign exchange is monitored on an ongoing basis, and our Group endeavours to keep our exposure to foreign exchange low to minimise the losses resulting from foreign exchange fluctuations.

Our Group does not hedge our exposure to fluctuation in foreign currency exchange rates. As at LPD, we have not entered into any foreign exchange contracts. As such, we are subject to foreign exchange fluctuation risk for the purchases from our foreign suppliers. A depreciation of the RM against the RMB will lead to higher costs of supplies for our Group. In the event that we are unable to pass the increase in costs to our customers in a timely manner, our financial performances may be adversely affected due to the reduced GP margin from higher costs of supplies.

(ii) Impact of interest rates

Our exposure to changes in interest rate risk relates primarily to our borrowings from banks. We do not generally hedge interest rate risks.

A sensitivity analysis performed on our Group based on the outstanding floating rate of the bank borrowings as at 30 September 2024 indicates that our PBT for the FYE 2024 would increase or decrease by approximately RM0.20 million as a result of an increase or decrease in interest rates by 100 basis points on these borrowings.

For the Financial Years Under Review, our financial results were not materially affected by fluctuations in interest rates.

(iv) Impact of commodity prices

The prices of certain construction materials used such as ready-mixed concrete and steel bars are subjected to price fluctuations based on supply and demand conditions and economic conditions. As such, any material increase in the prices of these construction materials may result in cost overruns which may adversely affect our construction and engineering work projects' profitability and financial performance if we are unable to pass any of these cost increases to our clients.

For the last three (3) FYEs 2022, 2023 and 2024, the cost of construction materials accounted for approximately 10.26%, 15.84% and 15.10% of our Group's total cost of sales respectively. During these FYEs, ready-mixed concrete and steel bars constitute one of the two (2) main construction materials purchased by our Group. The average unit purchase price of ready-mixed concrete increased by approximately 9.98% from the FYE 2022 to FYE 2023, and approximately 14.98% from the FYE 2023 to FYE 2024. On the other hand, the average unit purchase price of steel bars decreased by approximately 6.82% from the FYE 2022 to FYE 2023, but increased by approximately 9.78% from the FYE 2023 to FYE 2024. Although our Group has experienced price fluctuations in construction materials during these FYEs, such price fluctuations have not adversely affected our financial performance, as we have anticipated these price fluctuations and have priced in the risk when tendering.

11.8 MATERIAL INVESTMENTS AND/OR DIVESTITURES

(i) Material investments

Save as disclosed below, we have not undertaken any material investments during the Financial Years Under Review and up to LPD:

	Consideration (RM)				
Name of target company	**FYE 2021**	**FYE 2022**	**FYE 2023**	**FYE 2024**	**Between 1 October 2024 up to LPD**
LSH Lighting[(1)]	22,133,495	-	-	-	-
Knight Auto[(2)]	9,785,076	-	-	-	-
LSHBB[(3)]	-	3,500,000	-	-	-
ASSB[(4)]	-	-	95,000,000	-	-
LSH Ventures[(5)]	-	-	62,641,712	-	-

Notes:

(1) Our Company had on 6 January 2021 completed the acquisition of the entire equity interest in LSH Lighting comprising 1,000,000 ordinary shares from LSH Resources for a purchase consideration of RM22,133,495, which was wholly satisfied via the issuance and allotment of 221,334,950 new Shares to LSH Resources at an issue price of RM0.10 each. As a result, LSH Lighting became a wholly-owned subsidiary of our Company.

(2) Our Company had on 6 January 2021 completed the acquisition of the entire equity interest in Knight Auto comprising 1,300,000 ordinary shares from Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun for a purchase consideration of RM9,785,076, which was wholly satisfied via the issuance and allotment of 97,850,760 new Shares to the said vendors at an issue price of RM0.10 each. As a result, Knight Auto became a wholly-owned subsidiary of our Company.

(3) Our Company had on 15 October 2021 completed the acquisition of the entire equity interest in LSHBB comprising 1,000,000 ordinary shares from LSH Resources for a cash consideration of RM3,500,000. As a result, LSHBB became a wholly-owned subsidiary of our Company.

(4) Our Company had on 17 April 2023 completed the acquisition of the entire equity interest in ASSB comprising 3,750,000 ordinary shares from LSH Resources, DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong for a purchase consideration of RM95,000,000, which was wholly satisfied via the issuance and allotment of 211,111,111 new Shares to the said vendors and/or its nominees at an issue price of RM0.45 each. As a result, ASSB became a wholly-owned subsidiary of our Company.

(5) Our Company had on 17 April 2023 completed the acquisition of the entire equity interest in LSH Ventures comprising 100,000 ordinary shares from Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong for a total purchase consideration of RM25,699,067, which was wholly satisfied via the issuance and allotment of 57,109,037 new Shares to LSH Resources at an issue price of RM0.45 each. As a result, LSH Ventures became a wholly-owned subsidiary of our Company and ASES (a 87.50%-owned subsidiary of LSH Ventures and 6.25% owned by ASSB) became a 93.75%-owned subsidiary of our Company.

As an integral part of the acquisition of LSH Ventures, our Company also settled the directors' advances of RM36,942,645 owing by LSH Ventures to its directors, namely DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong by way of the issuance and allotment of 82,094,767 new Shares to LSH Resources at an issue price of RM0.45 each.

In addition to the above, on 15 April 2024, ASSB agreed with one (1) of its clients for the settlement of the total amount of approximately RM5.09 million due to ASSB in relation to the progress claims and retention sums for two (2) projects which were completed prior to our Company's acquisition of ASSB on 17 April 2023. Such amount due by the client is to be settled through contra payment via three (3) residential apartment units and a three (3)-storey shop office (collectively, the "**Contra Payment Properties**") for a total consideration of RM5.09 million ("**Contra Payment Arrangement**"). Subsequently on 2 September 2024, ASSB entered into four (4) SPAs with the respective vendors to effect ASSB's acquisition of the Contra Payment Properties under the Contra Payment Arrangement. As at LPD, ASSB's acquisition of all the Contra Payment Properties have been completed in accordance with the terms and conditions of the respective SPAs. However, as at LPD, save for the strata title for the residential apartment unit with purchase consideration of RM0.75 million which has been registered under ASSB's name on 2 December 2024, the registration of the strata titles for the remaining Contra Payment Properties have yet to be transferred to ASSB's name. For information, our Group may continue to hold the Contra Payment Properties as investment (i.e. capital appreciation and/or rental income) and/or utilise such properties as contra payment with our subcontractors in the future. Further details of the Contra Payment Properties are set out in items (7) to (10) of Annexure C.1 of this Prospectus.

(ii) Material divestitures

We have not undertaken any material divestitures during the Financial Years Under Review and up to LPD.

11.9 ORDERBOOK

As at LPD, the orderbook from our secured contracts for the following projects are as follows:

	(RM'000)
Construction and engineering works	(1)609,393
Facility management	(2)5,162
Total	**614,555**

Notes:

(1) This excludes the building construction projects for our own property development projects, namely LSH Segar Project and Lake Side Homes Project undertaken by ASSB and ASES, respectively, which have a total of approximately RM908.96 million remaining contract value which have yet to be recognised as revenue by the respective entities of our Group (i.e. acting as the main contractor of the building construction projects) as at LPD.

(2) This refers to the project for the management of the 'Blue Pool' facility at the convergence of the Gombak River and Klang River under the 'River of Life' transformation project at Kuala Lumpur.

The above outstanding orderbook relates to the contract values of our ongoing construction and engineering work projects as well as the aforesaid facility management project less revenue recognised up to LPD. There may be variations to the amount awarded as compared to the final works to be performed resulting from, among others, changes in project requirements, which may take place during the implementation of the project. Typically, the contract period for our construction and engineering work projects ranges from three (3) to five (5) years whilst the contract period for the abovementioned facility management project is three (3) years.

We will continue to submit tenders and proposals for construction and engineering work projects as well as facility management projects with a view to further build resilience for our Group's orderbook. We will also endeavour to secure more construction and engineering work projects as well as facility management projects through our BEST Collaboration Framework by demonstrating the value created from our construction-related services and solutions that we provide, which allows us to recognise additional revenue stream over and above progress billings from construction and engineering works as well as facility management services that we carry out.

Due to the nature of the business for our construction products sub-segment, we do not maintain an orderbook for this sub-segment. Our sales are based on confirmed orders from our customers, and we do not have any long-term contracts with our customers.

We also do not maintain an orderbook for our property development operations. We generate our revenue from property development operations from the sales of properties based on the development progress.

11.10 TREND INFORMATION

As at LPD, our financial performance, position and operations are not affected by any of the following:

(i) known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have a material favourable or unfavourable impact on our financial performance, position and operations, save as disclosed in this Section as well as Sections 6 and 8 of this Prospectus;

(ii) material commitments for capital expenditure, save as disclosed in Section 11.3.3 of this Prospectus;

(iii) unusual, infrequent events or transactions or any significant economic changes that have materially affected the financial performance, position and operations of our Group, save as disclosed in this Section as well as Sections 6 and 8 of this Prospectus;

(iv) known trends, demands, commitments, events or uncertainties that had resulted in a material impact on our Group's total revenue and/or profits as well as our Group's liquidity and capital resources, save as disclosed in this Section as well as in Sections 6 and 8 of this Prospectus; and

(v) known trends, demands, commitments, events or uncertainties that are reasonably likely to make our historical financial statements not indicative of the future financial performance and position, save as disclosed in this Section and in Sections 6 and 8 of this Prospectus.

Our Board is optimistic about the future prospects of our Group after taking into account the outlook of the construction and property development industries in Malaysia as set out in the IMR Report included in Section 7 of this Prospectus, our competitive strengths as set out in Section 6.7 of this Prospectus, and our future plans and strategies as set out in Section 6.8 of this Prospectus.

11.11 REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

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12 February 2025

The Board of Directors
LIM SEONG HAI CAPITAL BERHAD
12th Floor, Menara Symphony
No. 5, Jalan Prof. Khoo Kay Kim
Seksyen 13, 46200 Petaling Jaya
Selangor Darul Ehsan
Malaysia

Dear Sirs,

LIM SEONG HAI CAPITAL BERHAD ("LSH CAPITAL" or the "COMPANY")
REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2024

We have completed our assurance engagement to report on the compilation of pro forma consolidated statements of financial position of LSH Capital as at 30 September 2024 (the "Pro Forma Consolidated Statements of Financial Position"). The Pro Forma Consolidated Statements of Financial Position and the accompanying notes (the "Notes") which are set out in Appendix A (for which we have stamped for identification purposes) have been compiled by the Board of Directors of the Company (the "Directors") for inclusion in the prospectus in connection with the public offering and listing and quotation of the entire enlarged issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad ("Prospectus").

The applicable criteria on the basis of which the Directors have compiled the Pro Forma Consolidated Statements of Financial Position are set out in the Notes, and are prepared in accordance with the requirements of the Prospectus Guidelines issued by the Securities Commission Malaysia (the "Prospectus Guidelines") and the Guidance Note for Issuers of Pro Forma Financial Information issued by the Malaysian Institute of Accountants ("Guidance Note").

The Pro Forma Consolidated Statements of Financial Position have been compiled by the Directors to illustrate the impact of the events or transactions as set out in the Notes on the financial position of LSH Capital and its subsidiaries (collectively, the "Group") as at 30 September 2024 as if such events or transactions had taken place on 30 September 2024. As part of this process, information about the Group's financial position has been extracted by the Directors from the audited consolidated financial statements of LSH Capital for the financial year ended 30 September 2024, on which an audit report dated 6 December 2024 has been issued by us without any qualification.

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THE BOARD OF DIRECTORS' RESPONSIBILITIES

The Directors are responsible for compiling the Pro Forma Consolidated Statements of Financial Position on the basis as described in the Notes and are prepared in accordance with the requirements of the Prospectus Guidelines and Guidance Note.

REPORTING ACCOUNTANTS' INDEPENDENCE AND QUALITY CONTROL

We are independent of the Company in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standard Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code") and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our firm applies International Standard on Quality Management (ISQM) 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements* issued by the International Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants and accordingly, maintains a comprehensive system of quality management including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

REPORTING ACCOUNTANTS' RESPONSIBILITIES

Our responsibility is to express an opinion as required by the Prospectus Guidelines about whether the Pro Forma Consolidated Statements of Financial Position have been complied, in all material respects, by the Directors on the basis as described in the Notes and in accordance with the requirements of the Prospectus Guidelines.

We conducted our engagement in accordance with International Standard on Assurance Engagements (ISAE) 3420, *Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus*, issued by the International Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants. This standard requires that we comply with ethical requirements and plan and perform procedures to obtain reasonable assurance about whether the Directors have compiled, in all material respects, the Pro Forma Consolidated Statements of Financial Position on the basis as described in the Notes and in accordance with the requirements of the Prospectus Guidelines.

For purposes of this engagement, we are not responsible for updating or reissuing any reports or opinion on any historical financial information used in compiling the Pro Forma Consolidated Statements of Financial Position, nor have we, in the course of this engagement, performed an audit or review of the financial information used in compiling the Pro Forma Consolidated Statements of Financial Position.

The purpose of the Pro Forma Consolidated Statements of Financial Position included in the Prospectus is solely to illustrate the impact of the relevant significant event or transaction on unadjusted financial information of the entity as if such event had occurred or such transaction had been undertaken at an earlier date selected for purposes of the illustration. Accordingly, we do not provide any assurance that the actual outcome of the event or transaction would have been as presented.

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REPORTING ACCOUNTANTS' RESPONSIBILITIES (CONT'D)

A reasonable assurance engagement to report on whether the Pro Forma Consolidated Statements of Financial Position have been compiled, in all material respects, on the basis of the applicable criteria involves performing procedures to assess whether the applicable criteria used by the Directors in the compilation of the Pro Forma Consolidated Statements of Financial Position provide a reasonable basis for presenting the significant effects directly attributable to the events or transactions, and to obtain sufficient appropriate evidence about whether:

- the related pro forma adjustments give appropriate effect to those criteria; and
- the Pro Forma Consolidated Statements of Financial Position reflects the proper application of those adjustments to the unadjusted financial information.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Group, the events or transactions in respect of which the Pro Forma Consolidated Statements of Financial Position have been compiled, and other relevant engagement circumstances.

The engagement also involves evaluating the overall presentation of the Pro Forma Consolidated Statements of Financial Position.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

OPINION

In our opinion, the Pro Forma Consolidated Statements of Financial Position has been compiled, in all material respects, on the basis as described in the Notes and in accordance with the requirements of the Prospectus Guidelines.

OTHER MATTER

This report has been prepared solely to comply with the Prospectus Guidelines and for inclusion in the Prospectus of the Company in connection with the public offering and listing and quotation of the entire enlarged issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad, and should not be used or relied upon for any other purposes without our prior written consent. Neither the firm nor any member or employee of the firm undertakes responsibility arising in any way whatsoever to any party in respect of this report contrary to the aforesaid purpose.

Yours faithfully,

Crowe Malaysia PLT
201906000005 (LLP0018817-LCA) & AF 1018
Chartered Accountants

Choong Kok Keong
03461/11/2025 J
Chartered Accountant

Kuala Lumpur

12 FEB 2025

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Appendix A

LIM SEONG HAI CAPITAL BERHAD

PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2024

	Note	Audited as at 30 September 2024 RM'000	Adjustment for Material Subsequent Event RM'000	Pro Forma I After Adjustment for Material Subsequent Event RM'000	Public Issue RM'000	Pro Forma II After Pro Forma I and Public Issue RM'000	Utilisation of Proceeds RM'000	Pro Forma III After Pro Forma II and Utilisation of Proceeds RM'000
ASSETS								
NON-CURRENT ASSETS								
Investment in an associate		1,274		1,274		1,274		1,274
Property, plant and equipment		31,590		31,590		31,590		31,590
Investment properties		3,671		3,671		3,671		3,671
Right-of-use assets		1,936		1,936		1,936		1,936
Intangible assets		303		303		303		303
Deferred tax assets		2,172		2,172		2,172		2,172
Goodwill		148,967		148,967		148,967		148,967
		189,913		189,913		189,913		189,913
CURRENT ASSETS								
Inventories		171,734		171,734		171,734		171,734
Trade receivables		99,181		99,181		99,181		99,181
Other receivables, deposits and prepayments		8,467		8,467		8,467		8,467
Contract assets		123,849		123,849		123,849		123,849
Fixed deposits with licensed banks		8,595		8,595		8,595		8,595
Cash and bank balances	7.1	40,143	(13,703)	26,440	116,160	142,600	(5,090)	137,510
		451,969		438,266		554,426		549,336
TOTAL ASSETS		641,882		628,179		744,339		739,249

11. FINANCIAL INFORMATION *(Cont'd)*

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Appendix A

LIM SEONG HAI CAPITAL BERHAD

PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2024 (CONT'D)

	Note	Audited as at 30 September 2024 RM'000	Adjustment for Material Subsequent Event RM'000	Pro Forma I After Adjustment for Material Subsequent Event RM'000	Public Issue RM'000	Pro Forma II After Pro Forma I and Public Issue RM'000	Utilisation of Proceeds RM'000	Pro Forma III After Pro Forma II and Utilisation of Proceeds RM'000
EQUITY AND LIABILITIES								
EQUITY								
Share capital	7.2	334,768		334,768	116,160	450,928	(3,423)	447,505
Merger deficit		(29,619)		(29,619)		(29,619)		(29,619)
Retained profits	7.3	170,160	(13,703)	156,457		156,457	(1,667)	154,790
Equity attributable to owners of the Company		475,309		461,606		577,766		572,676
Non-controlling interests		9		9		9		9
TOTAL EQUITY		475,318		461,615		577,775		572,685
NON-CURRENT LIABILITIES								
Terms loans		8,729		8,729		8,729		8,729
Lease liabilities		433		433		433		433
Hire purchase payables		1,185		1,185		1,185		1,185
Deferred tax liabilities		1,908		1,908		1,908		1,908
		12,255		12,255		12,255		12,255

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LIM SEONG HAI CAPITAL BERHAD

PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2024 (CONT'D)

	Note	Audited as at 30 September 2024 RM'000	Adjustment for Material Subsequent Event RM'000	Pro Forma I After Adjustment for Material Subsequent Event RM'000	Public Issue RM'000	Pro Forma II After Pro Forma I and Public Issue RM'000	Utilisation of Proceeds RM'000	Pro Forma III After Pro Forma II and Utilisation of Proceeds RM'000
CURRENT LIABILITIES								
Trade payables		64,157		64,157		64,157		64,157
Other payables and accruals		16,767		16,767		16,767		16,767
Contract liabilities		33,504		33,504		33,504		33,504
Term loans		17,469		17,469		17,469		17,469
Lease liabilities		1,789		1,789		1,789		1,789
Hire purchase payables		504		504		504		504
Bankers' acceptances		12,098		12,098		12,098		12,098
Current tax liabilities		8,021		8,021		8,021		8,021
		154,309		154,309		154,309		154,309
TOTAL LIABILITIES		166,564		166,564		166,564		166,564
TOTAL EQUIY AND LIABILITIES		641,882		628,179		744,339		739,249
Number of ordinary shares		706,360,208		706,360,208	132,000,000	838,360,208		838,360,208
Net assets ("NA") @ (RM'000)		475,309		461,606		577,766		572,676
NA per ordinary share (RM)		0.67		0.65		0.69		0.68

Note:-
@ - represents net assets attributable to owners of the Company, which is also known as shareholders' equity.

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NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

1. ABBREVIATIONS

Unless the context otherwise requires, the following words and abbreviations shall apply throughout this report:

ACE Listing	:	Listing and quotation of the entire enlarged issued share capital of LSH Capital on the ACE Market of Bursa Securities pursuant to Rules 3A.02(1) and 3A.02(2) of the ACE Market Listing Requirements of Bursa Securities
Bursa Securities	:	Bursa Malaysia Securities Berhad Registration No. 200301033577 (635998-W)
Directors	:	Directors of the Company
DLKG	:	Datuk Lim Keng Guan
Eligible Persons	:	Collectively, the eligible Directors of the Company, eligible employees of the Group and other persons who have contributed to the success of the Group who are eligible to participate in the Retail Offering through the Pink Form Offer
FYE	:	Financial Year Ended
Issue Share(s)	:	New Share(s) to be issued by the Company under the Public Issue
LSH Capital or the Company	:	Lim Seong Hai Capital Berhad Registration No.: 202001036664 (1392985-A)
LSH Capital Group or the Group	:	LSH Capital and its subsidiaries, collectively
LSH Holdings	:	Lim Seong Hai Holdings Sdn. Bhd. Registration No.: 199701036751 (452251-V)
LSH Resources	:	Lim Seong Hai Resources Sdn. Bhd. Registration No.: 201001001642 (886219-A)
Malaysian Public	:	Malaysian citizens, as well as companies, cooperatives, societies and institutions incorporated or organised under the laws of Malaysia
MITI	:	Ministry of Investment, Trade and Industry of Malaysia
Offer for Sale	:	Offer for sale of up to 59,000,000 Offer Shares at the Offering Price by the Selling Shareholders, subject to the terms and conditions of the Prospectus
Offer Share(s)	:	Existing Share(s) to be offered by the Selling Shareholders pursuant to the Offer for Sale
Offering Price	:	Issue/Offer price of RM0.88 for each Offering Share
Offering Share(s)	:	Collectively, the Issue Share(s) and the Offer Share(s)
Pink Form Offer	:	Offer of Issue Shares to the Eligible Persons pursuant to the Public Issue
Prospectus	:	Prospectus issued by the Company pursuant to the ACE Listing

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LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

1. ABBREVIATIONS (CONT'D)

Unless the context otherwise requires, the following words and abbreviations shall apply throughout this report (Cont'd):

Public Issue	:	Public issue of 132,000,000 Issue Shares at the Offering Price by the Company, subject to the terms and conditions of the Prospectus
Retail Offering	:	Offering of 29,342,600 Offering Shares at the Offering Price, subject to the clawback and reallocation provisions, to the Eligible Persons and Malaysian Public
RM and sen	:	Ringgit Malaysia and sen, the lawful currency of Malaysia
Selling Shareholders	:	Collectively, LSH Resources, Tan Sri KC Lim, DLKG, Lim Pak Lian and Lim Keng Hun
Share(s)	:	Ordinary share(s) in LSH Capital
Tan Sri KC Lim	:	Tan Sri Datuk Seri Lim Keng Cheng
Transfer of Listing	:	Transfer of the listing and quotation of the entire issued share capital of LSH Capital from the LEAP Market of Bursa Securities to the ACE Market of Bursa Securities which involves the Withdrawal of LEAP Listing and Admission to ACE Listing
Withdrawal of LEAP Listing	:	Voluntary withdrawal of the listing and quotation of the entire issued share capital of LSH Capital from the LEAP Market of Bursa Securities pursuant to Rules 8.06 and 8.08 of the LEAP Market Listing Requirements of Bursa Securities

Subsidiaries and associated company of the Company

ASES	:	Astana Setia & Euro Saga Sdn. Bhd. Registration No.: 200201027772 (595435-T)
ASSB	:	Astana Setia Sdn. Bhd. Registration No.: 201001033681(917604-H)
Knight Auto	:	Knight Auto Sdn. Bhd. Registration No.: 199901001459 (476539-M)
Kran World	:	Kran World Sdn. Bhd. Registration No.: 201501018926 (1144261-W)
LSH Development	:	Lim Seong Hai Development Sdn. Bhd. Registration No.: 202201006566 (1452263-A)
LSH Infra	:	LSH Infra Sdn. Bhd. Registration No.: 202201001222 (1446919-H)
LSH Lighting	:	Lim Seong Hai Lighting Sdn. Bhd. Registration No.: 199501018939 (348142-T)
LSH Ventures	:	Lim Seong Hai Ventures Sdn. Bhd. Registration No.: 200501013068 (690116-V)
LSHBB	:	LSH Best Builders Sdn. Bhd. Registration No.: 200101028501 (564259-P)
LSH Service Master	:	LSH Service Master Sdn. Bhd. Registration No.: 202401025891 (151740-A)

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Chartered Accountants

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

2. INTRODUCTION

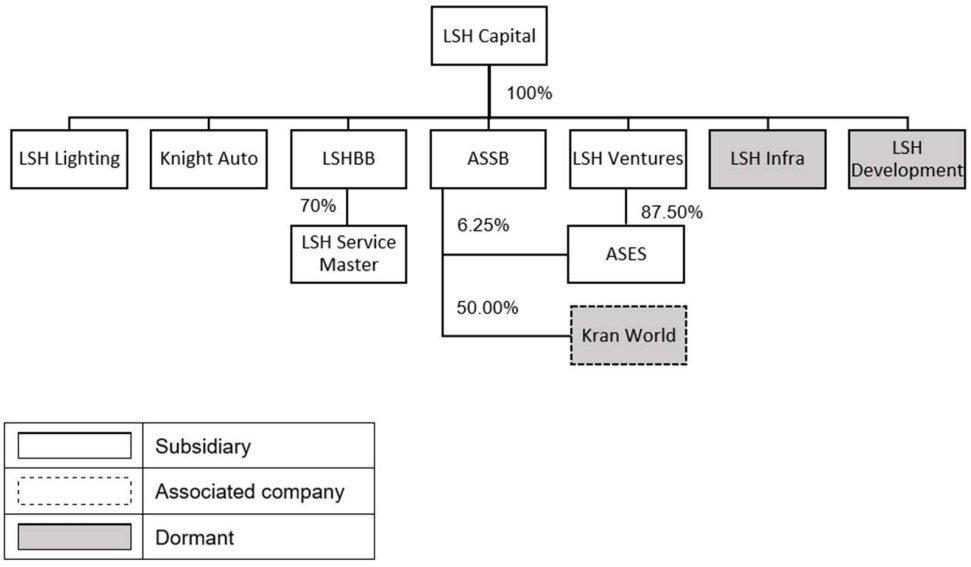
The pro forma consolidated statements of financial position of the Company as at 30 September 2024 (the "Pro Forma Consolidated Statements of Financial Position") together with the notes herein, for which the Directors are solely responsible, have been prepared for illustrative purpose only and for inclusion in the Prospectus which shall not be relied upon for any other purposes.

3. BASIS OF PREPARATION

3.1 Group Structure

LSH Capital was incorporated in Malaysia under the Companies Act 2016 as a private limited company on 11 November 2020 under the name of Lim Seong Hai Capital Sdn. Bhd. On 21 May 2021, the Company was converted into a public limited company to facilitate its listing on the LEAP Market of Bursa Securities. The Company was listed on the LEAP Market of Bursa Securities on 30 July 2021.

The corporate structure of the Group as at 30 September 2024 is presented as follows:





NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

3. BASIS OF PREPARATION (CONT'D)

3.2 Accountants' Report

The Pro Forma Consolidated Statements of Financial Position have been compiled by the Directors based on the Accountants' Report for the FYE 30 September 2024, which were prepared in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards, and in a manner consistent with the format of the audited consolidated financial statements and accounting policies adopted by the Group.

The Accountants' Report used in the preparation of the Pro Forma Consolidated Statements of Financial Position was not subject to any audit qualification, modification or disclaimer of opinion.

3.3 Applicable Criteria

The Pro Forma Consolidated Statements of Financial Position together with the accompanying notes herein, have been prepared solely to illustrate the impact of the events or transactions as set out in Notes 4 and 5 herein on the financial position of the Group as if such events or transactions had taken place on 30 September 2024. Material and appropriate adjustments have also been made in the preparation of the Pro Forma Consolidated Statements of Financial Position.

The Pro Forma Consolidated Statements of Financial Position are not necessarily indicative of the financial position of the Group that would have been attained as if the events and transactions as set out in Notes 4 and 5 actually occurred on 30 September 2024. The Pro Forma Consolidated Statements of Financial Position have been prepared for illustrative purpose only, and because of their nature, may not give a true picture of the actual effects of the events and transactions on the Group's financial position. Further, such financial information does not purport to predict the future financial position of the Group.

4. MATERIAL SUBSEQUENT EVENT OCCURRED AFTER 30 SEPTEMBER 2024

On 13 December 2024, an interim single-tier dividend of 1.94 sen per Share amounting to approximately RM13.70 million in respect of the FYE 30 September 2024 was paid to the shareholders of the Company.

Save as disclosed above, there is no material subsequent event which occurred after 30 September 2024 and up to 31 January 2025, being the latest practicable date prior to the date of this report ("LPD").

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Chartered Accountants

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

5. LISTING SCHEME

The following proposals are undertaken in conjunction with, and as an integral part of the ACE Listing:

5.1 Public Issue

The Public Issue involves the offering of 132,000,000 Issue Shares, representing approximately 15.74% of the enlarged issued Shares of the Company, at the Offering Price and will be allocated in the following manner:

(i) Malaysian Public

16,767,200 Issue Shares, representing approximately 2.00% of the enlarged issued Shares, will be made available for application by the Malaysian Public through a balloting process, of which 8,383,600 Issue Shares will be set aside for application by Bumiputera investors including individuals, companies, cooperatives, societies and institutions.

(ii) Eligible Persons

12,575,400 Issue Shares, representing approximately 1.50% of the enlarged issued Shares, will be reserved for application by the Eligible Persons.

(iii) Bumiputera investors approved by the MITI

102,657,400 Issue Shares, representing approximately 12.24% of the enlarged issued Shares, will be made available for application by way of private placement to identified Bumiputera investors approved by the MITI.

The proceeds to be raised from the Public Issue of RM116.16 million will be used for the working capital for the Group's construction projects and defrayment of listing expenses as detailed in Note 6.3 below.

5.2 Offer for Sale

The Selling Shareholders are offering up to 59,000,000 Offer Shares, representing up to approximately 8.35% of the existing issued Shares as at the date of this report and approximately 7.04% of the enlarged issued shares of the Company at the Offering Price, by way of private placement to identified Bumiputera investors approved by MITI as well as other institutional and selected investors.

For the avoidance of doubt, the Offer for Sale has no financial impact on the Group.

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Chartered Accountants

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

6. PRO FORMA ADJUSTMENTS TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

6.1 Pro Forma I

Pro Forma I incorporates the effects of the Material Subsequent Event as set out in Note 4 above.

6.2 Pro Forma II

Pro Forma II incorporates the effects of Pro Forma I and the Public Issue as set out in Note 5.1 above.

6.3 Pro Forma III

Pro Forma III incorporates the effects of Pro Forma II and the utilisation of proceeds from the Public Issue. The proceeds from the Public Issue will be utilised in the following manner:

Purpose	Note	RM'000	Estimated timeframe for use of proceeds upon completion of the Transfer of Listing
Working capital for the Group's construction projects	(i)	108,860	Within 24 months
Estimated expenses in relation to the Transfer of Listing	(ii)	7,300	Within one (1) month
Total		**116,160**	

(i) The proceeds amounting to RM108.86 million are intended to be used to fund the working capital for the Group's construction projects in the following manner:

Type of project	***RM'000***
Residential and mixed development construction projects	*78,860*
Infrastructure construction and civil engineering work projects	*20,000*
Future construction project(s)	*10,000*
Total	***108,860***

As at LPD, the RM108.86 million earmarked for the working capital for the Group's construction projects is not supported by any contractual binding arrangement. Accordingly, such use of proceeds is not reflected in the Pro Forma Consolidated Statements of Financial Position and is remained in the cash and bank balances.

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NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

6. PRO FORMA ADJUSTMENTS TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

6.3 Pro Forma III (Cont'd)

(ii) The expenses in relation to the Transfer of Listing are estimated to be about RM7.30 million, the details of which are as follows:

Purpose	***RM'000***
Estimated professional fees	*3,590*
Estimated fees payable to authorities	*86*
Estimated brokerage, underwriting and placement fees	*2,858*
Estimated expenses for extraordinary general meeting, printing and advertising expenses	*601*
Estimated other miscellaneous expenses and contingencies	*165*
Total	***7,300***

Of the total estimated expenses to be incurred in relation to the Transfer of Listing of RM7.30 million, a total of approximately RM3.42 million is assumed to be directly attributable to the issuance of new Shares under the Public Issue and therefore will be set off against the share capital of the Company, while the remaining RM3.88 million will be charged to the consolidated statements of profit or loss and other comprehensive income of the Company. For information, as at 30 September 2024, approximately RM2.21 million has been charged to the consolidated statements of profit or loss and other comprehensive income of the Company and the said amount has been fully paid.

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LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

7. EFFECTS ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

7.1 Cash and bank balances

	Note	RM'000
Audited as at 30 September 2024		40,143
Dividends paid	4	(13,703)
As per Pro Forma I		26,440
Pursuant to the Public Issue	5.1	116,160
As per Pro Forma II		142,600
Pursuant to utilisation of proceeds:		
- Estimated expenses for the Transfer of listing	6.3(ii)	(5,090)
As per Pro Forma III		137,510

7.2 Share capital

	Note	Number of Shares '000	Share capital RM'000
Audited as at 30 September 2024 and as per Pro Forma I		706,360	334,768
Pursuant to Public Issue	5.1	132,000	116,160
As per Pro Forma II		838,360	450,928
Pursuant to utilisation of proceeds:			
- Estimated expenses for the Transfer of listing	6.3(ii)	-	(3,423)
As per Pro Forma III		838,360	447,505

7.3 Retained profits

	Note	RM'000
Audited as at 30 September 2024		170,160
Dividends paid	4	(13,703)
As per Pro Forma I and II		156,457
Pursuant to utilisation of proceeds:		
- Estimated expenses for the Transfer of listing	6.3(ii)	(1,667)
As per Pro Forma III		154,790

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Appendix A

LIM SEONG HAI CAPITAL BERHAD

APPROVAL BY THE BOARD OF DIRECTORS

Approved and adopted by the Board of Directors of Lim Seong Hai Capital Berhad in accordance with a resolution dated 12 February 2025.

On behalf of the Board of Directors,

Datuk Lim Keng Guan **Lim Pak Lian**

11.12 DIVIDEND POLICY

It is the policy of our Board in recommending dividends to allow shareholders to participate in our profits, as well as to retain adequate reserves for our future growth. As part of this policy, we undertake to achieve a dividend payout ratio of 30% of our consolidated profit attributable to the owners of our Company for each financial year after taking into account the capital expenditure and working capital requirements of our Group. The declaration and payment of any dividend is also subject to the recommendation and/or approval of our Board as well as any applicable law, license conditions and contractual obligations and provided that such distribution will not be detrimental to our Group's cash requirements or any plans approved by our Board.

The dividends declared and paid by our Company to our shareholders for the Financial Years Under Review and the corresponding dividend payout ratio are as follows:

	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	(RM'000)	**(RM'000)**	**(RM'000)**	**(RM'000)**
PAT attributable to owners of our Company	7,930	41,812	58,888	74,331
Dividends declared and paid	2,343	12,568	17,730	22,321
Dividend payout ratio (%)[1]	[2]29.55	30.06	30.11	30.03

Notes:

(1) Computed based on dividends declared and paid over PAT attributable to owners of our Company for each financial year.

(2) The dividend payout rate for the FYE 2021 was marginally lower than our dividend payout policy of 30% as the dividend declared was based on the unaudited PAT attributable to owners of our Company of approximately RM7.72 million.

As at LPD, there is no outstanding dividends declared but remained unpaid. Subsequent to LPD and up to the date of this Prospectus, there is also no dividend declared, made or paid by our Company. There is also no dividend proposed to be paid by our Company before the completion of the Transfer of Listing.

Notwithstanding our dividend policy as mentioned above, as we are a holding company, our ability to declare and pay dividends or make other distributions to our shareholders are dependent upon the dividends we receive from our subsidiaries, present and future. The payment of dividends by our subsidiaries is dependent upon various factors, including but not limited to, their distributable profits, financial performance, and cash flow requirements for operations and capital expenditures, as well as other factors that their respective boards of directors deem relevant. Save for certain restrictive covenants from our credit facilities, which our subsidiaries are subject to, there is no other dividend restriction imposed on our subsidiaries as at LPD.

11. FINANCIAL INFORMATION *(Cont'd)*

The actual dividend that our Board may recommend or declare in any particular financial year will be subject to various factors, such as having profits and excess funds, which are not required to be retained to fund our business. Our Board will consider the following factors (which may not be exhaustive) when recommending dividends for approval by our shareholders or when declaring any interim dividends:

(i) the level of cash and indebtedness;

(ii) the required and expected interest expense, cash flows, profits, return on equity and retained earnings;

(iii) our expected financial performance and working capital requirements;

(iv) our projected levels of capital expenditure and other investment plans;

(v) any restrictive covenants contained in our current and future financing arrangements;

(vi) the prior consent from our lenders, if required; and

(vii) any material impact of tax laws and other regulatory requirements.

Subject to the Act, our Company may from time to time declare and pay dividends or make other distributions. However, no dividend or distribution shall be declared in excess of the amount recommended by our Board. Furthermore, under the Act, our Company is not allowed to declare or pay dividend or make a distribution out of contributed surplus, if there are reasonable grounds to believe that:

(a) our Company is, or would after the payment of such dividend or other distributions be unable to pay its liabilities as they become due; or

(b) the realisable value of our Company's assets would thereby be less than its liabilities.

Investors should note that our Company's dividend policy merely describes our present intention and shall not constitute legally binding statements in respect of our future dividends which are subject to modification (including non-declaration thereof) at our Board's discretion. There can be no assurance that we will be able to pay dividends or that our Board will declare dividends in the future. There can also be no assurance that future dividends declared by our Board, if any, will not differ materially from historical dividend levels.

No inference should or can be made from any of the foregoing statements as to our actual future profitability or our ability to pay dividends in the future.

11.13 CAPITALISATION AND INDEBTEDNESS

The table below summarises our capitalisation and indebtedness as at 31 December 2024 and the pro forma capitalisation and indebtedness of our Group which has been prepared on the assumption that our Public Offering and the use of proceeds to be raised from the Public Issue had occurred on 31 December 2024:

		Pro Forma I	Pro Forma II
	Unaudited as at 31 December 2024	**After our Public Offering**	**After Pro forma I and utilisation of proceeds**
	(RM'000)	**(RM'000)**	**(RM'000)**
Capitalisation			
Shareholders' equity	480,119	596,279	591,189
Total capitalisation	**480,119**	**596,279**	**591,189**
Indebtedness			
Current			
Secured and guaranteed			
Term loans	15,904	15,904	15,904
Hire purchase payables	566	566	566
Bankers' acceptances	10,318	10,318	10,318
Unsecured and unguaranteed			
Lease liabilities	1,858	1,858	1,858
Contingent liabilities			
Corporate guarantees	26,390	26,390	26,390
Non-current			
Secured and guaranteed			
Term loans	9,743	9,743	9,743
Hire purchase payables	1,272	1,272	1,272
Unsecured and unguaranteed			
Lease liabilities	2,449	2,449	2,449
Total indebtedness	**68,500**	**68,500**	**68,500**
Total capitalisation and indebtedness	**548,619**	**664,779**	**659,689**
Gearing ratio (times)(1)	**0.14**	**0.11**	**0.12**

Note:

(1) Computed based on total indebtedness over total capitalisation.

12. ACCOUNTANTS' REPORT

Crowe Malaysia PLT
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12 February 2025

The Board of Directors
LIM SEONG HAI CAPITAL BERHAD
12th Floor, Menara Symphony
No. 5, Jalan Prof. Khoo Kay Kim
Seksyen 13, 46200 Petaling Jaya
Selangor Darul Ehsan
Malaysia

Dear Sirs,

REPORTING ACCOUNTANTS' OPINION ON THE CONSOLIDATED FINANCIAL STATEMENTS CONTAINED IN THE ACCOUNTANTS' REPORT OF LIM SEONG HAI CAPITAL BERHAD ("THE COMPANY")

OPINION

We have audited the consolidated financial statements of Lim Seong Hai Capital Berhad and its subsidiaries (collectively referred to as the "Group") which comprise the consolidated statements of financial position as at 30 September 2021, 30 September 2022, 30 September 2023 and 30 September 2024, consolidated statements of profit or loss and other comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows of the Group for each of the financial years ended ("FYE") 30 September 2021, 30 September 2022, 30 September 2023 and 30 September 2024, and notes to the consolidated financial statements, including material accounting policy information as set out on pages 4 to 115.

The historical financial information has been prepared for inclusion in the prospectus of the Group in connection with the public offering and listing of and quotation for the entire issued share capital of the Group on the ACE Market of Bursa Malaysia Securities Berhad. This report is required by the Prospectus Guidelines issued by the Securities Commission Malaysia ("SC") (the "Prospectus Guidelines") and is given for the purpose of complying with Chapter 10, Part II, Division 1: Equity of the Prospectus Guidelines and for no other purpose.

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at 30 September 2021, 30 September 2022, 30 September 2023 and 30 September 2024 and of their financial performance and their cash flows for the FYE 30 September 2021, FYE 30 September 2022, FYE 30 September 2023 and FYE 30 September 2024 in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

BASIS FOR OPINION

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Reporting Accountants' Responsibilities for the Audit of Consolidated Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code")*, and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Crowe Malaysia PLT is a member of Crowe Global, a Swiss verein. Each member firm of Crowe Global is a separate and independent legal entity. Crowe Malaysia PLT and its affiliates are not responsible or liable for any acts or omissions of Crowe Global or any other member of Crowe Global. Crowe Global does not render any professional services and does not have an ownership or partnership interest in Crowe Malaysia PLT.

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DIRECTORS' RESPONSIBILITIES FOR THE CONSOLIDATED FINANCIAL STATEMENTS

The Directors of the Company ("Directors") are responsible for the preparation of consolidated financial statements of the Group that gives a true and fair view in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of consolidated financial statements of the Group that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements of the Group, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

REPORTING ACCOUNTANTS' RESPONSIBILITIES FOR THE AUDIT OF CONSOLIDATED FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue a report that includes our opinion. Reasonable assurance is a high level of assurance, but not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:-

- Identify and assess the risks of material misstatement of the consolidated financial statements of the Group, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our report to the related disclosures in the financial statements of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our report. However, future events or conditions may cause the Group to cease to continue as a going concern.

Crowe Malaysia PLT is a member of Crowe Global, a Swiss verein. Each member firm of Crowe Global is a separate and independent legal entity. Crowe Malaysia PLT and its affiliates are not responsible or liable for any acts or omissions of Crowe Global or any other member of Crowe Global. Crowe Global does not render any professional services and does not have an ownership or partnership interest in Crowe Malaysia PLT.

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REPORTING ACCOUNTANTS' RESPONSIBILITIES FOR THE AUDIT OF CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also (Cont'd):-

- Evaluate the overall presentation, structure and content of the consolidated financial statements of the Group, including the disclosures, and whether the consolidated financial statements of the Group represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

RESTRICTION ON DISTRIBUTION AND USE

This report is made solely to the Company to comply with the Prospectus Guidelines and for inclusion in the prospectus in relation to the public offering and listing of and quotation for the entire issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad. As such, this report should not be used for any other purpose without our prior written consent. We do not assume responsibility to any other person for the content of this report.

Crowe Malaysia PLT
201906000005 (LLP0018817-LCA) & AF 1018
Chartered Accountants

Choong Kok Keong
03461/11/2025 J
Chartered Accountant

Kuala Lumpur

12 FEB 2025

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LIM SEONG HAI CAPITAL BERHAD

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	Note	Audited As at 30 September 2021 RM	2022 RM	2023 RM	2024 RM
ASSETS					
NON-CURRENT ASSETS					
Investment in an associate	4	-	-	1,381,667	1,273,701
Property, plant and equipment	5	6,880,754	13,955,678	29,996,232	31,590,514
Investment properties	6	-	-	3,692,024	3,671,121
Right-of-use assets	7	3,273,853	3,248,704	3,663,755	1,936,097
Intangible assets		-	757,697	454,619	303,080
Deferred tax assets	8	-	265,446	1,924,098	2,171,571
Goodwill	9	-	-	148,967,108	148,967,108
		10,154,607	18,227,525	190,079,503	189,913,192
CURRENT ASSETS					
Project-in-progress		-	16,451	-	-
Inventories	10	9,849,002	12,220,943	167,576,797	171,733,603
Trade receivables	11	29,256,895	66,534,084	115,022,094	99,180,566
Other receivables, deposits and prepayments	12	913,059	4,399,439	18,036,893	8,467,477
Contract assets	13	222,298	8,637,683	69,410,378	123,849,473
Current tax assets		328,754	469,546	851,012	-
Fixed deposits with licensed banks	14	4,609,148	16,166,877	14,823,474	8,595,354
Cash and bank balances		10,765,896	28,049,027	13,874,284	40,142,649
		55,945,052	136,494,050	399,594,932	451,969,122
TOTAL ASSETS		66,099,659	154,721,575	589,674,435	641,882,314

LIM SEONG HAI CAPITAL BERHAD

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

		Audited As at 30 September			
		2021	2022	2023	2024
	Note	RM	RM	RM	RM
EQUITY AND LIABILITIES					
EQUITY					
Share capital	15	36,580,324	37,000,324	334,768,002	334,768,002
Merger deficit	16	(29,618,571)	(29,618,571)	(29,618,571)	(29,618,571)
Retained profits		36,388,811	72,118,862	115,678,222	170,160,374
Equity attributable to owners of the Company		43,350,564	79,500,615	420,827,653	475,309,805
Non-controlling interests		-	-	55,845	8,559
TOTAL EQUITY		43,350,564	79,500,615	420,883,498	475,318,364
NON-CURRENT LIABILITIES					
Term loans	17	422,509	354,453	7,379,594	8,729,349
Lease liabilities	18	2,470,774	2,433,224	2,124,199	432,377
Hire purchase payables	19	357,798	523,715	519,545	1,185,366
Deferred tax liabilities	8	478,646	1,122,701	1,732,238	1,907,741
		3,729,727	4,434,093	11,755,576	12,254,833
CURRENT LIABILITIES					
Trade payables	20	7,392,639	20,401,896	84,689,659	64,157,592
Other payables and accruals	21	1,459,921	23,115,153	38,520,365	16,766,638
Contract liabilities	13	15,495	16,948,352	22,133,460	33,503,750
Term loans	17	66,050	68,399	1,983,523	17,469,387
Lease liabilities	18	868,323	1,224,326	2,037,234	1,788,718
Hire purchase payables	19	350,066	608,909	928,443	503,755
Bankers' acceptances	22	8,456,677	2,224,000	3,230,000	12,098,597
Current tax liabilities		410,197	6,195,832	3,512,677	8,020,680
		19,019,368	70,786,867	157,035,361	154,309,117
TOTAL LIABILITIES		22,749,095	75,220,960	168,790,937	166,563,950
TOTAL EQUITY AND LIABILITIES		66,099,659	154,721,575	589,674,435	641,882,314

LIM SEONG HAI CAPITAL BERHAD

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

		Audited FYE 30 September			
	Note	2021 RM	2022 RM	2023 RM	2024 RM
REVENUE	23	67,415,934	165,866,469	357,754,792	361,405,179
COST OF SALES		(50,138,324)	(98,346,720)	(254,282,435)	(233,218,239)
GROSS PROFIT		17,277,610	67,519,749	103,472,357	128,186,940
OTHER INCOME		357,793	1,755,625	1,295,702	930,173
SELLING AND MARKETING EXPENSES		(520,880)	(663,348)	(2,306,286)	(3,837,468)
ADMINISTRATIVE EXPENSES		(4,842,076)	(9,417,364)	(17,594,600)	(26,202,384)
OTHER EXPENSES		(1,206,579)	(1,838,389)	(3,427,323)	(3,352,620)
FINANCE COSTS		(200,858)	(277,075)	(1,102,430)	(2,335,052)
(LOSS ALLOWANCE)/REVERSAL OF LOSS ALLOWANCE ON FINANCIAL ASSETS AND CONTRACT ASSETS	24	-	(2,013,033)	(4,604,711)	4,362,011
SHARE OF LOSS OF EQUITY ACCOUNTED ASSOCIATE		-	-	(9,132)	(7,966)
PROFIT BEFORE TAXATION	25	10,865,010	55,066,165	75,723,577	97,743,634
INCOME TAX EXPENSE	26	(2,934,766)	(13,254,339)	(16,840,332)	(23,460,346)
PROFIT AFTER TAXATION		7,930,244	41,811,826	58,883,245	74,283,288
OTHER COMPREHENSIVE INCOME		-	-	-	-
TOTAL COMPREHENSIVE INCOME		7,930,244	41,811,826	58,883,245	74,283,288

LIM SEONG HAI CAPITAL BERHAD

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME (CONT'D)

	Note	Audited FYE 30 September 2021 RM	2022 RM	2023 RM	2024 RM
PROFIT/(LOSS) AFTER TAXATION ATTRIBUTABLE TO:-					
Owners of the Company		7,930,244	41,811,826	58,887,797	74,330,874
Non-controlling interests		-	-	(4,552)	(47,586)
		7,930,244	41,811,826	58,883,245	74,283,288
TOTAL COMPREHENSIVE INCOME/(EXPENSES) ATTRIBUTABLE TO:-					
Owners of the Company		7,930,244	41,811,826	58,887,797	74,330,874
Non-controlling interests		-	-	(4,552)	(47,586)
		7,930,244	41,811,826	58,883,245	74,283,288
EARNINGS PER SHARE (SEN)					
Basic	27(a)	2.38	11.76	11.45	10.52
Diluted	27(b)	2.38	11.76	11.45	10.52

LIM SEONG HAI CAPITAL BERHAD

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Note	Share Capital RM	Merger Deficit RM	Retained Profits RM	Total Equity RM
Audited					
Balance at 1 October 2020 *		2,300,000	-	28,458,567	30,758,567
Contribution by and distribution to the owners of the Company:					
- Issuance of shares	15	34,280,324	(29,618,571)	-	4,661,753
Profit after taxation/Total comprehensive income for the financial year		-	-	7,930,244	7,930,244
Balance at 30 September 2021		36,580,324	(29,618,571)	36,388,811	43,350,564
Audited					
Balance at 1 October 2021		36,580,324	(29,618,571)	36,388,811	43,350,564
Contribution by and distribution to the owners of the Company:					
- Issuance of shares	15	420,000	-	-	420,000
- Dividends paid	29	-	-	(6,081,775)	(6,081,775)
		420,000	-	(6,081,775)	(5,661,775)
Profit after taxation/Total comprehensive income for the financial year		-	-	41,811,826	41,811,826
Balance at 30 September 2022		37,000,324	(29,618,571)	72,118,862	79,500,615

Note:

* As explained in Note 3.3 to the consolidated financial statements the figures as at 1 October 2020 in the Group's financial statements are presented as if the merger had occurred before the start of the earliest period presented.

LIM SEONG HAI CAPITAL BERHAD

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONT'D)

	Note	Share Capital RM	Merger Deficit RM	Retained Profits RM	Attributable to Owners of the Company RM	Non-controlling Interests RM	Total Equity RM
Audited							
Balance at 1 October 2022		37,000,324	(29,618,571)	72,118,862	79,500,615	-	79,500,615
Contribution by and distribution to the owners of the Company:							
- Issuance of shares	15	297,767,678	-	-	297,767,678	-	297,767,678
- Dividends paid	29	-	-	(15,328,437)	(15,328,437)	-	(15,328,437)
		297,767,678	-	(15,328,437)	282,439,241	-	282,439,241
Profit/(Loss) after taxation/Total comprehensive income/(expenses) for the financial year		-	-	58,887,797	58,887,797	(4,552)	58,883,245
Acquisition of subsidiaries	28	-	-	-	-	60,397	60,397
Balance at 30 September 2023		334,768,002	(29,618,571)	115,678,222	420,827,653	55,845	420,883,498

LIM SEONG HAI CAPITAL BERHAD

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONT'D)

	Note	Share Capital RM	Merger Deficit RM	Retained Profits RM	Attributable to Owners of the Company RM	Non-controlling Interests RM	Total Equity RM
Audited							
Balance at 1 October 2023		334,768,002	(29,618,571)	115,678,222	420,827,653	55,845	420,883,498
Contribution by and distribution to the owners of the Company:							
- Dividends paid	29	-	-	(19,848,722)	(19,848,722)	-	(19,848,722)
Profit/(Loss) after taxation/Total comprehensive income/(expenses) for the financial year		-	-	74,330,874	74,330,874	(47,586)	74,283,288
Acquisition of subsidiaries	28	-	-	-	-	300	300
Balance at 30 September 2024		334,768,002	(29,618,571)	170,160,374	475,309,805	8,559	475,318,364

LIM SEONG HAI CAPITAL BERHAD

CONSOLIDATED STATEMENTS OF CASH FLOWS

		Audited FYE 30 September			
	Note	2021 RM	2022 RM	2023 RM	2024 RM
CASH FLOWS (FOR)/FROM OPERATING ACTIVITIES					
Profit before taxation		10,865,010	55,066,165	75,723,577	97,743,634
Adjustments for:-					
Amortisation of intangible assets		-	-	303,078	151,539
Depreciation:					
- property, plant and equipment		785,479	1,670,687	3,584,425	4,263,216
- investment properties		-	-	9,086	20,903
- right-of-use assets		838,648	1,153,358	1,794,356	1,704,828
Inventories written down		146,005	80,610	405,956	1,299
Interest expense		200,858	291,644	1,108,186	2,431,150
Loss allowance:					
- trade receivables		-	2,013,033	2,878,170	353,850
- other receivables		-	-	-	677,547
- contract assets		-	-	1,726,541	410,767
Property, plant and equipment written off		-	56,365	910	456
Bargain purchase gain on acquisition of a subsidiary		-	(1,018,959)	-	-
Gain on disposal of property, plant and equipment		(580)	(10,974)	(94,270)	(37,679)
Gain on reassessment of lease liabilities		(12,325)	(68,695)	(1,296)	(23,562)
Interest income		(165,121)	(266,300)	(458,542)	(275,592)
Reversal of inventories previously written down		(274,891)	(67,963)	(80,610)	(57,697)
Reversal of loss allowance:					
- trade receivables		-	-	-	(5,214,407)
- contract assets		-	-	-	(589,768)
Share of net loss of equity accounted associates		-	-	-	7,966
Operating profit before working capital changes carried forward		12,383,083	58,898,971	86,899,567	101,568,450

LIM SEONG HAI CAPITAL BERHAD

CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)

	Note	Audited FYE 30 September 2021 RM	2022 RM	2023 RM	2024 RM
Operating profit before working capital changes brought forward		12,383,083	58,898,971	86,899,567	101,568,450
(Increase)/Decrease in project-in-progress		-	(16,451)	16,451	-
Decrease/(Increase) in inventories		656,126	(2,384,588)	(3,210,405)	(4,100,408)
(Increase)/Decrease in trade and other receivables		(15,364,993)	(6,325,771)	(53,561,823)	29,593,954
Increase in contract assets		(215,948)	(8,415,385)	(13,383,732)	(54,260,094)
(Decrease)/Increase in trade and other payables		(4,476,226)	17,742,734	36,685,910	(42,285,794)
Increase in contract liabilities		15,495	80,549	4,211,884	11,370,290
CASH (FOR)/FROM OPERATIONS		(7,002,463)	59,580,059	57,657,852	41,886,398
Interest paid		(5,512)	(8,340)	(231,436)	(544,639)
Income tax paid		(3,158,331)	(7,269,291)	(19,072,056)	(18,184,317)
Income tax refunded		-	7,454	-	11,016
NET CASH (FOR)/FROM OPERATING ACTIVITIES		(10,166,306)	52,309,882	38,354,360	23,168,458
CASH FLOWS FOR INVESTING ACTIVITIES					
Dividends received		-	-	-	100,000
Interest income received		165,121	266,300	458,542	275,592
Proceeds from disposal of property, plant and equipment		13,999	103,660	222,166	38,702
Purchase of property, plant and equipment	30(b)	(3,569,997)	(6,832,272)	(11,444,759)	(4,540,477)
Acquisition of subsidiaries, net of cash and cash equivalents acquired	28	-	(3,485,569)	(8,682,468)	300
Withdrawal of fixed deposit		82,569	-	-	-
(Addition)/Withdrawal of fixed deposit with tenure more than 3 months		-	(2,000,000)	2,000,000	-
NET CASH FOR INVESTING ACTIVITIES		(3,308,308)	(11,947,881)	(17,446,519)	(4,125,883)

LIM SEONG HAI CAPITAL BERHAD

CONSOLIDATED STATEMENTS OF CASH FLOWS (CONT'D)

	Note	Audited FYE 30 September 2021 RM	2022 RM	2023 RM	2024 RM
CASH FLOWS FROM/(FOR) FINANCING ACTIVITIES					
Dividends paid		-	(6,081,775)	(15,328,437)	(19,848,722)
Interest paid		(195,346)	(283,304)	(876,750)	(1,579,504)
Drawdown of bankers' acceptances	30(a)	8,456,677	5,944,000	3,230,000	30,371,000
Drawdown of term loans	30(a)	500,000	-	10,166,245	49,768,421
Proceeds from issuance of shares		4,661,753	420,000	-	-
Repayment of bankers' acceptances	30(a)	-	(12,176,677)	(2,224,000)	(21,550,000)
Repayment of lease liabilities	30(a)	(879,142)	(741,061)	(1,540,907)	(1,893,946)
Repayment of term loans	30(a)	(11,441)	(65,707)	(26,494,786)	(33,192,212)
Repayment of hire purchase obligations	30(a)	(178,843)	(536,617)	(1,357,352)	(1,077,367)
(Increase)/Decrease in pledged fixed deposits with licensed banks		-	(7,637,729)	4,148,549	(347,026)
NET CASH FROM/(FOR) FINANCING ACTIVITIES		12,353,658	(21,158,870)	(30,277,438)	650,644
NET (DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS		(1,120,956)	19,203,131	(9,369,597)	19,693,219
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE FINANCIAL YEAR		11,886,852	10,765,896	29,969,027	20,599,430
CASH AND CASH EQUIVALENTS AT END OF THE FINANCIAL YEAR	30(d)	10,765,896	29,969,027	20,599,430	40,292,649

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1. GENERAL INFORMATION

The Company was incorporated on 11 November 2020 as a private limited company and domiciled in Malaysia. The Company is principally engaged in the business of investment holding.

On 21 May 2021, the Company was converted from a private limited company to a public company limited by shares.

On 30 July 2021, the entire issued share capital of the Company was listed on the LEAP Market of Bursa Malaysia Securities Berhad ("Bursa Securities").

The details of the subsidiaries which have their principal place of business and country of incorporated in Malaysia are as follows:-

(a) Lim Seong Hai Lighting Sdn. Bhd. ("LSH Lighting") was incorporated on 24 June 1995 as a private limited company and domiciled in Malaysia and is principally involved in the provision of building materials, as well as lighting products and related mechanical and electrical products and services.

(b) Knight Auto Sdn. Bhd. ("Knight Auto") was incorporated on 29 January 1999 as a private limited company and domiciled in Malaysia and is principally engaged in the provision of hardware and tools and rental of machinery.

(c) LSH Best Builders Sdn. Bhd. ("LSHBB") was incorporated on 12 November 2001 as a private limited company and domiciled in Malaysia and principally involved in the business of construction and provision of construction and business-related services and solutions.

(d) Astana Setia Sdn. Bhd. ("ASSB") was incorporated on 10 October 2010 as a private limited company and domiciled in Malaysia and principally engaged in the business of building construction contractor, property developer and investment holdings.

(e) Lim Seong Hai Ventures Sdn. Bhd. ("LSH Ventures") was incorporated on 30 April 2005 as a private limited company and domiciled in Malaysia and principally engaged in the business of investment holding.

(f) Astana Setia & Euro Saga Sdn. Bhd. ("ASES") was incorporated on 11 October 2002 as a private limited company and domiciled in Malaysia and principally engaged in the business of property development.

(g) LSH Infra Sdn. Bhd. ("LSH Infra") was incorporated on 10 January 2022 as a private limited company and domiciled in Malaysia and it is dormant.

(h) Lim Seong Hai Development Sdn. Bhd. ("LSH Development") was incorporated on 23 February 2022 as a private limited company and domiciled in Malaysia and it is dormant.

(i) Lim Seong Hai Service Master Sdn. Bhd. ("LSH Service Master") was incorporated on 28 June 2024 as a private limited company and domiciled in Malaysia and principally engaged in the business of building and industrial cleaning, tour operator and real estate activities with own or lease property.

LIM SEONG HAI CAPITAL BERHAD

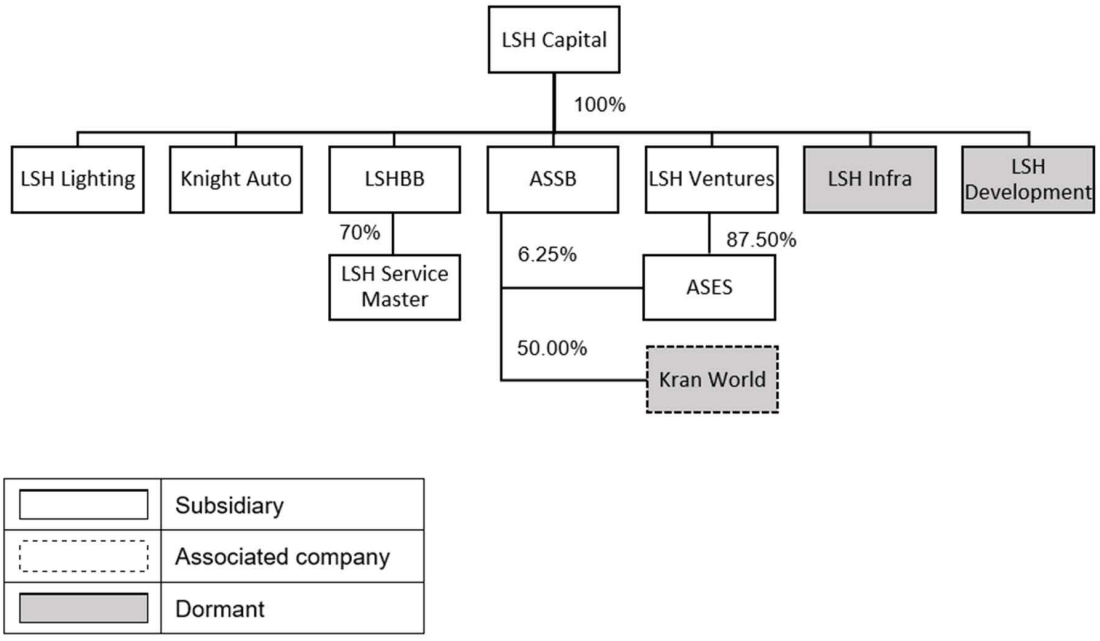
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

1. GENERAL INFORMATION (CONT'D)

The Company and its subsidiaries are collectively defined as "the Group".

The immediate and ultimate holding companies of the Group are Lim Seong Hai Resources Sdn. Bhd. ("LSH Resources") and Lim Seong Hai Holdings Sdn. Bhd. respectively. Both the aforesaid holding companies are incorporated in Malaysia.

The group structure of the Group is as follows:-



2. BASIS OF PREPARATION

The consolidated financial statements for the FYEs 30 September 2021, 30 September 2022, 30 September 2023 and 30 September 2024 are prepared based on the financial statements of the Group.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

2. BASIS OF PREPARATION (CONT'D)

The consolidated financial statements of the Group are the consolidation of all the audited financial statements of the entities in the Group and have been prepared based on the financial statements for the relevant financial years as follows:

Entities	FYE 2021	FYE 2022	FYE 2023	FYE 2024
The Company	√, #, @	√, #	√, #	√, #
LSH Lighting	√, #, @	√, #	√, #	√, #
Knight Auto	√, #, @	√, #	√, #	√, #
LSHBB	*	√, #, α	√, #	√, #
ASSB	*	*	√, #, α	√, #
LSH Ventures	*	*	√, #, α	√, #
ASES	*	*	√, #, α	√, #
LSH Infra	*	√, #, &	√, #	√, #
LSH Development	*	√, #, &	√, #	√, #
LSH Service Master	*	*	*	√, #, &

* No financial statements are available for these entities for the relevant financial years as these entities are neither acquired nor incorporated.

√ The consolidated financial statements of the Group include the financial statements of these entities for the respective financial years.

\# The financial statements have been prepared based on the audited financial statements which were audited by Crowe Malaysia PLT and in compliance with Malaysian Financial Reporting Standards and International Financial Reporting Standards. All the financial statements are audited, and auditors' report expressed an unmodified opinion.

@ During FYE 2021, the Company acquired LSH Lighting and Knight Auto using the merger method of accounting.

α The Company acquired LSHBB, ASSB, LSH Ventures and ASES using the acquisition method of accounting during the relevant financial years.

& These entities are incorporated by the Company during the respective financial years.

All material intra-group transactions and balances have been eliminated on consolidation.

The consolidated financial statements of the Group are prepared under the historical cost convention and modified to include other basis of valuation as disclosed in other sections under material accounting policy information, and in compliance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

2. BASIS OF PREPARATION (CONT'D)

2.1 During the current financial year, the Group has adopted the following new accounting standards and/or interpretations (including the consequential amendments, if any):-

MFRSs and/or IC Interpretations (Including The Consequential Amendments)
MFRS 17 Insurance Contracts
Amendments to MFRS 17 Insurance Contracts
Amendment to MFRS 17: Initial Application of MFRS 17 and MFRS 9 – Comparative Information
Amendments to MFRS 101: Disclosure of Accounting Policies
Amendments to MFRS 108: Definition of Accounting Estimates
Amendments to MFRS 112: Deferred Tax related to Assets and Liabilities arising from a Single Transaction
Amendments to MFRS 112: International Tax Reform - Pillar Two Model Rules

The adoption of the above accounting standards and/or interpretations (including the consequential amendments, if any) did not have any material impact on the financial statements of the Group except as follows:-

Amendments to MFRS 101: Disclosure of Accounting

The Amendments to MFRS 101 'Disclosure of Accounting Policies' did not result in any changes to the existing accounting policies of the Group. However, the amendments require the disclosure of 'material' rather than 'significant' accounting policies and provide guidance on how entities apply the concept of materiality in making decisions about the material accounting policy disclosures. The Group has made updates to the accounting policies presented in Note 3 to the consolidated financial statements in line with the amendments.

2.2 The Group has not applied in advance the following accounting standards and/or interpretations (including the consequential amendments, if any) that have been issued by the Malaysian Accounting Standards Board (MASB) but are not yet effective for the current financial year:-

MFRSs and/or IC Interpretations (Including The Consequential Amendments)	Effective Date
MFRS 18 Presentation and Disclosure in Financial Statements	1 January 2027
MFRS 19 Subsidiaries without Public Accountability: Disclosures	1 January 2027
Amendments to MFRS 9 and MFRS 7: Amendments to the Classification and Measurement of Financial Instruments	1 January 2026
Amendments to MFRS 10 and MFRS 128: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Deferred
Amendments to MFRS 16: Lease Liability in a Sale and Leaseback	1 January 2024
Amendments to MFRS 101: Classification of Liabilities as Current or Non-current	1 January 2024

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

2. BASIS OF PREPARATION (CONT'D)

2.2 The Group has not applied in advance the following accounting standards and/or interpretations (including the consequential amendments, if any) that have been issued by the Malaysian Accounting Standards Board (MASB) but are not yet effective for the current financial year (Cont'd):-

MFRSs and/or IC Interpretations (Including The Consequential Amendments)(Cont'd)	**Effective Date**
Amendments to MFRS 101: Non-current Liabilities with Covenants	1 January 2024
Amendments to MFRS 107 and MFRS 7: Supplier Finance Arrangements	1 January 2024
Amendments to MFRS 121: Lack of Exchangeability	1 January 2025
Annual Improvements to MFRS Accounting Standards – Volume 11	1 January 2026

The adoption of the above accounting standards and/or interpretations (including the consequential amendments, if any) is expected to have no material impact on the financial statements of the Group upon their initial application except as follows:-

MFRS 18 Presentation and Disclosure of Financial Statements

MFRS 18 'Presentation and Disclosure in Financial Statements' will replace MFRS 101 'Presentation of Financial Statements' upon its adoption. This new standard aims to enhance the transparency and comparability of financial information by introducing new disclosure requirements. Specifically, it requires that income and expenses be classified into 3 defined categories: "operating", "investing" and "financing" and introduces 2 new subtotals: "operating profit or loss" and "profit or loss before financing and income tax". In addition, MFRS 18 requires the disclosure of management-defined performance measures and sets out principles for the aggregation and disaggregation of information, which will apply to all primary financial statements and the accompanying notes. The statement of financial position and the statement of cash flows will also be affected. The potential impact of the new standard on the financial statements of the Group has yet to be assessed.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

3. MATERIAL ACCOUNTING POLICY INFORMATION

3.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

Key Sources of Estimation Uncertainty

Management believes that there are no key assumptions made concerning the future, and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year other than as disclosed below:-

(a) Depreciation of Property, Plant and Equipment

The estimates for the residual values, useful lives and related depreciation charges for the property, plant and equipment are based on commercial factors which could change significantly as a result of technical innovations and competitors' actions in response to the market conditions. The Group anticipates that the residual values of its equipment will be insignificant. As a result, residual values are not being taken into consideration for the computation of the depreciable amount. Changes in the expected level of usage and technological development could impact the economic useful lives and the residual values of these assets, therefore future depreciation charges could be revised. The carrying amount of property, plant and equipment as at the reporting date is disclosed in Note 5 to the consolidated financial statements.

(b) Impairment of Goodwill

The assessment of whether goodwill is impaired requires an estimation of the value in use of the cash-generating unit to which the goodwill is allocated. Estimating a value in use amount requires management to make an estimate of the expected future cash flows from the cash-generating unit and also to choose a suitable discount rate in order to calculate the present value of those cash flows. The carrying amount of goodwill as at the reporting date is disclosed in Note 9 to the consolidated financial statements.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

3.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)

Key Sources of Estimation Uncertainty (Cont'd)

(c) Impairment of Investment in an Associate, Property, Plant and Equipment, Investment Properties and Right-of-use Assets

The Group determines whether investment in an associate, property, plant and equipment, investment properties and right-of-use assets are impaired by evaluating the extent to which the recoverable amount of the asset is less than its carrying amount. This evaluation is subject to changes such as market performance, economic and political situation of the country. A variety of methods is used to determine the recoverable amount, such as valuation reports and discounted cash flows. The carrying amounts of investment in an associate, property, plant and equipment, investment properties and right-of-use assets as at the reporting date are disclosed in Note 4, Note 5, Note 6 and Note 7 to the consolidated financial statements respectively.

(d) Write-down of Inventories

Reviews are made periodically by management on damaged, obsolete and slow-moving inventories. These reviews require judgement and estimates. Possible changes in these estimates could result in revisions to the valuation of inventories. The carrying amount of inventories as at the reporting date is disclosed in Note 10 to the consolidated financial statements.

(e) Impairment of Trade Receivables and Contract Assets

The Group uses the simplified approach to estimate a lifetime expected credit loss allowance for trade receivables and contract assets. The contract assets are grouped with trade receivables for impairment assessment because they have substantially the same risk characteristics as the trade receivables for the same types of contracts. The Group develops the expected loss rates based on the payment profiles of past sales and the corresponding historical credit losses, and adjusts for qualitative and quantitative reasonable and supportable forward-looking information. If the expectation is different from the estimation, such difference will impact the carrying value of trade receivables and contract assets. The carrying amounts of trade receivables and contract assets as at the reporting date are disclosed in Note 11 and Note 13 to the consolidated financial statements respectively.

(f) Impairment of Non-Trade Receivables

The loss allowances for non-trade financial assets are based on assumptions about risk of default (probability of default) and expected loss if a default happens (loss given default). It also requires the Group to assess whether there is a significant increase in credit risk of the non-trade financial asset at the reporting date. The Group uses judgement in making these assumptions and selecting appropriate inputs to the impairment calculation, based on the past payment trends, existing market conditions as well as forward-looking information. The carrying amount of other receivables as at the reporting date is disclosed in Note 12 to the consolidated financial statements.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

3.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)

Key Sources of Estimation Uncertainty (Cont'd)

(g) Revenue Recognition for Construction Contracts

The Group recognises certain construction revenue by reference to the construction progress using the input method, determined based on the proportion of construction costs incurred for work performed to date over the estimated total construction costs. The total estimated costs are based on approved budgets, which require assessment and judgement to be made on changes in, for example, work scope, changes in costs and costs to completion. In making the judgement, management relies on past experience and the work of specialists. The revenue for construction contracts is disclosed in Note 23 to the consolidated financial statements.

(h) Revenue Recognition of Property Development Activities

The Group recognises property development revenue as and when the control of the asset is transferred to a customer and it is probable that the Group will collect the consideration to which it will be entitled. The control of the asset may transfer over time or at a point in time depending on the terms of the contract with the customer and applicable laws governing the contract.

When the control of the asset is transferred over time, the Group recognises property development revenue and costs by reference to the progress towards complete satisfaction of the performance obligation at the end of the reporting period. This is measured based on the Group's efforts or budgeted inputs to the satisfaction of the performance obligation. Significant judgement is required in determining the completeness and accuracy of the budgets and the extent of the costs incurred. Substantial changes in property development cost estimates in the future can have a significant effect on the Group's results. In making the judgement, the Group evaluates and relies on past experience and works of specialists. The revenue from property development is disclosed in Note 23 to the consolidated financial statements.

(i) Income Taxes

There are certain transactions and computations for which the ultimate tax determination may be different from the initial estimate. The Group recognises tax liabilities based on its understanding of the prevailing tax laws and estimates of whether such taxes will be due in the ordinary course of business. Where the final outcome of these matters is difference will impact the income tax expense and deferred tax balances in the period in which such determination is made. The carrying amount of the Group's current tax assets as at the reporting date is Nil (2023 - RM851,012, 2022 - RM469,546 and 2021 - RM328,754) and the carrying amount of the Group's current tax liabilities as at the reporting date is RM8,020,680 (2023 - RM3,512,677, 2022 - RM6,195,832 and 2021 - RM410,197).

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

3.1 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)

Key Sources of Estimation Uncertainty (Cont'd)

(j) Deferred Tax Assets

Deferred tax assets are recognised for all deductible temporary differences to the extent that it is probable that future taxable profits would be available against which the deductible temporary differences could be utilised. Management judgement is required to determine the amount of deferred tax assets that can be recognised, based on the assessment of the probability of the future taxable profits. The carrying amount of deferred tax assets as at the reporting date is disclosed in Note 8 to the consolidated financial statements.

(k) Purchase Price Allocation

Purchase prices related to business combinations are allocated to the underlying acquired assets and liabilities based on their estimated fair value at the time of acquisition. The determination of fair value required the Group to make assumptions, estimates and judgements regarding future events. The allocation proves is inherently subjective and impacts the amount assigned to individually identifiable assets and liabilities. As a result, the purchase price allocation impacts the Group's reported assets (including goodwill) and liabilities, future net earnings due to the impact on future depreciation and amortisation expense and impairment tests. The fair values of the assets acquired and liabilities assumed under the business combinations made during the current financial year are disclosed in Note 28 to the consolidated financial statements.

(l) Discount Rates used in Leases

Where the interest rate implicit in the lease cannot be readily determined, the Group uses the incremental borrowing rate to measure the lease liabilities. The incremental borrowing rate is the interest rate that the Group would have to pay to borrow over a similar term, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. Therefore, the incremental borrowing rate requires estimation particularly when no observable rate are available or when they need to be adjusted to reflect the terms and condition of the lease. The Group estimates the incremental borrowing rate using observable inputs when available and is required to make certain entity-specific estimates.

Critical Judgements Made in Applying Accounting Policies

Management believes that there are no instances of application of critical judgement in applying the Group's accounting policies which will have a significant effect on the amounts recognised in the financial statements other than as disclosed below:-

Lease Terms

Some leases contain extension options exercisable by the Group before the end of the non-cancellable contract period. In determining the lease term, management considers all facts and circumstances including the past practice and any cost that will be incurred to change the asset if an option to extend is not taken. An extension option is only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

3.2 FINANCIAL INSTRUMENTS

(a) Financial Assets

Financial Assets Through Profit or Loss

The financial assets are initially measured at fair value. Subsequent to the initial recognition, the financial assets are remeasured to their fair values at the reporting date with fair value changes recognised in profit or loss. The fair value changes do not include interest and dividend income.

Financial Assets at Amortised Cost

The financial assets are initially measured at fair value plus transaction costs except for trade receivables without significant financing component which are measured at transaction price only. Subsequent to the initial recognition, all financial assets are measured at amortised cost less any impairment losses.

Financial Assets Through Other Comprehensive Income

The Group has elected to designate the equity instruments as financial assets through other comprehensive income at initial recognition.

The financial assets are initially measured at fair value plus transaction costs. Subsequent to the initial recognition, the financial assets are remeasured to their fair values at the reporting date with fair value changes taken up in other comprehensive income and accumulated in the fair value reserve, except for the recognition of impairment, interest income and foreign exchange difference of a debt instrument which are recognised directly in profit or loss. The fair value changes do not include interest and dividend income.

(b) Financial Liabilities

Financial Liabilities Through Profit or Loss

The financial liabilities are initially measured at fair value. Subsequent to the initial recognition, the financial liabilities are remeasured to their fair values at the reporting date with fair value changes recognised in profit or loss. The fair value changes do not include interest expense.

Financial Liabilities at Amortised Cost

The financial liabilities are initially measured at fair value less transaction costs. Subsequent to the initial recognition, the financial liabilities are measured at amortised cost.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

3.2 FINANCIAL INSTRUMENTS (CONT'D)

(c) Equity

Ordinary Shares

Ordinary shares are recorded on initial recognition at the proceeds received less directly attributable transaction costs incurred. The ordinary shares are not remeasured subsequently.

(d) Financial Guarantee Contracts

Financial guarantee contracts are recognised initially as liabilities at fair value, net of transaction costs. Subsequent to the initial recognition, the financial guarantee contracts are recognised as income in profit or loss over the period of the guarantee or, when there is no specific contractual period, recognised in profit or loss upon discharge of the guarantee. If the debtor fails to make payment relating to a financial guarantee contract when it is due and the Group, as the issuer, is required to reimburse the holder for the associated loss, the reimbursement is recognised as a liability and measured at the higher of the amount of loss allowance determined using the expected credit loss model and the amount of financial guarantee initially recognised less cumulative amortisation.

3.3 BASIS OF CONSOLIDATION

The Group applies the acquisition method of accounting for all business combinations except for those involving entities under common control which are accounted for applying the merger method of accounting.

Under the merger method of accounting, the assets and liabilities of the merger entities are reflected in the consolidated financial statements at their carrying amounts reported in the individual financial statements. The consolidated statement of profit or loss and other comprehend reflects the results of the merger entities for the full reporting period (irrespective of then the combination takes place) and comparatives are presented as if the entities had always been combined since the date for which the entities had come under common control.

The difference between the cost of the merger and the share capital of the merger entities is reflected within equity as merger reserve or merger deficit, as appropriate. The merger deficit is adjusted against suitable reserves of the merger entities to the extent that laws or statues do not prohibit the use of such reserves.

3.4 GOODWILL

Goodwill is initially measured at cost. Subsequent to the initial recognition, the goodwill is measured at cost less accumulated impairment losses, if any. A bargain purchase gain is recognised in profit or loss immediately.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

3.5 INVESTMENT IN AN ASSOCIATE

Investment in an associate is accounted for using the equity method in the consolidated financial statements.

3.6 PROPERTY, PLANT AND EQUIPMENT

All items of property, plant and equipment are initially measured at cost.

Subsequent to initial recognition, all property, plant and equipment are stated at cost less accumulated depreciation and any impairment losses.

Freehold land is not depreciated. Depreciation on other property, plant and equipment is calculated using the straight-line method to allocate their depreciable amounts over the estimated useful lives. The principal annual depreciation rates are:-

Buildings	2%
Furniture and fittings	10%
Office equipment	20%
Signboard	20%
Renovation	20%
Motor vehicles	20%
Showroom equipment	20%
Computer and software	20% - 33%
Plant and machinery	10% - 20%
Workshop and equipment and storage racking	10%
Cabin	10%
Tools and equipment	10%
Air-conditioners	10%

3.7 INVESTMENT PROPERTIES

Investment properties are initially measured at cost. Subsequent to the initial recognition, the investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses.

Freehold land is not depreciated. Depreciation on other investment properties is calculated using the straight-line method to allocate the depreciable amounts over the estimated useful lives. The principal annual depreciation periods and rates are:-

Buildings	2%

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

3.8 RIGHT-OF-USE ASSETS AND LEASE LIABILITIES

(a) Short-term Leases and Leases of Low-value Assets

The Group apply the "short-term lease" and "lease of low-value assets" recognition exemption. For these leases, the Group recognise the lease payments as an operating expense on a straight-line method over the term of the lease unless another systematic basis is more appropriate.

(b) Right-of-use Assets

Right-of-use assets are initially measured at cost. Subsequent to the initial recognition, the right-of-use assets are stated at cost less accumulated depreciation and any accumulated impairment losses, and adjusted for any remeasurement of lease liabilities.

The right-of-use assets are depreciated using the straight-line method from the commencement date to the earlier of the end of the estimated useful lives of the right-of-use assets or the end of the lease term.

(c) Lease Liabilities

Lease liabilities are initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the entities' incremental borrowing rate. Subsequent to the initial recognition, the lease liabilities are measured at amortised cost and adjusted for any lease reassessment or modifications.

3.9 INTANGIBLE ASSETS

Intangible assets are initially measured at cost. The cost of intangible assets recognised in a business combination is their fair values as at the date of acquisition. Subsequent to the initial recognition, the intangible assets are measured at cost less accumulated amortisation and any accumulated impairment losses.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

3.10 PROJECTS-IN-PROGRESS

Project-in-progress represent costs incurred on projects which are not completed as at the end of the financial year. Projects-in-progress are stated at cost, which includes directly attributable labour costs and an appropriate proportion of directly attributable costs and overheads on such projects. When it is probable that the total project costs will exceed total project revenue, the expected loss is recognised as an expense immediately. The revenue is recognised progressively in profit or loss upon completion of the projects based on delivery of goods and customers' acceptance.

3.11 INVENTORIES

(a) Trading Inventories

Trading inventories are stated at the lower of cost and net realisable value. Cost is determined on the first-in, first-out method and comprises all costs of purchase plus other costs incurred in bringing the trading inventories to their present location and condition.

(b) Property development costs

Property development costs are stated at the lower of cost and net realisable value. Cost comprises cost associated with the purchase of land, conversion fees, aggregate cost of development, materials and supplies, wages and other direct expenses, an appropriate proportion of common infrastructure costs and borrowing costs capitalised.

The property development costs of unsold units are transferred to unsold completed properties once the development is completed.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

4. INVESTMENT IN AN ASSOCIATE

	Audited FYE 30 September			
	2021	**2022**	**2023**	**2024**
	RM	RM	RM	RM
Unquoted shares, at cost:-	-	-	1,390,799	1,390,799
Share of post acquisition profits	-	-	(9,132)	(117,098)
At 30 September	-	-	1,381,667	1,273,701

The details of the associate are as follows:-

Name of Associate	Principal Place of Business/ Country of Incorporation	Percentage of Ownership FYE 30 September				Principal Activity
		2021 %	**2022 %**	**2023 %**	**2024 %**	
Associate of Astana Setia						
Kran World Sdn. Bhd. ("Kran World")	Malaysia	-	-	50	50	Dormant.

The management of Kran World intends to commence winding-up proceedings in the second half of 2024, upon collecting the remaining amount owed by its trade debtors for services rendered. The winding-up process was officially lodged in SSM on 15 October 2024. It is not anticipated that the winding-up will not expected to have a material impact to the financial position of the Group.

The Group has recognised its share of results in Kran World Sdn. Bhd. based on the audited financial statement drawn up to most recent reporting date, which is 30 September 2024.

Summarised financial information has not been presented as the associate is not individually material to the Group.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

5. PROPERTY, PLANT AND EQUIPMENT

Audited	At 1.10.2020 RM	Additions RM	Disposals RM	Depreciation Charges RM	At 30.9.2021 RM
2021					
Carrying Amount					
Furniture and fittings	55,247	36,000	-	(11,115)	80,132
Office equipment	60,586	24,245	-	(20,572)	64,259
Signboard	2,507	10,450	-	(1,551)	11,406
Renovation	81,739	8,500	-	(26,326)	63,913
Motor vehicles	756,879	75,888	-	(211,306)	621,461
Showroom equipment	3	-	-	-	3
Computer and software	24,776	178,820	-	(34,646)	168,950
Plant and machinery	2,515,196	3,329,228	(13,419)	(436,150)	5,394,855
Workshop equipment and storage racking	122,722	-	-	(35,006)	87,716
Tools and equipment	-	396,866	-	(8,807)	388,059
	3,619,655	4,059,997	(13,419)	(785,479)	6,880,754

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

5. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

Audited	At 1.10.2021 RM	Acquisition of a subsidiary RM	Additions RM	Disposals RM	Written Off RM	Depreciation Charges RM	At 30.9.2022 RM
2022							
Carrying Amount							
Furniture and fittings	80,132	33,953	256,789	-	-	(30,366)	340,508
Office equipment	64,259	4,671	150,909	-	-	(37,747)	182,092
Signboard	11,406	-	-	-	-	(2,771)	8,635
Renovation	63,913	-	-	-	-	(22,939)	40,974
Motor vehicles	621,461	138,824	1,223,978	(11,450)	-	(385,781)	1,587,032
Showroom equipment	3	-	-	-	-	-	3
Computer and software	168,950	14,141	224,713	-	-	(95,211)	312,593
Plant and machinery	5,394,855	945,951	1,775,593	(18,667)	-	(763,863)	7,333,869
Workshop equipment and storage racking	87,716	-	152,560	-	-	(49,984)	190,292
Cabin	-	4,195	-	-	-	(484)	3,711
Tools and equipment	388,059	-	3,968,385	(62,569)	(56,365)	(281,541)	3,955,969
	6,880,754	1,141,735	7,752,927	(92,686)	(56,365)	(1,670,687)	13,955,678

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

5. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

Audited	At 1.10.2022 RM	Acquisition of subsidiaries RM	Additions RM	Disposals RM	Written Off RM	Depreciation Charges RM	At 30.9.2023 RM
2023							
Carrying Amount							
Freehold land	-	2,283,313	-	-	-	-	2,283,313
Buildings	-	4,123,889	-	-	-	(22,940)	4,100,949
Furniture and fittings	340,508	41,093	96,998	-	-	(55,240)	423,359
Office equipment	182,092	108,887	91,307	-	-	(72,930)	309,356
Signboard	8,635	-	53,700	-	-	(6,650)	55,685
Renovation	40,974	2,453	326,919	-	-	(57,326)	313,020
Motor vehicles	1,587,032	1,120,627	203,714	-	-	(684,820)	2,226,553
Showroom equipment	3	-	-	-	-	-	3
Computer and software	312,593	125,816	248,868	-	-	(185,197)	502,080
Plant and machinery	7,333,869	372,307	1,182,150	(94,980)	-	(1,122,750)	7,670,596
Workshop equipment and storage racking	190,292	-	53,840	-	-	(51,227)	192,905
Cabin	3,711	112,297	-	-	-	(10,376)	105,632
Tools and equipment	3,955,969	2,956	9,187,263	(32,916)	(910)	(1,313,070)	11,799,292
Air conditioners	-	15,388	-	-	-	(1,899)	13,489
	13,955,678	8,309,026	11,444,759	(127,896)	(910)	(3,584,425)	29,996,232

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

5. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

	At 1.10.2023 RM	Additions RM	Disposals RM	Written Off RM	Depreciation Charges RM	At 30.9.2024 RM
Audited						
2024						
Carrying Amount						
Freehold land	2,283,313	-	-	-	-	2,283,313
Buildings	4,100,949	-	-	-	(50,659)	4,050,290
Furniture and fittings	423,359	169,808	-	-	(76,937)	516,230
Office equipment	309,356	100,946	(1,021)	(1)	(112,073)	297,207
Signboard	55,685	-	-	(453)	(13,185)	42,047
Renovation	313,020	133,669	-	-	(92,207)	354,482
Motor vehicles	2,226,553	2,182,031	(2)	-	(981,337)	3,427,245
Showroom equipment	3	-	-	-	-	3
Computer and software	502,080	165,365	-	(2)	(269,016)	398,427
Plant and machinery	7,670,596	1,436,125	-	-	(1,145,678)	7,961,043
Workshop equipment and storage racking	192,905	-	-	-	(30,848)	162,057
Cabin	105,632	-	-	-	(23,282)	82,350
Tools and equipment	11,799,292	1,671,033	-	-	(1,463,799)	12,006,526
Air conditioners	13,489	-	-	-	(4,195)	9,294
	29,996,232	5,858,977	(1,023)	(456)	(4,263,216)	31,590,514

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

5. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

Audited	At Cost RM	Accumulated Depreciation RM	Carrying Amount RM
2021			
Furniture and fittings	297,909	(217,777)	80,132
Office equipment	328,337	(264,078)	64,259
Signboard	235,481	(224,075)	11,406
Renovation	930,181	(866,268)	63,913
Motor vehicles	2,901,567	(2,280,106)	621,461
Showroom equipment	26,940	(26,937)	3
Computer and software	355,342	(186,392)	168,950
Plant and machinery	6,067,806	(672,951)	5,394,855
Workshop equipment and storage racking	443,725	(356,009)	87,716
Tools and equipment	396,866	(8,807)	388,059
	11,984,154	(5,103,400)	6,880,754
2022			
Furniture and fittings	589,357	(248,849)	340,508
Office equipment	485,233	(303,141)	182,092
Signboard	235,481	(226,846)	8,635
Renovation	930,181	(889,207)	40,974
Motor vehicles	4,242,176	(2,655,144)	1,587,032
Showroom equipment	26,940	(26,937)	3
Computer and software	600,152	(287,559)	312,593
Plant and machinery	8,774,899	(1,441,030)	7,333,869
Workshop equipment and storage racking	596,285	(405,993)	190,292
Cabin	4,840	(1,129)	3,711
Tools and equipment	4,240,855	(284,886)	3,955,969
	20,726,399	(6,770,721)	13,955,678
2023			
Freehold land	2,283,313	-	2,283,313
Buildings	4,123,889	(22,940)	4,100,949
Furniture and fittings	806,812	(383,453)	423,359
Office equipment	835,978	(526,622)	309,356
Signboard	289,181	(233,496)	55,685
Renovation	1,276,899	(963,879)	313,020
Motor vehicles	7,728,848	(5,502,295)	2,226,553
Showroom equipment	26,940	(26,937)	3
Computer and software	1,543,330	(1,041,250)	502,080
Plant and machinery	12,266,084	(4,595,488)	7,670,596
Workshop equipment and storage racking	650,125	(457,220)	192,905
Cabin	232,820	(127,188)	105,632
Tools and equipment	13,460,029	(1,660,737)	11,799,292
Air conditioners	41,952	(28,463)	13,489
	45,566,200	(15,569,968)	29,996,232

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

5. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

	At Cost RM	Accumulated Depreciation RM	Carrying Amount RM
Audited			
2024			
Freehold land	2,283,313	-	2,283,313
Buildings	4,123,889	(73,599)	4,050,290
Furniture and fittings	976,619	(460,389)	516,230
Office equipment	931,941	(634,734)	297,207
Signboard	288,693	(246,646)	42,047
Renovation	1,410,568	(1,056,086)	354,482
Motor vehicles	9,476,964	(6,049,719)	3,427,245
Showroom equipment	26,940	(26,937)	3
Computer and software	1,702,679	(1,304,252)	398,427
Plant and machinery	13,702,209	(5,741,166)	7,961,043
Workshop equipment and storage racking	650,125	(488,068)	162,057
Cabin	232,820	(150,470)	82,350
Tools and equipment	15,131,063	(3,124,537)	12,006,526
Air conditioners	41,952	(32,658)	9,294
	50,979,775	(19,389,261)	31,590,514

(a) Included in the property, plant and equipment of the Group were motor vehicles and plant and machinery with a total carrying amount of RM2,512,843 (2023 - RM1,063,921, 2022 - RM1,234,619, 2021 - RM355,121) and Nil (2023 - Nil, 2022 - RM828,542, 2021 - RM694,167) held under hire purchase arrangements as disclosed in Note 19 to the consolidated financial statements.

(b) Included in the property, plant and equipment of the Group were freehold land and building with a total carrying amount of RM1,026,855 (2023 - RM1,041,891, 2022 - Nil, 2021 - Nil) have been pledged to a licensed bank as security for banking facilities granted to the Group.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

6. INVESTMENT PROPERTIES

	Audited FYE 30 September			
	2021	**2022**	**2023**	**2024**
	RM	RM	RM	RM
Cost:-				
At 1 October	-	-	-	3,701,110
Acquisition of subsidiaries	-	-	3,701,110	-
At 30 September	-	-	3,701,110	3,701,110
Accumulated depreciation:-				
At 1 October	-	-	-	(9,086)
Depreciation during the financial year	-	-	(9,086)	(20,903)
At 30 September	-	-	(9,086)	(29,989)
	-	-	3,692,024	3,671,121
Represented by:-				
Freehold land	-	-	2,039,789	2,039,789
Buildings	-	-	1,652,235	1,631,332
At 30 September	-	-	3,692,024	3,671,121
Fair value	-	-	3,850,000	4,090,000

(a) The investment properties of the Group are leased to customers under operating leases with rentals payable monthly. The leases contain initial non-cancellable periods of 3 (2023 - ranging from 1 to 3, 2022 - Nil, 2021 - Nil) years and an option that is exercisable by the customers to extend their leases for 3 (2023 - 1, 2022 - Nil, 2021 - Nil) years.

As at the reporting date, the future minimum rental receivables under the non-cancellable operating leases are as follows:-

	Audited FYE 30 September			
	2021	**2022**	**2023**	**2024**
	RM	RM	RM	RM
Within 1 year	-	-	14,643	43,200
Between 1 and 2 years	-	-	-	57,600
	-	-	14,643	100,800

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

6. INVESTMENT PROPERTIES (CONT'D)

(b) The fair value of the investment properties are within level 2 of the fair value hierarchy and are arrived at by reference to market evidence of transaction process for similar properties and are performed by an independent registered valuers having appropriate recognised professional qualification and recent experience in the locations and category of properties being valued. The most significant input into this valuation approach is the price per square foot of comparable properties. Adjustments are then made for differences in location, size, facilities available, market conditions and other factors in order to arrive at a common basis.

7. RIGHT-OF-USE ASSETS

	At 1.10.2020 RM	Additions RM	Reassessment of Lease Liabilities RM	Depreciation Charges RM	At 30.9.2021 RM
Audited					
2021					
Carrying Amount					
Retail stores	1,526,611	1,331,710	1,254,180	(838,648)	3,273,853

	At 1.10.2021 RM	Additions RM	Reassessment of Lease Liabilities RM	Depreciation Charges RM	At 30.9.2022 RM
Audited					
2022					
Carrying Amount					
Retail stores	3,273,853	-	(22,591)	(890,838)	2,360,424
Office	-	871,065	-	(217,766)	653,299
Hostel	-	279,735	-	(44,754)	234,981
	3,273,853	1,150,800	(22,591)	(1,153,358)	3,248,704

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

7. RIGHT-OF-USE ASSETS (CONT'D)

	At 1.10.2022 RM	Acquisition of subsidiaries RM	Additions RM	Reassessment of Lease Liabilities RM	Depreciation Charges RM	At 30.9.2023 RM
Audited						
2023						
Carrying Amount						
Retail stores	2,360,424	-	310,371	470,084	(929,489)	2,211,390
Office	653,299	1,624,902	19,390	(281,150)	(791,460)	1,224,981
Hostel	234,981	22,813	49,885	(6,888)	(73,407)	227,384
	3,248,704	1,647,715	379,646	182,046	(1,794,356)	3,663,755

	At 1.10.2023 RM	Additions RM	Reassessment of Lease Liabilities RM	Depreciation Charges RM	At 30.9.2024 RM
Audited					
2024					
Carrying Amount					
Retail stores	2,211,390	-	(145,145)	(934,931)	1,131,314
Office	1,224,981	-	(4,770)	(598,841)	621,370
Hostel	227,384	31,471	95,614	(171,056)	183,413
	3,663,755	31,471	(54,301)	(1,704,828)	1,936,097

The Group leases various retail stores, offices and hostels of which the leasing activities are summarised below:-

(i) Retail stores — The Group has leased a number of retail stores that run between 1 to 3 (2023 - 1 to 3, 2022 - 1 to 3, 2021 - 1 to 3) years, with an option to renew the lease after that date. The Group is not allowed to sublease the retail stores.

(ii) Office — The Group has leased an office that run between 2 to 4 (2023 - 3, 2022 - 3, 2021 - 3) years, with an option to renew the lease after that date. The Group is not allowed to sublease the office.

(iii) Hostels — The Group has leased a number of hostels that run between 1 to 4 (2023 - 1 to 4, 2022 - 1 to 4, 2021 - 1 to 4) years, with an option to renew the lease after that date. The Group is not allowed to sublease the hostel.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

8. DEFERRED TAX ASSETS/(LIABILITIES)

	At 1.10.2020 RM	Recognised in Profit or Loss (Note 26) RM	At 30.9.2021 RM
Audited			
2021			
Plant and equipment	(222,877)	(603,176)	(826,053)
Right-of-use assets	(42,470)	56,479	14,009
Lease liabilities	41,174	292,224	333,398
	(224,173)	(254,473)	(478,646)

	At 1.10.2021 RM	Recognised in Profit or Loss (Note 26) RM	Acquisition of a subsidiary RM	At 30.9.2022 RM
Audited				
2022				
Plant and equipment	(826,053)	(463,170)	(173,498)	(1,462,721)
Right-of-use assets	14,009	(161,798)	-	(147,789)
Trade receivables	-	329,929	-	329,929
Lease liabilities	333,398	50,049	39,879	423,326
	(478,646)	(244,990)	(133,619)	(857,255)

	At 1.10.2022 RM	Recognised in Profit or Loss (Note 26) RM	Acquisition of subsidiaries RM	At 30.9.2023 RM
Audited				
2023				
Property, plant and equipment	(1,462,721)	(910,028)	(80,685)	(2,453,434)
Right-of-use assets	(147,789)	(729,598)	-	(877,387)
Trade receivables	329,929	1,672,422	-	2,002,351
Lease liabilities	423,326	560,141	15,313	998,780
Inventories	-	107,180	-	107,180
Contract assets	-	414,370	-	414,370
	(857,255)	1,114,487	(65,372)	191,860

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

8. DEFERRED TAX ASSETS/(LIABILITIES) (CONT'D)

	At 1.10.2023 RM	Recognised in Profit or Loss (Note 26) RM	At 30.9.2024 RM
Audited			
2024			
Property, plant and equipment	(2,453,434)	(48,253)	(2,501,687)
Right-of-use assets	(877,387)	250,463	(626,924)
Trade receivables	2,002,351	(1,109,233)	893,118
Lease liabilities	998,780	(299,439)	699,341
Inventories	107,180	1,356,797	1,463,977
Contract assets	414,370	(78,365)	336,005
	191,860	71,970	263,830

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Represented by:				
Deferred tax assets	-	265,446	1,924,098	2,171,571
Deferred tax liabilities	(478,646)	(1,122,701)	(1,732,238)	(1,907,741)
	(478,646)	(857,255)	191,860	263,830

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

9. GOODWILL

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Cost:-				
At 1 October	-	-	-	148,967,108
Acquisition of subsidiaries (Note 28)	-	-	148,967,108	-
At 30 September	-	-	148,967,108	148,967,108

The carrying amounts of goodwill allocated to each cash-generating unit are as follows:-

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Building construction contractor and property development	-	-	148,967,108	148,967,108

The Group has assessed the recoverable amount of goodwill allocated and determined that no impairment is required. The recoverable amounts of cash-generating units are determined using the value in use approach, and this is derived from the present value of the future cash flows from the cash-generating unit computed based on the projections of financial budgets approved by management covering a period of 5 years. The key assumptions used in the determination of the recoverable amounts are as follows:-

(i) Budgeted gross margins	Average gross margin achieved in the 5 (2023 - 5, 2022 - Nil, 2021 - Nil) years immediately before the budgeted period increased for expected efficiency improvements and cost saving measures.
(ii) Growth rates	Based on the expected projection of the building construction contractor and property development.
(iii) Discount rates (pre-tax)	The rate reflects specific risks relating to the relevant cash-generating unit.

The values assigned to the key assumptions represent management's assessment of future trends in the cash-generating units and are based on both external sources and internal historical data.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

10. INVENTORIES

	Note	Audited FYE 30 September 2021 RM	2022 RM	2023 RM	2024 RM
Trading inventories	(a)	9,849,002	12,220,943	11,478,032	9,798,350
Property development costs	(b)	-	-	156,098,765	161,935,253
		9,849,002	12,220,943	167,576,797	171,733,603

(a) Trading inventories

	Audited FYE 30 September 2021 RM	2022 RM	2023 RM	2024 RM
Goods-in-transit	-	-	332,468	8,594
Finished goods	9,849,002	12,220,943	11,145,564	9,789,756
	9,849,002	12,220,943	11,478,032	9,798,350
Recognised in profit or loss:-				
Inventories recognised as cost of sales	11,984,632	13,420,811	14,349,316	17,430,727
Inventories written down	146,005	80,610	405,956	1,299
Reversal of inventories previously written down	(274,891)	(67,963)	(80,610)	(57,697)

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

10. INVENTORIES (CONT'D)

(b) Property development costs

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
At 1 October:				
- leasehold land	-	-	-	138,882,701
- property development costs	-	-	-	17,216,064
	-	-	-	156,098,765
Cost incurred during the financial year:				
- acquisition of subsidiaries	-	-	152,470,795	-
- property development costs	-	-	14,391,272	39,598,227
- recognised as an expense in profit or loss	-	-	(10,763,302)	(33,761,739)
	-	-	156,098,765	5,836,488
At 30 September	-	-	156,098,765	161,935,253
Represented by:-				
Leasehold land	-	-	138,882,701	138,882,701
Property development costs	-	-	17,216,064	23,052,552
	-	-	156,098,765	161,935,253

(i) Property development costs with a total carrying amount of RM30,512,522 (2023 - RM38,161,068, 2022 - Nil, 2021 - Nil) has been pledged to licensed banks as securities for banking facilities granted to Group.

(ii) Property development costs recognised as an expense in cost of sales during the financial year was RM33,761,739 (2023 - RM10,763,302, 2022 - Nil, 2021 - Nil).

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

11. TRADE RECEIVABLES

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Trade receivables:				
- third parties	13,482,725	9,198,711	16,515,697	30,774,413
- amount owing by ultimate holding company	-	2,400	75,889	3,924,564
- related parties	1,851,812	37,795,348	75,188,264	59,118,069
- related companies	12,469,633	21,508,891	-	-
	27,804,170	68,505,350	91,779,850	93,817,046
Loss allowance on trade receivables	(14,705)	(2,027,738)	(8,343,126)	(3,482,569)
	27,789,465	66,477,612	83,436,724	90,334,477
Unbilled receivables	1,467,430	56,472	31,585,370	8,846,089
	29,256,895	66,534,084	115,022,094	99,180,566
Loss allowance on trade receivables:-				
At 1 October	14,705	14,705	2,027,738	8,343,126
Acquisition of subsidiaries	-	-	3,437,218	-
Addition during the financial year	-	2,013,033	2,878,170	353,850
Reversal during the financial year	-	-	-	(5,214,407)
At 30 September	14,705	2,027,738	8,343,126	3,482,569

(a) The Group's normal trade credit terms range from 30 to 90 (2023 - 30 to 90, 2022 - 30 to 90, 2021 - 30 to 90) days.

(b) Included in the trade receivables are retention sums totalling RM24,624,971 (2023 - RM32,136,169, 2022 - RM14,411,780, 2021 - RM891,569). These retention sums are expected to be collected within the periods ranging from 12 to 18 (2023 - 12 to 18, 2022 - 12 to 18, 2021 - 12 to 18) months.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

12. OTHER RECEIVABLES, DEPOSITS AND PREPAYMENTS

	Audited FYE 30 September			
	2021	**2022**	**2023**	**2024**
	RM	RM	RM	RM
Other receivables:				
- third parties	5,251	673,583	4,887,969	1,726,058
- related parties	2,021	-	-	-
- ultimate holding company	16,112	16,311	16,471	16,416
- immediate holding company	-	7,500	14,035	7,500
	23,384	697,394	4,918,475	1,749,974
Loss allowance on other receivables	-	-	-	(677,547)
	23,384	697,394	4,918,475	1,072,427
Deposits	765,496	1,180,150	8,718,063	1,367,334
Prepayments	124,179	2,521,895	4,400,355	6,027,716
	913,059	4,399,439	18,036,893	8,467,477
Loss allowance on other receivables:-				
At 1 October	-	-	-	-
Addition during the financial year	-	-	-	677,547
At 30 September	-	-	-	677,547

The amount owing by related parties, ultimate holding company and immediate holding company are unsecured, interest-free, payment on behalf and are repayable on demand. The amounts owing are to be settled in cash.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

13. CONTRACT ASSETS/(CONTRACT LIABILITIES)

		Audited FYE 30 September			
	Note	2021 RM	2022 RM	2023 RM	2024 RM
Contract Assets					
Contract assets		222,298	8,637,683	71,136,919	125,397,013
Loss allowance on contract assets		-	-	(1,726,541)	(1,547,540)
	(a)	222,298	8,637,683	69,410,378	123,849,473
Loss allowance on contract assets:-					
At 1 October		-	-	-	1,726,541
Addition during the financial year		-	-	1,726,541	410,767
Reversal during the financial year		-	-	-	(589,768)
At 30 September		-	-	1,726,541	1,547,540
Contract Liabilities					
Contract liabilities	(a)	(15,495)	(16,948,352)	(22,133,460)	(33,503,750)

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

13. CONTRACT ASSETS/(CONTRACT LIABILITIES) (CONT'D)

(a) The contract assets and liabilities represent the timing differences in revenue recognition and the milestone billings in respect of the construction activities and property development:-

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Aggregate costs incurred to date	762,425	106,672,019	746,286,913	768,091,973
Attributable profits on contract works performed to date	232,221	43,372,818	183,044,246	337,673,184
	994,646	150,044,837	929,331,159	1,105,765,157
Progress billings	(787,843)	(158,355,506)	(873,470,915)	(1,007,967,834)
Advances received	-	-	(6,856,785)	(5,904,060)
Loss allowance on contract assets	-	-	(1,726,541)	(1,547,540)
	206,803	(8,310,669)	47,276,918	90,345,723
Represented by:-				
Contract assets	222,298	8,637,683	69,410,378	123,849,473
Contract liabilities	(15,495)	(16,948,352)	(22,133,460)	(33,503,750)
	206,803	(8,310,669)	47,276,918	90,345,723

(b) Revenue expected to be recognised in the future relating to performance obligations that are unsatisfied or partially unsatisfied as at the reporting date is summarised below:-

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Within 1 year	4,165,842	360,718,088	308,084,772	272,851,360
Between 2 to 5 years	12,645,039	481,158,551	627,497,774	345,771,310
More than 5 years	-	4,395,633	-	-
	16,810,881	846,272,272	935,582,546	618,622,670

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

14. FIXED DEPOSITS WITH LICENSED BANKS

(a) The fixed deposits with licensed banks of the Group at the end of the reporting period bore effective interest rates ranging from 2.00% to 3.50% (2023 - 2.00% to 3.55%, 2022 - 2.00% to 2.30%, 2021 - 1.50%) per annum. The fixed deposits have maturity periods of 1 (2023 - 1 to 3, 2022 - 1 to 6, 2021 - 1) months.

(b) Included in the fixed deposits with licensed banks of the Group at the end of the reporting period was an amount of RM8,445,354 (2023 - RM8,098,328, 2022 - RM12,246,877, 2021 - RM4,609,148) which has been pledged to a licensed bank as a security for banking facilities granted to the Group.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

15. SHARE CAPITAL

	Audited FYE 30 September				Audited FYE 30 September			
	2021	2022	2023	2024	2021	2022	2023	2024
	Number of shares				RM	RM	RM	RM
Issued and Fully Paid-Up								
Ordinary Shares								
At beginning of the year	8	355,045,293	356,045,293	706,360,208	8	36,580,324	37,000,324	334,768,002
Allotment of shares:								
- acquisition of subsidiaries and debt settlement	319,185,710	-	350,314,915	-	31,918,571	-	297,767,678	-
- listing of the Company on the LEAP	35,859,575	-	-	-	4,661,745	-	-	-
- issuance of new shares for cash	-	1,000,000	-	-	-	420,000	-	-
	355,045,285	1,000,000	350,314,915	-	36,580,316	420,000	297,767,678	-
	355,045,293	356,045,293	706,360,208	706,360,208	36,580,324	37,000,324	334,768,002	334,768,002

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

15. SHARE CAPITAL (CONT'D)

During the FYE 30 September 2023,

(i) An issuance of 211,111,111 new ordinary shares at the fair value of RM0.85 each for a purchase consideration of RM179,444,445, as at the completion date i.e. 17 April 2023, for the acquisition of entire equity interest of a subsidiary, namely ASSB. For information, the share sale agreement for the acquisition was signed on 28 March 2022, for the purchase consideration of RM95,000,000 satisfied by the issuance of 211,111,111 new ordinary shares at the issue price of RM0.45 each, which represents a premium over the last closing price and volume weighted average price of the Company as the closing price as at 25 March 2022.

(ii) An issuance of 139,203,804 new ordinary shares at the fair value of RM0.85 each for a total consideration of RM118,323,233, as at the completion date i.e. 17 April 2023, for the acquisition of entire equity interest in a subsidiary, namely LSH Ventures, and debt settlement. For information, the amended and restated debt settlement and share subscription agreement for the acquisition and debt settlement was signed on 20 February 2023, for a total consideration of RM62,641,712 satisfied by the issuance of 139,203,804 new ordinary shares at the issue price of RM0.45 each.

During the FYE 30 September 2022,

On 27 May 2022, an issuance of 1,000,000 new ordinary shares to Dato' Seri Ir. Hj. Mohd Noor Bin Yaacob for a total cash consideration of RM420,000.

During the FYE 30 September 2021,

(i) On 11 November 2020, the Company was incorporated with a total paid-up share capital of RM8 comprising 8 ordinary shares.

(ii) On 6 January 2021, an issuance of 221,334,950 new ordinary share for a total consideration of RM22,133,495 as full payment for acquisition of the subsidiary, LSH Lighting.

(iii) On 6 January 2021, an issuance of 97,850,760 new ordinary shares for a total consideration of RM9,785,076 as full payment for the acquisition of the subsidiary, Knight Auto.

(iv) On 6 May 2021, an issuance of 35,859,575 new ordinary shares to the pre-listing investors for a total cash consideration of RM4,661,745.

The new ordinary shares issued rank equally in all respects with the existing ordinary shares of the Company.

The holders of ordinary shares are entitled to receive dividends as and when declared by the Company and are entitled to one vote per ordinary share at meetings of the Company. The ordinary shares have no par value.

16. MERGER DEFICIT

The merger deficit arose from the difference between the carrying value of the investment and the nominal value of the shares of the subsidiaries upon consolidation under the merger accounting principles.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

17. TERM LOANS

	Audited FYE 30 September			
	2021	**2022**	**2023**	**2024**
	RM	RM	RM	RM
Current liabilities	66,050	68,399	1,983,523	17,469,387
Non-current liabilities	422,509	354,453	7,379,594	8,729,349
	488,559	422,852	9,363,117	26,198,736

(a) The term loans at the end of the reporting period bore an interest rate of 1.94% - 7.75% (2023 - 5.66%, 2022 - 3.50%, 2021 - 3.50%) per annum.

(b) Included in the term loans are terms loans provided by the ultimate holding company totalling RM12,383,289 (2023 - RM9,363,117, 2022 - Nil, 2021 - Nil).

(c) Certain term loans of the Group totalling RM13,815,447 (2023 - Nil, 2022 - Nil, 2021 - Nil) are secured by property development costs as disclosed in Note 10(b) of the financial statements.

18. LEASE LIABILITIES

	Audited FYE 30 September			
	2021	**2022**	**2023**	**2024**
	RM	RM	RM	RM
At 1 October	1,644,674	3,339,097	3,657,550	4,161,433
Acquisition of subsidiaries	-	-	1,484,394	-
Additions	1,331,710	1,150,800	379,646	31,471
Interest expense recognise in profit or loss	78,558	150,559	191,466	136,309
Repayment of principal	(879,142)	(741,061)	(1,540,907)	(1,893,946)
Repayment of interest expense	(78,558)	(150,559)	(191,466)	(136,309)
Change due to reassessment of lease term	1,241,855	(91,286)	180,750	(77,863)
At 30 September	3,339,097	3,657,550	4,161,433	2,221,095
Analysed by:-				
Current liabilities	868,323	1,224,326	2,037,234	1,788,718
Non-current liabilities	2,470,774	2,433,224	2,124,199	432,377
	3,339,097	3,657,550	4,161,433	2,221,095

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

19. HIRE PURCHASE PAYABLES

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Minimum hire purchase payments:				
- not later than 1 year	377,039	650,711	972,324	568,133
- later than 1 year and not later than 5 years	367,575	555,423	550,827	1,266,929
	744,614	1,206,134	1,523,151	1,835,062
Less: Future finance charges	(36,750)	(73,510)	(75,163)	(145,941)
Present value of hire purchase payables	707,864	1,132,624	1,447,988	1,689,121
Analysed by:-				
Current liabilities	350,066	608,909	928,443	503,755
Non-current liabilities	357,798	523,715	519,545	1,185,366
	707,864	1,132,624	1,447,988	1,689,121

(a) The hire purchase payables of the Group are secured by the Group's motor vehicles and plant and machinery under finance lease as disclosed in Note 5 to the consolidated financial statements. The hire purchase arrangements are expiring from 3 to 59 (2023 - 4 to 50, 2022 - 11 to 51, 2021 - 23 to 24) months.

(b) The hire purchase payables of the Group at the end of the reporting period bore effective interest rates ranging from 3.99% to 5.27% (2023 - 3.78% to 5.91%, 2022 - 3.99% to 7.40%, 2021 - 7.40%) per annum. The interest rates are fixed at the inception of the hire purchase arrangements.

20. TRADE PAYABLES

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Trade payables:				
- third parties	6,959,518	17,509,003	80,322,794	59,789,156
- related parties	432,671	793,678	3,885,550	3,887,121
- an associate	-	-	481,315	481,315
- related companies	450	2,099,215	-	-
	7,392,639	20,401,896	84,689,659	64,157,592

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

20. TRADE PAYABLES (CONT'D)

(a) The normal trade credit term granted to the Group range from 30 to 90 (2023 - 30 to 90, 2022 - 30 to 90, 2021 - 30 to 90) days.

(b) Included in trade payables are retention sum payables totaling RM19,435,194 (2023 - RM15,665,526, 2022 - RM4,255,303, 2021 - RM933,843). The retention sums are expected to be settled within the periods ranging from 12 to 18 (2023 - 12 to 18, 2022 - 12 to 18, 2021 - 12 to 18) months.

21. OTHER PAYABLES AND ACCRUALS

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Other payables:				
- third parties	441,762	472,140	3,214,145	4,688,782
- ultimate holding company	-	6,777	4,246,641	659
- related parties	2,459	314,713	67,498	55,678
- an associate	-	-	600,000	786,598
	444,221	793,630	8,128,284	5,531,717
Accruals	413,003	271,734	469,220	1,026,094
Deposits	602,697	22,049,789	29,922,861	10,208,827
	1,459,921	23,115,153	38,520,365	16,766,638

(a) Included in other payables is an amount of RM1,255,594 (2023 - RM849,390, 2022 - Nil, 2021 - Nil) being advances received from customers.

(b) The amounts owing to ultimate holding company, related parties and an associate are non-trade in nature, unsecured, interest-free and repayable on demand. The amounts owing are to be settled in cash.

22. BANKERS' ACCEPTANCES

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Bankers' acceptances	8,456,677	2,224,000	3,230,000	12,098,597

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

22. BANKERS' ACCEPTANCES (CONT'D)

(a) The bankers' acceptances bore effective interest rates ranging from 3.66% to 5.20% (2023 - 6.85%, 2022 - 4.40% to 4.89%, 2021 - 3.09% to 4.04%) per annum at the end of the reporting period.

(b) The bankers' acceptances are secured by:-

(i) corporate guarantees by the Company and the ultimate holding company;
(ii) joint and several guarantees of certain directors of the Company; and
(iii) a fixed deposit pledged to a licensed bank as disclosed in Note 14 to the consolidated financial statements.

23. REVENUE

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Revenue from Contracts with Customers				
Recognised over time				
Construction contracts	547,645	98,982,238	258,484,808	204,354,467
Construction services	-	10,164,706	9,920,551	6,866,098
Rental of machineries	11,123,993	9,160,984	14,821,035	18,183,505
Property development	-	-	13,930,728	72,353,851
Others	-	-	-	856,842
	11,671,638	118,307,928	297,157,122	302,614,763
Recognised at a point in time				
Sales of goods	55,744,296	47,558,541	60,597,670	58,790,416
	67,415,934	165,866,469	357,754,792	361,405,179

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

23. REVENUE (CONT'D)

(a) The revenue of the Group is derived entirely in Malaysia.

(b) The information on transaction price allocated to unsatisfied and/or partially unsatisfied performance obligations as at the reporting date is disclosed in Note 13(b) to the consolidated financial statements.

(c) The information about the performance obligations in contracts with customers is summarised below:-

Construction contracts

The construction contracts include multiple distinct promises to customers and therefore accounted for as separate performance obligations. In this case, the transaction price will be allocated to each performance obligation based on the stand-alone selling prices. When these are not directly observable, they are estimated based on the expected cost plus a margin approach.

Revenue from construction contracts is recognised over time in the period when the services are rendered using the input method, determine based the proportion of construction costs incurred for work performed to date over the estimated total construction costs.

Billings to customers are based on agreed milestones under the agreement, certified by architects. The credit period is 30 to 90 days from the invoice date. There is no significant financing component in the selling price as the billings are made on the normal credit terms not exceeding 12 months.

A defect liability period of 12 to 24 months is given to the customers.

Construction services

Construction services income is recognised over time in the period when services are rendered.

The credit period is 90 days from the invoice date. There is no significant financing component in the selling price as the sales are made on the normal credit terms not exceeding 12 months.

There is no warranty provided to the customers on the services rendered.

Rental of machinery

Rental of machinery is recognised on a straight-line method basis over the lease term.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

23. REVENUE (CONT'D)

(c) The information about the performance obligations in contracts with customers is summarised below (Cont'd):-

Sale of Residential Properties under Construction

Billings to customers are based on agreed milestones under the contracts, certified by architects. The credit period is 30 days from the date of progress billing. There is no significant financing component in the selling price as the billing is made on the normal credit terms not exceeding 12 months.

A defect liability period of 24 months is given to the customers.

Sale of Goods

Revenue from sale of goods is recognised at a point in time when goods have been transferred and accepted by customers, net of discount.

Some sale contracts allow the customers to return the goods within a specified period. The Group uses the expected value method to estimate goods that will not be returned in arriving at the amount of revenue. There is no material warranty provided to the customers on the sale of goods.

24. (LOSS ALLOWANCE)/REVERSAL OF LOSS ALLOWANCE ON FINANCIAL ASSETS AND CONTRACT ASSETS

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Loss allowance:				
- trade receivables	-	(2,013,033)	(2,878,170)	(353,850)
- contract assets	-	-	(1,726,541)	(410,767)
- other receivables	-	-	-	(677,547)
Reversal of loss allowance:				
- trade receivables	-	-	-	5,214,407
- contract assets	-	-	-	589,768
	-	(2,013,033)	(4,604,711)	4,362,011

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

25. PROFIT BEFORE TAXATION

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Profit before taxation is arrived at after charging/(crediting):-				
Auditors' remuneration:				
- audit fees:				
- statutory audit	90,000	156,000	265,000	404,000
- non-statutory audit	-	183,000	-	480,000
- non-audit fees:				
- auditors of the Company	-	-	-	398,000
- member firms of the auditors of the Company	-	-	-	404,000
Material Expenses/(Income)				
Amortisation of intangible assets	-	-	303,078	151,539
Depreciation:				
- property, plant and equipment	785,479	1,670,687	3,584,425	4,263,216
- investment properties	-	-	9,086	20,903
- right-of-use assets	838,648	1,153,358	1,794,356	1,704,828
Interest expense:				
- bankers' acceptances	99,917	57,851	59,668	546,786
- bank overdrafts	5,512	8,340	180,323	416,237
- lease liabilities	78,558	150,559	191,466	136,309
- hire purchase	1,032	58,761	79,606	63,588
- term loans	15,839	16,133	546,010	1,139,828
- others	-	-	51,113	128,402
Listing expenses	995,772	12,000	16,000	63,300
Staff costs (including other key management personnel as disclosed in Note 31):				
- short-term employee benefits	3,382,104	6,942,066	14,162,690	21,650,390
- defined contribution benefits	371,399	730,189	1,568,172	1,801,257
Property, plant and equipment written off	-	56,365	910	456
Realised loss/(gain) on foreign exchange	7,548	3,026	(3,431)	3,383
COVID-19 related subsidies from government	(9,600)	(93,040)	-	-

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

25. PROFIT BEFORE TAXATION (CONT'D)

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Profit before taxation is arrived at after charging/(crediting) (Cont'd):-				
Gain on disposal of property, plant and equipment	(580)	(10,974)	(94,270)	(37,679)
Gain on remeasurement of lease liabilities	(12,325)	(68,695)	(1,296)	(23,562)
Gain on acquisition in a subsidiary	-	(1,018,959)	-	-
Interest income on financial assets measured at amortised cost:				
- fixed deposits with licensed banks	(129,233)	(243,831)	(428,319)	(241,056)
- others	(35,888)	(22,469)	(30,223)	(34,536)

26. INCOME TAX EXPENSE

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Current tax:				
- current financial year	2,619,876	13,308,926	18,275,263	22,831,270
- under/(over) provision in the previous financial year	60,417	(299,577)	(320,444)	701,046
	2,680,293	13,009,349	17,954,819	23,532,316
Deferred tax (Note 8):				
- current financial year	258,294	100,529	(383,394)	953,172
- (over)/under provision in the previous year	(3,821)	144,461	(731,093)	(1,025,142)
	254,473	244,990	(1,114,487)	(71,970)
	2,934,766	13,254,339	16,840,332	23,460,346

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

26. INCOME TAX EXPENSE (CONT'D)

A reconciliation of the income tax expense applicable to the profit before taxation at the statutory tax rate to the income tax expense at the effective tax rate of the Group is as follows:-

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Profit before taxation	10,865,010	55,066,165	75,723,577	97,743,634
Tax at the statutory tax rate of 24%	2,607,603	13,215,880	18,173,658	23,458,472
Tax effects of:-				
Non-deductible expenses	270,567	438,125	629,063	1,644,478
Non-taxable income	-	(244,550)	(187,680)	-
Utilisation of deferred tax assets previously not recognised	-	-	(723,172)	(1,318,508)
Under/(Over) provision of current tax in the previous financial year	60,417	(299,577)	(320,444)	701,046
(Over)/Underprovision of deferred tax in the previous financial year	(3,821)	144,461	(731,093)	(1,025,142)
Income tax expense for the financial year	2,934,766	13,254,339	16,840,332	23,460,346

The domestic income tax is calculated at the Malaysian statutory tax rate of 24% (2023 - 24%, 2022 - 24%, 2021 - 24%) on the estimated assessable profit for the financial year.

At the end of the reporting period, the amounts of deferred tax assets not recognised (stated at gross) due to uncertainty of their realisation are as follows:-

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Other deductible temporary difference	-	3,013,217	5,493,783	-

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

27. EARNINGS PER SHARE

(a) Basic Earnings Per Share

The basic earnings per share is calculated by dividing the consolidated profit attributable to owners of the Company by the weighted average number of ordinary shares in issue during the financial year.

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Profit after taxation for the financial year attributable to owners of the Company	7,930,244	41,811,816	58,887,797	74,330,874
Weighted average number of ordinary shares in issue	333,726,039	355,393,238	514,406,830	706,360,208
Basic earnings per shares (Sen)	2.38	11.76	11.45	10.52

(b) Diluted Earnings Per Share

The diluted earnings per share is equal to the basic earnings per share because there were no potential ordinary shares during the financial year.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

28. ACQUISITION OF SUBSIDIARIES

On 28 June 2024, LSHBB, a wholly-owned subsidiary of the Company subscribed 70% equity interest in LSH Service Master Sdn. Bhd. ("LSH Service Master"), being 700 ordinary shares. The entity was formed to carry out the operations and maintenance management of the Kuala Lumpur Tower, the terms of the concession agreement still in the midst of negotiation as at the date of this report.

The following summarises the major classes of consideration transferred, and the recognised amounts of assets acquired and liabilities assumed at the date of acquisition:-

	Audited 2024 RM
LSH Service Master Sdn. Bhd.	
Purchase consideration settled in cash and cash equivalents	700
Less: Cash and cash equivalents of subsidiary acquired	(1,000)
Net cash inflow from the acquisition of LSH Service Master Sdn. Bhd	300

During the FYE 30 September 2023:-

(i) the Company completed the acquisition of the entire equity interest in ASSB following the issuance of 211,111,111 new ordinary shares in the Company at the fair value of RM0.85 each for a purchase consideration of RM179,444,445, as at the completion date i.e. 17 April 2023.

For information, the share sale agreement for the acquisition of ASSB was signed on 28 March 2022, for the purchase consideration of RM95,000,000 satisfied by the issuance of 211,111,111 new ordinary shares at the issue price of RM0.45 each; and

(ii) the Company completed the acquisition of the entire equity interest in LSH Ventures as well as the debt settlement following the issuance of 139,203,804 new ordinary shares in the Company at the fair value of RM0.85 each for a total consideration of RM118,323,233, as at the completion date i.e. 17 April 2023.

For information, the amended and restated debt settlement and share subscription agreement for the acquisition of LSH Ventures and debt settlement was signed on 20 February 2023, for a total consideration of RM62,641,712 satisfied by the issuance of 139,203,804 new ordinary shares at the issue price of RM0.45 each.

During the FYE 30 September 2022, the Company acquired entire equity interest in LSHBB for a cash consideration of RM3,500,000.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

28. ACQUISITION OF SUBSIDIARIES (CONT'D)

The following summarises the consideration transferred, and the recognised amounts of assets acquired and liabilities assumed at the date of acquisition:-

	Audited 2023 RM
ASSB	
Property and equipment	1,901,824
Investment properties	1,661,321
Rights-of-use assets	1,647,715
Investment in an associate	1,390,799
Property development cost	38,161,068
Trade receivables, other receivables and contract assets	60,475,847
Current tax assets	1,952,748
Cash and bank balances	3,007,125
Bank overdraft	(11,752,275)
Trade payables, other payables and contract liabilities	(39,477,548)
Lease liabilities	(1,484,394)
Borrowings	(26,941,521)
Deferred tax liabilities	(65,372)
Net identifiable assets acquired	30,477,337
Add: Goodwill on acquisition (Note 9)	148,967,108
Total purchase consideration, settled by shares	179,444,445
Net cash outflow from the acquisition of ASSB	(8,745,150)
LSH Ventures	
Property, plant and equipment	6,407,202
Investment properties	2,039,789
Property development cost	114,309,727
Trade receivables, other receivables and contract assets	865,039
Cash and bank balances	62,682
Trade payables, other payables and contract liabilities	(42,228,958)
Current tax liabilities	(14,496)
Net identifiable assets acquired	81,440,985
Less: Non-controlling interests, measured at the proportionate share of the fair value of the net identifiable assets	(60,397)
Total purchase consideration, settled by shares	81,380,588
Net cash inflow from the acquisition of LSH Ventures	62,682

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

28. ACQUISITION OF SUBSIDIARIES (CONT'D)

	Audited 2022 RM
LSHBB	
Equipment	1,141,735
Intangible assets	757,697
Trade receivables, other receivables and contract assets	36,450,831
Current tax assets	102,669
Cash and bank balances	14,431
Trade payables, other payables and contract liabilities	(33,774,063)
Borrowings	(40,722)
Deferred tax liabilities	(133,619)
Net identifiable assets acquired	4,518,959
Less: Gain on acquisition	(1,018,959)
Total purchase consideration, settled by cash	3,500,000
Less: Cash and bank balances of subsidiary acquired	(14,431)
Net cash outflow from the acquisition of LSHBB	3,485,569

(a) The goodwill is attributable mainly to the control premium paid. In addition, the purchase consideration also included benefits derived from the expected revenue growth of the subsidiary, its future market development as well as a customer list. These benefits are not recognised separately from goodwill because they do not meet the recognition criteria for identifiable intangible assets. The goodwill is not deductible for tax purposes.

(b) During the FYE 30 September 2023, ASSB has contributed revenue of RM56,155,708 and profit after taxation of RM14,259,479 to the Group since the date of acquisition. LSH Ventures has contributed revenue of 108,667 and profit after taxation of RM 69,868 to the Group since the date of acquisition.

If the acquisition of ASSB and LSH Ventures was effective at the beginning of the FYE 30 September 2023, the Group's revenue and profit after taxation for the current financial year would have been RM354,475,042 and RM53,688,069 respectively.

(c) During the FYE 30 September 2022, LSHBB has contributed revenue of RM109,146,944 and profit after taxation of RM32,650,154 to the Group since the date of acquisition.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

29. DIVIDENDS

	Audited FYE 30 September			
	2021 RM	2022 RM	2023 RM	2024 RM
In respect of the FYE 30 September 2021				
A final single tier dividend of 0.66 sen per ordinary share, paid on 15 April 2022	-	2,343,299	-	-
In respect of the FYE 30 September 2022				
A first interim single tier dividend 1.05 sen per ordinary share, paid on 28 June 2022	-	3,738,476	-	-
A second interim single tier dividend of 2.35 sen per ordinary share, paid on 28 December 2022	-	-	8,367,064	-
A final single tier dividend of 0.13 sen per ordinary share, paid on 17 April 2023	-	-	462,859	-
In respect of the FYE 30 September 2023				
A first interim single tier dividend of 0.92 sen per ordinary share, paid on 16 June 2023	-	-	6,498,514	-
A second interim single tier dividend of 1.59 sen per ordinary share, paid on 20 December 2023	-	-	-	11,231,127
In respect of the FYE 30 September 2024				
A first interim single tier dividend of 1.22 sen per ordinary share, paid on 12 July 2024	-	-	-	8,617,595
	-	6,081,775	15,328,437	19,848,722

On 25 November 2024, the Company declared an interim dividend of 1.94 sen per ordinary share amounting to RM13,703,388 in respect of the current financial year, payable on 13 December 2024, to shareholders whose names appeared in the record of depositors on 3 December 2024. The financial statements for the current financial year do not reflect this interim dividend. Such dividend will be accounted for in equity as an appropriation of retained profits in the financial year ending 30 September 2025.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

30. CASH FLOW INFORMATION

(a) The reconciliation of liability arising from financing activities are as follows:-

	Term Loans RM	Bankers' Acceptances RM	Lease Liabilities RM	Hire Purchase RM	Total RM
Audited					
2021					
At 1 October	-	-	1,644,674	396,707	2,041,381
Changes in Financing Cash Flows					
Proceeds from drawdown	500,000	8,456,677	-	-	8,956,677
Repayment of principal	(11,441)	-	(879,142)	(178,843)	(1,069,426)
Repayment of interests	(15,839)	(99,917)	(78,558)	(1,032)	(195,346)
	472,720	8,356,760	(957,700)	(179,875)	7,691,905
Non-cash Changes					
Acquisition of new hire purchase (Note 30(b))	-	-	-	490,000	490,000
Acquisition of new leases (Note 30(b))	-	-	1,331,710	-	1,331,710
Reassessment of leases (Note 18)	-	-	1,241,855	-	1,241,855
Interest expense recognised in profit or loss	15,839	99,917	78,558	1,032	195,346
	15,839	99,917	2,652,123	491,032	3,258,911
At 30 September	488,559	8,456,677	3,339,097	707,864	12,992,197

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

30. CASH FLOW INFORMATION (CONT'D)

(a) The reconciliation of liability arising from financing activities are as follows (Cont'd):-

	Term Loans RM	Bankers' Acceptances RM	Lease Liabilities RM	Hire Purchase RM	Total RM
Audited					
2022					
At 1 October	488,559	8,456,677	3,339,097	707,864	12,992,197
Changes in Financing Cash Flows					
Proceeds from drawdown	-	5,944,000	-	-	5,944,000
Repayment of principal	(65,707)	(12,176,677)	(741,061)	(536,617)	(13,520,062)
Repayment of interests	(16,133)	(57,851)	(150,559)	(58,761)	(283,304)
	(81,840)	(6,290,528)	(891,620)	(595,378)	(7,859,366)
Non-cash Changes					
Acquisition of a subsidiary	-	-	-	40,722	40,722
Acquisition of new hire purchase (Note 30(b))	-	-	-	920,655	920,655
Acquisition of new leases (Note 30(b))	-	-	1,150,800	-	1,150,800
Reassessment of leases (Note 18)	-	-	(91,286)	-	(91,286)
Interest expense recognised in profit or loss	16,133	57,851	150,559	58,761	283,304
	16,133	57,851	1,210,073	1,020,138	2,304,195
At 30 September	422,852	2,224,000	3,657,550	1,132,624	7,437,026

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

30. CASH FLOW INFORMATION (CONT'D)

(a) The reconciliation of liability arising from financing activities are as follows (Cont'd):-

	Term Loans RM	Bankers' Acceptances RM	Lease Liabilities RM	Hire Purchase RM	Total RM
Audited					
2023					
At 1 October	422,852	2,224,000	3,657,550	1,132,624	7,437,026
Changes in Financing Cash Flows					
Proceeds from drawdown	10,166,245	3,230,000	-	-	13,396,245
Repayment of principal	(26,494,786)	(2,224,000)	(1,540,907)	(1,357,352)	(31,617,045)
Repayment of interests	(546,010)	(59,668)	(191,466)	(79,606)	(876,750)
	(16,874,551)	946,332	(1,732,373)	(1,436,958)	(19,097,550)
Non-cash Changes					
Acquisition of subsidiaries	25,268,806	-	1,484,394	1,672,716	28,425,916
Acquisition of new leases (Note 30(b))	-	-	379,646	-	379,646
Reassessment of leases (Note 18)	-	-	180,750	-	180,750
Interest expense recognised in profit or loss	546,010	59,668	191,466	79,606	876,750
	25,814,816	59,668	2,236,256	1,752,322	29,863,062
At 30 September	9,363,117	3,230,000	4,161,433	1,447,988	18,202,538

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

30. CASH FLOW INFORMATION (CONT'D)

(a) The reconciliation of liability arising from financing activities are as follows (Cont'd):-

	Term Loans RM	Bankers' Acceptances RM	Lease Liabilities RM	Hire Purchase RM	Total RM
Audited					
2024					
At 1 October	9,363,117	3,230,000	4,161,433	1,447,988	18,202,538
Changes in Financing Cash Flows					
Proceeds from drawdown	49,768,421	30,371,000	-	1,318,500	81,457,921
Repayment of principal	(33,192,212)	(21,550,000)	(1,893,946)	(1,077,367)	(57,713,525)
Repayment of interests	(880,418)	(499,189)	(136,309)	(63,588)	(1,579,504)
	15,695,791	8,321,811	(2,030,255)	177,545	22,164,892
Non-cash Changes					
Acquisition of new leases (Note 30(b))	-	-	31,471	-	31,471
Reassessment of leases (Note 18)	-	-	(77,863)	-	(77,863)
Interest expense recognised in profit or loss	1,139,828	546,786	136,309	63,588	1,886,511
	1,139,828	546,786	89,917	63,588	1,840,119
At 30 September	26,198,736	12,098,597	2,221,095	1,689,121	42,207,549

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

30. CASH FLOW INFORMATION (CONT'D)

(b) The cash disbursed for the purchase of property, plant and equipment and the addition of right-of-use asset is as follows:-

	Audited FYE 30 September			
	2021	**2022**	**2023**	**2024**
	RM	RM	RM	RM
Property, plant and equipment				
Cost of property, plant and equipment purchased	4,059,997	7,752,927	11,444,759	5,858,977
Less: Acquired through hire purchase arrangements (Note 30(a))	(490,000)	(920,655)	-	-
Less: Addition of new hire purchase (Note 30(a))	-	-	-	(1,318,500)
	3,569,997	6,832,272	11,444,759	4,540,477
Right-of-use assets				
Cost of right-of-use assets acquired	1,331,710	1,150,800	379,646	31,471
Less: Addition of new lease liabilities (Note 30(a))	(1,331,710)	(1,150,800)	(379,646)	(31,471)
	-	-	-	-

(c) The total cash outflows for leases as a lessee are as follows:-

	Audited FYE 30 September			
	2021	**2022**	**2023**	**2024**
	RM	RM	RM	RM
Payment of lease liabilities	879,142	741,061	1,540,907	1,893,946
Interest paid on lease liabilities	78,558	150,559	191,466	136,309
	957,700	891,620	1,732,373	2,030,255

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

30. CASH FLOW INFORMATION (CONT'D)

(d) The cash and cash equivalents comprise the following:-

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Fixed deposits with licensed banks	4,609,148	16,166,877	14,823,474	8,595,354
Cash and bank balances	10,765,896	28,049,027	13,874,284	40,142,649
	15,375,044	44,215,904	28,697,758	48,738,003
Less: Fixed deposits pledged to licensed banks	(4,609,148)	(12,246,877)	(8,098,328)	(8,445,354)
Less: Fixed deposits with tenure more than 3 months	-	(2,000,000)	-	-
	10,765,896	29,969,027	20,599,430	40,292,649

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

31. KEY MANAGEMENT PERSONNEL COMPENSATION

The key management personnel of the Group include directors of the Group and certain members of senior management of the Group.

The key management personnel compensation during the financial year are as follows:-

	Audited FYE 30 September			
	2021	**2022**	**2023**	**2024**
	RM	RM	RM	RM
Directors				
Directors of the Company				
Short-term employee benefits:				
- fees	-	300,000	300,000	410,573
- salaries, bonuses and other benefits	612,924	2,478,519	4,739,611	3,827,221
Defined contribution benefits	72,000	293,232	550,854	441,105
	684,924	3,071,751	5,590,465	4,678,899
Directors of the Subsidiaries				
Short-term employee benefits:				
- fees	-	-	20,000	7,500
- salaries, bonuses and other benefits	-	312,041	540,329	350,698
Defined contribution benefits	-	35,940	61,620	39,838
	-	347,981	621,949	398,036
Total directors' remuneration	684,924	3,419,732	6,212,414	5,076,935
Other Key Management Personnel				
Short-term employee benefits:				
- salaries, bonuses and other benefits	531,835	1,363,386	3,540,921	4,998,201
Defined contribution benefits	64,058	158,213	376,213	531,503
	595,893	1,521,599	3,917,134	5,529,704

32. RELATED PARTY DISCLOSURES

(a) Holding companies

The holding companies are disclosed in Note 1 to the consolidated financial statements.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

32. RELATED PARTY DISCLOSURES (CONT'D)

(b) Significant Related Party Transactions and Balances

Other than those disclosed elsewhere in the financial statements, the Group also carried out the following significant transactions with the related parties during the financial year:-

	Audited FYE 30 September			
	2021	2022	2023	2024
	RM	RM	RM	RM
Sales to ultimate holding company	-	-	11,770	9,700
Sales to related companies	21,618,002	30,590,688	-	40,617
Contract income from related companies	283,944	793,854	-	-
Contract income from ultimate holding company	-	-	-	7,019,000
Contract income from company in which certain directors of the Company have financial interest	297,677	87,682,703	142,577,933	122,435,560
Purchases from related companies	(2,338,716)	(12,645,997)	-	-
Rental of machineries to ultimate holding companies	-	-	-	1,830
Sales to companies in which certain directors of the Company have substantial financial interests	4,549,432	13,405,190	16,620,606	14,459,805
Purchases from companies in which certain directors of the Company have substantial financial interests	(2,412,087)	(25,613,218)	(13,199,605)	(12,869,893)
Contract cost to companies in which certain directors of the Company have substantial financial interests	-	-	(113,500)	(3,495,907)
Rental expenses paid or payable to an ultimate holding company	(598,900)	(608,400)	(2,137,800)	(2,164,600)
Rental expense paid or payable to a company in which certain directors of the Company have substantial financial interests	(248,800)	(331,200)	(131,333)	-
Rental of machineries from a company in which certain directors of the Company have substantial financial interests	-	-	(151,700)	(640,476)
Rental expense paid or payable to a director of the Company	(117,600)	(117,600)	(117,600)	(129,200)

The significant outstanding balances of the related parties together with their terms and conditions are disclosed in the respective notes to the consolidated financial statements.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS

Operating segments are prepared in a manner consistent with the internal reporting provided to the management as its chief operating decision maker in order to allocate resources to segments and to assess their performance on a quarterly basis. For management purposes, the Group is organised into business units based on their products and services provided.

The Group is organised into 7 main reportable segments as follows:-

- Segment A distribution and/or retail of building materials, lighting products and related mechanical and electrical products and services
- Segment B wholesale and retail of hardware and tools, and rental of machinery
- Segment C investment holding
- Segment D business of construction
- Segment E provision of construction and business related services & solutions
- Segment F property development
- Segment G companies which are in dormant status

(a) The management assesses the performance of the reportable segments based on their profit before interest expense and taxation. The accounting policies of the reportable segments are the same as the Group's accounting policies.

(b) Each reportable segment assets are measured based on all assets of the segment other than tax-related assets.

(c) Each reportable segment liabilities are measured based on all liabilities of the segment other than tax-related liabilities.

(d) Assets, liabilities and expenses which are common and cannot be meaningfully allocated to the reportable segments are presented under unallocated items.

Transactions between reportable segments are carried out on agreed terms between both parties. The effects of such inter-segment transactions are eliminated on consolidation.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS

	Segment A RM	Segment B RM	Segment C RM	The Group RM
Audited				
2021				
Revenue				
External revenue	43,537,274	23,878,660	-	67,415,934
Inter-segment revenue	452	4,063	-	4,515
	43,537,726	23,882,723	-	67,420,449
Consolidation adjustments				(4,515)
Consolidated revenue				67,415,934
Represented by:-				
Revenue recognised at a point in time				
- Sales of goods	42,990,081	12,758,730	-	55,748,811
Revenue recognised over time				
- Rental of machinery	-	11,123,993	-	11,123,993
- Construction contract	547,645	-	-	547,645
	43,537,726	23,882,723	-	67,420,449
Consolidation adjustments				(4,515)
Consolidated revenue				67,415,934

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	The Group RM
Audited				
2021				
Results				
Segment results	3,708,073	9,688,214	(993,331)	12,402,956
Interest income	165,121	-	-	165,121
Interest expense	(166,252)	(34,606)	-	(200,858)
Depreciation of plant and equipment	(147,654)	(637,825)	-	(785,479)
Depreciation of right-of-use assets	(609,149)	(229,499)	-	(838,648)
Gain on disposal of plant and equipment	-	580	-	580
Inventories written down	(128,188)	(17,817)	-	(146,005)
Realised loss on foreign exchange	-	(7,548)	-	(7,548)
Reversal of inventories previously written off	-	274,891	-	274,891
	2,821,951	9,036,390	(993,331)	10,865,010
Income tax expense				(2,934,766)
Consolidated profit after taxation				7,930,244

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	The Group RM
Audited				
2021				
Assets				
Segment assets	42,227,041	19,851,871	3,691,993	65,770,905
Current tax assets	328,754	-	-	328,754
Consolidation adjustments				-
Consolidated total assets				66,099,659
Additions to non-current assets other than financial instruments are:-				
Plant and equipment	129,559	3,930,438	-	4,059,997
Right-of-use assets	584,670	747,040	-	1,331,710
Liabilities				
Segment liabilities	18,380,398	3,456,283	23,571	21,860,252
Current tax liabilities	-	410,197	-	410,197
Deferred tax liabilities	4,041	474,605	-	478,646
Consolidation adjustments				-
Consolidated total liabilities				22,749,095

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment G RM	The Group RM
Audited							
2022							
Revenue							
External revenue	34,497,767	22,221,758	-	98,982,238	10,164,706	-	165,866,469
Inter-segment revenue	8,378,928	4,151,232	9,500,000	-	-	-	22,030,160
	42,876,695	26,372,990	9,500,000	98,982,238	10,164,706	-	187,896,629
Consolidation adjustments							(22,030,160)
Consolidated revenue							165,866,469

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment G RM	The Group RM
Audited							
2022							
Revenue							
Represented by:-							
Revenue recognised at a point in time							
- Sales of goods	42,259,028	13,114,776	-	-	-	-	55,373,804
- Dividends received	-	-	9,500,000	-	-	-	9,500,000
Revenue recognised over time							
- Rental of machinery	-	13,258,214	-	-	-	-	13,258,214
- Construction contract	617,667	-	-	98,982,238	-	-	99,599,905
- Construction services	-	-	-	-	10,164,706	-	10,164,706
	42,876,695	26,372,990	9,500,000	98,982,238	10,164,706	-	187,896,629
Consolidation adjustments							(22,030,160)
Consolidated revenue							165,866,469

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment G RM	The Group RM
Audited							
2022							
Results							
Segment results	(4,323,824)	6,327,976	(162,244)	56,152,633	-	(17,923)	57,976,618
Interest income	172,047	15,522	43,457	35,274	-	-	266,300
Interest expense	(154,853)	(72,394)	-	(64,397)	-	-	(291,644)
Depreciation of plant and equipment	(225,226)	(1,192,416)	-	(253,045)	-	-	(1,670,687)
Depreciation of right-of-use assets	(646,469)	(244,369)	-	(262,520)	-	-	(1,153,358)
Gain on disposal of plant and equipment	6,550	4,424	-	-	-	-	10,974
Inventories written down	-	(80,610)	-	-	-	-	(80,610)
Plant and equipment written off	-	(56,365)	-	-	-	-	(56,365)
Realised gain on foreign exchange	-	(3,026)	-	-	-	-	(3,026)
Reversal of inventories previously written off	67,963	-	-	-	-	-	67,963
	(5,103,812)	4,698,742	(118,787)	55,607,945	-	(17,923)	55,066,165
Income tax expense							(13,254,339)
Consolidated profit after taxation							41,811,826

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment G RM	The Group RM
Audited							
2022							
Assets							
Segment assets	31,593,706	25,027,265	39,068,049	98,579,483	-	19,444	194,287,947
Current tax assets	469,546	-	-	-	-	-	469,546
Deferred tax assets	-	-	-	265,446	-	-	265,446
Consolidation adjustments							(40,301,364)
Consolidated total assets							154,721,575
Additions to non-current assets other than financial instruments are:-							
Property, plant and equipment	493,297	6,023,247	-	1,236,383	-	-	7,752,927
Right-of-use assets	-	-	-	1,150,800	-	-	1,150,800

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment G RM	The Group RM
Audited							
2022							
Liabilities							
Segment liabilities	12,453,285	3,640,812	780,577	56,699,284	-	35,367	73,609,325
Current tax liabilities	-	461,603	-	5,734,229	-	-	6,195,832
Deferred tax liabilities	4,041	1,118,660	-	-	-	-	1,122,701
Consolidation adjustments							(5,706,898)
Consolidated total liabilities							75,220,960

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2023								
Revenue								
External revenue	53,136,124	27,477,307	-	253,290,082	9,920,551	13,930,728	-	357,754,792
Inter-segment revenue	33,048,426	11,016,520	16,608,667	27,289,740	-	-	-	87,963,353
	86,184,550	38,493,827	16,608,667	280,579,822	9,920,551	13,930,728	-	445,718,145
Consolidation adjustments								(87,963,353)
Consolidated revenue								357,754,792

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2023								
Revenue								
Represented by:-								
Revenue recognised at a point in time								
- Sales of goods	74,126,308	12,708,739	-	-	-	-	-	86,835,047
- Dividends received	-	-	16,500,000	-	-	-	-	16,500,000
- Rental income	-	-	108,667	-	-	-	-	108,667
Revenue recognised over time								
- Rental of machinery	-	25,785,088	-	-	-	-	-	25,785,088
- Construction contract	12,058,242	-	-	280,579,822	-	-	-	292,638,064
- Construction services	-	-	-	-	9,920,551	-	-	9,920,551
- Property development	-	-	-	-	-	13,930,728	-	13,930,728
	86,184,550	38,493,827	16,608,667	280,579,822	9,920,551	13,930,728	-	445,718,145
Consolidation adjustments								(87,963,353)
Consolidated revenue								357,754,792

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2023								
Results								
Segment results	(694,145)	20,440,751	(1,587,037)	52,486,138	9,920,551	1,428,243	4,274	81,998,775
Interest income	150,748	35,153	86,739	179,424	-	6,478	-	458,542
Interest expense	(135,294)	(52,002)	-	(726,022)	-	(194,868)	-	(1,108,186)
Depreciation of property, plant and equipment	(278,586)	(2,385,553)	-	(897,346)	-	-	(22,940)	(3,584,425)
Depreciation of investment properties	-	-	-	(9,086)	-	-	-	(9,086)
Depreciation of right-of-use assets	(636,635)	(292,854)	-	(808,905)	-	(55,962)	-	(1,794,356)
Gain on disposal of property, plant and equipment	-	94,270	-	-	-	-	-	94,270
Inventories written down	(7,169)	(398,787)	-	-	-	-	-	(405,956)
Property, plant and equipment written off	-	(910)	-	-	-	-	-	(910)
Realised loss on foreign exchange	-	3,431	-	-	-	-	-	3,431
Reversal of inventories previously written off	-	80,610	-	-	-	-	-	80,610
	(1,601,081)	17,524,109	(1,500,298)	50,224,203	9,920,551	1,183,891	(18,666)	75,732,709
Income tax expense								(16,840,332)
Share of loss of equity-accounted associate								(9,132)
Consolidated profit after taxation								58,883,245

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2023								
Assets								
Segment assets	43,084,512	40,022,716	378,823,254	185,576,633	-	82,400,316	802,993	730,710,424
Unallocated assets:-								
Current tax assets								851,012
Deferred tax assets								1,924,098
Fixed deposits with licensed banks								14,823,474
Cash and bank balances								13,874,284
Consolidation adjustments								(172,508,857)
Consolidated total assets								589,674,435
Additions to non-current assets other than financial instruments are:-								
Property, plant and equipment	324,968	10,736,349	-	383,442	-	-	-	11,444,759
Right-of-use assets	43,317	267,054	-	69,275	-	-	-	379,646

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2023								
Liabilities								
Segment liabilities	23,061,866	7,167,053	42,786,526	164,507,718	-	52,410,960	350,066	290,284,189
Unallocated liabilities:-								
Current tax liabilities								3,512,677
Deferred tax liabilities								1,732,238
Consolidation adjustments								(126,738,167)
Consolidated total liabilities								168,790,937

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2024								
Revenue								
External revenue	60,055,356	33,926,471	-	188,203,403	6,866,098	72,353,851	-	361,405,179
Inter-segment revenue	29,291,856	10,389,142	22,044,000	64,964,810	3,799,786	(20,911,771)	-	109,577,823
	89,347,212	44,315,613	22,044,000	253,168,213	10,665,884	51,442,080	-	470,983,002
Consolidation adjustments								(109,577,823)
Consolidated revenue								361,405,179

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2024								
Revenue								
Represented by:-								
Revenue recognised at a point in time								
- Sales of goods	72,339,305	15,742,966	-	-	-	-	-	88,082,271
- Dividend received	-	-	21,800,000	-	-	-	-	21,800,000
- Rental income	-	-	244,000	-	-	-	-	244,000
Revenue recognised over time								
- Rental of machinery	-	28,572,647	-	-	-	-	-	28,572,647
- Construction contract	17,007,907	-	-	253,168,213	-	-	-	270,176,120
- Construction services	-	-	-	-	10,665,884	-	-	10,665,884
- Property development	-	-	-	-	-	51,442,080	-	51,442,080
	89,347,212	44,315,613	22,044,000	253,168,213	10,665,884	51,442,080	-	470,983,002
Consolidation adjustments								(109,577,823)
Consolidated revenue								361,405,179

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2024								
Results								
Segment results	(2,165,556)	12,290,928	(4,225,120)	61,986,843	6,866,098	31,078,455	(32,547)	105,799,101
Interest income	32,690	31,438	52,919	136,833	-	21,712	-	275,592
Interest expense	(586,038)	(32,485)	-	(1,085,995)	-	(726,632)	-	(2,431,150)
Depreciation of property, plant and equipment	(323,595)	(2,620,889)	(50,660)	(1,268,072)	-	-	-	(4,263,216)
Depreciation of investment properties	-	-	-	(20,903)	-	-	-	(20,903)
Depreciation of right-of-use assets	(549,013)	(396,162)	-	(759,653)	-	-	-	(1,704,828)
Gain on disposal of property, plant and equipment	20,498	(819)	-	-	-	18,000	-	37,679
Inventories written down	(1,299)	-	-	-	-	-	-	(1,299)
Property, plant and equipment written off	-	(454)	-	-	-	(2)	-	(456)
Realised gain on foreign exchange	-	3,383	-	-	-	-	-	3,383
Reversal of inventories previously written off	-	57,697	-	-	-	-	-	57,697
Balance carried forward	(3,572,313)	9,332,637	(4,222,861)	58,989,053	6,866,098	30,391,533	(32,547)	97,751,600

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2024								
Results								
Balance brought forward	(3,572,313)	9,332,637	(4,222,861)	58,989,053	6,866,098	30,391,533	(32,547)	97,751,600
Income tax expense								(23,460,346)
Share of loss of equity-accounted associate								(7,966)
Consolidated profit after taxation								74,283,288

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2024								
Assets								
Segment assets	59,230,359	57,174,965	379,297,382	170,125,600	-	161,289,795	468,700	827,586,801
Unallocated assets:-								
Deferred tax assets								2,171,571
Fixed deposits with licensed banks								8,595,354
Cash and bank balances								40,142,649
Consolidation adjustments								(236,614,061)
Consolidated total assets								641,882,314
Additions to non-current assets other than financial instruments are:-								
Property, plant and equipment	72,131	3,470,286	-	2,316,560	-	-	-	5,858,977
Right-of-use assets	-	11,175	-	20,296	-	-	-	31,471

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.1 BUSINESS SEGMENTS (CONT'D)

	Segment A RM	Segment B RM	Segment C RM	Segment D RM	Segment E RM	Segment F RM	Segment G RM	The Group RM
Audited								
2024								
Liabilities								
Segment liabilities	32,944,758	6,022,743	42,817,483	167,197,643	-	104,804,726	39,435	353,826,788
Unallocated liabilities:-								
Current tax liabilities								8,020,680
Deferred tax liabilities								1,907,741
Consolidation adjustments								(197,191,259)
Consolidated total liabilities								166,563,950

33.2 GEOGRAPHICAL INFORMATION

The Group operates predominantly in Malaysia. Accordingly, the information by geographical segments is not presented.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

33. OPERATING SEGMENTS (CONT'D)

33.3 MAJOR CUSTOMERS

The following are major customers with revenue equal to or more than 10% of the Group's total revenue:-

	Audited FYE 30 September				
	2021 RM	2022 RM	2023 RM	2024 RM	
Customer A	-	86,190,970	147,516,291	150,256,737	Segment A, B, D and E
Customer B*	19,304,721	38,972,916	55,250,009	52,074,002	Segment D
Customer C	12,461,357	2,650,698	3,187,201	40,002,354	Segment A, B and D

* This is contributed by 4 customers who are the appointed contractors to undertake projects for the same ultimate customer. These 4 contractors then sought to jointly undertake the construction works for those projects with the Group.

34. CAPITAL COMMITMENT

	Audited FYE 30 September			
	2021 RM	2022 RM	2023 RM	2024 RM
Capital expenditure in respect of purchase of assets:				
- approved and contracted for	4,755,420	7,449,167	1,390,489	1,602,438

35. CONTINGENT LIABILITIES

No provisions are recognised on the following matters as it is not probable that a future sacrifice of economic benefits will be required or the amount is not capable of reliable measurement:-

35.1 CORPORATE GUARANTEE

		Audited FYE 30 September			
		2021 RM	2022 RM	2023 RM	2024 RM
Corporate guarantee extended to third parties		-	-	25,570,086	28,170,086
Corporate guarantee extended to related parties	(a)	-	-	4,161,095	2,059,947

(a) Subsequent to the financial year ended 30 September 2024, the corporate guarantee provided by the subsidiary to AmBank Islamic Berhad for credit facilities granted to related parties has been fully discharged on 15 October 2024.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

35. CONTINGENT LIABILITIES (CONT'D)

35.2 MATERIAL LITIGATIONS

On 2 April 2024, the Judicial Review Application was filed by 6 individuals ("Applicants") against the Datuk Bandar of Kuala Lumpur ("Datuk Bandar") and a subsidiary of the Company, ASES to seek for, amongst others for the following order:

(i) to quash the development order dated 15 November 2023 ("Impugned Development Order") that was granted by the Datuk Bandar to ASES for the Lake Side Homes Project;
(ii) to quash the approval given by the Datuk Bandar for ASES to build a bridge across Tasik Lake Fields to the Lake Side Homes Project pursuant to a letter dated 11 January 2024 ("Impugned Bridge Approval");
(iii) to quash the adoption of Alteration 3 (Part 2) of the Kuala Lumpur Local Plan (2020) proposed and adopted on 17 July 2020 and 3 August 2021 respectively by the Datuk Bandar in relation to Tasik Lake Fields and/or Lot 103675 (being the site of the Lake Side Homes Project) ("Alteration 3 (Part 2) of the KLLP 2020");
(iv) to quash the approval given by the Datuk Bandar to allow ASES to use the walkway or any part of the public open space surrounding Tasik Lake Fields for access for construction works for the Impugned Bridge Approval and/or Impugned Development Order; and
(v) a declaration that the Alteration 3 (Part 2) of the KLLP 2020 by the Datuk Bandar is illegal and ultra vires of the Federal Territory (Planning) Act 1982 and therefore legally unenforceable, null and void.

(collectively, the "Judicial Review Application")

In the prayers for the Judicial Review Application, the Applicants have also applied for an order to stay the Impugned Development Order and Impugned Bridge Approval (including all works and process relating to the same) until the full and final disposal of the Judicial Review Application ("Stay Application").

On 17 April 2024, the High Court granted leave to the Applicants to proceed with the Judicial Review Application and also granted an interim stay of the Impugned Development Order and Impugned Bridge Approval pending the full and final disposal of the Stay Application ("First Interim Stay Order").

On 8 May 2024, ASES' solicitors notified the High Court of ASES' objection to the Stay Application. In the light of the objection, the High Court then fixed the hearing date for the Stay Application on 22 July 2024.

During the hearing of the Stay Application on 22 July 2024, the High Court fixed the decision for the Stay Application on 21 August 2024. During the same hearing, the High Court also directed for the substantive merits of the Judicial Review Application to be heard on 10 March 2025. Parties were also directed to file the remaining cause papers for the Judicial Review Application.

On 21 August 2024, the High Court dismissed the Stay Application and lifted the First Interim Stay Order with costs awarded to the Respondents. On 22 August 2024, the Applicants filed an appeal against the High Court's dismissal of the Stay Application ("Appeal"), the hearing of which is fixed on 3 March 2025.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

35. CONTINGENT LIABILITIES (CONT'D)

35.2 MATERIAL LITIGATIONS (CONT'D)

On 23 August 2024, the Applicants filed another application in the High Court seeking for another interim stay of the Impugned Development Order and Impugned Bridge Approval pending the disposal of the Appeal in the Court of Appeal ("Second Interim Stay Order"). The High Court fixed the hearing for the Second Interim Stay Order on 14 November 2024, which was subsequently postponed to 9 January 2025 as the Judge who was originally hearing the matter was elevated to the Court of Appeal. Parties were also directed to file the remaining cause papers for the Second Interim Stay Order. During the hearing on 9 January 2025, the High Court fixed the decision for the Second Interim Stay Order on 20 February 2025.

On 6 September 2024, the Applicants filed a motion in the Court of Appeal to seek for an interim preservation order to stay the Impugned Development Order and Impugned Bridge Approval until the Appeal is being disposed by the Court of Appeal ("Section 44 Motion"). On 13 September 2024, the Court of Appeal dismissed the Section 44 Motion with costs awarded to the Respondents.

Subject to the courts' further and future decision on the Judicial Review Application, the Appeal, the Second Interim Stay Order and/or other direction from the courts, ASES is permitted to resume and continue works on the Lake Side Homes Project pursuant to the Impugned Development Order and Impugned Bridge Approval from 21 August 2024 onwards.

The Group has not recognised the above claims in its accounts as at 30 September 2024. ASES' solicitors are of the view that ASES has a fair chance of success in their Judicial Review Application.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS

The activities of the Group are exposed to a variety of market risk (including foreign currency risk, interest rate risk and equity price risk), credit risk and liquidity risk. The overall financial risk management policy focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Group.

36.1 FINANCIAL RISK MANAGEMENT POLICIES

The Group's policies in respect of major areas of treasury activity are as follows:

(a) Market Risk

(i) Foreign Currency Risk

At the end of the reporting period, the balances denominated in currencies other than Ringgit Malaysia are not material.

(ii) Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The exposure to interest rate risk arises mainly from borrowings with variable rates. The Group adopts a policy of obtaining the most favourable interest rates available and by maintaining a balanced portfolio mix of fixed and floating rate borrowings.

The fixed rate debt instruments of the Group are not subject to interest rate risk since neither carrying amounts nor the future cash flows will fluctuate because of a change in market interest rates.

The exposure to interest rate risk based on the carrying amounts of the financial instruments at the end of the reporting period is disclosed in Note 17 and Note 22 to the consolidated financial statements.

Interest Rate Risk Sensitivity Analysis

The following table details the sensitivity analysis to a reasonably possible change in the interest rates at the end of the reporting period, with all other variables held constant:-

	Audited FYE 30 September			
	2021	**2022**	**2023**	**2024**
	RM	RM	RM	RM
Effects on Profit After Taxation				
Increase of 100 basis points	-	-	- 24,548	- 196,947
Decrease of 100 basis points	-	-	+ 24,548	+ 196,947

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(a) Market Risk (Cont'd)

(iii) Equity Price Risk

The Group does not have any quoted investments and hence, is not exposed to equity price risk.

(b) Credit Risk

The exposure to credit risk, or the risk of counterparties defaulting, arises mainly from trade and other receivables. The Group manages its exposure to credit risk by the application of credit approvals, credit limits and monitoring procedures on an ongoing basis. For other financial assets (including cash and bank balances), the Group minimises credit risk by dealing exclusively with high credit rating counterparties.

Also, the Group's exposure to credit risk includes corporate guarantee given to financial institutions for credit facilities granted to certain third parties and related parties. The Group monitors the ability of the third parties and related parties to serve their loans on an individual basis.

(i) Credit Risk Concentration Profile

At the end of the reporting period, the Group's major concentration of credit risk relates to the amounts owing by 1 (2023 - 1, 2022 - 2, 2021 - 3) customers which constituted approximately 67% (2023 - 65%, 2022 - 87%, 2021 - 80%) of its trade receivables and contract assets (including related parties), net of loss allowance.

(ii) Maximum Exposure to Credit Risk

At the end of the reporting period, the maximum exposure to credit risk is represented by the carrying amount of each class of financial assets recognised in the statement of financial position of the Group after deducting any allowance for impairment losses (where applicable).

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses

The Group has an informal credit policy in place and the exposure to credit risk is monitored on an on-going basis through periodic review of the ageing of the trade receivables. The Group closely monitors the trade receivables' financial strength to reduce the risk of loss.

At each reporting date, the Group assesses whether any of the financial assets at amortised cost and contract assets are credit impaired.

The gross carrying amounts of financial assets are written off against the associated impairment, if any, when there is no reasonable expectation of recovery despite the fact that they are still subject to enforcement activities.

A financial asset is credit impaired when any of following events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred:
- Significant financial difficult of the receivable;
- A breach of contract, such as a default or past due event;
- Restructuring of a debt in relation to the receivable's financial difficulty; or
- It is becoming probable that the receivable will enter bankruptcy or other financial reorganisation.

The Group considers a receivable to be in default when the receivable is unlikely to repay its debt to the Group in full or is more than 90 days past due unless the Group has reasonable and supportable information to demonstrate that a more a lagging default criterion is more appropriate.

Trade Receivables and Contract Assets

The Group applies the simplified approach to measure expected credit losses using a lifetime expected credit loss allowance for all trade receivables and contract assets.

Inputs, Assumptions and Techniques used for Estimating Impairment Losses

To measure the expected credit losses, trade receivables (including related parties) and contract assets have been grouped based on shared credit risk characteristics and the days past due. The contract assets relate to unbilled work in progress and have substantially the same risk characteristics as the trade receivables for the same types of contracts. Therefore, the Group concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses (Cont'd)

Trade Receivables and Contract Assets (Cont'd)

Inputs, Assumptions and Techniques used for Estimating Impairment Losses (Cont'd)

The Group measures the expected credit losses of certain major customers, trade receivables that are credit impaired and trade receivables with a high risk of default on individual basis.

The expected loss rates are based on the payment profiles of sales over a period of 12 (2023 - 12, 2022 - 12, 2021 - 12) months before the reporting date and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the trade receivables to settle their debts.

There are no significant changes in the estimation techniques and assumptions as compared to the previous financial year.

Allowance for Impairment Losses

The information about the exposure to credit risk and the loss allowances recognised for both trade receivables and contract assets are summarised below:-

Audited	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
2021				
Current (not past due)	4,633,904	-	-	4,633,904
1 to 30 days past due	2,992,322	-	-	2,992,322
31 to 60 days past due	2,070,124	-	-	2,070,124
61 to 90 days past due	1,359,362	-	-	1,359,362
More than 90 days past due	18,201,183	-	-	18,201,183
Credit impaired	14,705	(14,705)	-	-
Trade receivables	29,271,600	(14,705)	-	29,256,895
Contract assets	222,298	-	-	222,298
	29,493,898	(14,705)	-	29,479,193

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses (Cont'd)

Trade Receivables and Contract Assets (Cont'd)

Allowance for Impairment Losses (Cont'd)

The information about the exposure to credit risk and the loss allowances recognised for both trade receivables and contract assets are summarised below (Cont'd):-

Audited	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
2022				
Current (not past due)	26,923,022	-	(1,196,151)	25,726,871
1 to 30 days past due	17,335,657	-	(215,494)	17,120,163
31 to 60 days past due	10,020,444	-	(37,136)	9,983,308
61 to 90 days past due	2,554,682	-	(7,178)	2,547,504
More than 90 days past due	11,713,312	-	(557,074)	11,156,238
Credit impaired	14,705	(14,705)	-	-
Trade receivables	68,561,822	(14,705)	(2,013,033)	66,534,084
Contract assets	8,637,683	-	-	8,637,683
	77,199,505	(14,705)	(2,013,033)	75,171,767
2023				
Current (not past due)	116,566,558	-	(5,312,355)	111,254,203
1 to 30 days past due	1,227,837	-	(375,460)	852,377
31 to 60 days past due	1,019,229	-	(255,530)	763,699
61 to 90 days past due	449,438	-	(229,276)	220,162
More than 90 days past due	988,250	-	(552,950)	435,300
Credit impaired	3,113,908	-	(1,617,555)	1,496,353
Trade receivables	123,365,220	-	(8,343,126)	115,022,094
Contract assets	71,136,919	-	(1,726,541)	69,410,378
	194,502,139	-	(10,069,667)	184,432,472

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses (Cont'd)

Trade Receivables and Contract Assets (Cont'd)

Allowance for Impairment Losses (Cont'd)

The information about the exposure to credit risk and the loss allowances recognised for both trade receivables and contract assets are summarised below (Cont'd):-

	Gross Amount RM	Lifetime Individual Allowance RM	Lifetime Collective Allowance RM	Carrying Amount RM
Audited				
2024				
Current (not past due)	77,689,648	-	(2,327,378)	75,362,270
1 to 30 days past due	6,472,868	-	(462,047)	6,010,821
31 to 60 days past due	1,584,303	-	(19,705)	1,564,598
61 to 90 days past due	7,236,863	-	(108,792)	7,128,071
More than 90 days past due	9,315,203	-	(200,397)	9,114,806
Credit impaired	364,250	(15,205)	(349,045)	-
Trade receivables	102,663,135	(15,205)	(3,467,364)	99,180,566
Contract assets	125,397,013	-	(1,547,540)	123,849,473
	228,060,148	(15,205)	(5,014,904)	223,030,039

Trade receivables and contract assets that are individually determined to be impaired relate to debtors who are in significant financial difficulties and have defaulted on payments. These debtors are not secured by any collateral or credit enhancements.

Trade receivables and contract assets that are collectively determined to be impaired relate to expected credit losses measured based on the Group's observed default rates.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses (Cont'd)

Other Receivables

The Group applies the 3-stage general approach to measuring expected credit losses for its other receivables.

Inputs, Assumptions and Techniques used for Estimating Impairment Losses

Under this approach, the Group assesses whether there is a significant increase in credit risk for receivables by comparing the risk of a default as at the reporting date with the risk of default as at the date of initial recognition. The Group considers there has been a significant increase in credit risk when there are changes in contractual terms or delay in payment. Regardless of the assessment, a significant increase in credit risk is presumed if a receivable is more than 30 days past due in making a contractual payment.

The Group uses 3 categories to reflect their credit risk and how the loss allowance is determined for each category:-

Category	Definition of Category	Loss Allowance
Performing:	Receivables have a low risk of default and a strong capacity to meet contractual cash flows	12-months expected credit losses
Underperforming:	Receivables for which there is a significant increase in credit risk	Lifetime expected credit losses
Not performing:	There is evidence indicating the receivable is credit impaired or more than 90 days past due	Lifetime expected credit losses

The Group measures the expected credit losses of receivables having significant balances, receivables that are credit impaired and receivables with a high risk of default on individual basis. Other receivables are grouped based on shared credit risk characteristics and assessed on collective basis.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses (Cont'd)

Other Receivables (Cont'd)

Inputs, Assumptions and Techniques used for Estimating Impairment Losses (Cont'd)

Loss allowance is measured on either 12-month expected credit losses or lifetime expected credit losses, by considering the likelihood that the receivable would not be able to repay during the contractual period (probability of default, PD), the percentage of contractual cash flows that will not be collected if default happens (loss given default, LGD) and the outstanding amount that is exposed to default risk (exposure at default, EAD).

In deriving the PD and LGD, the Group considers the receivable's past payment status and its financial condition as at the reporting date. The PD is adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the receivable to settle its debts.

There are no significant changes in the estimation techniques and assumptions as compared to the previous financial year.

Allowance for Impairment Losses

The reconciliations of allowance for impairment losses are as follows:-

	Performing RM	Under-performing RM	Non-performing RM	Carrying Amount RM
Audited				
2024				
Balance at 1.10.2023	-	-	-	-
Additions	-	-	(677,547)	(677,547)
Balance at 30.9.2024	-	-	(677,547)	(677,547)

The allowance for impairment losses is individually determined and relates mainly to:

- Other receivables of "underperforming" category who have not settled the debts on due dates but do not have objective evidence of impairment; and
- Other receivables of "non-performing" category who are in significant financial difficulties and defaulted on payments.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(b) Credit Risk (Cont'd)

(iii) Assessment of Impairment Losses (Cont'd)

Fixed Deposit with Licensed Banks, Cash and Bank Balances

The Group considers these banks and financial institution have low credit risks. In addition, some of the bank balances are insured by Government agencies. Therefore, the Group is of the view that the loss allowance is immaterial and hence, it is not provided for.

Financial Guarantee Contracts

Corporate guarantees for borrowing facilities granted to third parties and related parties are financial guarantee contract.

Inputs, Assumptions and Techniques used for Estimating Impairment Losses

The Group closely monitors the third parties' and related parties' financial strength to reduce the risk of loss.

The Company considers there is a significant increase in credit risk when a third party's and a related party's financial position deteriorates significantly. A financial guarantee contract is credit impaired when:

- The third parties and related parties are unlikely to repay its obligation to the bank in full; or
- The third parties and related parties are having a deficit in equity and is continuously loss making.

The Group determines the probability of default of the guaranteed amounts individually using internal information available.

Allowance for Impairment Losses

All of the financial guarantee contracts are considered to be performing, have low risks of default and historically there were no instances where these financial guarantee contracts were called upon by the parties of which the financial guarantee contracts were issued to. Accordingly, no loss allowances were identified based on 12-month expected credit losses.

(c) Liquidity Risk

Liquidity risk arises mainly from general funding and business activities. The Group practices prudent risk management by maintaining sufficient cash balances and the availability of funding through certain committed credit facilities.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(c) Liquidity Risk (Cont'd)

Maturity Analysis

The following table sets out the maturity profile of the financial liabilities at the end of the reporting period based on contractual undiscounted cash flows (including interest payments computed using contractual rates or, if floating, based on the rates at the end of the reporting period):-

Audited	Contractual Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Years RM	Over 5 years RM
2021						
Non-derivative Financial Liabilities						
Trade payables	-	7,392,639	7,392,639	7,392,639	-	-
Other payables and accruals	-	857,224	857,224	857,224	-	-
Term loans	3.50	488,559	545,560	81,834	327,336	136,390
Bankers' acceptances	3.09 - 4.04	8,456,677	8,456,677	8,456,677	-	-
Hire purchase payables	3.78 - 7.04	707,864	744,614	377,039	367,575	-
		17,902,963	17,996,714	17,165,413	694,911	136,390
Other Financial Liability						
Lease liabilities	2.66 - 3.53	3,339,097	3,561,100	967,200	2,593,900	-
		21,242,060	21,557,814	18,132,613	3,288,811	136,390

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(c) Liquidity Risk (Cont'd)

Maturity Analysis (Cont'd)

The following table sets out the maturity profile of the financial liabilities at the end of the reporting period based on contractual undiscounted cash flows (including interest payments computed using contractual rates or, if floating, based on the rates at the end of the reporting period) (Cont'd):-

Audited	Contractual Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Years RM	Over 5 years RM
2022						
Non-derivative Financial Liabilities						
Trade payables	-	20,401,896	20,401,896	20,401,896	-	-
Other payables and accruals	-	1,065,364	1,065,364	1,065,364	-	-
Term loans	3.50	422,852	463,724	81,834	327,334	54,556
Bankers' acceptances	4.40 - 4.89	2,224,000	2,224,000	2,224,000	-	-
Hire purchase payables	3.99 - 7.40	1,132,624	1,206,134	650,711	555,423	-
		25,246,736	25,361,118	24,423,805	882,757	54,556
Other Financial Liability						
Lease liabilities	2.66 - 4.29	3,657,550	3,977,225	1,371,300	2,605,925	-
		28,904,286	29,338,343	25,795,105	3,488,682	54,556

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(c) Liquidity Risk (Cont'd)

Maturity Analysis (Cont'd)

The following table sets out the maturity profile of the financial liabilities at the end of the reporting period based on contractual undiscounted cash flows (including interest payments computed using contractual rates or, if floating, based on the rates at the end of the reporting period) (Cont'd):-

Audited	Contractual Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Years RM	Over 5 years RM
2023						
Non-derivative Financial Liabilities						
Trade payables	-	84,689,659	84,689,659	84,689,659	-	-
Other payables and accruals	-	8,597,504	8,597,504	8,597,504	-	-
Term loans	5.66	9,363,117	10,535,243	2,431,573	8,103,670	-
Bankers' acceptances	6.85	3,230,000	3,230,000	3,230,000	-	-
Hire purchase payables	3.78 - 5.91	1,447,988	1,523,151	972,324	550,827	-
Financial guarantee contracts in relation to corporate guarantee given to third parties	-	-	25,570,086	25,570,086	-	-
Financial guarantee contracts in relation to corporate guarantee given to related parties	-	-	4,161,095	4,161,095	-	-
		107,328,268	138,306,738	129,652,241	8,654,497	-
Other Financial Liability						
Lease liabilities	2.66 - 5.40	4,161,433	4,354,237	2,167,725	2,186,512	-
		111,489,701	142,660,975	131,819,966	10,841,009	-

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.1 FINANCIAL RISK MANAGEMENT POLICIES (CONT'D)

(c) Liquidity Risk (Cont'd)

Maturity Analysis (Cont'd)

The following table sets out the maturity profile of the financial liabilities at the end of the reporting period based on contractual undiscounted cash flows (including interest payments computed using contractual rates or, if floating, based on the rates at the end of the reporting period) (Cont'd):-

	Contractual Interest Rate %	Carrying Amount RM	Contractual Undiscounted Cash Flows RM	Within 1 Year RM	1 - 5 Years RM	Over 5 Years RM
Audited						
2024						
Non-derivative Financial Liabilities						
Trade payables	-	64,157,592	64,157,592	64,157,592	-	-
Other payables and accruals	-	6,557,811	6,557,811	6,557,811	-	-
Term loans	1.94 - 7.75	26,198,736	36,247,780	26,737,780	9,510,000	-
Bankers' acceptances	3.66 - 5.20	12,098,597	12,098,597	12,098,597	-	-
Hire purchase payables	3.99 - 5.27	1,689,121	1,835,062	568,133	1,266,929	-
Financial guarantee contracts in relation to corporate guarantee given to third parties	-	-	28,170,086	28,170,086	-	-
Financial guarantee contracts in relation to corporate guarantee given to related parties	-	-	2,059,947	2,059,947	-	-
		110,701,857	151,126,875	140,349,946	10,776,929	-
Other Financial Liability						
Lease liabilities	3.50 - 5.15	2,221,095	2,294,663	1,846,625	448,038	-
		112,922,952	153,421,538	142,196,571	11,224,967	-

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.2 CAPITAL RISK MANAGEMENT

The Group manages its capital to ensure that entities within the Group will be able to maintain an optimal capital structure so as to support their businesses and maximise shareholders value. To achieve this objective, the Group may make adjustments to the capital structure in view of changes in economic conditions, such as adjusting the amount of dividend payment, returning of capital to shareholders or issuing new shares.

The Group manages its capital based on debt-to-equity ratio that complies with debt covenants and regulatory, if any. The debt-to-equity ratio is calculated as net debt divided by total equity. The Group includes within net debt, loans and borrowings from financial institutions less cash and cash equivalents. Capital includes equity attributable to the owners of the parent and non-controlling interest. The debt-to-equity ratio of the Group at the end of the reporting period is as follows:

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Term loans	488,559	422,852	9,363,117	26,198,736
Lease liabilities	3,339,097	3,657,550	4,161,433	2,221,095
Hire purchase payables	707,864	1,132,624	1,447,988	1,689,121
Bankers' acceptances	8,456,677	2,224,000	3,230,000	12,098,597
Total borrowings	12,992,197	7,437,026	18,202,538	42,207,549
Less: Cash and cash equivalents (Note 30(d))	(10,765,896)	(29,969,027)	(20,599,430)	(40,292,649)
Net debt	2,226,301	(22,532,001)	(2,396,892)	1,914,900
Total equity	43,350,564	79,500,615	420,883,498	475,318,364
Debt-to-equity ratio	0.05	Not Applicable*	Not Applicable*	0.004

* Not applicable as the Group's cash and cash equivalents exceed its borrowings.

There were no changes in the Group's approach to capital management during the financial year.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.3 CLASSIFICATION OF FINANCIAL INSTRUMENTS

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Financial Assets				
Amortised Cost				
Trade receivables	29,256,895	66,534,084	115,022,094	99,180,566
Other receivables and deposits	788,880	1,877,544	13,636,538	2,439,761
Fixed deposits with licensed banks	4,609,148	16,166,877	14,823,474	8,595,354
Cash and bank balances	10,765,896	28,049,027	13,874,284	40,142,649
	45,420,819	112,627,532	157,356,390	150,358,330
Financial Liabilities				
Amortised Cost				
Trade payables	7,392,639	20,401,896	84,689,659	64,157,592
Other payables and accruals	857,224	1,065,364	8,597,504	6,557,811
Term loans	488,559	422,852	9,363,117	26,198,736
Bankers' acceptances	8,456,677	2,224,000	3,230,000	12,098,597
Hire purchase payables	707,864	1,132,624	1,447,988	1,689,121
	17,902,963	25,246,736	107,328,268	110,701,857

36.4 GAINS/(LOSSES) ARISING FROM FINANCIAL INSTRUMENTS

	Audited FYE 30 September			
	2021 RM	**2022** RM	**2023** RM	**2024** RM
Financial Asset				
Amortised Cost				
Net gains/(losses) recognised in profit or loss	165,121	(1,746,733)	(4,111,757)	4,458,602
Financial Liability				
Amortised Cost				
Net losses recognised in profit or loss	(200,858)	(222,949)	(916,720)	(2,294,841)

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.5 FAIR VALUE INFORMATION

At the end of the reporting period, there were no financial instruments carried at fair values in the statement of financial position.

The fair values of the financial assets and financial liabilities of the Group that maturing within the next 12 months approximated their carrying amounts due to the relatively short-term maturity of the financial instruments or repayable on demand terms.

The following table sets out the fair value profile of financial instruments that are carried at fair value and those not carried at fair value at the end of the reporting period:-

	Fair Value of Financial Instruments Carried at Fair Value			Fair Value of Financial Instruments not Carried at Fair Value			Total Fair Value	Carrying Amount
	Level 1 RM	Level 2 RM	Level 3 RM	Level 1 RM	Level 2 RM	Level 3 RM	RM	RM
Audited								
2021								
Financial Liabilities								
Term loans								
- fixed rate	-	-	-	-	488,559	-	488,559	488,559
2022								
Financial Liabilities								
Term loans								
- fixed rate	-	-	-	-	422,852	-	422,852	422,852

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

36. FINANCIAL INSTRUMENTS (CONT'D)

36.5 FAIR VALUE INFORMATION (CONT'D)

The following table sets out the fair value profile of financial instruments that are carried at fair value and those not carried at fair value at the end of the reporting period (Cont'd):-

	Fair Value of Financial Instruments Carried at Fair Value			Fair Value of Financial Instruments not Carried at Fair Value			Total Fair Value	Carrying Amount
	Level 1 RM	Level 2 RM	Level 3 RM	Level 1 RM	Level 2 RM	Level 3 RM	RM	RM
Audited								
2023								
Financial Liabilities								
Term loan								
- fixed rate	-	-	-	-	9,363,117	-	9,363,117	9,363,117
2024								
Financial Liabilities								
Term loans:								
- fixed rate	-	-	-	-	13,815,447	-	13,815,447	13,815,447
- floating rate	-	-	-	-	12,383,289	-	12,383,289	12,383,289

(i) The fair value of the term loans that carry floating interest rates approximated their carrying amounts as they are repriced to market interest rates on or near the reporting date.

(ii) The fair value of term loans that carries fixed interest rate approximated its carrying amount as the impact of discounting is not material. The fair values are determined by discounting at relevant cash flows at rates equal to the current market interest rate for similar instruments is 5.64% (2023 - ranging from 5.64% to 5.68%, 2022 - 3.50%, 2021 - 3.50%) and the fair value is within level 2 of the fair value hierarchy.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

37. SIGNIFICANT EVENTS DURING THE FINANCIAL YEAR

During the FYE 30 September 2024,

(a) On 26 September 2023, the Board of Directors of LSH Capital ("Board") had announced that the Company had on the same date received a letter from its major shareholders, namely Lim Seong Hai Holdings Sdn. Bhd., Lim Seong Hai Resources Sdn Bhd, Tan Sri Datuk Seri Lim Keng Cheng ("Tan Sri KC Lim"), Datuk Lim Keng Guan ("DLKG"), Lim Pak Lian ("LPL") and Lim Keng Hun ("LKH") (collective, the "Promoters') ("Proposal Letter"), requesting the Company to consider undertaking a transfer of listing and quotation of the entire issued share capital of LSH Capital from the LEAP Market of Bursa Securities to the ACE Market of Bursa Securities ("Proposed Transfer of Listing"). The Proposed Transfer of Listing will entail the following:

(i) proposed voluntary withdrawal of the listing and quotation of the entire issued share capital of LSH Capital from the LEAP Market pursuant to Rules 8.06 and 8.08 of the LEAP Market Listing Requirements of Bursa Securities ("Proposed Withdrawal of LEAP Listing"); and

(ii) proposed listing and quotation of the entire issued share capital of LSH Capital on the ACE Market pursuant to Rules 3A.02(1) and 3A.02(2) of the ACE Market Listing Requirements of Bursa Securities ("Proposed ACE Listing").

On 12 October 2023, AmInvestment Bank Berhad and Astramina Advisory Sdn Bhd on behalf of the Board, announced that the Board (save for Tan Sri KC Lim, DLKG, LPL and LKH who are the proposing directors for the Proposed Transfer of Listing) has deliberated on the content of the Proposal Letter and has resolved to proceed with the Proposed Transfer of Listing based on the terms of the Proposal Letter and procure the relevant approvals for the Proposed Transfer of Listing.

On 19 April 2024, the Company announced that all the resolutions set forth in the Notice of Extraordinary General Meeting in relation to the Proposed Transfer of Listing were duly passed by way of poll at the extraordinary general meeting of the Company held on the same day.

On 30 September 2024, AmInvestment Bank Berhad on behalf of the Board, announced that the Company submitted the applications to Bursa Securities for the Proposed Transfer of Listing comprising the application for the Proposed ACE Listing and application for the Proposed Withdrawal of LEAP Listing.

(b) On 10 January 2024, the Company subscribed for an additional 1,250,000 ordinary shares of RM1.00 each in the share of ASSB a wholly-owned subsidiary of the Company, for a total cash consideration of RM1,250,000.

(c) On 7 June 2024, LSHBB and Service Master (M) Sdn. Bhd. had received a letter from the Public Partnership Unit, Prime Minister's Department (UKAS) informing that the Government of Malaysia ("Government") had agreed in principle for LSHBB and Service Master (M) Sdn. Bhd. to jointly manage the operations and maintenance of the Kuala Lumpur Tower ("KL Tower").

On 28 June 2024, LSHBB and Service Master (M) Sdn. Bhd. jointly established LSH Service Master Sdn. Bhd. ("LSH Service Master"), with LSHBB holding a 70% equity interest, being 700 ordinary shares. The entity to carry out the operations and maintenance management of the Kuala Lumpur Tower, the terms of the concession agreement of which is still in the midst of negotiations as at the date of this report.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

37. SIGNIFICANT EVENTS DURING THE FINANCIAL YEAR (CONT'D)

During the FYE 30 September 2023,

(a) On 28 March 2022, the Company entered into a share sale agreement with the vendors of ASSB for the acquisition of the entire equity interest in ASSB for a purchase consideration of RM95,000,000, which is to be satisfied through the issuance of 211,111,111 new ordinary shares in the Company at an issue price of RM0.45 each.

Subsequently on 17 April 2023, the Company completed the share sale agreement following the issuance of 211,111,111 new ordinary shares in the Company at the fair value of RM0.85 per ordinary share as at the date of completion, i.e. 17 April 2023. Thus, the purchase consideration for the acquisition of ASSB is RM179,444,445.

(b) On 20 February 2023, the Company entered into an amended and restated debt settlement and share subscription agreement with the directors of LSH Ventures, vendors of LSH Ventures, LSH Ventures and LSH Resources for the acquisition of the entire equity interest in LSH Ventures for a purchase consideration of RM25,699,067 and debt settlement of amount owing by LSH Ventures to its directors amounting to RM36,942,645, both to be satisfied through the issuance of 57,109,037 and 82,094,767 new ordinary shares in the Company at an issue price of RM0.45 each.

Subsequently on 17 April 2023, the Company completed the amended and restated debt settlement and share subscription agreement following the issuance of 139,203,804 new ordinary shares in the Company at the fair value of RM0.85 per ordinary share as at the date of completion, i.e. 17 April 2023. Thus, the purchase consideration for the acquisition of LSH Ventures and the debt settlement thereto is RM118,323,233.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

37. SIGNIFICANT EVENTS DURING THE FINANCIAL YEAR (CONT'D)

(c) ASES ("Plaintiff"), a subsidiary of the Company has commenced the legal proceedings against 36 defendants who are squatters residing on the parcel of land owned by the Plaintiff which is held under Lot 103675 Mukim Petaling, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan ("Jalan Pinggiran Tasik Land") ("Defendants") by way of an Originating Summons dated 13 March 2023, for, inter alia, the recovery of vacant possession of the Jalan Pinggiran Tasik Land from the Defendants.

The Originating Summons was heard by the Hight Court of Kuala Lumpur on 18 October 2023 and a decision was delivered by the High Court of Kuala Lumpur on 5 December 2023 in favour of the Plaintiff. The High Court of Kuala Lumpur has, amount others, ordered that:

(i) the Plaintiff is granted possession of the Jalan Pinggiran Tasik Land; and
(ii) the Defendants are to vacate the Jalan Pinggiran Tasik Land and deliver the vacant possession of the Jalan Pinggiran Tasik Land to Plaintiff within 3 months from the date of judgement, i.e. on 5 December 2023.

The Defendants have filed a notice of appeal to the Court of Appeal of Malaysia on 5 January 2024 against the High Court's decision. The first case management for the appeal was fixed on 4 April 2024. Thereafter, parties have reached settlement on 4 April 2024.

(d) On 26 September 2023, the Board of Directors of the Company announced that the Company had on the same date received a letter from its major shareholders, namely Lim Seong Hai Holdings Sdn Bhd, LSH Resources, Tan Sri Datuk Seri Lim Keng Cheng, Datuk Lim Keng Guan, Lim Pak Lian and Lim Keng Hun, requesting the Company to consider undertaking a transfer of listing and quotation of the entire issued share capital of the Company from the LEAP Market of Bursa Securities ("LEAP Market") to the ACE Market of Bursa Securities ("ACE Market") ("Proposed Transfer of Listing"). The Proposed Transfer of Listing will entail the following:

(i) proposed voluntary withdrawal of the listing and quotation of the entire issued share capital of the Company from the LEAP Market pursuant to Rules 8.06 and 8.08 of the LEAP Market Listing Requirements of Bursa Securities; and

(ii) proposed listing and quotation of the entire issued share capital of the Company on the ACE Market pursuant to Rules 3A.02(1) and 3A.02(2) of the ACE Market Listing Requirements of Bursa Securities.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

37. SIGNIFICANT EVENTS DURING THE FINANCIAL YEAR (CONT'D)

During the FYE 30 September 2022,

(a) On 8 October 2021, the Company entered into a conditional share sale agreement with LSH Resources for the acquisition of 1,000,000 ordinary shares in LSHBB (formerly known as Lim Seong Hai Construction (M) Sdn Bhd), representing 100% of the equity interest in LSHBB from LSH Resources for a total purchase consideration of RM3,500,000.00 to be satisfied in cash. The acquisition was completed on 15 October 2021.

(b) On 10 January 2022, the Company incorporated a wholly-owned subsidiary, LSH Infra in Malaysia with a total issued and paid-up capital of RM1,000.

(c) On 23 February 2022, the Company incorporated a wholly-owned subsidiary, LSH Development with an issued and paid-up share capital of RM1,000.

(d) On 28 March 2022, the Company entered into a conditional share subscription agreement with Dato' Seri Ir. Hj. Mohd Noor Bin Yaacob for subscription of 1,000,000 new ordinary shares in the Company, representing approximately 0.28% of the existing total number of issued ordinary shares of the Company, at an issue price of RM0.42 per subscription share.

The 1,000,000 new ordinary shares in the Company was listed and quoted on 27 May 2022.

(e) On 9 September 2022, the Company obtained its shareholders' approval for the diversification of the existing principal activities of the Company and its subsidiaries to include the business of construction and provision of construction-related services and solutions ("Construction Related Business") as the board of directors of the Company anticipates that the Construction Related Business will contribute 25% or more of the net profits of the Group in the future.

LIM SEONG HAI CAPITAL BERHAD

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONT'D)

37. SIGNIFICANT EVENTS DURING THE FINANCIAL YEAR (CONT'D)

During the FYE 30 September 2021,

(a) On 11 March 2020, the World Health Organisation declared the COVID-19 outbreak as global pandemic. Following the declaration, the Government of Malaysia had on 18 March 2020 imposed the Movement Control Order ("MCO") and subsequently entered into various phases of the MCO to curb the spread of the COVID-19 pandemic in Malaysia.

The Management has assessed the impact on the Group and is of the opinion that there were no material financial impacts arising from the pandemic. Nevertheless, the Group has taken and will continue to take necessary steps to safeguard and preserve its financial condition, emphasising on the liquidity management to meet its continuing financial commitments and liquidity needs.

Given the dynamic nature of the COVID-19 pandemic, it is not practicable to provide a reasonable estimate of its impact on the Group's financial position, operating results and cash flows at the date on which these financial statements are authorised for issue.

(b) On 8 December 2020, the Company entered into a conditional share sale agreement with the vendors of LSH Lighting for the acquisition of the entire issued share capital of LSH Lighting for a consideration of RM22,133,495. The consideration is satisfied by way of issuance of 221,334,950 new ordinary shares in the Company at an issue price of RM0.10 per share. The acquisition was completed on 6 January 2021.

(c) On 8 December 2020, the Company entered into a conditional share sale agreement with the vendors of Knight Auto for the acquisition of the entire issued share capital of Knight Auto for a consideration of RM9,785,076. The consideration is satisfied by way of issuance of 97,850,760 new ordinary shares in the Company at an issue price of RM0.10 per share. The acquisition was completed on 6 January 2021.

(d) On 30 July 2021, the entire issued share capital of the Company was listed on the LEAP Market of Bursa Securities.

LIM SEONG HAI CAPITAL BERHAD

STATEMENT BY DIRECTORS

We, Datuk Lim Keng Guan and Lim Pak Lian, being two of the directors of Lim Seong Hai Capital Berhad, state that, in the opinion of the directors, the consolidated financial statements set out on pages 4 to 115 are drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and Prospectus Guidelines - issued by the Securities Commission Malaysia so as to give a true and fair view of the financial position of the Group as of 30 September 2021, 30 September 2022, 30 September 2023 and 30 September 2024 and of their financial performance and their cash flows for the FYE 30 September 2021, 30 September 2022, 30 September 2023 and 30 September 2024.

Signed in accordance with a resolution of the directors dated 12 FEB 2025



Datuk Lim Keng Guan



Lim Pak Lian

13. ADDITIONAL INFORMATION

13.1 EXTRACT OF OUR CONSTITUTION

The following provisions are reproduced from our Constitution and are qualified in its entirety by the provisions of our Constitution and by applicable laws. The words and expressions appearing in the following provisions shall have the same meaning used in our Constitution unless they are otherwise defined herein or the context otherwise requires.

Words	Meaning
"Act"	The Companies Act 2016 and any statutory modification, amendment or re-enactment thereof and any written law for the time being in force concerning companies and affecting the Company.
"Alternate Director"	means a substitute Director nominated in writing to the Company and duly registered with the Registrar.
"Applicable Laws"	means all laws, by-laws, regulations, rules, orders and/or official directions for the time being in force affecting the Company and its subsidiary(ies), including but not limited to the Act, the Securities Laws, the Listing Requirements, the guidelines, practice notes and guidance notes (including in the form of frequently asked questions (FAQs)) issued by the Securities Commission Malaysia, the Exchange and/or the Registrar of Companies/Companies Commission of Malaysia and every other law for the time being in force concerning companies and affecting the Company and any other directives or requirements imposed on the Company by the Securities Commission Malaysia and/or other relevant regulatory bodies and/or authorities.
"Board"	The board of Directors of the Company and where the context permits or requires, shall mean the Directors whose number is not less than the required quorum acting as a board of Directors.
"Bursa Depository"	Bursa Malaysia Depository Sdn. Bhd. [Registration No. 198701006854 (165570-W)] or such other depository as may be approved by the relevant authorities to be a central depository under the Central Depositories Act including any further change of name and its successors-in-title and permitted assigns.
"Central Depositories Act"	Securities Industry (Central Depositories) Act 1991 and any statutory modification, amendment or re-enactment thereof and every other legislation made thereunder for the time being in force.
"CMSA"	Capital Markets and Services Act 2007, and any statutory modification, amendment or re-enactment thereof for the time being in force.
"Company"	Lim Seong Hai Capital Berhad [Registration No. 202001036664 (1392985-A)] or by whatever name from time to time called.
"Constitution"	This Constitution as originally framed or as altered from time to time by way of passing a Special Resolution.
"Deposited Security"	means a security in the Company standing to the credit of a Securities Account of a Depositor and includes securities in the Securities Account that is in suspense subject to the provisions of the Central Depositories Act and the Rules.

13. ADDITIONAL INFORMATION *(Cont'd)*

Words	Meaning
"Depositor"	A holder of a Securities Account as established by the Bursa Depository.
"Directors"	The Directors for the time being of the Company as defined in Section 2(1) of the CMSA.
"Exchange"	means Bursa Malaysia Securities Berhad or such other name as it may assume from time to time and its successors-in-title and permitted assigns.
"Listing Requirements"	The listing requirements issued by the Exchange, including any modifications or amendments to the listing requirements that may be made from time to time and such practice notes or circulars as may be issued by the Exchange from time to time, which are applicable to and which govern the Company for the time being.
"Market Day"	Any day between Mondays and Fridays which is not a market holiday of the Exchange or public holiday in Malaysia.
"Member" or "Members"	Any person for the time being holding Shares in the Company and whose name appears in the Register of Members and Depositors whose names appear on the Record of Depositors (except Bursa Depository in its capacity as a bare trustee).
"Month" or "Months"	Calendar month.
"Ordinary Resolution"	has the meaning assigned thereto by Section 291 of the Act.
"Record of Depositors"	means a record provided by the Bursa Depository to the Company or its Registrar under Chapter 24.0 of the Rules.
"Register" or "Register of Members"	means the Register of Members to be kept pursuant to the Act and unless otherwise expressed to the contrary, includes the Record of Depositors.
"Registrars"	refers to such person, firm or company which for the time being maintains in Malaysia, the register of Securities holders.
"Rules"	refers to the Rules of the Bursa Depository as defined under the Central Depositories Act and any appendices thereto, as amended, modified and supplemented from time to time.
"Seal"	means the common seal of the Company or in the appropriate case, the official seal.
"Securities"	has the meaning as defined in Section 2(1) of the CMSA.
"Securities Account"	means an account established by Bursa Depository for a Depositor for the recording of deposit of securities and for dealing in such securities by the Depositor as permitted under the Central Depositories Act and/or the Rules.

13. ADDITIONAL INFORMATION *(Cont'd)*

Words	Meaning
"Securities Laws"	means the Securities Commission Malaysia Act 1993, the CMSA, the Central Depositories Act, any other legislation which the Securities Commission Malaysia is empowered to administer or enforce, and any other regulations, rules, orders, notifications or other subsidiary legislation made thereunder.
"Share" or "Shares"	Issued share capital of the Company and includes stock except where a distinction between stock and shares is expressed or implied.
"Special Resolution"	has the meaning assigned thereto by Section 292 of the Act.

13.1.1 Remuneration of our Directors

Clause 126 – Remuneration of Directors

The fees and any benefits payable to the Directors of the Company and its subsidiary(ies) including any compensation for loss of employment of Director or former Director shall be approved by an Ordinary Resolution of the Company in general meeting annually and such remuneration shall be divided among the Directors in such proportions and manner as the Directors may determine provided always that:

(a) fee payable to non-executive Directors shall be a fixed sum, and not by a commission on or percentage of profits or turnover and which shall not exceed the amount approved by the shareholders in general meeting;

(b) remuneration and other emoluments (including bonus, benefits or any other emoluments) payable to executive Directors who hold an executive office in the Company pursuant to a contract of service need not be determined by the Company in general meeting but such remuneration and emoluments may not include a commission on or percentage of turnover. Nothing herein shall prejudice the powers of the Directors to appoint any of their members to be the employee or agent of the Company at such remuneration and upon such terms as they think fit provided that such remuneration shall not include commission on or percentage of turnover;

(c) fees of Directors and any benefits payable to Directors shall be subject to annual shareholders' approval at a general meeting;

(d) any fee paid to an Alternate Director shall be agreed between himself and the Director nominating him and shall be paid out of the remuneration of the latter; and

(e) the fees and/or benefits payable to non-executive Directors who is also Director of the subsidiary(ies) includes fees, meeting allowances, travelling allowances, benefits, gratuity and compensation for loss of employment of Director or former Director of the Company provided by the Company and subsidiary(ies), but does not include insurance premium or any issue of Securities.

13. ADDITIONAL INFORMATION *(Cont'd)*

Clause 128 – Special remuneration

The Directors may grant special remuneration to a Director who (on request by the Director) is willing to:

(a) render any special or extra services to the Company; or

(b) to go or reside outside his country of domicile or residence in connection with the conduct of any of the Company's affairs.

Such special remuneration may be paid to such Director in addition to or in substitution for his ordinary remuneration as a Director, and may be paid in a lump sum or by way of salary, or by a percentage of profits (other than non-executive Directors), or by all or any of such methods but shall not include (where such special remuneration is paid by way of salary) a commission on or a percentage of turnover.

13.1.2 Voting and borrowing powers of our Directors

Clause 135 – Powers of attorney

The Directors may at any time and from time to time by power of attorney under the Seal appoint any corporation, firm or person or body of persons, whether nominated directly or indirectly by the Directors, to be the attorney or attorneys of the Company for such purposes and with such powers, authorities, and discretions (not exceeding those vested in or exercisable by the Directors under this Constitution) and for such period and subject to such conditions as they may think fit, and any such powers of attorney may contain such provisions for the protection and convenience of persons dealing with such an attorney as the Directors may think fit and may also authorise any such attorney to delegate all or any of the powers, authorities, and discretions vested in him.

Clause 137 – General borrowing powers of Directors

Subject to the Act, the Directors may exercise all the powers to do all or any of the following for any debt, liability, or obligation of the Company or of any third party:

(a) borrow money from any person, bank, firm or company;

(b) to mortgage or charge its undertaking, property and uncalled capital, or any part thereof;

(c) to issue debentures and other Securities, whether outright or as security for any debt, liability or obligation of the Company, its subsidiaries or any other party;

(d) the Directors may guarantee the whole or any part of the loans or debts raised or incurred by or on behalf of the Company or any interest payable thereon with power to the Directors to indemnify the guarantors from or against liability under their guarantees by means of a mortgage or hypothecation of or charge upon any property and asset of the Company or otherwise; and

(e) the Directors may exercise all the powers of the Company to guarantee and give guarantees or indemnities for payment of money, the performance of contracts or obligations or for the benefit or interest of the Company or its subsidiaries.

13. ADDITIONAL INFORMATION *(Cont'd)*

Clause 142 – Disclosure of interest and restrictions on discussion and voting

Every Director shall declare his interest in the Company and his interest in any contract or proposed contract with the Company as may be required by law. Subject to Section 222 of the Act, a Director shall not participate in any discussion or vote in respect of any contract or proposed contract or arrangement in which he has directly or indirectly an interest and if he shall do so his vote shall not be counted. A Director shall, notwithstanding his interest, provided that none of the other directors present disagree, be counted in the quorum for any meeting where a decision is to be taken upon any contract or proposed contract or arrangement in which he is in any way interested provided always that he has complied with Section 221 of the Act and all other relevant provisions of the Act and the Constitution.

Clause 151 – Determination of issues by majority and Chairman's second or casting vote

Subject to this Constitution, questions arising at any meeting of the Board of Directors of the Company shall be determined by a majority of votes of all the Directors present at the meeting and a determination by a majority of Directors shall for all purposes be deemed a determination of the Directors. In case of an equality of votes the Chairman of the meeting shall have a second or casting vote except when at the meeting only two (2) Directors are present and form the quorum or at which only two (2) Directors are competent to vote on the question at issue, in which event the Chairman shall not have a second or casting vote and the question arising at the meeting shall be deemed to have been lost or not carried.

Clause 152 – Disclosure of interest

Every Director shall comply with the provisions of Section 219 and 221 of the Act in connection with the disclosure of his shareholding and interest in any contract or proposed contract with the Company and in connection with the disclosure of the fact and the nature, character and extent of any office or possession of any property whereby whether directly or indirectly duties or interests might be created in conflict with his duty or interest as a Director of the Company.

13.1.3 Changes to share capital

Clause 68 – Power to alter capital

Section 84 of the Act shall not apply to the Company. The Company may alter its share capital in any one or more of the following ways by passing as Ordinary Resolution to:

(a) consolidate and divide all or any of its share capital, the proportion between the amount paid and the amount, if any, unpaid on each subdivided Share shall be the same as it was in the case of the Share from which the subdivided Share is derived;

(b) subdivide its Shares or any of the Shares, such that whatever is in the subdivision, the proportion between the amount paid and the amount, if any, unpaid on each subdivided Share shall be the same as it was in the case of the Share from which the subdivided Shares is derived;

(c) cancel Shares which at the date of the passing of the resolution in that behalf have not been taken or agreed to be taken by any person or which have been forfeited and diminish the amount of its share capital by the amount of the Shares so cancelled; and

(d) subject to the provisions of this Constitution and the Act, convert and/or reclassify any class of Shares into another class of Shares.

Clause 70 – Power to reduce capital

The Company may by Special Resolution, reduce its share capital in any manner permitted or authorised under and in compliance with the Applicable Laws.

13. ADDITIONAL INFORMATION *(Cont'd)*

Clause 71 – Purchase of own shares

Subject to the Applicable Laws, the Company may from time to time by resolution of a general meeting, acquire by purchase in good faith and in the best interests of the Company, the Company's own Shares through the Exchange on which the Shares are quoted provided always that the Company is solvent at the date of purchase of the Company's Shares and will not become insolvent by incurring the debt arising from the obligation to pay for the Shares so purchased.

13.1.4 Transfer of securities

Clause 39 – Transfer of securities and instrument of transfer

Subject to the restrictions imposed by this Constitution (with respect to the transfer of Deposited Security), listed Securities shall be transferable, but every transfer must be in writing and in such form prescribed and approved by the Exchange, or such form as may from time to time be prescribed under the Applicable Laws or such authorities of the stock exchange on which the Company's Securities are listed.

Clause 40 – Registration of transfer

All transfer of Deposited Security shall be effected in accordance with the Rules. The instrument shall be executed by or on behalf of the transferor and transferee; the transferor shall be deemed to remain the holder of the Share until the name of the transferee is entered in the register as holder of that Securities and/or the Record of Depositors, as the case may be.

Clause 41 – Procedure for transfer

The transfer of any listed Securities or class of listed Securities of the Company which have been deposited with the Bursa Depository, shall be by way of book entry by the Bursa Depository in accordance with the Rules and, notwithstanding Sections 105, 106 or 110 of the Act, but subject to subsection 148(2) of the Act and any exemption that may be made from compliance with subsection 148(1) of the Act, the Company shall be precluded from registering and effecting any transfer of such listed Securities.

Clause 42 – Refusal to register transfer

Subject to the restrictions imposed by this Constitution and the Applicable Laws, there shall be no restrictions on the transfer of fully paid Securities. No Shares shall be in any circumstances be knowingly transferred to any infant, bankrupt or person of unsound mind. In case of Deposited Securities, the Bursa Depository may refuse to register any transfer that does not comply with the Central Depositories Act and the Rules.

Clause 44 – Closure of Register of Records of Depositors

Subject to the Rules, the Register may be closed for such periods as the Directors may from time to time determine provided that such register shall not be closed for more than thirty (30) days in any calendar year. The Company shall before it closes such register:

(a) give notice of such intended book closure (in the case of the Register) in accordance with Section 55 of the Act; and

(b) give notice of such intended closure to the Exchange for such period as prescribed by the Exchange or the Applicable Laws before the intended date of such closure including in such notice, such date, the reason for such closure and the address of the share registry at which documents will be accepted for registration.

The Company shall give at least three (3) Market Days' prior notice in accordance with the Rules to enable the Depository to prepare the appropriate Record of Depositors.

13. ADDITIONAL INFORMATION *(Cont'd)*

13.1.5 Rights, preferences and restrictions attached to each class of securities relating to voting, dividend, liquidation and any special rights

Clause 10 – Power to issue Shares with special rights

Without prejudice to any special rights previously conferred on the holders of any existing Shares or class of Shares and subject to the provisions of this Constitution, Applicable Laws, and to the provisions of any resolution of the Company, the Board may issue, allot, grant rights to subscribe for or otherwise dispose of such Shares to such persons at such price, on such terms and conditions, with such preferred, deferred or other special rights and subject to such restrictions and at such times as the Board may determine, by approval of the Members by way of an Ordinary Resolution, provided always that:

(a) in the case of Shares other than ordinary Shares, no special rights shall be attached until the same have been expressed in this Constitution and in the resolution creating the same;

(b) no issue of Shares shall be made which will have the effect of transferring a controlling interest in the Company to any person, corporation or syndicate without the prior approval of the Members in general meeting; and

(c) except in the case of an issue of Securities on a pro rata basis to shareholders or pursuant to a back-to-back placement or dividend reinvestment scheme undertaken in compliance with the Listing Requirements, no Director shall participate in a scheme that involves a new issuance of Shares or other convertible Securities to employees unless the Members in a general meeting have approved the specific allotment to be made to such Director.

Clause 11 – Issue of preference shares

Subject to the Act, this Constitution and the Listing Requirements, any preference Shares may, with the sanction of an Ordinary Resolution, be issued on the terms that they are, or at the option of the Company are liable to be redeemed on such terms and in such manner as may be provided for by this Constitution as the Board may think fit. The Company shall have the power to issue preference Shares ranking in priority above or equally with preference Shares already issued.

Clause 12 – Redemption of preference shares

The Company shall have power to issue preference Shares carrying a right to redemption out of profits or liable to be redeemed at the option of the Company. The Directors may, subject to the provisions of the Act, redeem such Shares on such terms and in such manner as they may think fit.

Clause 13 – Rights of preference shareholders

Preference shareholders shall have the same rights as ordinary shareholders with regards to receiving notices, reports and audited financial statements and attending general meetings of the Company and shall also have the right to vote at any meeting in each of the following circumstances:

(a) when the dividend or part of the dividend on the preference Shares are in arrears for more than six (6) Months;

(b) on a proposal to reduce the Company's issued share capital;

(c) on a proposal for the disposal of the whole of the Company's property, business and undertaking;

13. ADDITIONAL INFORMATION *(Cont'd)*

(d) on a proposal that affects the rights attached to the preference Shares;

(e) on a proposal to wind up the Company; and

(f) during the winding-up of the Company.

Preference shareholders shall be entitled to a return of capital in preference to holders of ordinary Shares in the event that the Company is wound up.

Clause 14 – Repayment of preference capital

The repayment of preference capital other than redeemable preference, or any other alteration of preference shareholders rights may only be made pursuant to a Special Resolution of the preference shareholders concerned, provided always that where the necessary majority for such a Special Resolution is not obtained at the meeting, consent in writing, if representing not less than 75% of the total voting rights of the preference shareholders concerned obtained within two (2) Months of the meeting shall be as valid and effectual as a Special Resolution carried at the meeting.

Clause 15(a) – Variation of class rights

Subject to the provisions of Sections 71 and 91 of the Act, if at any time the share capital is divided into different classes of Shares, the rights attached to any class (unless otherwise provided by the terms of issue of the Shares of that class) may, whether or not the Company is being wound up, be varied with the sanction of a Special Resolution passed at a separate meeting of the shareholders of that class. Where necessary majority of such a Special Resolution is not obtained at the meeting, consent in writing from the holders representing not less than 75% of the total voting rights of the shareholders of that class obtained within two (2) Months of the meeting, shall be as valid and effectual as a Special Resolution carried at the meeting.

To every such separate general meeting, the provisions of this Constitution relating to general meetings shall mutatis mutandis apply, but so that the necessary quorum shall be at least two (2) persons who are shareholders present in person or represented by proxy holding at least one-third (1/3) of the number of issued Shares of the class, excluding any Shares of that class held as treasury Shares and that any holder of Shares of the class present in person or by proxy may demand a poll.

If that class of Shares only has one (1) holder, a quorum is constituted by one (1) person present holding Shares of such class. For an adjourned meeting, quorum is one (1) person present holding Shares of such class. To every such Special Resolution, the provisions of Section 292 of the Act shall with such adaptations as are necessary, apply.

Clause 16(c) – General mandate for issue of securities

Subject to the Listing Requirements and without limiting the generality of a resolution pursuant to Sections 75(1) and 76(1) of the Act, the Company must not issue any Shares or convertible Securities except where the Shares or convertible Securities are issued with the prior shareholder approval in a general meeting of the precise terms and conditions of the issue.

13.2 LIMITATION ON THE RIGHT TO OWN SECURITIES

As our Shares are proposed for quotation on the Official List, our Shares must be prescribed as shares required to be deposited with Bursa Depository. Upon such prescription, a holder of our Shares must deposit his/her/its Shares with Bursa Depository on or before the date fixed, failing which our Share Registrar will be required to transfer his/her/its Shares to the Ministry of Finance, Inc. and such Shares may not be traded on Bursa Securities.

Dealing in our Shares deposited with Bursa Depository may only be effected by a person having a securities account with Bursa Depository ("**Depositor**") by means of entries in the securities account of that Depositor.

A Depositor whose name appears in the Record of Depositors maintained by Bursa Depository in respect of our Shares will be deemed to be our shareholder and will be entitled to all rights, benefits, powers and privileges and be subject to all liabilities, duties and obligations in respect of, or arising from, such Shares.

Subject to the above, there is no limitation on the right to own our Shares, including any limitation on the right of non-residents or foreign shareholders to hold or exercise voting rights on our Shares which is imposed by Malaysian law or by our Constitution.

13.3 SHARE CAPITAL

(i) As at the date of this Prospectus, we only have one (1) class of shares, namely ordinary shares, all of which rank equally with one another. There are no special rights attached to our Shares.

(ii) The details of the share capital of our Company and our subsidiaries together with their respective changes for the past four (4) FYEs 2021 to 2024 and up to LPD are disclosed in Sections 5.1.1 and 5.3 of this Prospectus, respectively.

(iii) Save as disclosed in Section 5.1.1 of this Prospectus, no shares have been paid for with assets other than cash within the past four (4) years preceding LPD.

(iv) As at the date of this Prospectus, none of our Group's capital is under option, or agreed conditionally or unconditionally to be put under option.

(v) As at the date of this Prospectus, neither our Company nor our subsidiaries have any outstanding warrant, option, convertible security or uncalled capital in respect of our Shares.

(vi) Save as disclosed in this Prospectus, no securities will be allotted, issued or offered on the basis of this Prospectus later than six (6) months after the date of this Prospectus.

13.4 REPATRIATION OF CAPITAL, REMITTANCE OF PROFIT AND TAXATION

As at the date of this Prospectus, our Group has not established any place of business outside Malaysia and as such, is not subject to any government law, decree, regulation or other requirement which may affect the repatriation of capital and the remittance of profits by or to our Group.

Under the single-tier taxation system in Malaysia, dividends received from Malaysian resident companies are exempted from tax in Malaysia. Further, dividends paid by Malaysian resident companies are not subject to withholding tax. Generally, gains arising from the disposal of listed shares in Malaysia are not subject to tax in Malaysia, to the extent that the gains are capital in nature.

13.5 MATERIAL CONTRACTS

Save as disclosed below, our Group has not entered into any other material contract which is not in the ordinary course of our Group's business within the Financial Years Under Review and up to the date of this Prospectus:

(i) conditional share sale agreement dated 8 December 2020 entered into between our Company and LSH Resources to acquire the entire equity interest in LSH Lighting comprising 1,000,000 ordinary shares for a purchase consideration of RM22,133,495 which was wholly satisfied via the issuance of 221,334,950 new Shares at an issue price of RM0.10 each. The said acquisition was completed on 6 January 2021;

(ii) conditional share sale agreement dated 8 December 2020 entered into between our Company and Tan Sri KC Lim, DLKG, Lim Pak Lian as well as Lim Keng Hun to acquire the entire equity interest in Knight Auto comprising 1,300,000 ordinary shares for a purchase consideration of RM9,785,076 which was wholly satisfied via the issuance of 97,850,760 new Shares at an issue price of RM0.10 each. The said acquisition was completed on 6 January 2021;

(iii) conditional share sale agreement dated 8 October 2021 entered into between our Company and LSH Resources to acquire the entire equity interest in LSHBB comprising 1,000,000 ordinary shares for a purchase consideration of RM3,500,000 which was wholly satisfied in cash. The said acquisition was completed on 15 October 2021;

(iv) conditional share subscription agreement dated 28 March 2022 entered into between our Company and our Independent Non-Executive Director, Dato Seri Ir. Hj. Mohd Noor Bin Yaacob ("**Subscriber**") in respect of the subscription of 1,000,000 new Shares at an issue price of RM0.42 each by the Subscriber for a total cash consideration of RM420,000. The said subscription was completed on 27 May 2022;

(v) conditional share sale agreement dated 28 March 2022 entered into between our Company and LSH Resources, DLKG, Lim Pak Lian, Lim Keng Hun as well as Lim Ding Shyong to acquire the entire equity interest in ASSB comprising 3,750,000 ordinary shares for a purchase consideration of RM95,000,000 which was wholly satisfied via the issuance of 211,111,111 new Shares at an issue price of RM0.45 each ("**Acquisition of ASSB**"). The said acquisition was completed on 17 April 2023;

(vi) conditional assets exchange agreement dated 28 March 2022 entered into between our Company and LSH Ventures to rationalise the exchange of all the properties and land of LSH Ventures for a total exchange consideration of RM8,140,000, which was to be satisfied via the issuance of 18,088,888 new Shares at an issue price of RM0.45 each. However, the said agreement was aborted with effect from 29 November 2022;

(vii) conditional debt settlement cum share subscription agreement ("**DSCSSA**") dated 28 March 2022 entered into between our Company and LSH Ventures, the directors of LSH Ventures (namely DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong) and LSH Resources for the following:

   (a) proposed settlement by our Company of the amount owing by LSH Ventures to the directors of LSH Ventures amounting to RM54,501,712.32 via the issuance of 121,114,916 new Shares at an issue price of RM0.45 each ("**Proposed Settlement**"); and

(b) proposed subscription of 9,900,000 new ordinary shares in LSH Ventures by our Company, representing 99.00% of the enlarged equity interest in LSH Ventures by way of partial capitalisation of the amount owing by LSH Ventures to our Company amounting to RM15,758,621.10 arising from the Proposed Settlement.

The said DSCSSA was subsequently amended and restated on 20 February 2023, details of which are set out in item (viii) below;

(viii) conditional amended and restated DSCSSA dated 20 February 2023 entered into between our Company and the vendors of LSH Ventures (namely Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong), the directors of LSH Ventures (namely DLKG, Lim Pak Lian, Lim Keng Hun and Lim Ding Shyong), LSH Ventures and LSH Resources to:

(a) acquire the entire equity interest in LSH Ventures comprising 100,000 ordinary shares for a purchase consideration of RM25,699,067 which was wholly satisfied via the issuance of 57,109,037 new Shares at an issue price of RM0.45 each ("**Acquisition of LSH Ventures**"); and

(b) fully settle the directors' advances amounting to RM36,942,645 owing by LSH Ventures to its directors upon completion of the Acquisition of LSH Ventures by way of the issuance of 82,094,767 new Shares at an issue price of RM0.45 each.

The said acquisition and settlement were completed on 17 April 2023. For the avoidance of doubt, the said amended and restated DSCSSA had superseded the provisions, terms and conditions of the DSCSSA which was entered into on 28 March 2022 (as detailed in item (vii) above);

(ix) four (4) conditional SPAs all dated 2 September 2024 entered into between our subsidiary, ASSB (as purchaser) and third-party vendors for the acquisition of the properties as set out below, which form the contra payment for the progress claims and retention sums due to ASSB by one of its clients for two (2) projects which were completed by ASSB prior to the Acquisition of ASSB:

(a) a residential apartment unit bearing postal address of CNB-19-03, Conezion Residences, Block B, Persiaran IRC 3, IOI Resort City, 62502 Putrajaya for a consideration of RM750,000;

(b) a residential apartment unit bearing postal address of D-12-3A, Danga View Apartment, Jalan Persiaran Danga, 81200 Johor Bahru for a consideration of RM1,114,500;

(c) a residential apartment unit bearing postal address of D-09-03, Danga View Apartment, Jalan Persiaran Danga, 81200 Johor Bahru for a consideration of RM650,000; and

(d) three (3) units of shop office bearing postal address of G-09, 01-09 and 02-09, Block B, Persiaran Pertama, Pusat Perdagangan Danga Utama, 81300 Johor Bahru for a consideration of RM2,575,500.

As at LPD, all of the SPAs have been completed in accordance with their respective terms; and

(x) Retail Underwriting Agreement dated 12 February 2025 entered into between our Company and the Sole Underwriter for the underwriting of 29,342,600 Issue Shares under the Retail Offering, in accordance with the terms and conditions as set out in the Retail Underwriting Agreement. Further details of the Retail Underwriting Agreement are set out in Section 3.10 of this Prospectus.

13.6 MATERIAL LITIGATION, CLAIMS AND ARBITRATION

High Court of Kuala Lumpur ("High Court") Judicial Review Application (WA-25-140-04/2024) brought by Chin Tong Lim and five (5) others (collectively, the "Applicants") against Datuk Bandar Kuala Lumpur ("Datuk Bandar") and ASES (collectively, the "Respondents")

On 2 April 2024, the Applicants (consisting of unit owners and residents from neighbouring condominiums near the site of the Lake Side Homes Project) filed a judicial review application against the Respondents to seek, among others, the following orders:

(a) to quash the development order dated 15 November 2023 ("**Impugned Development Order**") that was granted by the Datuk Bandar to ASES for the Lake Side Homes Project;

(b) to quash the approval given by the Datuk Bandar for ASES to build a bridge across Tasik Lake Fields to the Lake Side Homes Project pursuant to a letter dated 11 January 2024 ("**Impugned Bridge Approval**");

(c) to quash the adoption of Alteration 3 (Part 2) of the Kuala Lumpur Local Plan (2020) proposed and adopted on 17 July 2020 and 3 August 2021 respectively by the Datuk Bandar in relation to Tasik Lake Fields and/or Lot 103675 (being the site of the Lake Side Homes Project) ("**Alteration 3 (Part 2) of the KLLP 2020**");

(d) to quash the approval given by the Datuk Bandar to allow ASES to use the walkway or any part of the public open space surrounding Tasik Lake Fields for access for construction works for the Impugned Bridge Approval and/or Impugned Development Order; and

(e) a declaration that the Alteration 3 (Part 2) of the KLLP 2020 by the Datuk Bandar is illegal and ultra vires of the Federal Territory (Planning) Act 1982 and therefore legally unenforceable, null and void.

(collectively, the "**Judicial Review Application**")

In the prayers for the Judicial Review Application, the Applicants have also applied for an order to stay the Impugned Development Order and Impugned Bridge Approval (including all works and process relating to the same) until the full and final disposal of the Judicial Review Application ("**Stay Application**").

On 17 April 2024, the High Court granted leave to the Applicants to proceed with the Judicial Review Application and also granted an interim stay of the Impugned Development Order and Impugned Bridge Approval pending the full and final disposal of the Stay Application ("**First Interim Stay Order**").

On 8 May 2024, ASES' solicitors notified the High Court of ASES' objection to the Stay Application. In the light of the objection, the High Court then fixed the hearing date for the Stay Application on 22 July 2024.

13. ADDITIONAL INFORMATION *(Cont'd)*

During the hearing of the Stay Application on 22 July 2024, the High Court fixed the decision for the Stay Application on 21 August 2024. During the same hearing, the High Court also directed for the substantive merits of the Judicial Review Application to be heard on 10 March 2025. Parties were also directed to file the remaining cause papers for the Judicial Review Application.

On 21 August 2024, the High Court dismissed the Stay Application and lifted the First Interim Stay Order with costs awarded to the Respondents. On 22 August 2024, the Applicants filed an appeal against the High Court's dismissal of the Stay Application ("**Appeal**"), the hearing of which is fixed on 3 March 2025.

On 23 August 2024, the Applicants filed another application in the High Court seeking for another interim stay of the Impugned Development Order and Impugned Bridge Approval pending the disposal of the Appeal in the Court of Appeal ("**Second Interim Stay Order**"). The High Court fixed the hearing for the Second Interim Stay Order on 14 November 2024, which was subsequently postponed to 9 January 2025 as the Judge who was originally hearing the matter was elevated to the Court of Appeal. Parties were also directed to file the remaining cause papers for the Second Interim Stay Order. During the hearing on 9 January 2025, the High Court fixed the decision for the Second Interim Stay Order on 20 February 2025.

On 6 September 2024, the Applicants filed a motion in the Court of Appeal to seek for an interim preservation order to stay the Impugned Development Order and Impugned Bridge Approval until the Appeal is being disposed by the Court of Appeal ("**Section 44 Motion**"). On 13 September 2024, the Court of Appeal dismissed the Section 44 Motion with costs awarded to the Respondents.

Subject to the courts' further and future decision on the Judicial Review Application, the Appeal, the Second Interim Stay Order and/or other direction from the courts, ASES is permitted to resume and continue works on the Lake Side Homes Project pursuant to the Impugned Development Order and Impugned Bridge Approval from 21 August 2024 onwards.

Based on the remedies sought by the Applicants, the potential direct exposure to ASES in the event the outcome of the Judicial Review Application is not in favour of ASES include the loss of the right to develop and construct the Lake Side Homes Project in accordance with the Impugned Development Order and the bridge across Tasik Lake Fields to the Lake Side Homes Project in accordance with the Impugned Bridge Approval, as well as legal costs to be incurred for the Judicial Review Application. In addition, the property development costs incurred for the Lake Side Homes Project is expected to be written-off in the event the outcome of the Judicial Review Application is not in favour of ASES. However, such impact will only fully materialise if the final outcome is still not in favour of ASES after all parties have exhausted all avenues for appeal. For information, the full appeal process across the Court of Appeal and Federal Court, which can only commence after the High Court delivers its verdict in approximately one (1) year from LPD, is estimated to take another three and a half (3.5) years.

Nevertheless, ASES' solicitors are of the view that ASES has a fair chance of success in the Judicial Review Application.

Save as disclosed above, as at LPD, our Group is not engaged in any material litigation, claim and/or arbitration, either as plaintiff or defendant, and our Board is not aware of any legal proceeding, pending or threatened, or of any fact which is likely to give rise to any proceeding which may materially and adversely affect the business or financial position of our Group.

13.7 CONSENTS

(i) Our Principal Adviser, Sponsor, Sole Underwriter, Sole Placement Agent, Company Secretary, Solicitors, Share Registrar, Issuing House, Bloomberg Finance Singapore L.P. and Astramina Advisory Sdn Bhd (former Continuing Adviser and current Corporate Advisor to our Company) have given and have not subsequently withdrawn their respective written consents before the date of issue of this Prospectus for the inclusion of their names and all references thereto in the form and context in which such names are included in this Prospectus.

(ii) Our Auditors and Reporting Accountants have given and have not subsequently withdrawn their written consent before the date of issue of this Prospectus for the inclusion of their name, Accountants' Report and Reporting Accountants' Report on the Compilation of Pro Forma Consolidated Statements of Financial Position as at 30 September 2024, and all references thereto in the form and context in which they are included in this Prospectus.

(iii) The Independent Market Researcher has given and has not subsequently withdrawn its written consent before the date of issue of this Prospectus for the inclusion of its name, IMR Report, and all references thereto in the form and context in which they are included in this Prospectus.

13.8 DOCUMENTS AVAILABLE FOR INSPECTION

Copies of the following documents are available for inspection at our registered office at 12th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya Selangor Darul Ehsan, Malaysia, during normal business hours for a period of six (6) months from the date of this Prospectus:

(i) our Constitution;

(ii) the audited financial statements of our Company and each of our subsidiaries for the past four (4) FYEs 2021 to 2024;

(iii) the IMR Report as included in Section 7 of this Prospectus;

(iv) the Reporting Accountants' Report on the Compilation of Pro Forma Consolidated Statements of Financial Position as included in Section 11.11 of this Prospectus;

(v) the Accountants' Report as included in Section 12 of this Prospectus;

(vi) our material contracts referred to in Section 13.5 of this Prospectus; and

(vii) the letters of consent referred to in Section 13.7 of this Prospectus.

13.9 RESPONSIBILITY STATEMENTS

Our Directors, Promoters and Selling Shareholders have seen and approved this Prospectus. They collectively and individually accept full responsibility for the accuracy of the information contained in this Prospectus. Having made all reasonable enquiries, and to the best of their knowledge and belief, they confirm there is no false or misleading statement or other facts which if omitted, would make any statement in this Prospectus false or misleading.

AmInvestment Bank, being our Principal Adviser and Sponsor, acknowledges that, based on all available information, and to the best of its knowledge and belief, this Prospectus constitutes a full and true disclosure of all material facts concerning our Public Offering.

14. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

THIS SUMMARY OF PROCEDURES FOR APPLICATION AND ACCEPTANCE DOES NOT CONTAIN THE DETAILED PROCEDURES AND FULL TERMS AND CONDITIONS, AND YOU CANNOT RELY ON THIS SUMMARY FOR PURPOSES OF ANY APPLICATION FOR THE OFFERING SHARES. YOU MUST REFER TO THE DETAILED PROCEDURES AND TERMS AND CONDITIONS AS SET OUT IN THE "DETAILED PROCEDURES FOR APPLICATION AND ACCEPTANCE" ACCOMPANYING THE ELECTRONIC PROSPECTUS ON THE WEBSITE OF BURSA MALAYSIA BERHAD. YOU SHOULD ALSO CONTACT THE ISSUING HOUSE FOR FURTHER ENQUIRIES.

14.1 OPENING AND CLOSING OF APPLICATION

Applications for the Offering Shares will be accepted and closed at the time and date stated below:

OPENING OF APPLICATION: 10:00 A.M., 28 FEBRUARY 2025

CLOSING OF APPLICATION: 5:00 P.M., 6 MARCH 2025

If there is any change to the time or date stated above, we will advertise a notice of changes in a widely circulated English and Bahasa Malaysia daily newspapers within Malaysia and will make the relevant announcement through Bursa Malaysia Berhad.

Late Applications will not be accepted.

14.2 METHODS OF APPLICATION

All Applications must accord with the terms of this Prospectus and our Constitution. You agree to be bound by our Constitution. The submission of an Application Form does not mean that the Application will succeed.

14.2.1 Application for the Offering Shares under the Retail Offering

Types of application and category of investors		Application method
Applications by the Malaysian Public:		
(i)	Individuals	White Application Form or Electronic Share Application or Internet Share Application
(ii)	Non-Individuals	White Application Form only
Applications by the Eligible Persons		Pink Application Form only

14.2.2 Application for the Offering Shares under the Institutional Offering

Types of application		Application method
Applications by:		
(i)	Bumiputera investors approved by the MITI	MITI will contact the Bumiputera investors directly. They should follow the MITI's instructions
(ii)	Other Malaysian insititutional and selected investors	Our Sole Placement Agent will contact the said investors directly. They should follow the Sole Placement Agent's instructions

14. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

14.3 ELIGIBILITY

14.3.1 General

You must have a CDS Account and a correspondence address in Malaysia. If you do not have a CDS Account, you may open a CDS Account by contacting any of the Authorised Depository Agents ("**ADAs**") as stated in the list of ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the Electronic Prospectus on the website of Bursa Malaysia Berhad. The CDS Account must be in your own name. Invalid or nominee or third-party CDS Accounts will not be accepted for the Applications.

Only **ONE (1)** Application Form for **each category** from each applicant will be considered and **APPLICATION MUST BE FOR AT LEAST 100 OFFERING SHARES OR MULTIPLES OF 100 OFFERING SHARES.**

MULTIPLE APPLICATIONS WILL NOT BE ACCEPTED UNLESS EXPRESSLY ALLOWED IN THESE TERMS AND CONDITIONS. AN APPLICANT WHO SUBMITS MULTIPLE APPLICATIONS IN HIS OWN NAME OR BY USING THE NAME OF OTHERS, WITH OR WITHOUT THEIR CONSENT, COMMITS AN OFFENCE UNDER SECTION 179 OF THE CMSA AND IF CONVICTED, MAY BE PUNISHED WITH A MINIMUM FINE OF RM1,000,000 AND A JAIL TERM OF UP TO 10 YEARS UNDER SECTION 182 OF THE CMSA.

AN APPLICANT IS NOT ALLOWED TO SUBMIT MULTIPLE APPLICATIONS IN THE SAME CATEGORY OF APPLICATION.

AN APPLICANT WHO WISHES TO SUBMIT AN APPLICATION USING A JOINT BANK ACCOUNT MUST CONTACT THE FINANCIAL INSTITUTION HANDLING THE APPLICATION TO ENSURE THAT THE NAME ON THE JOINT BANK ACCOUNT MATCHES THE NAME ON THEIR CDS ACCOUNT SO AS TO MINIMISE THE RISK OF REJECTION OF APPLICATION. OUR COMPANY, PRINCIPAL ADVISER, SPONSOR AND ISSUING HOUSE ARE NOT RESPONSIBLE FOR ANY ISSUES ARISING THEREFROM.

14.3.2 Application by the Malaysian Public

You can only apply for the Offering Shares if you fulfill all of the following:

(i) You must be one (1) of the following:

  (a) a Malaysian citizen who is at least 18 years old as at the date of the application for the Offering Shares; or

  (b) a corporation/institution incorporated in Malaysia with a majority of Malaysian citizens on your board of directors/trustees and if you have a share capital, more than half of the issued share capital, excluding preference share capital, is held by Malaysian citizens; or

  (c) a superannuation, co-operative, foundation, provident, pension fund established or operating in Malaysia;

(ii) You must not be a director or employee of the Issuing House or an immediate family member of a director or employee of the Issuing House; and

14. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

(iii) You must submit the Application by using only one (1) of the following methods:

(a) White Application Form;

(b) Electronic Share Application; or

(c) Internet Share Application.

14.3.2 Application by the Eligible Persons

Eligible Persons will be provided with Pink Application Forms and letters from us detailing their respective allocation.

The Eligible Persons who have made applications using the Pink Application Form may still apply for the Offering Shares allocated to the Malaysian Public using the White Application Form or through the Electronic Share Application or the Internet Share Application. All duly completed Pink Application Forms should be submitted to our Company's Human Resources Department.

14.4 PROCEDURES FOR APPLICATION BY WAY OF APPLICATION FORM

The Application Form must be completed in accordance with the notes and instructions contained in the respective category of the Application Form. Applications made on the incorrect type of Application Form or which do not conform **STRICTLY** to the terms of this Prospectus or the respective category of Application Form or notes and instructions printed therein or which are illegible will not be accepted.

The FULL amount payable is RM0.88 for each Offering Share.

Payment must be made out in favour of "**MIH SHARE ISSUE ACCOUNT NO. 662**" and crossed "**A/C PAYEE ONLY**" and endorsed on the reverse side with your name and address.

Each completed Application Form accompanied by the appropriate remittance and legible photocopy of the relevant documents may be submitted using one (1) of the following methods:

(i) despatch by **ORDINARY POST** in the official envelopes provided, to the following address:

Malaysian Issuing House Sdn Bhd
(Registration No. 199301003608 (258345-X))
11th Floor, Menara Symphony
No. 5, Jalan Prof. Khoo Kay Kim
Seksyen 13
46200 Petaling Jaya
Selangor Darul Ehsan

or

P.O. Box 00010
Pejabat Pos Jalan Sultan
46700 Petaling Jaya
Selangor Darul Ehsan

14. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

(ii) or **DELIVER BY HAND AND DEPOSIT** in the Drop-in Boxes provided at the front portion of Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan,

so as to arrive not later than 5:00 p.m. on 6 March 2025 or by such other time and date specified in any change to the time or date for the closing of the applications for the Offering Shares.

The method for submission of the Application Form stated above is relevant for the White Application Form only. For the Pink Application Form, kindly direct the submission of the Pink Application Form to our Company's Human Resources Department.

We, together with the Issuing House, will not issue any acknowledgement of the receipt of your Application Form or Application monies. Please direct all enquiries in respect of the White Application Form to the Issuing House.

14.5 APPLICATION BY WAY OF ELECTRONIC SHARE APPLICATION

Only Malaysian individuals may apply for the Offering Shares offered to the Malaysian Public by way of Electronic Share Application.

Electronic Share Applications may be made through the Automated Teller Machines ("**ATM**") of the Participating Financial Institutions and their branches namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, AmBank (M) Berhad, CIMB Bank Berhad, Malayan Banking Berhad, Public Bank Berhad and RHB Bank Berhad. A processing fee will be charged by the respective Participating Financial Institutions (unless waived) for each Electronic Share Application.

The exact procedures, terms and conditions for Electronic Share Application are set out on the ATM screens of the respective Participating Financial Institutions.

14.6 APPLICATION BY WAY OF INTERNET SHARE APPLICATION

Only Malaysian individuals may apply for the Offering Shares offered to the Malaysian Public by way of Internet Share Application.

Internet Share Applications may be made through an internet financial services website of the Internet Participating Financial Institutions namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, CGS International Securities Malaysia Sdn Bhd *(formerly known as CGS-CIMB Securities Sdn Bhd)*, Malacca Securities Sdn Bhd, Malayan Banking Berhad, Moomoo Securities Malaysia Sdn Bhd and Public Bank Berhad. A processing fee will be charged by the respective Internet Participating Financial Institutions (unless waived) for each Internet Share Application.

The exact procedures, terms and conditions for Internet Share Application are set out on the internet financial services website of the respective Internet Participating Financial Institutions.

14.7 AUTHORITY OF OUR BOARD AND THE ISSUING HOUSE

The Issuing House, on the authority of our Board, reserves the right to:

(i) reject Applications which:

(a) do not conform to the instructions of our Prospectus, Application Forms, Electronic Share Application and Internet Share Application (where applicable); or

(b) are illegible, incomplete or inaccurate; or

(c) are accompanied by an improperly drawn up, or improper form of, remittance; or

(ii) reject or accept any Application, in whole or in part, on a non-discriminatory basis without the need to give any reason; and

(iii) bank in all Application monies (including those from unsuccessful/partially successful applicants) which would subsequently be refunded, where applicable (without interest), in accordance with Section 14.9 below.

If you are successful in your Application, our Board reserves the right to require you to appear in person at the registered office of the Issuing House at any time within 14 days of the date of the notice issued to you to ascertain that your Application is genuine and valid. Our Board shall not be responsible for any loss or non-receipt of the said notice nor will it be accountable for any expenses incurred or to be incurred by you for the purpose of complying with this provision.

14.8 OVER/UNDER-SUBSCRIPTION

In the event of oversubscription, the Issuing House will conduct a ballot in the manner approved by our Directors to determine the acceptance of Applications in a fair and equitable manner. In determining the manner of balloting, our Directors will consider the desirability of allotting and allocating the Offering Shares to a reasonable number of applicants for the purpose of broadening the shareholding base of our Company and establishing a liquid and adequate market for our Shares.

The basis of allocation of the Offering Shares and the balloting results in connection therewith will be furnished by the Issuing House to Bursa Securities, all major English and Bahasa Malaysia newspapers within Malaysia as well as be posted on the Issuing House's website at www.mih.com.my within one (1) Market Day after the balloting date.

Pursuant to Rule 3.10(1) of the ACE LR, our Company is required to have at least 25% of the total number of Shares in the hands of a minimum number of 200 public shareholders, each holding not less than 100 Shares at the point of listing of our Company on the ACE Market. If the aforementioned public spread requirement is not met, our Company may not be able to proceed with the Transfer of Listing. In the event thereof, monies paid in respect of all Applications will be returned in full (without interest).

In the event of an undersubscription of the Offering Shares by the Malaysian Public and/or Eligible Persons, subject to the clawback and reallocation provisions as set out in Section 3.3.3 of this Prospectus, any of the abovementioned Offering Shares under the Retail Offering not applied for will then be subscribed by the Sole Underwriter based on the terms of the Retail Underwriting Agreement.

14. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

14.9 UNSUCCESSFUL/PARTIALLY SUCCESSFUL APPLICANTS

If you are unsuccessful/partially successful in your Application, your Application monies (without interest) will be refunded to you in the manner stated below.

14.9.1 For application by way of Application Form

(i) The Application monies or the balance of it, as the case may be, will be returned to you through the self-addressed and stamped Official "A" envelope you provided by ordinary post (for fully unsuccessful applications) or by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend or distribution) or if you have not provided such bank account information to Bursa Depository, the balance of Application monies will be refunded via banker's draft sent by ordinary or registered post to your registered or correspondence address last maintained with Bursa Depository (for partially successful applications) within 10 Market Days from the date of the final ballot at your own risk.

(ii) If your Application is rejected because you did not provide a CDS Account number, your Application monies will be refunded via banker's draft sent by ordinary or registered post to your address as stated in the National Registration Identity Card (NRIC) or any official valid temporary identity document issued by the relevant authorities from time to time or the authority card (if you are a member of the armed forces or police) at your own risk.

(iii) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected or unsuccessful or only partly successful will be refunded (without interest) by the Issuing House as per items (i) and (ii) above (as the case may be).

(iv) The Issuing House reserves the right to bank into its bank account all Application monies from unsuccessful applicants. These monies will be refunded (without interest) within 10 Market Days from the date of the final ballot by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend or distribution) or by issuance of banker's draft sent by ordinary or registered post to your registered or correspondence address last maintained with Bursa Depository if you have not provided such bank account information to Bursa Depository or as per item (ii) above (as the case may be).

14.9.2 For application by way of Electronic Share Application or Internet Share Application

(i) The Issuing House shall inform the Participating Financial Institutions or Internet Participating Financial Institutions of the unsuccessful or partially successful Applications within two (2) Market Days after the balloting date. The full amount of the Application monies or the balance of it will be credited (without interest) into your account with the Participating Financial Institution or Internet Participating Financial Institution (or arranged with the Authorised Financial Institutions) within two (2) Market Days after the receipt of confirmation from the Issuing House.

(ii) You may check your account on the fifth Market Day from the balloting date.

14. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

(iii) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected will be refunded (without interest) by the Issuing House by crediting into your account with the Participating Financial Institution or Internet Participating Financial Institution (or arranged with the Authorised Financial Institutions) not later than 10 Market Days from the date of the final ballot. For Applications that are held in reserve and which are subsequently unsuccessful or partially successful, the relevant Participating Financial Institution or Internet Participating Financial Institution will be informed of the unsuccessful or partially successful Applications within two (2) Market Days after the final balloting date. The Participating Financial Institution or Internet Participating Financial Institution will credit the Application monies or any part thereof (without interest) within two (2) Market Days after the receipt of confirmation from the Issuing House.

14.10 SUCCESSFUL APPLICANTS

If you are successful in your Application:

(i) Offering Shares allotted to you will be credited into your CDS Account;

(ii) A notice of allotment will be despatched to you at your registered or correspondence address last maintained with Bursa Depository, at your own risk, before our ACE Listing. This is the only acknowledgement of acceptance of your Application;

(iii) In accordance with Section 14(1) of the SICDA, Bursa Securities has prescribed our Shares as prescribed securities. Consequently, the Offering Shares issued or offered through our Prospectus will be deposited directly with Bursa Depository and any dealing in these Shares will be carried out in accordance with the SICDA and Rules of Bursa Depository; and

(iv) In accordance with Section 29 of the SICDA, all dealings in our Shares will be by book entries through CDS Accounts. No share certificates will be issued to you and you shall not be entitled to withdraw any deposited security held jointly with Bursa Depository or its nominee as long as our Shares are listed on Bursa Securities.

14.11 ENQUIRIES

Enquiries in respect of the Applications may be directed as follows:

Mode of application	Parties to direct the enquiries
Application Form	Issuing House Enquiry Services Telephone at telephone no. +603-7890 4700
Electronic Share Application	The relevant Participating Financial Institution
Internet Share Application	The relevant Internet Participating Financial Institution and Authorised Financial Institution

You may also check the status of your Application at the Issuing House's website at www.mih.com.my, by entering your CDS Account number on the site after 3:00 p.m. on the allotment date. Alternatively, you may contact any of the ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the Electronic Prospectus on the website of Bursa Malaysia Berhad.

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS

Details of the major licences, permits and approvals for our operations as at LPD together with the major conditions attached therein and the corresponding status of compliance as at LPD are as follows:

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
1.	LSH Capital	DBKL	Business licence for administrative office at No. 5-2, Wisma Lim Seong Hai, No. 33, Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/01433 /12/2021/PR01	11 January 2025 / (10 January 2026)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
2.	LSH Lighting	DBKL	(i) Business licence for sale of electronic and electrical items at No. 3, Block A, Diamond Square, Jalan Semarak Api 1, Off Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/03136 /13/2018/PR01	1 January 2025 / (31 December 2025)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
			(ii) Signboard licence for display of one (1) signboard at No. 3, Block A, Diamond Square, Jalan Semarak Api 1, Off Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/00303 /01/2017/IK01	11 April 2024 / (10 April 2025)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
			(iii) Business licence for sale of electronic and electrical items, as well as display of one (1) signboard at No. 1 & 1A, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/00877 /08/2008/KM01	1 September 2024 / (31 August 2025)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
			(iv) Business licence for sale of electronic and electrical items at No. 1B, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/01720 /12/2017/PR01	14 February 2025 / (13 February 2026)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
			(v) Business licence for sale of electronic and electrical items, as well as display of three (3) signboards at Lot G-08, 09 & 10, Lot Level 1-08, 09 & 10, Lot Level 2-08, 09 & 10, Laman Seri Harmoni (LSH 33), No. 3, Jalan Batu Muda Tambahan 3, Sentul, 51100 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/01232 /11/2024/KM01	8 November 2024 / (7 November 2025)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
			(vi) Business licence for administrative office at Wisma Lim Seong Hai, No. 33, Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/00990 /12/2021/PR01	11 January 2025 / (10 January 2026)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
3.	LSH Lighting	Majlis Perbandaran Kajang	(i) Trade, business and industrial licence for sale of electrical items and furniture, as well as display of one (1) illuminated signboard at No. G-1, 1-1, G-2, 1-2, G-3, 1-3 & 1-3A, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan	MPKJ/CL/3/40/ 2004	1 January 2025 / (31 December 2025)	Nil.	N/A
			(ii) Trade, business and industrial licence for sale of electrical and electronic items and furniture, as well as display of five (5) non-illuminated signboards and three (3) illuminated signboards at No. 1 & 2, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan	MPKJ/CL/1/294/ 2015#	28 April 2024 / (27 April 2025)	Nil.	N/A

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
			(iii) Trade, business and industrial licence for showroom for lightings, electrical items and furniture, as well as display of one (1) signboard at No. 3A, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan	MPKJ/CL/1/169/ 2019	18 April 2024 / (17 April 2025)	Nil.	N/A
4.	Knight Auto	Majlis Perbandaran Kajang	(i) Trade, business and industrial licence for the sale / provision of services relating to machinery and display of one (1) illuminated signboard at No. G-3A, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan	MPKJ/CL/3/41/ 2004	1 January 2025 / (31 December 2025)	Nil.	N/A
			(ii) Trade, business and industrial licence for wholesale and storage, and display of three (3) illuminated signboards at Lot 1879, Jalan KPB 5, Kawasan Perindustrian Kampung Baru Balakong, 43300 Seri Kembangan, Selangor Darul Ehsan	MPKJ/CL/6/268/ 2007	1 January 2025 / (31 December 2025)	Nil.	N/A

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
5.	Knight Auto	DBKL	(i) Business licence for sale / provision of services relating to machinery, and display of three (3) signboards at No. 349, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/00238 /12/2008/KM01	2 June 2024 / (1 June 2025)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
			(ii) Signboard licence for display of one (1) signboard at No. 349, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/01285 /04/2010/IK01	2 June 2024 / (1 June 2025)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
			(iii) Business licence for warehouse and storage of goods at No. 349A & 349B, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/PR01/ 1220/11/2017	21 October 2024 / (20 October 2025)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
			(iv) Business licence for sale / provision of services relating to machinery, warehouse and storage of goods and display of two (2) signboards at No. 349A Wisma Knight Auto, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/02121 /06/2023/KM01	15 December 2024 / (14 December 2025)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
			(v) Business licence for sale / provision of services relating to machinery and equipment, warehouse and storage of goods and display of one (1) signboard at Wisma Lim Seong Hai, No. 33, Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/02596 /09/2021/KM01	23 September 2024 / (22 September 2025)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
			(vi) Lot G-16, 17 & 18, Laman Seri Harmoni (LSH 33), No. 3, Jalan Batu Muda Tambahan 3, Sentul, 51100 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/02092 /11/2024/KM01	14 November 2024 / (13 November 2025)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
6.	LSHBB	DBKL	Business licence for administrative office at No. 3A-2, Wisma Lim Seong Hai, No. 33, Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/01428 /12/2021/PR01	11 January 2025 / (10 January 2026)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
7.	ASSB	DBKL	Business licence for administrative office at Wisma Lim Seong Hai, No. 33, Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/01426 /12/2021/PR01	11 January 2025 / (10 January 2026)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
8.	LSH Ventures	DBKL	Business licence for administrative office at No. 6, Wisma Lim Seong Hai, No. 33, Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	DBKL.JPPP/01035 /12/2021/PR01	11 January 2025 / (10 January 2026)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance
9.	ASES	DBKL	Business licence for administrative office at No. 5-3, Wisma Lim Seong Hai, No. 33, Jalan Gombak, 53000 Kuala Lumpur	DBKL.JPPP/01989 /12/2021/PR01	12 January 2025 / (11 January 2026)	The employees at the premises shall consist of at least 50% Malaysian workers, and foreign workers must be issued with valid work permits.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
10.	LSH Lighting	Ministry of Finance, Malaysia	Certificate of registration for the supply and/or services in the following sectors, fields and sub-fields set out in the certificate: ▪ Electrical and electronic engineering equipment or systems, electrical, electronic components, lighting accessories and lighting components. The individuals authorised by the company for government procurement matters are as follows: (i) Nor Farhana Binti Ja'afar; and (ii) Nur Azriena Binti Sulaiman	Certificate No. K10342697574015731 Registration No. 357-0002299773	14 November 2024 / (31 December 2027)	(i) The company must ensure that the registered sector in the certificate does not overlap with the sector that has received approval by any other companies which: (a) comprise the same owner or board of directors/director, management and employee; or (b) operate in the same premises. (ii) The company must ensure that the registration with the Ministry of Finance, Malaysia remains active throughout the enforcement period of the contract.	In compliance In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
11.	ASSB	Ministry of Finance, Malaysia	Certificate of registration for the supply and/or services in the following sectors, fields and sub-fields set out in the certificate: ▪ Civil engineering, construction and equipment for public facilities, public equipment, equipment, public facilities, container, building materials and road safety equipment, pipes and fittings, road safety equipment and street furniture. The individuals authorised by the company for government procurement matters are as follows: (i) Lim Wei Xin; (ii) Syahirah Binti Shaziman; and (iii) Cheong Yee Wen	Certificate No. K10343024953148371 Registration No. 357-0002298451	7 April 2022 / (6 April 2025)	(i) The company must ensure that the registered sector in the certificate does not overlap with the sector that has received approval by any other companies which: (a) comprise the same owner or board of directors/director, management and employee; or (b) operate in the same premise. (ii) The company must ensure that the registration with the Ministry of Finance, Malaysia remains active throughout the enforcement period of the contract.	In compliance In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
12.	LSH Lighting	CIDB	Certificate of registration as a G7 contractor pursuant to Part VI of the Lembaga Pembangunan Industri Pembinaan Malaysia Act 1994 ("**CIDB Act**") as follows: **Category** / **Specialisation** B — B04 CE — CE21 ME — M15 Category B : Building construction CE : Civil engineering ME : M&E Specialisation B04 : Construction work on buildings CE21 : General civil engineering ME15 : Miscellaneous mechanical equipment	0120130925-WP152482	17 July 2024 / (19 July 2027)	(i) This certificate is non-transferable. (ii) The contractor shall not participate in any tender or perform any construction work after the expiry of this certificate until it is renewed. (iii) The contractor shall not undertake any construction project which exceeds the value of construction work specified under the registered grade and shall not carry out any construction work not within the category of its registration. (iv) The contractor shall submit the information regarding any construction work or contract within 14 days of the date of award or before the commencement of construction work, whichever is earlier. (v) The contractor shall appoint skilled construction workers and site supervisors accredited and certified by the CIDB.	In compliance In compliance In compliance N/A(1) N/A(2)

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
13.	ASSB	CIDB	Certificate of registration as a G7 contractor pursuant to Part VI of the CIDB Act as follows: **Category** / **Specialisation** B / B04 CE / CE21 ME / M15 *For further information on the categories and specialisations as set out above, please refer to item 12 above.*	0120130925-WP152482	20 May 2024 / (11 May 2027)	(i) This certificate is non-transferable.	In compliance
						(ii) The contractor shall not participate in any tender or perform any construction work after the expiry of this certificate until it is renewed.	In compliance
						(iii) The contractor shall not undertake any construction project which exceeds the value of construction work specified under the registered grade and shall not carry out any construction work not within the category of its registration.	In compliance
						(iv) The contractor shall submit the information regarding any construction work or contract within 14 days of the date of award or before the commencement of construction work, whichever is earlier.	In compliance
						(v) The contractor shall appoint skilled construction workers and site supervisors accredited and certified by the CIDB.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
14.	LSHBB	CIDB	Certificate of registration as a G7 contractor pursuant to Part VI of the CIDB Act as follows: **Category** / **Specialisation** B / B04 CE / CE21 ME / M15 *For further information on the categories and specialisations as set out above, please refer to item 12 above.*	0120200703-WP048998	7 July 2022 / (4 July 2025)	(i) This certificate is non-transferable.	In compliance
						(ii) The contractor shall not participate in any tender or perform any construction work after the expiry of this certificate until it is renewed.	In compliance
						(iii) The contractor shall not undertake any construction project which exceeds the value of construction work specified under the registered grade and shall not carry out any construction work not within the category of its registration.	In compliance
						(iv) The contractor shall submit the information regarding any construction work or contract within 14 days of the date of award or before the commencement of construction work, whichever is earlier.	In compliance
						(v) The contractor shall appoint skilled construction workers and site supervisors accredited and certified by the CIDB.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
15.	Knight Auto	Department of Occupational Safety and Health, Malaysia ("**DOSH**")	Certificate of fitness in respect of a mobile crane with vehicle registration number of BPM8391	Certificate No. PMA-WP/A24-211767 Registration No. SL PMA 82985	13 November 2024 / (29 January 2026)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
16.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of BPM8931	Certificate No. PMA-WP/24 196116 Registration No. SL PMA 81849	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
17.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of BPF8319	Certificate No. PMA-WP/A24-213905 Registration No. PMA 31869	9 December 2024 / (25 February 2026)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
18.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number BNH2886	Certificate No. PMA-WP/A24-213906 Registration No. SL PMA 41132	9 December 2024 / (25 February 2026)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
19.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of BPF8931	Certificate No. PMA-WP/24 196113 Registration No. SL PMA 27745	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
20.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of BPH8319	Certificate No. PMA-WP/23 149778 Registration No. PMA 94465	5 January 2024 / (4 April 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
21.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of BPH8139	Certificate No. PMA-WP/23 149777 Registration No. PMA 91743	5 January 2024 / (4 April 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
22.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of BPM8139	Certificate No. PMA-WP/A24-211766 Registration No. SL PMA 82604	13 November 2024 / (29 January 2026)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
23.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of ALE8139	Certificate No. PMA-WP/22 149776 Registration No. SL PMA 46914	5 January 2024 / (4 April 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
24.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of WKG7057	Certificate No. PMA-WP/24 196112 Registration No. PMA 105230	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
25.	Knight Auto	DOSH	Certificate of fitness in respect of a skylift with vehicle registration number of WLC2560	Certificate No. PMA-WP/22 152023 Registration No. PMA 111392	26 February 2024 / (25 May 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
26.	Knight Auto	DOSH	Certificate of fitness in respect of a skylift with vehicle registration number of BLC4095	Certificate No. PMA-WP/24 196089 Registration No. SL PMA 24144	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
27.	Knight Auto	DOSH	Certificate of fitness in respect of a crawler crane with vehicle registration number of BKG5637	Certificate No. PMA-PP/23 119997 Registration No. SL PMA 16916	12 April 2023 / (22 October 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
28.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of BMH9363	Certificate No. PMA-WP/24 196111 Registration No. SL PMA 33165	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
29.	Knight Auto	DOSH	Certificate of fitness in respect of a truck mounted crane with vehicle registration number of VB8319	Certificate No. PMA-WP/24 196114 Registration No. JH PMA 19083	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
30.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of VBD8391	Certificate No. PMA-WP/24 196115 Registration No. SL PMA 81776	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
31.	Knight Auto	DOSH	Certificate of fitness in respect of a crawler crane with vehicle registration number of WDS461	Certificate No. PMA-NS/24 48399 Registration No. PMA 44342	7 June 2024 / (6 September 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
32.	Knight Auto	DOSH	Certificate of fitness in respect of a truck mounted crane with vehicle registration number WHD1614	Certificate No. PMA-WP/A24-211764 Registration No. SL PMA 5845	13 November 2024 / (21 January 2026)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
33.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of VAL1833	Certificate No. PMA-WP/22 149781 Registration No. SL PMA 50208	5 January 2024 / (4 April 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
34.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of BPS8139	Certificate No. PMA-WP/22 149782 Registration No. SL PMA 36684	5 January 2024 / (4 April 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
35.	Knight Auto	DOSH	Certificate of fitness in respect of a skylift with vehicle registration number of BQB8139	Certificate No. PMA-WP/22 152022 Registration No. SL PMA 2475	26 February 2024 / (25 May 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
36.	Knight Auto	DOSH	Certificate of fitness in respect of a skylift with vehicle registration number of BPY3899	Certificate No. PMA-WP/A24-211763 Registration No. SL PMA 88583	13 November 2024 / (1 January 2026)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
37.	Knight Auto	DOSH	Certificate of fitness in respect of a crawler crane with vehicle registration number of BKE8916	Certificate No. PMA-NS/23 69170 Registration No. NS PMA 1660	21 December 2023 / (14 March 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
38.	Knight Auto	DOSH	Certificate of fitness in respect of a crawler crane with vehicle registration number of BNG3921	Certificate No. PMA-NS/23 68818 Registration No. SL PMA 46953	8 December 2023 / (7 March 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
39.	Knight Auto	DOSH	Certificate of fitness in respect of a mobile crane with vehicle registration number of VAL3183	Certificate No. PMA-WP/24 187651 Registration No. SL PMA 25627	5 January 2024 / (4 April 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
40.	ASSB	DOSH	Certificate of fitness in respect of a hydraulic truck crane with vehicle registration number of JEQ4529	Certificate No. PMA-WP/22 152021 Registration No. SL PMA 3732	26 February 2024 / (25 May 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
41.	ASSB	DOSH	Certificate of fitness in respect of a truck mounted crane with vehicle registration number of BPQ8139	Certificate No. PMA-WP/24 196093 Registration No. JH PMA 83390	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
42.	ASSB	DOSH	Certificate of fitness in respect of a truck mounted crane with vehicle registration number of VAG8913	Certificate No. PMA-WP/A24 210317 Registration No. JH PMA 80367	22 October 2024 / (21 January 2026)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
43.	ASSB	DOSH	Certificate of fitness in respect of an all terrain crane with vehicle registration number of RAB8139	Certificate No. PMA-WP/24 196090 Registration No. SL PMA 39305	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
44.	ASSB	DOSH	Certificate of fitness in respect of an all terrain crane with vehicle registration number of BPJ8139	Certificate No. PMA-WP/24 196092 Registration No. SL PMA 53694	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
45.	ASSB	DOSH	Certificates of fitness in respect of a launching gantry/launcher crane	Certificate Nos. PMA-WP/23 169350 and PMA-WP/23 169351 Registration Nos. WP PMA 88655 and WP PMA 88654	21 July 2024 / (30 September 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
46.	ASSB	DOSH	Certificate of fitness in respect of a truck mounted crane with vehicle registration number of PJS758	Certificate No. PMA-WP/24 196091 Registration No. JH PMA 20031	25 April 2024 / (24 July 2025)	The machinery shall be operated by a qualified person who is recognised and registered with the DOSH.	In compliance
47.	ASSB	Ministry of Housing and Local Government, Malaysia ("**MHLG**")	Developer's licence	20234/02-2027/0046(R)	10 February 2024 / (9 February 2027)	Nil.	N/A

ANNEXURE A: OUR MAJOR LICENCES, PERMITS AND APPROVALS *(Cont'd)*

No.	Name of licensee	Approving authority / Issuer	Description of licence / permit / approval	Licence / Permit / Registration no.	Effective date / (Expiry date)	Major conditions imposed	Status of compliance
48.	ASSB	MHLG	Advertising and sale permit for the development of one (1) block of 32-storey apartment / condominium (440 units) and one (1) block of 38-storey apartment / condominium (435 units) on Lot 482098, Mukim Kuala Lumpur, District of Kuala Lumpur, State of Wilayah Persekutuan Kuala Lumpur known as "Residensi Laman Segar Hijau (LSH Segar)" (i.e. the LSH Segar Project)	20234-1/02-2025/0132(R)-(S)	10 February 2024 / (9 February 2025)(3)	(i) The developer shall prioritise the selling of housing property with a price of RM300,000 and below to first time home buyers.	In compliance
						(ii) The landowner as the registered proprietor of the land title must sign the SPA.	In compliance
						(iii) The developers who intend to sell in bulk, for more than four (4) units of houses to an individual / company must register the relevant purchaser with the Housing Controller within 14 days from the date of execution of the SPA.	In compliance

Notes:

(1) The obligation to submit the information regarding construction work or contract awarded is only applicable to a main contractor. As LSH Lighting has never undertaken any construction work as a main contractor, this condition is not applicable to LSH Lighting.

(2) As the nature of M&E works undertaken by LSH Lighting does not require any such skilled construction workers or site supervisors, this condition is not applicable to LSH Lighting.

(3) ASSB has commenced the renewal process on 7 January 2025, and expects to receive the renewal for the approval by the end of first quarter of 2025. Pending issuance of the renewed licence, ASSB has undertaken to cease all advertising and sale activities in relation to the LSH Segar Project.

The aforementioned licences, approvals and permits held by our Group are each subject to periodic or annual renewal. For those nearing expiry, our Group will initiate the renewal process promptly at the start of the applicable renewal period to ensure continuous compliance. Our compliance monitoring framework includes monitoring upcoming expirations and commencing renewal procedures in advance to avoid any lapses.

ANNEXURE B: OUR INTELLECTUAL PROPERTIES

As at LPD, save for the trademark registrations and applications with the Intellectual Property Corporation of Malaysia ("**MyIPO**") below, our Group does not have any other intellectual property right registered and/or in the process of registration:

No.	Registered owner / Applicant	Trademark	Application / Registration no.	Class / Description of trademark	Effective date / (Expiry date)	Status
1.	LSH Lighting	FABLELITE	99011918	Class 11 / All types of interior and exterior lightings and lighting apparatus; all included in Class 11.	5 January 2021 / (24 November 2029)	Registered
2.	LSH Lighting	LIM SEONG HAI LIGHTING 林上海灯饰	TM2021012841	Class 11 / Electric lighting fittings, apparatus for lighting, environmental control apparatus for lighting purposes, fibre optic lighting apparatus, filters for stage lighting, flat panel lighting apparatus, garden lighting, LED lighting apparatus, LED lighting installations, light-emitting diode (LED) lighting apparatus, light-emitting diode (LED) lighting installations, lighting apparatus, lighting apparatus and installations, lighting apparatus for vehicles, lighting fittings, luminous tubes for lighting, outdoor lighting fittings, outdoor lighting fixtures, sconce lighting fixtures, stage lighting apparatus, track lightings, led lamps, outdoor lamps, reading lamps, safety lamps, solar-powered lamps, lamp bulbs, lamp casings, lamp chimneys, lamp fittings, lamp glasses, wall lamps, fluorescent lamp tubes, and chandeliers; all included in Class 11[(1)].	4 May 2021 / (4 May 2031)	Registered
3.	Knight Auto	KGT	TM2022033462	Class 7 / Agricultural implements other than hand-operated hand tools, agricultural machines, electric welding apparatus, electric welding machines, electrodes for welding machines, air brushes for applying paint, air compressors, air drills, air hammers, pressure valves being parts of machines, valves (parts of machines), valves (parts of pumps), air pumps (garage installations), air screwdrivers,	9 December 2022 / (9 December 2032)	Registered

ANNEXURE B: OUR INTELLECTUAL PROPERTIES *(Cont'd)*

No.	Registered owner / Applicant	Trademark	Application / Registration no.	Class / Description of trademark	Effective date / (Expiry date)	Status
				air-operated power tools, centrifugal pumps, electric water pumps, submersible pumps, couplings for pneumatic apparatus, couplings, other than for land vehicles, grinding machines, grinding tools (parts of machines), hammer drills, rotary hammers, electric, cutting machines, pneumatic grease guns, AC generators, DC generators, hydraulic jacks, jacks (machines), lifting jacks, other than hand-operated, cranes (lifting and hoisting apparatus), hydraulic lift tables, hydraulic lifting apparatus, bits for power drills, tool bits, for machines, band saws, blades for power saws, chainsaws, circular saws, electric saws, jigsaws (power tools), scroll saws (machines), tile saws (power tools), lathes (machine tools), machines, machine tools, power-operated tools, metalworking machines and machine tools, routers (machine tools), woodworking machines, drills (power tools), power tools, control mechanisms for machines, engines or motors, pneumatic controls for machines, motors and engines, pneumatic hand drills, pneumatic machines and apparatus, pneumatic nail guns, pneumatic waste oil drainers, chisels for machines, chucks (parts of machines), chucks for power drills, concrete mixers (machines), pistons (parts of machines or engines), pistons for machines, electric floor polishing machines and apparatus, electric polishing machines and apparatus, power saws, stone working machines, electrical apparatus for sealing plastics (packaging), couplings for machine tools, couplings for machines, earth augers, power tillers, spraying machines, electric grass trimmers, lawn mowers, hedge trimmers (machines), electric blenders for the		

ANNEXURE B: OUR INTELLECTUAL PROPERTIES *(Cont'd)*

No.	Registered owner / Applicant	Trademark	Application / Registration no.	Class / Description of trademark	Effective date / (Expiry date)	Status
				preparation of beverages, electric food blenders, meat mincers (machines), meat slicers (machines), sandblasting machines, concrete vibrators, packing machines, vacuum packing machines, hoists, water pumps for swimming pools, electric planers, and suction pumps.		
4.	Knight Auto	KGT	TM2022033463	Class 8 / Hand-operated abrading tools, augers (hand tools), bolt cutters (hand tools), clamps (hand tools), cutting tools (hand tools), hand-operated hammers garden tools, hand drills (hand tools), hand-operated hand tools and implements, hand-operated agricultural tools, hand-operated automotive repair tools, hand-operated riveting tools, hand-operated tools for bending pipes, ratchet wrenches (hand tools), scrapers (hand tools), hand-operated sharpening tools and instruments, socket wrenches (hand tools), spanners (hand tools), adjustable wrenches, oil filter wrenches, pipe wrenches, torque wrenches, wrenches (hand tools), hand-operated sprayers for agricultural purposes, paint scrapers (hand tools), french fry cutters, hand-operated tile cutters, hand-operated sheet metal bending brakes, hand-operated lifting jacks, hand-operated motorcycle lifting jacks, stands for hand jacks, blades for hand saws, hand saws, bench vises, shears, non-electric screwdrivers, crimping pliers, cutting pliers, pliers, punch pliers (hand tools), hand-operated torque multipliers, ratchets (hand tools), socket spanners (hand tools), bits (parts of hand tools), bits for hand drills, hex keys, hand-operated bar cutters, multi-purpose shears, hand-operated nail pullers, punches (hand tools), miter	9 December 2022 / (9 December 2032)	Registered

ANNEXURE B: OUR INTELLECTUAL PROPERTIES *(Cont'd)*

No.	Registered owner / Applicant	Trademark	Application / Registration no.	Class / Description of trademark	Effective date / (Expiry date)	Status
				boxes (hand tools), and oil cans for lubricating machinery (hand implements).		
5.	Knight Auto	KGT	TM2022033464	Class 11 / Electric fans, electric waffle makers, electric food warmers, heated display cabinets, electric popcorn makers, popcorn machines, candyfloss making machines, cotton candy making machines, deep frying machines, hot air blowers, barbecue grills, freezers, gas ovens, electric ovens, soybean milk making machines, electric food steamers, and ventilation apparatus.	9 December 2022 / (9 December 2032)	Registered
6.	LSH Capital	LSH LIM SEONG HAI	TM2021016304	Class 36 / Financial services in the field of money lending and real estate management.	N/A	Conditional approval(2)
7.	LSH Capital	LSH LIM SEONG HAI	TM2021016302	Class 37 / Rental of building machinery and real estate development (building and construction services).	N/A	Conditional approval(2)

ANNEXURE B: OUR INTELLECTUAL PROPERTIES *(Cont'd)*

No.	Registered owner / Applicant	Trademark	Application / Registration no.	Class / Description of trademark	Effective date / (Expiry date)	Status
8.	LSH Capital		TM2021016301	Class 36 / Financial services in the field of money lending and real estate management; all included in Class 36.	N/A	Conditional approval(2)
9.	LSH Capital		TM2021016300	Class 37 / Rental of building machinery and real estate development (building and construction services); all included in Class 37.	N/A	Conditional approval(2)
10.	LSH Capital		TM2023012240	Class 16 / Address books, adhesive note paper, advertisement boards of paper or cardboard, advertising pamphlets, advertising signs of cardboard, advertising signs of paper, advertising signs of paper or cardboard, albums for photographs, almanacs, anniversary books, anniversary cards, announcement cards, appointment books, architects' models, architectural plans and specifications, art paper, artists' materials, artists' modelling materials, autograph books, bags (envelopes, pouches) of paper or plastics, for merchandise packaging, bags of paper, bags of paper or plastic for packaging, ball pens, blank cards, blank forms, blank journal books, book covers, bookmarks, books, boxes of paper or cardboard, business cards, calendars, car stickers, card files, cardboard labels, cardboard packaging,	3 May 2023 / (3 May 2033)	Registered

ANNEXURE B: OUR INTELLECTUAL PROPERTIES *(Cont'd)*

No.	Registered owner / Applicant	Trademark	Application / Registration no.	Class / Description of trademark	Effective date / (Expiry date)	Status
				cardboard tags, coupon books, covers for books, display boxes of paper or cardboard, document portfolios, envelopes, exercise books, folders for papers, gift boxes, greeting cards, handbooks (manuals), information booklets, instruction manuals, labels of paper, magazine paper, marker pens, modelling materials, newsletters, newspapers, note books, office stationery, packaging bags of paper, packaging bags of plastic, pamphlets, paper bags, pencils, plastic bags for packing, shopping bags made of plastic, stationery boxes, tags made of paper or cardboard, telephone directories and writing books; all included in Class 16.		
11.	LSH Capital		TM2023012242	Class 35 / Administrative assistance in responding to calls for tenders, administrative services relating to referrals for general building contractors, advisory services for preparing and carrying out commercial transactions, advisory services relating to business organisation and management, business development consultancy services, business management, administration and information services, business planning and business continuity consultancy, business project management services for construction projects, business research and evaluations, business research and surveys, commercial or industrial management assistance, consultancy and advisory services in the field of business strategy, market assessment consultancy, market research data collection services, market surveys, analysis and research, planning, development and implementation of marketing strategies, providing advice in the field of business	3 May 2023 / (3 May 2033)	Registered

ANNEXURE B: OUR INTELLECTUAL PROPERTIES *(Cont'd)*

No.	Registered owner / Applicant	Trademark	Application / Registration no.	Class / Description of trademark	Effective date / (Expiry date)	Status
				efficiency, providing advice relating to sales methods and techniques, providing advice relating to the organisation and management of businesses, providing business and commercial advice and information, providing business efficiency advice, providing business information via a website, provision of commercial information and advice for consumers in the choice of products and services; all included in Class 35.		
12.	LSH Capital		TM2023012243	Class 36 / Advisory services relating to financial grants, advisory services relating to financial investment management, advisory services relating to financial planning, arranging finance for construction projects, arranging of loans, banking advisory services, banking consultancy, consultancy in the field of financial planning, consultancy services relating to the financing of civil works and infrastructure projects, consultancy, research and information relating to financial affairs, financial advisory, management and consultancy services, financial analysis and consultancy services, financial appraisals in responding to calls for tenders, financial management of building projects, financial planning services relating to building projects, providing banking information and providing financial information; all included in Class 36.	3 May 2023 / (3 May 2033)	Registered

ANNEXURE B: OUR INTELLECTUAL PROPERTIES *(Cont'd)*

No.	Registered owner / Applicant	Trademark	Application / Registration no.	Class / Description of trademark	Effective date / (Expiry date)	Status
13.	LSH Capital		TM2023012245	Class 37 / Building and construction services, building construction and repair, building construction supervision services for building project, building construction supervision services for real estate projects, building construction supervision services relating to shopping centers, industrial complexes, office buildings, residential buildings and other real estate developments, building inspection in the course of building construction, building construction supervision services relating to shopping centres, industrial complexes, office buildings, residential buildings and other real estate developments, commercial estate construction, commercial property construction, communications infrastructure construction, construction and maintenance of apartments, studios, bungalows, villas and cottages, construction and maintenance of building complexes, residential buildings, housing estates, commercial buildings, shopping centers, office buildings and parking structures, construction and renovation of buildings, construction and repair of residential buildings and houses, construction and repair of warehouses, construction management (supervision), construction of building interiors, construction of buildings and other structures, construction of buildings, roads, bridges and dams, construction of commercial properties, construction of industrial buildings, construction of motorways, construction of residential and commercial buildings, construction, maintenance and renovation of buildings, construction, maintenance and renovation of property, construction, maintenance, cleaning and	3 May 2023 / (3 May 2033)	Registered

ANNEXURE B: OUR INTELLECTUAL PROPERTIES *(Cont'd)*

No.	Registered owner / Applicant	Trademark	Application / Registration no.	Class / Description of trademark	Effective date / (Expiry date)	Status
				repair services, construction, repair and maintenance of buildings, and providing information relating thereto, construction, repair, maintenance and installation services, pavement construction, site preparation (construction), and real estate development (building and construction services); all included in Class 37.		
14.	LSHBB	LSH BEST Builders(3)	TM2022028908	Class 16 / Similar to the description set out in item 10 above.	N/A	Published(5)
15.	LSHBB	LSH BEST Builders(4)	TM2022028910	Class 36 / Similar to the description set out in item 12 above.	N/A	Conditional approval(6)
16.	LSHBB	LSH BEST Builders(4)	TM2022028911	Class 37 / Similar to the description set out in item 13 above.	N/A	Conditional approval(6)
17.	LSHBB	LSH BEST Builders(4)	TM2022028909	Class 35 / Similar to the description set out in item 11 above.	N/A	Conditional approval(6)
18.	LSHBB	LSH BEST Builders (3)	TM2022028912	Class 16 / Similar to the description set out in item 10 above.	N/A	Published(5)
19.	LSHBB	LSH BEST Builders (4)	TM2022030347	Class 35 / Similar to the description set out in item 11 above.	N/A	Conditional approval(6)
20.	LSHBB	LSH BEST Builders (4)	TM2022028914	Class 36 / Similar to the description set out in item 12 above.	N/A	Conditional approval(6)
21.	LSHBB	LSH BEST Builders (4)	TM2022028915	Class 37 / Similar to the description set out in item 13 above.	N/A	Conditional approval(6)

ANNEXURE B: OUR INTELLECTUAL PROPERTIES *(Cont'd)*

Notes:

(1) Registration of this trademark shall give no right to the exclusive use of the word 'lighting'.

*(2) We had on 10 June 2021 applied to MyIPO for registration of these trademarks under Class 36 and Class 37 ("**LSH Trademarks**"). On 18 April 2022, MyIPO issued notices of provisional refusal to us on the basis that the LSH Trademarks are similar to certain trademarks which are either already registered or under review by MyIPO in its database ("**third-party trademarks**") and the class/description of registration sought are also similar to the third-party trademarks. Following our appeals on 17 June 2022, MyIPO has on 1 August 2024 issued a conditional approval for the registration of each of the LSH Trademarks, stating that these trademarks will be registered provided that a letter of consent is obtained from the relevant owner of the third-party trademarks stating that such owner has no objection for the registration of LSH Trademarks by our Group. On 26 September 2024, we issued a letter seeking consent from the said owner. On 30 September 2024, our solicitors attending to the registration of the LSH Trademarks have also filed written submissions to MyIPO to further explain the differences between the LSH Trademarks and the third-party trademarks. As at LPD, we are still pending responses from the said owner on the consent sought, as well as MyIPO in respect of the written submissions filed.*

(3) These trademarks are published with the disclaimer that the registration of these trademarks shall give no right to the exclusive use of the words 'best' and 'builders'.

(4) For information, we have included a disclaimer in the application that the registration of these trademarks will give no right to the exclusive use of the words 'best' and 'builders'.

*(5) We had on 31 October 2022 applied to MyIPO for registration of these trademarks under Class 16 ("**LSHBB Class 16 Trademarks**"). On 22 May 2023, MyIPO issued a notice of provisional refusal to us on the basis that the LSHBB Class 16 Trademarks and the class/description of registration sought are similar to a trademark owned by a third-party for Class 16 which is already registered with MyIPO. Following our appeal on 24 July 2023, MyIPO has on 9 August 2024 issued a conditional approval for the registration of each of the LSHBB Class 16 Trademarks, stating that these trademarks will be registered once we agree with the amendment to the voluntary disclaimer such that the registration of these trademarks will give no right to the exclusive use of the words 'best' and 'builders', which we have subsequently amended and incorporated such disclaimer into the registration of the LSHBB Class 16 Trademarks.*

On 7 January 2025, MyIPO published the LSHBB Class 16 Trademarks in MyIPO's Online Journal for a period of two (2) months to enable the public to view the same and file an opposition application should there be any reason to disallow these trademarks for registration in Malaysia. In the event there is no opposition application filed against the LSHBB Class 16 Trademarks during the publication period, these trademarks will be duly registered with MyIPO for a period of 10 years.

*(6) We had on 31 October 2022 and 11 November 2022 applied to MyIPO for registration of these trademarks under Class 35, Class 36 and Class 37 ("**LSHBB Other Trademarks**"). On various dates between May 2023 to July 2023, MyIPO issued notices of provisional refusal to us on the basis that the LSHBB Other Trademarks are similar to certain trademarks which are either already registered or under review by MyIPO in its database ("**third-party trademarks**") and the class/description of registration sought are also similar to the third-party trademarks. Following our appeals in July 2023 and September 2023, MyIPO has on 9 August 2024 issued a conditional approval for the registration of each of the LSHBB Other Trademarks, stating that these trademarks will be registered provided that a letter of consent is obtained from the relevant owner of the third-party trademarks stating that such owner has no objection for the registration of the LSHBB Other Trademarks by our Group. On 26 September 2024, we issued a letter seeking consent from the said owner. On 8 October 2024, our solicitors attending to the registration of the LSHBB Other Trademarks have also filed written submissions to MyIPO to further explain the differences between the LSHBB Other Trademarks and the third-party trademarks. As at LPD, we are still pending responses from the said owner on the consent sought, as well as MyIPO in respect of the written submissions filed.*

ANNEXURE B: OUR INTELLECTUAL PROPERTIES *(Cont'd)*

Although the registration of some of the trademarks as mentioned above are still pending, we do not anticipate any material adverse impact on our Group's business operations as we may continue to use these trademarks, even in the event of non-registration of these trademarks. Given that our Group has established our presence, reputation and visibility within the industry with our track record and market standing, any non-registration of these trademarks will not impede our business continuity and growth prospects.

Furthermore, pending the registration of these trademarks with MyIPO, should any person use a mark which is similar or identical to these non-registered trademarks, we may still be able to initiate a passing off action pursuant to common law principles which prevents such person from misrepresenting such trademark as their own.

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ANNEXURE C: MATERIAL PROPERTIES

C.1 MATERIAL PROPERTIES OWNED BY OUR GROUP

As at LPD, the details of the material properties owned by our Group are as follows:

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
1.	Registered owner: ASSB Title identification: Pajakan Negeri 54330, Lot No. 482098, Mukim Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur Postal address: Lot No. 481334, Mukim Kuala Lumpur, Persiaran Lemak, Taman Segar, 56000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia Tenure: Leasehold for a period of 99 years, expiring on 8 August 2116 (remaining tenure of approximately 92 years as at LPD)	Description: A plot of residential land for which the LSH Segar Project is currently being constructed and developed on Proposed use: Two (2) blocks of residential units comprising 435 condominium units, 440 *'Residensi Wilayah'* affordable housing units and carpark(1) Category of land use: Building	N/A	Land area: 180,543 sq ft Built-up area: N/A	Restriction in interest: (i) This land shall not be transferred, leased or charged without the consent of the Kuala Lumpur Land Works Committee. (ii) The '*Residensi Wilayah*' affordable housing units shall not be transferred within 10 years from the date of the SPA signed by the first buyer. Express conditions: This land shall only be used for the Federal Territories Affordable Housing Project (RUMAWIP) *(now known as 'Residensi Wilayah')* and development of luxury apartments. Encumbrance: Charged to MBSB Bank Berhad vide Presentation No. PDSC47546/2022 registered on 29 September 2022.	25,428

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
2.	Registered owner: ASES Title identification: Pajakan Negeri 53100, Lot No. 103675, Mukim Petaling, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur Postal address: Off Jalan Pinggiran Tasik, Taman Tasik Damai, 57000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia Tenure: Leasehold for a period of 99 years, expiring on 13 August 2117 (remaining tenure of approximately 93 years as at LPD)	Description: A plot of vacant residential land for which the Lake Side Homes Project is to be constructed and developed on Proposed use: Five (5) blocks of residential units comprising 1,183 condominium units, 593 '*Residensi Wilayah*' affordable housing units, 593 PPAM affordable housing units and carpark(2) Category of land use: Building	N/A	Land area: 516,130 sq ft Built-up area: N/A	Restriction in interest: (i) This land shall not be transferred, leased or charged without the consent of the Kuala Lumpur Land Works Committee. (ii) The '*Residensi Wilayah*' affordable housing units shall not be transferred within 10 years from the date of the SPA signed by the first buyer. (iii) In the case of the PPAM affordable housing units, additional restrictions in interest are as follows: (1) The restrictions against transfer shall apply for 10 years from the date of the SPA ("**PPAM SPA**") signed by the first-time buyer of such unit ("**PPAM Transfer Restriction**"); (2) Within 10 years from the date of the PPAM SPA, each subsequent application for consent to transfer ownership of the PPAM affordable housing unit must be	113,455

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
					accompanied by a letter of approval from the Federal Government of Malaysia; and (3) For the transfer of ownership from the Federal Land Commissioner to the transferee who is not subject to the PPAM Transfer Restriction, the subsequent application for consent to transfer must be accompanied by a confirmation letter from the Federal Government of Malaysia. Express condition: This land shall be used for residential buildings for the purpose of '*Residensi Wilayah*' and PPAM affordable housing units, and luxury condominium units only. Encumbrance: Nil.	

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
3.	Registered owner: LSH Ventures Title identification: Geran 335371, Lot 13379, Bandar Batu 18, Semenyih, Daerah Ulu Langat, Negeri Selangor Postal address: No. 1, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia Tenure: Freehold	Description: A three (3)-storey corner shophouse Existing use: Tenanted by LSH Lighting as part of its retail store Category of land use: Building	14 November 2014	Land area: 2,971 sq ft Built-up area: 8,783 sq ft	Restriction in interest: Nil. Express condition: Commercial building. Encumbrance: Nil.	2,572
4.	Registered owner: LSH Ventures Title identification: Geran 335373, Lot 13376, Bandar Batu 18, Semenyih, Daerah Ulu Langat, Negeri Selangor	Description: An intermediate two (2)-storey shophouse Existing use: Tenanted by LSH Lighting as its retail store	14 November 2014	Land area: 1,873 sq ft Built-up area: 3,740 sq ft	Restriction in interest: Nil. Express condition: Commercial building.	1,287

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
	Postal address: No. 3A, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia Tenure: Freehold	Category of land use: Building			Encumbrance: Nil.	
5.	Registered owner: LSH Ventures Title identification: Geran 5984, Lot No. 334, Seksyen 86, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur Postal address: No. 349, 349A & 349B, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia Tenure: Freehold	Description: An end lot three (3)-storey shophouse Existing use: Tenanted by Knight Auto as its retail store Category of land use: Building	*Please refer to Note (3) below*	Land area: 1,640 sq ft Built-up area: 4,920 sq ft	Restriction in interest: Nil. Express condition: Nil. Encumbrance: Charged to Public Bank Berhad vide Presentation No. PDSC26039/2016 registered on 12 July 2016.	2,474

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
6.	Registered owner: ASSB Title identification: (i) Pajakan Negeri 21858, Lot No. 42137, Tingkat 3, Petak 27; (ii) Pajakan Negeri 21877, Lot No. 42138, Tingkat 3, Petak 22; (iii) Pajakan Negeri 21854, Lot No. 42136, Tingkat 4, Petak 28; (iv) Pajakan Negeri 21854, Lot No. 42136, Tingkat 4, Petak 31; (v) Pajakan Negeri 21854, Lot No. 42136, Tingkat 4, Petak 32; (vi) Pajakan Negeri 21854, Lot No. 42136, Tingkat 4, Petak 33;	Description: Nine (9) units of office located on the second and third floors across three (3) blocks of four (4)-storey shophouses Existing use: Save for unit no. 3-21 which is rented to a third-party tenant for office use, all the other office units are currently vacant and are held for investment purpose Category of land use: Commercial	8 October 2003	Land area: N/A Built-up area: Save for unit no. 3-1 with a built-up area of 1,518 sq ft, all the other units have a built-up area of 1,582 sq ft each	Restriction in interest: This land shall not be transferred, leased or charged without the consent of the state authority. Express condition: Commercial building. Encumbrance: Nil.	1,631

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
	(vii) Pajakan Negeri 21858, Lot No. 42137, Tingkat 4, Petak 37; (viii) Pajakan Negeri 21858, Lot No. 42137, Tingkat 4, Petak 39; and (ix) Pajakan Negeri 21877, Lot No. 42138, Tingkat 4, Petak 32, all at Bangunan M1, Sekyen 9, Bandar Kajang, Daerah Hulu Langat, Negeri Selangor Postal address: 2-16, 2-21, 3-1, 3-3A, 3-5, 3-6, 3-16, 3-18 & 3-21, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia Tenure: Leasehold for a period of 99 years, expiring on 24 March 2101 (remaining tenure of approximately 76 years as at LPD)					

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
7.	Registered owner: ASSB Title identification: Geran 317553, Bangunan M1-B, Tingkat 20, No. Petak 510, Mukim Dengkil, Daerah Sepang, Negeri Selangor Postal address: CNB-19-03, Conezion Residences, Block B, Persiaran IRC 3, IOI Resort City, 62502 Putrajaya, Malaysia Tenure: Freehold	Description: A residential apartment unit[4] Existing use: Rented to a third-party tenant for residential use Category of land use: Commercial	13 April 2018	Land area: N/A Built-up area: 1,205.56 sq ft	Restriction in interest: Nil. Express condition: Commercial Encumbrance: Nil.	N/A[5]

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
8.	Registered owner: Icon Sejati Sdn Bhd[6] Title identification: Geran 250679, Lot No. 45370, Bangunan M1, Menara D, Tingkat 13, Petak 318, Bandar Johor Bahru Postal address: D-12-3A, Danga View Apartment, Jalan Persiaran Danga, 81200 Johor Bahru, Johor Darul Takzim, Malaysia Tenure: Freehold	Description: A residential apartment unit[4] Existing use: Vacant Category of land use: Building	13 April 2005	Land area: N/A Built-up area: 4,542.37 sq ft	Restriction in interest: (i) The landowner shall not be permitted to sell the units (parcels) of the building that will be constructed on the land unless the construction of such building has commenced in accordance with the plans approved by the relevant local authorities. (ii) The parcels of the building constructed on this land, once transferred in ownership to a Bumiputera individual/ Bumiputera company, shall not subsequently be sold, leased or transferred in any manner to a non-Bumiputera individual/non-Bumiputera company without the consent of the State Authority. (iii) The parcels of the building constructed on this land shall not be sold, leased or transferred in any manner to a foreign citizen or foreign company without the consent of the State Authority.	N/A[7]

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
					Express condition: (i) This land can only be used for medium cost apartment, constructed in accordance with the plans approved by the relevant local authorities. (ii) All dirt and pollution resulting from the construction must be channeled or discarded to places allowed by the relevant authorities. (iii) All policies and conditions imposed from time to time by the relevant state authorities must be complied with. Encumbrance: Nil.	

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
9.	Registered owner: Pembinaan Sahabatjaya Sdn Bhd[6] Title identification: Geran 250679, Lot No. 45370, Bangunan M1, Menara D, Tingkat 10, Petak 04, Bandar Johor Bahru Postal address: D-09-03, Danga View Apartment, Jalan Persiaran Danga, 81200 Johor Bahru, Johor Darul Takzim, Malaysia Tenure: Freehold	Description: A residential apartment unit[4] Existing use: Vacant Category of land use: Building	13 April 2005	Land area: N/A Built-up area: 2,507.99 sq ft	Restriction in interest: (i) The landowner shall not be permitted to sell the units (parcels) of the building that will be constructed on the land unless the construction of such building has commenced in accordance with the plans approved by the relevant local authorities. (ii) The parcels of the building constructed on this land, once transferred in ownership to a Bumiputera individual/ Bumiputera company, shall not subsequently be sold, leased or transferred in any manner to a non-Bumiputera individual/non-Bumiputera company without the consent of the State Authority. (iii) The parcels of the building constructed on this land shall not be sold, leased or transferred in any manner to a foreign citizen or foreign company without the consent of the State Authority.	N/A[8]

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
					Express condition: (i) This land can only be used for medium cost apartment, constructed in accordance with the plans approved by the relevant local authorities. (ii) All dirt and pollution resulting from the construction must be channeled or discarded to places allowed by the relevant authorities. (iii) All policies and conditions imposed from time to time by the relevant state authorities must be complied with. Encumbrance: Nil.	

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
10.	Registered owner: Teras Hijaujaya Sdn Bhd[9] Title identification: (i) Pajakan Negeri 69800, Lot No. 157008, Tingkat 1, Petak 8; (ii) Pajakan Negeri 69800, Lot No. 157008, Tingkat 2, Petak 24; and (iii) Pajakan Negeri 69800, Lot No. 157008, Tingkat 3, Petak 40, all at Mukim Pulai, Daerah Johor Bahru, Negeri Johor Postal address: G-09, 01-09 and 02-09, Block B, Persiaran Pertama, Pusat Perdagangan Danga Utama, 81300 Johor Bahru, Johor Darul Takzim, Malaysia	Description: Three (3) units of shop office located on the ground, first and second floors of a three (3) storey shophouse[4] Existing use: Units 01-09 and 02-09 are rented to a third-party tenant for office use, whilst unit G-09 is intended to be rented to another third-party tenant for business use Category of land use: Commercial	17 August 2017	Land area: N/A Built-up area: Save for unit no. G-09 with a built-up area of 2,605 sq ft, all the other units have a built-up area of 2,314 sq ft each	Restriction in interest: (i) The landowner shall not be permitted to sell the units (parcels) of the building that will be constructed on the land unless the construction of such building has commenced in accordance with the plans approved by the relevant local authorities. (ii) The parcels of the building constructed on this land, once transferred in ownership to a Bumiputera individual/ Bumiputera company, shall not subsequently be sold, leased or transferred in any manner to a non-Bumiputera individual/non-Bumiputera company without the consent of the State Authority. (iii) The parcels of the building constructed on this land shall not be sold, leased or transferred in any manner to a foreign citizen or foreign company without the consent of the State Authority.	N/A[10]

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
	Tenure: Leasehold for a period of 99 years, expiring on 13 April 2111 (remaining tenure of approximately 86 years as at LPD)				Express condition: (i) This land can only be used for multi-storey building for commercial purposes (shop offices), constructed in accordance with the plans approved by the relevant local authorities. (ii) All dirt and pollution resulting from the construction must be channeled or discarded to places allowed by the relevant authorities. (iii) All policies and conditions imposed from time to time by the relevant state authorities must be complied with. Encumbrance: Nil.	

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Registered owner / Title identification / Postal address / Tenure	Description of property / Existing or proposed use / Category of land use	Date of issuance of CCC or CF	Land area / Built-up area	Major restriction in interest / Express condition / Encumbrance	Audited NBV as at 30 September 2024 (RM'000)
11.	Registered owner: LSH Ventures Title identification: Geran 524424, Lot 47806, Bandar Johor Bahru, Daerah Johor Bahru, Negeri Johor Postal address: PTB 22672, Jalan Danga Bayu 5, Pulau Danga Bayu, 81200 Johor Bahru, Johor Darul Takzim, Malaysia Tenure: Freehold	Description: A plot of residential land Existing use: Vacant and being held for investment purpose(11) Category of land use: Building	N/A	Land area: 9,700 sq ft Built-up area: N/A	Restriction in interest: This land shall not be sold or transferred in any manner to foreign citizens or foreign companies without the consent of the state authority. Express conditions: (i) This land can only be used for a three (3)-storey residential house, constructed in accordance with a plan approved by the relevant local authorities. (ii) All dirt and pollution resulting from the construction must be channeled or discarded to places allowed by the relevant authorities. (iii) All policies and conditions imposed from time to time by the relevant state authorities must be complied with. Encumbrance: Nil.	2,040

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

Notes:

(1) ASSB has obtained the development order from DBKL for the development of the LSH Segar Project on 14 December 2020. The development order was subsequently varied by way of letters dated 26 April 2021 and 4 June 2021 issued by DBKL. The approval for the building plan for the LSH Segar Project was also granted by DBKL on 13 October 2021.

(2) ASES has obtained the development order from DBKL for the development of Lake Side Homes Project on 15 November 2023. However, there is a litigation case involving the Lake Side Homes Project as at LPD, details of which are set out in Section 13.6 of this Prospectus.

(3) As at LPD, LSH Ventures is in the process of applying for the CCC for this premises, details of which are set out in Section 6.29(i) of this Prospectus.

*(4) On 15 April 2024, ASSB had agreed with one of its clients for the settlement of the total amount of approximately RM5.09 million due to ASSB in relation to the progress claims and retention sums for two (2) projects which were completed prior to our Company's acquisition of ASSB on 17 April 2023. Such amount due by the client is to be settled through contra payment via three (3) residential apartment units and a three (3)-storey shop office (collectively, the "**Contra Payment Properties**") for a total consideration of RM5.09 million. This is one of the Contra Payment Properties.*

(5) As the delivery of vacant possession of this property only took place on 11 November 2024, the NBV of this property is not recorded in the audited statements of financial position of our Group as at 30 September 2024. Nevertheless, for information purpose, the purchase consideration for this property amounted to RM0.75 million.

(6) As at LPD, this property is still registered under the name of the vendor as the land office has yet to complete the registration of the memorandum of transfer in favour of ASSB.

(7) As the delivery of vacant possession of this property only took place on 19 November 2024, the NBV of this property is not recorded in the audited statements of financial position of our Group as at 30 September 2024. Nevertheless, for information purpose, the purchase consideration for this property amounted to approximately RM1.11 million.

(8) As the delivery of vacant possession of this property only took place on 19 November 2024, the NBV of this property is not recorded in the audited statements of financial position of our Group as at 30 September 2024. Nevertheless, for information purpose, the purchase consideration for this property amounted to RM0.65 million.

(9) As at LPD, this property is still registered under the name of the developer for this development, who has given consent for the direct transfer in favour of ASSB. However, as at LPD, the land office has yet to complete the registration of the memorandum of transfer in favour of ASSB.

(10) As the delivery of vacant possession of this property only took place on 19 November 2024, the NBV of this property is not recorded in the audited statements of financial position of our Group as at 30 September 2024. Nevertheless, for information purpose, the purchase consideration for this property amounted to approximately RM2.58 million.

(11) As at LPD, our Group has no intention to carry out any development activity on this plot of residential land (due to its relatively small land size) and will continue to hold it for investment purpose.

C.2 MATERIAL PROPERTIES RENTED BY OUR GROUP

As at LPD, the details of the material properties rented by our Group are as follows:

No.	Name of landlord / tenant	Postal address	Description of property / Existing or proposed use	Date of issuance of CCC or CF	Land area / Built-up area	Tenure / Date of expiry	Monthly rental
1.	LSH Holdings *(Landlord)* / our Group *(Tenant)*	Wisma Lim Seong Hai, No. 33, Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia	Description: A seven (7)-storey commercial building known as 'Wisma Lim Seong Hai' Existing use: As head office of our Group and retail store for Knight Auto	23 October 2020	Land area: 5,963 sq ft Built-up area: 23,244 sq ft	The existing tenancies with our Group (namely LSH Lighting, Knight Auto, LSHBB and ASSB) are for a period of two (2) years commencing from 1 October 2023 to 30 September 2025. *Please refer to Note (2) of Section 9.1.1 (iii) of this Prospectus for further information on the salient terms of these tenancies.*	RM106,000
2.	LSH Holdings *(Landlord)* / LSH Lighting *(Tenant)*	No. 1, 1A & 1B, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia	Description: A corner lot three (3)-storey shophouse Existing use: Retail store of LSH Lighting	*Please refer to Note (1) below*	Land area: 2,215 sq ft Built-up area: 5,551 sq ft	The existing tenancy with LSH Lighting is for a period of two (2) years commencing from 1 January 2025 to 31 December 2026. *Please refer to Note (3) of Section 9.1.1(iii) of this Prospectus for further information on the salient terms of this tenancy.*	RM12,000

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Name of landlord / tenant	Postal address	Description of property / Existing or proposed use	Date of issuance of CCC or CF	Land area / Built-up area	Tenure / Date of expiry	Monthly rental
3.	LSH Holdings *(Landlord)* / LSH Lighting *(Tenant)*	No. G-1, 1-1, G-2, 1-2, G-3 & 1-3, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia	Description: Three (3) adjoining intermediate units of a four (4)-storey shophouse where we rent the ground floor and first floor of all three (3) units only Existing use: Part of the retail store of LSH Lighting	8 October 2003	Land area: N/A Built-up area: 8,988 sq ft	Details of the existing tenancies with LSH Lighting for the following units are as follows: (i) Units no. G-1 and 1-1 are for a period of two (2) years commencing from 1 November 2023 to 31 October 2025; and (ii) Units no. G-2, 1-2, G-3 & 1-3 are for a period of two (2) years commencing from 1 May 2024 to 30 April 2026. *Please refer to Note (3) of Section 9.1.1(iii) of this Prospectus for further information on the salient terms of these tenancies.*	RM4,500 RM9,000
4.	LSH Holdings *(Landlord)* / Knight Auto *(Tenant)*	No. 349A, Wisma Knight Auto, Jalan Pahang, Setapak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia	Description: A three (3)-storey detached building Existing use: Retail store of Knight Auto	11 January 2024	Land area: 24,219 sq ft Built-up area: 11,925 sq ft	The existing tenancy with Knight Auto is for a period of two (2) years commencing from 1 August 2023 to 31 July 2025. *Please refer to Note (3) of Section 9.1.1(iii) of this Prospectus for further information on the salient terms of this tenancy.*	RM6,000

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Name of landlord / tenant	Postal address	Description of property / Existing or proposed use	Date of issuance of CCC or CF	Land area / Built-up area	Tenure / Date of expiry	Monthly rental
5.	LSH Holdings *(Landlord)* / Knight Auto *(Tenant)*	Lot 1879, Jalan KPB 5, Kawasan Perindustrian Kampung Baru Balakong, 43300 Seri Kembangan, Selangor Darul Ehsan, Malaysia	Description: A three (3)-storey building with a single-storey detached warehouse Existing use: Retail store and warehouse of Knight Auto	10 November 2009	Land area: 81,676 sq ft Built-up area: 14,478 sq ft	The existing tenancy with Knight Auto is for a period of two (2) years commencing from 1 January 2025 to 31 December 2026. *Please refer to Note (3) of Section 9.1.1(iii) of this Prospectus for further information on the salient terms of this tenancy.*	RM4,100
6.	Lim Pak Lian *(Landlord)* / LSH Lighting *(Tenant)*	No. 1-3A, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia	Description: An intermediate unit of a four (4)-storey shophouse where we rent the first floor only Existing use: Part of the retail store of LSH Lighting	8 October 2003	Land area: N/A Built-up area: 1,615 sq ft	The existing tenancy with LSH Lighting is for a period of two (2) years commencing from 1 May 2024 to 30 April 2026. *Please refer to Note (2) of Section 9.1.1(v) of this Prospectus for further information on the salient terms of this tenancy.*	RM1,500

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Name of landlord / tenant	Postal address	Description of property / Existing or proposed use	Date of issuance of CCC or CF	Land area / Built-up area	Tenure / Date of expiry	Monthly rental
7.	Lim Pak Lian *(Landlord)* / Knight Auto *(Tenant)*	No. G-3A, Jalan Kajang Perdana 3, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia	Description: An intermediate unit of a four (4)-storey shophouse where we rent the ground floor only Existing use: Retail store of Knight Auto	8 October 2003	Land area: N/A Built-up area: 1,405 sq ft	The existing tenancy with Knight Auto is for a period of two (2) years commencing from 1 May 2023 to 30 April 2025. *Please refer to Note (2) of Section 9.1.1(v) of this Prospectus for further information on the salient terms of this tenancy.*	RM1,500 *(from 1 May 2023 to 30 November 2023)*; and RM3,000 *(from 1 December 2023 to 30 April 2025)*
8.	Lor Siew Hung and Lim Pak Lian *(Landlords)* / LSH Lighting *(Tenant)*	No. 2, Jalan Kajang Perdana 3/1, Taman Kajang Perdana, 43000 Kajang, Selangor Darul Ehsan, Malaysia	Description: An intermediate unit of a two (2)-storey shophouse Existing use: Part of the retail store of LSH Lighting	14 November 2014	Land area: 1,872.92 sq ft Built-up area: 3,743 sq ft	The existing tenancy with LSH Lighting is for a period of two (2) years commencing from 1 February 2024 to 31 January 2026. *Please refer to Note (3) of Section 9.1.1(v) of this Prospectus for further information on the salient terms of this tenancy.*	RM6,500

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Name of landlord / tenant	Postal address	Description of property / Existing or proposed use	Date of issuance of CCC or CF	Land area / Built-up area	Tenure / Date of expiry	Monthly rental
9.	Pembinaan Sahabatjaya Sdn Bhd *(Landlord)* / LSH Lighting *(Tenant)*	No. 3, Block A, Diamond Square, Jalan Semarak Api 1, Off Jalan Gombak, 53000 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia	Description: An intermediate unit of a seven (7)-storey shop building where we rent the ground floor only Existing use: Retail store of LSH Lighting	18 January 2002	Land area: N/A Built-up area: 1,412 sq ft	The existing tenancy with LSH Lighting is for a period of one (1) year commencing from 1 April 2024 to 31 March 2025.	RM2,000
10.	Lim Seong Hai Property Sdn Bhd *(Landlord)* / LSH Lighting *(Tenant)*	Lot G-08, 09 & 10, Lot Level 1-08, 09 & 10, Lot Level 2-08, 09 & 10, Laman Seri Harmoni (LSH 33), No. 3, Jalan Batu Muda Tambahan 3, Sentul, 51100 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia	Description: Nine (9) units of retail space located on the ground, first and second floors of a mixed development known as Laman Seri Harmoni ("**LSH 33**") Existing use: Retail store of LSH Lighting	12 September 2024	Land area: N/A Built-up area: 15,215 sq ft	The existing tenancy with LSH Lighting is for a period of three (3) years commencing from 29 November 2024 to 28 November 2027. *Please refer to Note (3) of Section 9.1.1(xi) of this Prospectus for further information on the salient terms of this tenancy.*	RM51,418

ANNEXURE C: MATERIAL PROPERTIES *(Cont'd)*

No.	Name of landlord / tenant	Postal address	Description of property / Existing or proposed use	Date of issuance of CCC or CF	Land area / Built-up area	Tenure / Date of expiry	Monthly rental
11.	Lim Seong Hai Property Sdn Bhd *(Landlord)* / Knight Auto *(Tenant)*	Lot G-16, 17 & 18 Laman Seri Harmoni (LSH 33), No. 3, Jalan Batu Muda Tambahan 3, Sentul, 51100 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur, Malaysia	Description: Three (3) units of retail space located on the ground floor of LSH 33 Existing use: Retail store of Knight Auto	12 September 2024	Land area: N/A Built-up area: 6,191 sq ft	The existing tenancy with Knight Auto is for a period of three (3) years commencing from 29 November 2024 to 28 November 2027. *Please refer to Note (3) of Section 9.1.1(xi) of this Prospectus for further information on the salient terms of this tenancy.*	RM26,621

Note:

(1) As at LPD, the landlord, LSH Holdings, is in the process of applying for the CCC for this premises, details of which are set out in Section 6.29(ii) of this Prospectus.

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